

In the opinion of Orrick, Herrington & Sutcliffe LLP, Bond Counsel to the Authority, based upon an analysis of existing laws, regulations, rulings and court decisions and assuming, among other matters, the accuracy of certain representations and compliance with certain covenants, interest on the Bonds is excluded from gross income for federal income tax purposes under Section 103 of the Internal Revenue Code of 1986 and is exempt from State of California personal income taxes. In the further opinion of Bond Counsel, interest on the Bonds is not a specific preference item for purposes of the federal individual or corporate alternative minimum taxes, although Bond Counsel observes that such interest is included in adjusted current earnings when calculating corporate alternative minimum taxable income. Bond Counsel expresses no opinion regarding any other tax consequences relating to the ownership or disposition of, or the amount, accrual or receipt of interest on, the Bonds. See “TAX MATTERS” herein.

\$22,080,000

CALIFORNIA MUNICIPAL FINANCE AUTHORITY

Insured Revenue Bonds

(NCROC—Paradise Valley Estates Project)

Series 2016

Final CUSIP: 13048TM42



Dated: Date of Delivery

Due: January 1, as shown on inside cover

The California Municipal Finance Authority Insured Revenue Bonds (NCROC—Paradise Valley Estates Project), Series 2016 (the “Bonds”) will be issued as fully registered Bonds in denominations of \$5,000 or any integral multiple thereof and, when delivered, will be registered in the name of Cede & Co., as nominee for The Depository Trust Company, New York, New York (“DTC”). Beneficial owners of Bonds will not receive physical certificates representing the Bonds purchased but will receive a credit balance on the books of the nominees of such purchasers. So long as Cede & Co. is the registered owner of the Bonds, principal of and premium, if any, and interest on the Bonds will be paid by U.S. Bank National Association, as Trustee, to DTC, which, in turn, will remit such principal, premium, if any, and interest to its participants for subsequent disbursement to the beneficial owners of the Bonds, as described herein. See APPENDIX H—“BOOK-ENTRY SYSTEM” hereto. Interest on the Bonds is payable on January 1 and July 1 of each year, commencing January 1, 2017.

The Bonds are subject to optional, mandatory and special redemption prior to their maturity, as described herein.

The Bonds are limited obligations of the California Municipal Finance Authority (the “Authority”), secured under the provisions of the Indenture and the Loan Agreement (each as described herein), and will be payable from Loan Repayments (as defined herein) made by Northern California Retired Officers Community (the “Corporation”) under the Loan Agreement and from certain funds held under the Indenture. The Bonds are secured on parity with certain outstanding bonds previously issued for the benefit of the Corporation. Pursuant to the Regulatory Agreement (as defined herein), the Corporation may incur additional indebtedness secured on a parity basis with the Bonds and the outstanding bonds referred to in the previous sentence, provided certain conditions are met. See “SECURITY AND SOURCE OF PAYMENT FOR THE BONDS—Parity Debt” herein.

Pursuant to the California Constitution Article XVI, Section 4, and California Health and Safety Code, Division 107, Part 6, Chapter 1, payment of the principal of and interest on the Bonds will be insured by the Office of Statewide Health Planning and Development of the State of California, and all debentures issued in payment of any claims under such insurance will be fully and unconditionally guaranteed by the State of California, all as more fully described herein. See “CALIFORNIA HEALTH FACILITY CONSTRUCTION LOAN INSURANCE PROGRAM” herein.

NONE OF THE AUTHORITY, ANY AUTHORITY MEMBER OR ANY PERSON EXECUTING THE BONDS IS LIABLE PERSONALLY ON THE BONDS OR SUBJECT TO ANY PERSONAL LIABILITY OR ACCOUNTABILITY BY REASON OF THEIR ISSUANCE. THE BONDS ARE LIMITED OBLIGATIONS OF THE AUTHORITY, PAYABLE SOLELY FROM AND SECURED BY THE PLEDGE OF CERTAIN REVENUES UNDER THE INDENTURE. NEITHER THE AUTHORITY, ITS MEMBERS, THE STATE OF CALIFORNIA, NOR ANY OF ITS POLITICAL SUBDIVISIONS SHALL BE DIRECTLY, INDIRECTLY, CONTINGENTLY OR MORALLY OBLIGATED TO USE ANY OTHER MONEYS OR ASSETS TO PAY ALL OR ANY PORTION OF THE DEBT SERVICE DUE ON THE BONDS, TO LEVY OR TO PLEDGE ANY FORM OF TAXATION WHATEVER THEREFOR OR TO MAKE ANY APPROPRIATION FOR THEIR PAYMENT (EXCEPT TO THE EXTENT EXPRESSLY PROVIDED THROUGH THE INSURANCE PROGRAM DESCRIBED HEREIN). THE BONDS ARE NOT A PLEDGE OF THE FAITH AND CREDIT OF THE AUTHORITY, ITS MEMBERS, THE STATE OF CALIFORNIA OR ANY OF ITS POLITICAL SUBDIVISIONS, NOR DO THEY CONSTITUTE INDEBTEDNESS WITHIN THE MEANING OF ANY CONSTITUTIONAL OR STATUTORY DEBT LIMITATION. THE AUTHORITY HAS NO TAXING POWER.

This cover page contains certain information for general reference only. It is not intended to be a summary of the security or terms of the Bonds. Investors should read the entire Official Statement to obtain information essential to the making of an informed investment decision.

SEE MATURITY SCHEDULE ON INSIDE FRONT COVER.

The Bonds are offered when, as and if received by the Underwriter, subject to prior sale, to withdrawal or modification of the offer without notice, and to the approval of the validity of the Bonds and certain other legal matters by Orrick, Herrington & Sutcliffe LLP, Bond Counsel to the Authority, the approval of certain matters for the Authority by its counsel, Jones Hall, a Professional Law Corporation, and the approval of certain matters for the Corporation by its counsel, Hanson Bridgett LLP, San Francisco, California. Certain legal matters will be passed upon for the Underwriter by Chapman and Cutler LLP. It is expected that the Bonds in book-entry form will be available for delivery through the facilities of DTC on or about November 30, 2016.



Date: November 22, 2016

[†] For an explanation of the rating, see “RATING” herein.

\$22,080,000
CALIFORNIA MUNICIPAL FINANCE AUTHORITY
Insured Revenue Bonds
(NCROC—Paradise Valley Estates Project)
Series 2016

MATURITY DATE (JANUARY 1)	PRINCIPAL AMOUNT	INTEREST RATE (%)	YIELD (%)	PRICE (%)	CUSIP [†]
2018	\$475,000	2.000	1.220	100.838	13048TK44
2019	485,000	3.000	1.480	103.110	13048TK51
2020	500,000	4.000	1.800	106.574	13048TK69
2021	520,000	4.000	2.050	107.604	13048TK77
2022	540,000	5.000	2.300	112.887	13048TK85
2023	565,000	2.375	2.650	98.462	13048TK93
2024	580,000	2.625	2.850	98.564	13048TL27
2025	595,000	2.750	3.050	97.862	13048TL35
2026	610,000	5.000	3.000	115.800	13048TL43
2027	640,000	5.000	3.150	115.876	13048TL50
2028	675,000	3.500	3.650	98.640	13048TL68
2029	695,000	3.500	3.750	97.585	13048TL76
2030	720,000	3.625	3.860	97.600	13048TL84
2031	745,000	3.750	3.930	98.064	13048TL92
2032	605,000	3.750	4.000	97.186	13048TM26

\$3,480,000—5.000% Term Bonds due January 1, 2037; Priced 110.325%^C to yield 3.760%
CUSIP[†] 13048TM34

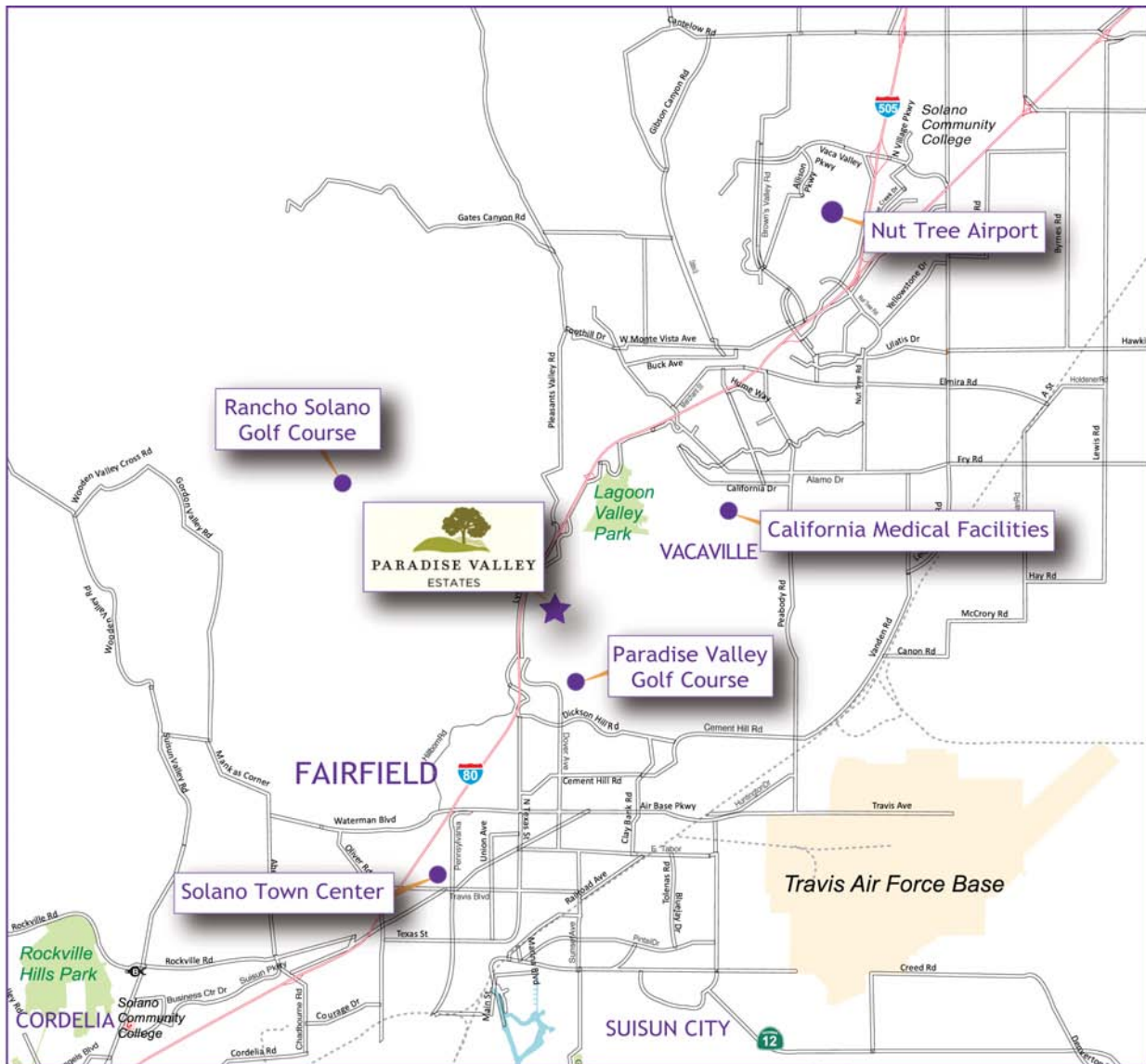
\$9,650,000—4.000% Term Bonds due January 1, 2047; Priced 96.598% to yield 4.200%
CUSIP[†] 13048TM42

C = Priced to first call date of January 1, 2027.

[†] A registered trademark of The American Bankers Association. CUSIP data is provided by CUSIP Global Services (“CGS”) managed on behalf of the American Bankers Association by S&P Capital IQ. This data is not intended to create a database and does not serve in any way as a substitute for the CGS database. CUSIP numbers are provided for convenience of reference and none of the Authority, the Corporation or the Underwriter take responsibility for the accuracy of such data.



PARADISE VALLEY ESTATES



Community Center Entrance



Quail Creek Entrance



Residential Living Cottages



Quail Creek Exterior



Dining Room



Pool



Residential Living Apartment Interior



Residential Living Cottage Interior



This Official Statement does not constitute an offer to sell the Bonds or the solicitation of an offer to buy, nor shall there be any sale of the Bonds by any person in any state or other jurisdiction to any person to whom it is unlawful to make such offer, solicitation or sale in such state or jurisdiction. No dealer, salesperson or any other person has been authorized to give any information or to make any representation other than those contained herein in connection with the offering of the Bonds, and, if given or made, such information or representation must not be relied upon.

The information relating to the Authority set forth herein under the captions “THE AUTHORITY” and “LITIGATION—The Authority” has been furnished by the Authority. The Authority does not warrant the accuracy of the statements contained herein relating to the Corporation nor does it directly or indirectly guarantee, endorse or warrant (1) the creditworthiness or credit standing of the Corporation, (2) the sufficiency of the security for the Bonds or (3) the value or investment quality of the Bonds. The Authority makes no representations or warranties whatsoever with respect to any information contained therein except for the information under the sections entitled “THE AUTHORITY” and “LITIGATION—The Authority.” The information set forth herein under the caption “CALIFORNIA HEALTH FACILITY CONSTRUCTION LOAN INSURANCE PROGRAM” has been furnished by the Office of Statewide Health Planning and Development of the State of California (the “Office”), and the information relating to DTC and the book-entry system set forth herein under the captions “THE BONDS—General,” and “—Book-Entry System” and in APPENDIX H hereto has been furnished by DTC. Such information is believed to be reliable but is not guaranteed as to accuracy or completeness and is not to be construed as a representation by the Underwriter or the Corporation. All other information set forth herein has been obtained from the Corporation and other sources that are believed to be reliable, but the information herein, other than that described as being provided by the Authority in the first sentence of this paragraph, is not guaranteed as to accuracy or completeness and is not to be construed as a representation by the Underwriter or the Authority. The information and expressions of opinion herein are subject to change without notice, and neither the delivery of this Official Statement nor any sale of the Bonds made hereunder shall create under any circumstances any indication that there has been no change in the affairs of the Authority, the Office, the Corporation or DTC since the date hereof. The Underwriter has provided the following sentence for inclusion in this Official Statement. The Underwriter has reviewed the information in this Official Statement in accordance with and as part of its responsibilities to investors under the federal securities laws as applied to the facts and circumstances of this transaction, but the Underwriter does not guarantee the accuracy or completeness of such information. This Official Statement is submitted in connection with the issuance of securities referred to herein and may not be used, in whole or in part, for any other purpose. The Bonds are not anticipated to be registered or qualified for sale in the states of Washington or New Hampshire.

IN CONNECTION WITH THE OFFERING OF THE BONDS, THE UNDERWRITER MAY OVERALLOT OR EFFECT TRANSACTIONS THAT STABILIZE OR MAINTAIN THE MARKET PRICE OF THE BONDS OFFERED HEREBY AT LEVELS ABOVE THAT WHICH OTHERWISE MIGHT PREVAIL IN THE OPEN MARKET. SUCH STABILIZING, IF COMMENCED, MAY BE DISCONTINUED AT ANY TIME.

CAUTIONARY STATEMENTS REGARDING
FORWARD-LOOKING STATEMENTS IN
THIS OFFICIAL STATEMENT

Certain statements included or incorporated by reference in this Official Statement constitute “forward-looking statements.” Such statements generally are identifiable by the terminology used, such as “plan,” “expect,” “estimate,” “budget” or other similar words. Such forward-looking statements include but are not limited to certain statements contained in the information under the captions “PLAN OF FINANCING” and “BONDHOLDERS’ RISKS” in the forepart of this Official Statement and the statements contained under the caption “FINANCIAL INFORMATION—Management’s Discussion of Financial Performance” in APPENDIX A—“INFORMATION CONCERNING NORTHERN CALIFORNIA RETIRED OFFICERS COMMUNITY” and APPENDIX H—“BOOK-ENTRY SYSTEM” to this Official Statement.

The achievement of certain results or other expectations contained in such forward-looking statements involve known and unknown risks, uncertainties and other factors that may cause actual results, performance or achievements described to be materially different from any future results, performance or achievements expressed or implied by such forward-looking statements. The Corporation does not plan to issue any updates or revisions to those forward-looking statements if or when its expectations or events, conditions or circumstances on which such statements are based occur or do not occur.

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OFFICIAL STATEMENT

\$22,080,000

**CALIFORNIA MUNICIPAL FINANCE AUTHORITY
Insured Revenue Bonds
(NCROC—Paradise Valley Estates Project)
Series 2016**

INTRODUCTORY STATEMENT

The following introductory statement is subject in all respects to the more complete information set forth in this Official Statement. The descriptions and summaries of various documents hereinafter set forth do not purport to be comprehensive or definitive and are qualified in their entirety by reference to each document. All capitalized terms used in this Official Statement and not otherwise defined herein have the same meaning as in the Indenture or the Regulatory Agreement (each as defined herein). See APPENDIX D—“SUMMARY OF PRINCIPAL DOCUMENTS—DEFINITIONS OF CERTAIN TERMS.” This Official Statement speaks only as of its date, and the information contained herein is subject to change.

PURPOSE OF THIS OFFICIAL STATEMENT

This Official Statement, including the cover page and the appendices hereto, is provided to furnish information in connection with the sale and delivery of \$22,080,000 aggregate principal amount of California Municipal Finance Authority Insured Revenue Bonds (NCROC—Paradise Valley Estates Project), Series 2016 (the “*Bonds*”). The Bonds will be issued under the JPA Act (as defined herein), and pursuant to and secured by an Indenture, dated as of November 1, 2016 (the “*Indenture*”), between the California Municipal Finance Authority (the “*Authority*”) and U.S. Bank National Association, as trustee (the “*Trustee*”). The Authority will loan the proceeds of the Bonds to Northern California Retired Officers Community (the “*Corporation*”), which loan will be evidenced by a Loan Agreement, dated as of November 1, 2016 (the “*Loan Agreement*”), between the Authority and the Corporation.

The Corporation will use the proceeds of the Bonds, together with other available funds, to (i) advance refund all of the outstanding California Health Facilities Financing Authority Insured Revenue Bonds (NCROC—Paradise Valley Estates Project), Series 2005 (the “*Prior Bonds*”); (ii) finance the construction, improvement, furnishing and equipping of an expansion project at the continuing care retirement community owned and operated by the Corporation (the “*Project*”); (iii) pay the insurance premium to the Office (as defined herein); and (iv) pay certain of the costs of issuance of the Bonds. See “PLAN OF FINANCING” and “ESTIMATED SOURCES AND USES OF FUNDS” herein.

THE AUTHORITY

For a description of the Authority, see “THE AUTHORITY” herein.

THE CORPORATION

The Corporation is a California nonprofit public benefit corporation that owns and operates a continuing care retirement community known as Paradise Valley Estates, located in Fairfield, California (the “*Community*”). The Community consists of residential living cottages and apartments, assisted living facilities, a skilled nursing facility, a main residential community center and a recreation center. The Corporation is exempt from federal income taxation under Section 501(a) of the Internal Revenue Code of 1986, as amended (the “*Code*”), as an organization described in Section 501(c)(3) of the Code. For additional information on the Corporation, see APPENDIX A—“INFORMATION CONCERNING NORTHERN CALIFORNIA RETIRED OFFICERS COMMUNITY” and APPENDIX B—“AUDITED FINANCIAL STATEMENTS OF NORTHERN CALIFORNIA RETIRED OFFICERS COMMUNITY AS OF AND FOR THE FISCAL YEARS ENDED DECEMBER 31, 2013, 2014 AND 2015.” See also APPENDIX C—“FINANCIAL FEASIBILITY REPORT.”

PARITY DEBT

In April 2013, the California Health Facilities Financing Authority (“*CHFFA*”) issued its Insured Refunding Revenue Bonds (NCROC—Paradise Valley Estates Project), Series 2013, in the aggregate principal amount of \$32,315,000 (the “*2013 Bonds*”), of which \$26,230,000 is currently outstanding. Pursuant to a loan agreement, dated as of March 1, 2013, between the Corporation and CHFFA (the “*2013 Loan Agreement*”), CHFFA loaned the proceeds from the sale of the 2013 Bonds to the Corporation for the purpose of refinancing certain indebtedness of the Corporation, funding certain funds and accounts, and paying costs of issuance in connection therewith.

The Bonds will be secured on a parity basis with the 2013 Bonds by the lien of the Deed of Trust (as defined herein) and the pledge of the Gross Revenue Fund and all of the Gross Revenues of the Corporation. See “—SECURITY FOR THE BONDS” and “SECURITY AND SOURCE OF PAYMENT FOR THE BONDS” herein.

In addition to its obligations with respect to the Bonds and the 2013 Bonds, the Corporation may incur other indebtedness that may be on a parity basis with the Corporation’s obligation to make Loan Repayments (as defined herein) and Additional Payments under the Loan Agreement and payments under the 2013 Loan Agreement, if issued for the purposes and subject to the conditions provided in the hereinafter defined Regulatory Agreement (collectively together with the obligations of the Corporation with respect to the Bonds and the 2013 Bonds, “*Parity Debt*”). Parity Debt may not be incurred unless it is insured by the Office or unless it is issued with the consent of the Office. See APPENDIX D—“SUMMARY OF PRINCIPAL DOCUMENTS—REGULATORY AGREEMENT—Limitation on Indebtedness” hereto.

SECURITY FOR THE BONDS

General. The Bonds are limited obligations of the Authority, secured under the provisions of the Indenture and the Loan Agreement and will be payable from payments made by the Corporation under the Loan Agreement (the “*Loan Repayments*,” and each a “*Loan*

Repayment”) and from certain funds held under the Indenture. Pursuant to the Loan Agreement, the Corporation is required to make aggregate payments in an amount sufficient to enable the Authority to pay in full, when due, the principal of and premium, if any, and interest on the Bonds.

Deed of Trust. Under a Deed of Trust, Assignment of Rents and Leases with Fixture Filing and Security Agreement, dated as of December 1, 2002, as amended by the First Supplemental Deed of Trust, dated as of December 1, 2005, the Second Supplemental Deed of Trust, dated as of March 1, 2013 and the Third Supplemental Deed of Trust dated as of November 1, 2016 (the “*Third Supplemental Deed of Trust*” and, as so amended, the “*Deed of Trust*”), the Corporation will grant to the trustee under the Deed of Trust, for the benefit of the Office and the Trustee (as assignee of the Authority), as trustee for the holders of the Bonds, the 2013 Bonds and any other Parity Debt, and in order to secure the obligations of the Corporation under the Loan Agreement, the Regulatory Agreement and the Contract of Insurance (as defined herein) and with respect to the 2013 Bonds and any other Parity Debt, a first lien on and security interest in the Community, subject to Permitted Encumbrances. With the consent of the Office, the Deed of Trust may be amended, subordinated or terminated at any time without the necessity of obtaining the consent of the Trustee, the Authority, or the holders of the Bonds, the 2013 Bonds or any other Parity Debt. See “SECURITY AND SOURCE OF PAYMENT FOR THE BONDS—Deed of Trust” herein.

Gross Revenues. Pursuant to the Loan Agreement, the Corporation has pledged its Gross Revenues and the Gross Revenue Fund to the Trustee and the Office, as security for its obligations, on a parity basis, with respect to the Bonds and any other Parity Debt. For so long as the 2013 Bonds are outstanding, the Gross Revenue Fund shall consist of the gross revenue fund created under the 2013 Loan Agreement, which was pledged to secure payments with respect to the 2013 Bonds and any other Parity Debt. The Bonds constitute Parity Debt under the 2013 Loan Agreement. See “SECURITY AND SOURCE OF PAYMENT FOR THE BONDS—Pledge of Gross Revenues” herein.

For a further description of the security of the Bonds, see “SECURITY AND SOURCE OF PAYMENT FOR THE BONDS” herein.

INSURANCE OF THE BONDS BY THE OFFICE

In accordance with the California Health Facility Construction Loan Insurance Law, Chapter 1 of Part 6 of Division 107 of the California Health and Safety Code (the “*Insurance Law*”), the Authority and the Office of Statewide Health Planning and Development of the State of California (the “*Office*”) will enter into a Contract of Insurance, dated as of November 1, 2016 (the “*Contract of Insurance*”), with the Corporation, pursuant to which the Office will insure the payment of principal of and interest on the Bonds in the event that amounts received by the Trustee pursuant to the Indenture are not sufficient to pay in full, when due, principal of and interest on the Bonds. If monies are not available to pay principal of and interest on the Bonds, the Office will be obligated to continue to make payments on the Bonds or will instruct the Trustee to declare the principal of all Bonds then outstanding and interest accrued thereon to be due and payable immediately and make payment of such principal and interest and, upon the

occurrence of certain events, shall notify the Treasurer (“*Treasurer*”) of the State of California (hereinafter referred to as the “*State*” or “*California*”) and the Treasurer will issue debentures to the holders of the Bonds, fully and unconditionally guaranteed by the State, in an amount equal to the principal of and the accrued interest on the Bonds. In connection with the Contract of Insurance, the Corporation will enter into a Regulatory Agreement, dated as of November 1, 2016 (the “*Regulatory Agreement*”), with the Authority, CHFFA (as issuer of the 2013 Bonds) and the Office.

For a more detailed description of the obligation of the Office to insure the payment of the principal of and interest on the Bonds, the procedures with respect to an insurance default, the obligations of the Corporation pursuant to the Regulatory Agreement and the financial condition of the Office’s insurance program and the State, see “CALIFORNIA HEALTH FACILITY CONSTRUCTION LOAN INSURANCE PROGRAM,” “CERTAIN FINANCIAL INFORMATION REGARDING THE STATE,” “BONDHOLDERS’ RISKS—State Bond Insurance” and “RATING” herein and APPENDIX D—“SUMMARY OF PRINCIPAL DOCUMENTS—CONTRACT OF INSURANCE” and “—REGULATORY AGREEMENT” and APPENDIX E—“FORM OF CONTRACT OF INSURANCE” hereto.

FINANCIAL COVENANTS

The Regulatory Agreement requires the Corporation to meet certain financial covenants, including a Debt Service Coverage Ratio covenant, a Current Ratio covenant and a Days Cash on Hand covenant, on an annual basis. See “SECURITY AND SOURCE OF PAYMENT FOR THE BONDS—Rate Covenant, Current Ratio Covenant, Days Cash on Hand Covenant” herein.

FEASIBILITY STUDY

Hendrickson Consulting has prepared a Financial Feasibility Report, dated September 20, 2016 (the “*Feasibility Study*”), which is attached hereto as APPENDIX C—“FINANCIAL FEASIBILITY REPORT.” The Feasibility Study includes management’s financial forecast of the Corporation for the fiscal years ending December 31, 2016 through 2021. As stated in the Feasibility Study, there will usually be differences between the forecasted data and actual results because events and circumstances frequently do not occur as expected, and those differences may be material. THE FEASIBILITY STUDY SHOULD BE READ IN ITS ENTIRETY, INCLUDING THE FINANCIAL STATEMENT ASSUMPTIONS SET FORTH THEREIN.

BONDHOLDERS’ RISKS

There are risks associated with the purchase of the Bonds. For a discussion of certain of these risks, see “BONDHOLDERS’ RISKS” herein. A prospective owner is advised to read this Official Statement for a discussion of certain Bondholders’ Risks which should be considered in connection with an investment in the Bonds. Among other things, careful evaluation should be made of the assumptions described in the Feasibility Study, and certain factors that may adversely affect the ability of the Corporation to generate sufficient revenues to pay expenses of operation, including the principal of, premium, if any, and interest on the Bonds. Careful

consideration should be given to these risks and other risks described elsewhere in this Official Statement.

THE AUTHORITY

Under Title 1, Division 7, Chapter 5 of the California Government Code (the “*JPA Act*”), certain California cities, counties and special districts have entered into a joint exercise of powers agreement (the “*JPA Agreement*”) forming the Authority for the purpose of exercising to powers common to the members and exercising the additional powers granted to the Authority by the JPA Act and any other applicable provisions of California law. Under the JPA Agreement, the Authority may issue bonds, notes or any other evidence of indebtedness, for any purpose or activity permitted under the JPA Act or any other applicable law.

The Authority may sell and deliver obligations other than the Bonds. These obligations will be secured by instruments separate and apart from the Indenture, the Loan Agreement, the Regulatory Agreement, and the Deed of Trust, and the holders of such other obligations of the Authority will have no claim on the security for the Bonds. Likewise, the Holders of the Bonds will have no claim on the security for such other obligations that may be issued by the Authority.

Neither the Authority nor its independent contractors has furnished, reviewed, investigated or verified the information contained in this Official Statement other than the information contained in this section and the section entitled “LITIGATION — The Authority.” The Authority does not and will not in the future monitor the financial condition of the Corporation or otherwise monitor payment of the Bonds or compliance with the documents relating thereto. Any commitment or obligation for continuing disclosure with respect to the Bonds or the Corporation has been undertaken solely by the Corporation. See “CONTINUING DISCLOSURE” herein.

THE BONDS

The following is a summary of certain provisions of the Bonds. Reference is made to the Bonds for the complete text thereof and to the Indenture for all of the provisions relating to the Bonds. The discussion herein is qualified by such reference. Certain capitalized terms used herein which are taken from the Indenture have the meanings set forth in APPENDIX D—“SUMMARY OF PRINCIPAL DOCUMENTS—DEFINITIONS OF CERTAIN TERMS.”

GENERAL

The Bonds are being issued pursuant to the Indenture in the aggregate principal amount set forth on the cover of this Official Statement. The Bonds shall be issued as fully registered Bonds in denominations of \$5,000 or any integral multiple thereof. The Bonds will bear interest from their date of delivery at the rates set forth on the inside cover page hereof. Interest will be payable semiannually on January 1 and July 1 in each year (each, an “*Interest Payment Date*”), commencing January 1, 2017, to the person whose name appears on the bond registration books of the Trustee as the registered owner thereof as of the close of business on the Record Date

(which will be the 15th day of the calendar month immediately preceding an Interest Payment Date, whether or not such day is a business day) for each Interest Payment Date (except with respect to interest in default, for which a Special Record Date shall be established by the Trustee.

The Bonds will be transferable and exchangeable as set forth in the Indenture and, when issued, will be registered in the name of Cede & Co., as nominee of The Depository Trust Company, New York, New York (“DTC”). So long as Cede & Co. is the registered owner of the Bonds, the principal and Redemption Price of and interest on the Bonds are payable by wire transfer by the Trustee to Cede & Co., as nominee for DTC, which, in turn, will remit such amounts to DTC Participants (as defined herein) for subsequent disbursement to the Beneficial Owners. See APPENDIX H—“BOOK-ENTRY SYSTEM.”

If the book-entry only system for the Bonds is discontinued, payment of interest on the Bonds will be made to the person whose name appears on the bond registration books of the Trustee as the registered owner thereof as of the close of business on the Record Date for each Interest Payment Date, such interest to be paid by check mailed by first class mail on each Interest Payment Date to the registered owner at such owner’s address as it appears on such registration books or at such address as such owner may have filed with the Trustee for that purpose prior to the Record Date; *provided* that at the written request of any Holder of Bonds in the aggregate principal amount of \$1,000,000 or more received by the Trustee prior to the Record Date, interest shall be paid to such Holder by wire transfer to an account within the United States. If the book-entry only system for the Bonds is discontinued, payment of the principal or Redemption Price of the Bonds will be payable by check upon surrender or presentation thereof at the Corporate Trust Office of the Trustee.

REDEMPTION

Optional Redemption. The Bonds maturing on or before January 1, 2027 are not subject to optional redemption prior to their maturity. The Bonds maturing on or after January 1, 2028 are subject to redemption prior to their respective stated maturities, at the option of the Authority (which option shall be exercised upon Request of the Corporation), in whole or in part (in such maturities as are designated by the Corporation, or if the Corporation fails to so designate, in inverse order of maturity, and by lot within a maturity) on any date on or after January 1, 2027, from any available funds, at a Redemption Price equal to the principal amount of Bonds called for redemption, together with accrued interest thereon the date fixed for redemption, without premium.

Mandatory Sinking Account Redemption. The Bonds maturing on January 1, 2037 are also subject to redemption prior to their stated maturity in part, by lot, from Mandatory Sinking Account Payments on any January 1, on or after January 1, 2033, at the principal amount thereof, together with interest accrued thereon to the date fixed for redemption, without premium:

MANDATORY SINKING ACCOUNT PAYMENT DATES (JANUARY 1)	MANDATORY SINKING ACCOUNT PAYMENTS
2033	\$630,000
2034	660,000
2035	695,000
2036	730,000
2037	765,000 [†]

[†] Maturity

The Bonds maturing on January 1, 2047 are also subject to redemption prior to their stated maturity in part, by lot, from Mandatory Sinking Account Payments on any January 1, on or after January 1, 2038, at the principal amount thereof, together with interest accrued thereon to the date fixed for redemption, without premium:

REDEMPTION DATE (JANUARY 1)	SINKING ACCOUNT PAYMENT
2038	\$805,000
2039	835,000
2040	870,000
2041	905,000
2042	940,000
2043	980,000
2044	1,015,000
2045	1,055,000
2046	1,100,000
2047	1,145,000 [†]

[†] Maturity

Special Redemption. The Bonds are also subject to redemption prior to their respective stated maturities, at the option of the Authority (which option shall be exercised upon Request of the Corporation), in whole or in part (in such maturities as are designated by the Corporation, or if the Corporation fails to designate such maturities, in inverse order of maturity, and by lot within a maturity) on any date from certain insurance or condemnation proceeds received with respect to the Facilities, in each case, under the circumstances prescribed in the Regulatory

Agreement, at a Redemption Price equal to the principal amount thereof, together with interest accrued thereon to the date fixed for redemption, without premium.

Selection of Bonds for Redemption. If less than all of the outstanding Bonds are to be called for redemption, the Trustee shall select the Bonds to be redeemed, from all Bonds subject to redemption or such given portion thereof not previously called for redemption, by lot, in any manner which the Trustee in its sole discretion shall deem appropriate, but from the maturities selected by the Corporation (provided such selection by the Corporation shall not apply to mandatory sinking account redemptions).

Notice of Redemption. Notice of redemption shall be given by first class mail by the Trustee, not less than 20 days and not more than 60 days prior to the redemption date to the respective Holders of any Bonds designated for redemption at the address appearing on the bond registration books of the Trustee. Each notice of redemption will state the redemption date, the place or places of redemption, the date of issue of the Bonds, the CUSIP number (if any) of the maturity or maturities and, in case of Bonds to be redeemed in part only, the respective portions of the principal amount thereof to be redeemed. Neither the Authority nor the Trustee shall have any responsibility for any defect in the CUSIP number that appears on any Bond or in any redemption notice with respect thereto.

Failure of the Trustee to give notice to a Bondholder or any defect in such notice shall not affect the sufficiency of the proceedings for redemption with respect to the Bondholders to whom such notice was mailed.

With respect to any notice of optional redemption of Bonds, unless upon the giving of such notice such Bonds shall be deemed to have been paid pursuant to the provisions of the Indenture, such notice shall state that such redemption shall be conditioned upon the receipt by the Trustee on or prior to the date fixed for such redemption of amounts sufficient to pay the Redemption Price of the Bonds to be redeemed and that, if such amounts shall not have been so received, said notice shall be of no force and effect and the Authority shall not be required to redeem such Bonds. In the event that such notice of redemption contains such a condition and such amounts are not so received, the redemption shall not be made and the Trustee shall within a reasonable time thereafter give notice to the Persons and in the manner in which the notice of redemption was given that such amounts were not so received. Such failure to redeem Bonds shall not constitute an Event of Default or a Loan Default Event. Such notice may also state other conditions to the optional redemption and if any other conditions are so stated, shall state that if such conditions shall not have been satisfied on or prior to the date fixed for redemption, said notice shall be of no force and effect and the Authority shall not be required to redeem such Bonds and such failure to redeem such Bonds shall not constitute an Event of Default. In the event that such notice of optional redemption contains any such additional condition or conditions and such condition or conditions shall not have been satisfied on or prior to the date fixed for redemption, the redemption shall not be made and the Trustee shall within a reasonable time thereafter give notice to the Holders to the effect that such condition or conditions were not met and such redemption was not made, such notice to be given by the Trustee in the same manner end to the same parties, as notice of such redemption was given pursuant to the provisions of the Indenture.

Any notice of optional redemption given pursuant to the provisions of the Indenture, as described herein, may also be rescinded by written notice given to the Trustee by the Corporation no later than two Business Days prior to the date specified for redemption. The Trustee shall give notice of such rescission as soon thereafter as practicable in the same manner and to the same Persons as notice of such redemption was given pursuant to the provisions of the Indenture.

Partial Redemption of Bonds. Upon surrender of any Bond for redemption in part only, the Authority shall execute and the Trustee shall authenticate and make available for delivery to the registered owner thereof, at the expense of the Corporation, a new Bond or Bonds of Authorized Denominations, and of the same maturity, equal in aggregate principal amount to the unredeemed portion of the Bond surrendered.

Effect of Redemption. Notice of redemption having been given in accordance with the Indenture and moneys for payment of the Redemption Price of, together with interest accrued to the redemption date on, the Bonds (or portions thereof) so called for redemption being held by the Trustee will become due and payable at the Redemption Price specified in such notice and interest accrued thereon to the redemption date, interest on the Bonds so called for redemption shall cease to accrue, said Bonds (or portions thereof) shall cease to be entitled to any benefit or security under the Indenture, and the Holders of said Bonds shall have no rights in respect thereof except to receive payment of said Redemption Price and accrued interest to the date fixed for redemption.

Mandatory Purchase in Lieu of Redemption. Each Holder or Beneficial Owner, by purchase and acceptance of any Bond, irrevocably grants to the Corporation the option to purchase such Bond, at any time such Bond is subject to optional redemption as provided in the Indenture at a purchase price equal to 100% of the then applicable Redemption Price of such Bond. In order to exercise such option, the Corporation shall secure the written consent of the Office and shall deliver to the Trustee and the Authority such written consent of the Office and a Favorable Opinion of Bond Counsel to the effect that such purchase, will not, in and of itself, adversely affect any exclusion of interest on the Bonds from gross income for purposes of federal income taxation, and the Corporation shall direct the Trustee to provide notice of mandatory purchase, such notice to be provided, as and to the extent applicable, in accordance with the provisions of the Indenture. On the date fixed for mandatory purchase of any Bond in lieu of redemption pursuant to the provisions of the Indenture described herein, the Corporation shall pay the purchase price of such Bond to the Trustee in immediately available funds and the Trustee shall pay the same to the Holders of Bonds being purchased against delivery thereof. Following such purchase, the Trustee shall register such Bonds in accordance with the written instructions of the Corporation. No purchase of any Bond pursuant to the provisions of the Indenture described in this paragraph shall operate to extinguish the indebtedness evidenced by such Bond. No Holder or Beneficial Owner may elect to retain a Bond subject to mandatory purchase pursuant to the provisions of the Indenture described in this paragraph.

Defeasance. Upon the deposit with the Trustee, in trust, at or before maturity, of money or securities in the necessary amount (as provided in the Indenture) to pay or redeem any Outstanding Bond (whether upon or prior to its maturity or the redemption date of such Bond), *provided that*, if such Bond is to be redeemed prior to maturity, notice of such redemption shall

have been given as provided above or provision satisfactory to the Trustee shall have been made for the giving of such notice, then all liability of the Authority in respect of such Bond will cease, terminate and be completely discharged, except only that thereafter the Owner thereof will be entitled to payment of the principal of and interest on such Bond by the Authority and the Authority will remain liable for such payment, but only out of such money or securities deposited with the Trustee as aforesaid for their payment.

BOOK-ENTRY SYSTEM

The Bonds will be issued in book-entry form. DTC will act as securities depository for the Bonds. The Bonds will be issued as fully-registered securities registered in the name of Cede & Co. (DTC's partnership nominee). One fully-registered Bond will be issued for each maturity in the total aggregate principal amount due on such maturity date and will be deposited with or held at the direction of DTC. See APPENDIX H—"BOOK-ENTRY SYSTEM."

The Authority, the Trustee and the Corporation cannot and do not give any assurances that DTC will distribute to DTC Participants or that DTC Participants or others will distribute to the Beneficial Owners payments of principal and Redemption Price of and interest on the Bonds or any redemption or other notices or that they will do so on a timely basis or will serve and act in the manner described in this Official Statement. Neither the Authority, the Trustee nor the Corporation is responsible or liable for the failure of DTC or any DTC Participant or DTC Indirect Participant (as defined herein) to make any payments or give any notice to a Beneficial Owner with respect to the Bonds or any error or delay relating thereto.

ANNUAL DEBT SERVICE REQUIREMENTS

The following table sets forth, for each Bond Year ending January 1, the estimated amounts required to be made available for the payment of principal and interest due on the Bonds and for the total debt service on the Bonds. The following table also includes the debt service due on the 2013 Bonds, which will be the only Parity Debt previously issued for the benefit of the Corporation that will be outstanding after the issuance of the Bonds and the redemption of the Prior Bonds. All amounts shown below have been rounded to the nearest whole dollar.

YEAR ENDING JANUARY 1,	BONDS			2013 BONDS	
	PRINCIPAL	INTEREST	TOTAL DEBT SERVICE	TOTAL DEBT SERVICE	TOTAL DEBT SERVICE
2017	-	\$76,125	\$76,125	\$3,286,050	\$3,362,175
2018	\$475,000	884,031	1,359,031	3,296,100	4,655,131
2019	485,000	874,531	1,359,531	3,306,500	4,666,031
2020	500,000	859,981	1,359,981	3,304,500	4,664,481
2021	520,000	839,981	1,359,981	3,276,750	4,636,731
2022	540,000	819,181	1,359,181	3,285,250	4,644,431
2023	565,000	792,181	1,357,181	3,299,850	4,657,031
2024	580,000	778,763	1,358,763	3,302,100	4,660,863
2025	595,000	763,538	1,358,538	3,297,350	4,655,888
2026	610,000	747,175	1,357,175	3,270,600	4,627,775
2027	640,000	716,675	1,356,675	-	1,356,675
2028	675,000	684,675	1,359,675	-	1,359,675
2029	695,000	661,050	1,356,050	-	1,356,050
2030	720,000	636,725	1,356,725	-	1,356,725
2031	745,000	610,625	1,355,625	-	1,355,625
2032	605,000	582,688	1,187,688	-	1,187,688
2033	630,000	560,000	1,190,000	-	1,190,000
2034	660,000	528,500	1,188,500	-	1,188,500
2035	695,000	495,500	1,190,500	-	1,190,500
2036	730,000	460,750	1,190,750	-	1,190,750
2037	765,000	424,250	1,189,250	-	1,189,250
2038	805,000	386,000	1,191,000	-	1,191,000
2039	835,000	353,800	1,188,800	-	1,188,800
2040	870,000	320,400	1,190,400	-	1,190,400
2041	905,000	285,600	1,190,600	-	1,190,600
2042	940,000	249,400	1,189,400	-	1,189,400
2043	980,000	211,800	1,191,800	-	1,191,800
2044	1,015,000	172,600	1,187,600	-	1,187,600
2045	1,055,000	132,000	1,187,000	-	1,187,000
2046	1,100,000	89,800	1,189,800	-	1,189,800
2047	1,145,000	45,800	1,190,800	-	1,190,800
	<u>\$22,080,000</u>	<u>\$16,044,125</u>	<u>\$38,124,125</u>	<u>\$32,925,050</u>	<u>\$71,049,175</u>

SECURITY AND SOURCE OF PAYMENT FOR THE BONDS

GENERAL

The Bonds will be secured on a parity basis with the 2013 Bonds by the pledge of the Gross Revenue Fund and all of the Gross Revenues of the Corporation and the lien of the Deed of Trust. The Corporation may incur additional indebtedness secured on a parity basis with the Bonds and the 2013 Bonds, provided certain conditions are met. Except to the extent payable from Bond proceeds, investment earnings or proceeds of insurance or condemnation awards, the principal of and premium, if any, and the interest on the Bonds are payable solely from Loan Repayments required to be paid by the Corporation to the Trustee under the Loan Agreement for deposit in the Revenue Fund, which in the aggregate are required to be in an amount sufficient for the payment in full of the Bonds, including interest, principal and any redemption premium, less any amounts available for such payment as provided in the Indenture.

INSURANCE

The principal of and interest on the Bonds will be insured by the Office. If moneys are not available to pay the principal of or interest on the Bonds, the Office will be obligated to continue to make payments on the Bonds or shall instruct the Trustee to declare the principal of all Bonds then Outstanding and interest accrued thereon to be due and payable immediately and make payment of such principal and interest. Upon the occurrence of certain events, the Office shall notify the Treasurer and the Treasurer shall issue debentures to the holders of the Bonds fully and unconditionally guaranteed by the State in an amount equal to the principal of and accrued interest on the Bonds. See “CALIFORNIA HEALTH FACILITY CONSTRUCTION LOAN INSURANCE PROGRAM” herein.

OFFICE’S CONTROL OF REMEDIES

For as long as the Contract of Insurance is in effect and the Office is not in default thereunder, the Office is deemed to be the Holder of the Bonds for purposes of (i) exercising all remedies and directing the Trustee to take actions or for any other purposes following an Event of Default, and (ii) granting any consent, direction or approval or taking any action permitted by or required under the Indenture or the Loan Agreement, as the case may be, to be granted or taken by the Holders of such Bonds (including consenting to amendments to the Indenture or the Loan Agreement that materially adversely affect the interest of the Holders of the Bonds). Anything in the Indenture or the Loan Agreement to the contrary notwithstanding, upon the occurrence and continuance of an Event of Default, the Office shall be entitled to control and direct the enforcement of all rights and remedies granted to the Holders or the Trustee for the benefit of the Holders. See APPENDIX D—“SUMMARY OF PRINCIPAL DOCUMENTS—INDENTURE—Control Rights of the Office.”

PLEDGE OF GROSS REVENUES

In connection with the loan of the proceeds of the 2013 Bonds by CHFFA to the Corporation, the Corporation pledged and assigned to the Trustee and the Office, and granted to the Trustee and the Office a security interest in, all its right, title and interest, owned at that time or thereafter acquired, in and to the Gross Revenues, including, but not limited to, future interest on any and all revenues or income of any nature or kind which accrue to the Corporation or the Facilities, and the Gross Revenue Fund and the proceeds thereof to secure the payment of the loan repayments and additional payments with respect to the 2013 Bonds and the performance by the Corporation of its other obligations under the 2013 Loan Agreement and Regulatory Agreement and with respect to parity debt. The Bonds constitute parity debt under the 2013 Loan Agreement and Regulatory Agreement.

“Gross Revenues” is defined in the Regulatory Agreement as all revenues, income, receipts and money received in any period by the Corporation (other than donor-restricted gifts, grants, bequests, donations or contributions, and tax revenues), including, but without limiting the generality of the foregoing, the following: (a) gross revenues derived from its operation and possession of and pertaining to its properties, (b) proceeds with respect to, arising from, or relating to its properties and derived from (1) insurance (including business interruption insurance) or condemnation proceeds (except to the extent such proceeds are required by the terms of the Regulatory Agreement or other agreements with respect to the Indebtedness which the Corporation is permitted to incur pursuant to the terms of the Regulatory Agreement) to be used for purposes inconsistent with their use for the payment of Loan Repayments, Additional Payments or similar payments with respect to Parity Debt, (2) accounts, including but not limited to, accounts receivable, (3) securities and other investments, (4) inventory and intangible property, (5) payment/reimbursement programs and agreements, and (6) contract rights, accounts, instruments, claims for the payment of moneys and other rights and assets now or hereafter owned, held or possessed by or on behalf of the Corporation, and (c) rentals received from the lease of the Corporation’s properties or space in the Facilities; provided, however, that there shall be excluded from Gross Revenues (i) any amounts received by the Corporation as a billing agent for another entity, except for fees received for serving as billing agent, (ii) gifts, grants, bequests, donations and contributions to the Corporation heretofore or hereafter made, and the income and gains derived therefrom, which are specifically restricted by the donor or grantor to a particular purpose which is inconsistent with their use for Loan Repayments, Additional Payments or similar payments with respect to Parity Debt, (iii) any moneys received by the Corporation from prospective residents or commercial tenants in order to pay for customized improvements to those independent living units or other areas of the Corporation’s facilities to be occupied or leased to such residents or tenants, (iv) payments or deposits under a residency agreement that by its terms or applicable law are required to be held in escrow or trust for the benefit of a resident until the conditions for the release of such payment or deposit have been satisfied, and (v) all deposits and/or advance payments made in connection with any residency of the independent living units or other areas of the Corporation’s facilities to be occupied by residents or tenants and received prior to receipt of such certificate and licenses for occupancy of such units.

Pursuant to the Loan Agreement, the Corporation agrees that, so long as any of the Loan Repayments or any Additional Payments remain unpaid, all Gross Revenues shall be deposited as soon as practicable upon receipt with a depository bank or banks (the “*Depository Bank(s)*”) in a deposit account or accounts designated as the “Gross Revenue Fund.” The Corporation pledges and assigns and grants a security interest (to the extent permitted by law) to the Trustee and to the Office in all its right, title and interest, whether owned at the time the Loan Agreement is executed or thereafter acquired, in and to the Gross Revenues, the Gross Revenue Fund and the proceeds thereof (collectively, the “*Collateral*”) of the Corporation to secure the payment of the Loan Repayments, Additional Payments (consisting generally of fees and charges of the Trustee, taxes, accountants’ fees and any fees and expenses of the Authority associated with the Bonds) and the performance by the Corporation of the other obligations under the Loan Agreement, the Contract of Insurance and the Regulatory Agreement and with respect to any Parity Debt, including the 2013 Bonds.

Gross Revenues and amounts in the Gross Revenue Fund may be used and withdrawn by the Corporation at any time and for any lawful purpose, except as provided in the Loan Agreement. If the Corporation is delinquent for more than one Business Day in the payment of any Loan Repayment, Additional Payment or payment with respect to any Parity Debt, the Authority or the Trustee shall notify the Corporation, the Office and the Depository Bank(s) of such delinquency, and, unless such Loan Repayment, Additional Payment or any payment required with respect to any Parity Debt is paid within 10 days after receipt of such notice, exclusive control over the Gross Revenue Fund shall be exercised by the Office (provided the Contract of Insurance is in effect and the Office is not in default thereunder), for itself and as collateral agent for the Trustee, as provided in a deposit account control agreement to be entered into among the Depository Bank(s), the Corporation, the Office and the Trustee. All Gross Revenues of the Corporation shall continue to be deposited in the Gross Revenue Fund and the Office or the Trustee, as applicable, shall continue to exercise exclusive control over the Gross Revenue Fund until the amounts on deposit in said fund are sufficient to pay in full, or have been used to pay in full, all Loan Repayments, Additional Payments and payments with respect to any Parity Debt then in default and all other then-existing Loan Default Events and events of default with respect to any Parity Debt actually known to the Office or the Trustee, as applicable, shall have been made good or cured to the satisfaction of the Office or the Trustee, as applicable, or provision deemed by the Office or the Trustee, as applicable, to be adequate shall have been made therefor, pursuant to the terms of the Indenture and the Loan Agreement.

During any period that the Gross Revenue Fund is subject to the exclusive control of the Office or the Trustee, as applicable, the Trustee will use the withdrawn amounts in such fund from time to time to make Loan Repayments, Additional Payments, and other payments required of the Corporation by the Loan Agreement or with respect to any Parity Debt when due (whether by maturity, redemption, acceleration or otherwise), and, if such amounts shall not be sufficient to pay in full all such payments when due, then to the payment of Loan Repayments, Additional Payments and debt service on any Parity Debt ratably, without any discrimination or preference, and to such other payments in the order that the Office or the Trustee, as applicable, in its discretion, determines to be in the best interests of the holders of the Bonds and any Parity Debt, without discrimination or preference. During any period that the Gross Revenue Fund is subject to the exclusive control of the Office or the Trustee, as applicable, the Corporation shall not be

entitled to use or withdraw any of the Gross Revenues unless and to the extent that the Office or the Trustee, as applicable, in its sole discretion so directs for the payment of current or past due operating expenses of the Corporation; *provided, however*, that the Corporation may submit requests to the Office or the Trustee, as applicable, as to which expenses to pay and in which order.

The foregoing pledge of the Collateral will be perfected to the extent that such security interests can be perfected by filing, notice or control under the Uniform Commercial Code of the State of California and may, in several instances, be subordinated to the interest and claims of others. Some examples of cases of subordination or prior claims are (i) statutory liens, (ii) rights arising in favor of the United States of America or any agency thereof, (iii) present or future prohibitions against assignment in any federal statutes or regulations, (iv) constructive trusts, equitable liens or other rights impressed or conferred by any state or federal court in the exercise of its equitable jurisdiction, (v) federal or State of California bankruptcy or insolvency laws that may affect the enforceability of the Loan Agreement or pledge of Gross Revenues and (vi) rights of third parties in Gross Revenues converted to cash and not in the possession of the Trustee or the Depository Bank(s). In addition, enforceable security interests in certain types of Gross Revenues (*e.g.*, restricted donations, certain insurance proceeds, payments from Medicare, and other revenues derived from governmental programs) prior to actual receipt by the Corporation for deposit in the Gross Revenue Fund can be difficult to obtain.

DEED OF TRUST

Pursuant to the Deed of Trust as supplemented, including by a Third Supplemental Deed of Trust to be executed in connection with the issuance of the Bonds, the Corporation granted to the trustee thereunder, for the benefit of the Office and the Trustee (as assignee of the issuer of the 2013 Bonds), as trustee for the Holders of the Bonds and other Parity Debt, a first lien on and security interest in the real property, rents and leases, personal property and fixtures relating to the Community (collectively, the “*Collateral Property*”), subject to Permitted Encumbrances and subject to the right of the Corporation (with the prior consent of the Office) to remove property from the lien of the Deed of Trust, as security for the performance of the Corporation’s obligations under the Regulatory Agreement, the Loan Agreement and the Contract of Insurance (as defined in the Regulatory Agreement). The total book value of the Collateral Property constituted approximately 100% of the book value of all property, plant and equipment of the Corporation as of August 31, 2016.

For as long as the Office is obligated under the Contract of Insurance, all rights under the Deed of Trust shall be exercised solely by the Office. With the consent of the Office and the Corporation, the Deed of Trust may be further amended, subordinated or terminated at any time without the consent of the Trustee, the Bondholders, holders of Parity Debt or the Authority. See APPENDIX D—“SUMMARY OF PRINCIPAL DOCUMENTS—DEED OF TRUST.”

For a further description of the provisions of the Loan Agreement, the Indenture and the Deed of Trust, see APPENDIX D—“SUMMARY OF PRINCIPAL DOCUMENTS” hereto.

TITLE INSURANCE

An ALTA insurance policy on the real property subject to the Deed of Trust, in an aggregate amount, when combined with the policy previously delivered to the Office in connection with the issuance of the 2013 Bonds, not less than the aggregate principal amount of the Bonds and the 2013 Bonds to be outstanding after the issuance of the Bonds, will be delivered at the time of the issuance of the Bonds.

RATE COVENANT, CURRENT RATIO COVENANT AND DAYS CASH ON HAND COVENANT

Under the Regulatory Agreement and the Loan Agreement, the Corporation is required to fix, charge and collect rates, fees and charges that, together with all other receipts and revenues of the Corporation and any other funds available therefor, are reasonably projected to be sufficient in each Fiscal Year to produce a Debt Service Coverage Ratio equal to at least 1.25, measured as of the end of each Fiscal Year, commencing with the Fiscal Year ending December 31, 2016. For purposes of this requirement, "*Debt Service Coverage Ratio*" means the ratio of Net Income Available for Debt Service to Maximum Aggregate Annual Debt Service.

The Regulatory Agreement also requires the Corporation to maintain, as of the end of each Fiscal Year, commencing with the Fiscal Year ending December 31, 2016, a Current Ratio of at least 1.50:1.0. For purposes of this requirement, "*Current Ratio*" shall mean a ratio of current assets to current liabilities, as determined in accordance with generally accepted accounting principles and as shown on the Corporation's audited financial statements for such Fiscal Year.

In addition, the Regulatory Agreement requires the Corporation to maintain, as of the end of each Fiscal Year, commencing with the Fiscal Year ending December 31, 2016, not less than 250 Days Cash on Hand, as shown on the Corporation's audited financial statements for such Fiscal Year. For purposes of this requirement, "*Days Cash on Hand*" shall mean, for any Fiscal Year, the quotient obtained by dividing (1) the Corporation's cash and cash equivalents, including board designated funds and funded depreciation, but excluding donor-restricted funds and proceeds of short-term indebtedness, as of the end of such Fiscal Year by (2) the quotient of dividing (a) the Corporation's operating expenses (excluding depreciation, amortization, allowance for bad debts, and any other noncash expenses) for such Fiscal Year by (b) the number of days in such Fiscal Year.

The Corporation covenants and agrees under the Regulatory Agreement that within one hundred twenty (120) days after the end of each Fiscal Year, the Corporation shall compute the Net Income Available for Debt Service and Maximum Aggregate Annual Debt Service, the Current Ratio and the Days Cash on Hand for such Fiscal Year and promptly furnish to the Authority, the Trustee and the Office a Statement setting forth the results of such computation.

The Corporation further covenants and agrees under the Regulatory Agreement that if, at the end of such Fiscal Year, (i) the Debt Service Coverage Ratio shall have been less than as required by the provisions of the Regulatory Agreement described above in the first paragraph under this sub-heading, (ii) the Current Ratio shall have been less than as required by the

provisions of the Regulatory Agreement described above in the second paragraph under this sub-heading, or (iii) the Days Cash on Hand shall have been less than as required by the provisions of the Regulatory Agreement described in the third paragraph under this sub-heading, it will promptly employ a Management Consultant to make recommendations as to a revision of the rates, fees and charges of the Corporation or the methods of operation of the Corporation which will result in producing (x) a Debt Service Coverage Ratio as required by the provisions of the Regulatory Agreement described above in the first paragraph under this sub-heading in the current Fiscal Year, (y) a Current Ratio as required by the provisions of the Regulatory Agreement described above in the second paragraph under this sub-heading in the current Fiscal Year and (z) Days Cash on Hand as required by the provisions of the Regulatory Agreement described in the third paragraph under this sub-heading in the current Fiscal Year; *provided, however*, the Corporation need not so employ a Management Consultant if the Office consents, in writing, to a waiver of said covenant to employ a Management Consultant. The Corporation shall, to the extent feasible, promptly upon its receipt of such recommendations, subject to applicable requirements or restrictions imposed by law, revise its rates, fees and charges or its methods of operation or collections and shall take such other action as shall be in conformity with such recommendations; *provided, however*, the Corporation need not make such revisions or take such actions in conformity with such recommendations if (1) the Board of Directors of the Corporation makes a good faith determination that such recommendations, in whole or in part, are not in the best interests of the Corporation, and (2) the Office gives its written consent to the effect that the Corporation need not comply, in whole or in part, with such recommendations. In the event that the Corporation fails to comply with the recommendations of the Management Consultant, the Office may replace existing management with new management, which shall be chosen unilaterally by the Office.

If the Corporation complies in all material respects with the reasonable recommendations of the Management Consultant in respect to said rates, fees, charges and methods of operation or collection, the Corporation will be deemed to have complied with the foregoing covenants for such Fiscal Year, notwithstanding that the Debt Service Coverage Ratio, the Current Ratio or the Days Cash on Hand shall be less than the amount required by the provisions of the Regulatory Agreement described in the foregoing paragraphs; *provided*, that (1) this sentence shall not be construed as in any way excusing the Corporation from taking any action or performing any duty required under the Regulatory Agreement or be construed as constituting a waiver of any other event of default under the Regulatory Agreement and (2) Net Income Available for Debt Service shall be at least equal to 1.0 times Aggregate Debt Service for such Fiscal Year.

The above-described covenants contained in the Regulatory Agreement may be waived or amended by the Office without the necessity of obtaining the consent of the owners of the Bonds, the Authority or any other party. For a further description of the Debt Service Coverage Ratio covenant, the Current Ratio covenant and the Days Cash on Hand covenant, *see* APPENDIX D—"SUMMARY OF PRINCIPAL DOCUMENTS—REGULATORY AGREEMENT—Rates and Charges; Debt Coverage; Current Ratio; Days Cash on Hand."

PARITY DEBT

In April 2013, CHFFA issued the 2013 Bonds in the aggregate principal amount of \$32,315,000, of which \$26,230,000 is currently outstanding. Pursuant to the 2013 Loan Agreement, CHFFA loaned the proceeds from the sale of the 2013 Bonds to the Corporation for the purpose of refinancing certain indebtedness of the Corporation, funding certain funds and accounts, and paying costs of issuance in connection therewith.

The Bonds will be secured on a parity basis with the 2013 Bonds by the lien of the Deed of Trust and the pledge of the Gross Revenue Fund and all of the Gross Revenues of the Corporation.

In addition to its obligations with respect to the Bonds and the 2013 Bonds, the Corporation may incur Parity Debt, if issued for the purposes and subject to the conditions provided in the Regulatory Agreement. Parity Debt may not be incurred unless it is insured by the Office or unless it is issued with the consent of the Office. See APPENDIX D—“SUMMARY OF PRINCIPAL DOCUMENTS—REGULATORY AGREEMENT—Limitation on Indebtedness” hereto.

LIMITED LIABILITY OF THE AUTHORITY

NONE OF THE AUTHORITY, ANY AUTHORITY MEMBER OR ANY PERSON EXECUTING THE BONDS IS LIABLE PERSONALLY ON THE BONDS OR SUBJECT TO ANY PERSONAL LIABILITY OR ACCOUNTABILITY BY REASON OF THEIR ISSUANCE. THE BONDS ARE LIMITED OBLIGATIONS OF THE AUTHORITY, PAYABLE SOLELY FROM AND SECURED BY THE PLEDGE OF CERTAIN REVENUES UNDER THE INDENTURE. NEITHER THE AUTHORITY, ITS MEMBERS, THE STATE OF CALIFORNIA, NOR ANY OF ITS POLITICAL SUBDIVISIONS SHALL BE DIRECTLY, INDIRECTLY, CONTINGENTLY OR MORALLY OBLIGATED TO USE ANY OTHER MONEYS OR ASSETS TO PAY ALL OR ANY PORTION OF THE DEBT SERVICE DUE ON THE BONDS, TO LEVY OR TO PLEDGE ANY FORM OF TAXATION WHATEVER THEREFOR OR TO MAKE ANY APPROPRIATION FOR THEIR PAYMENT (EXCEPT TO THE EXTENT EXPRESSLY PROVIDED THROUGH THE INSURANCE PROGRAM DESCRIBED HEREIN). THE BONDS ARE NOT A PLEDGE OF THE FAITH AND CREDIT OF THE AUTHORITY, ITS MEMBERS, THE STATE OF CALIFORNIA OR ANY OF ITS POLITICAL SUBDIVISIONS, NOR DO THEY CONSTITUTE INDEBTEDNESS WITHIN THE MEANING OF ANY CONSTITUTIONAL OR STATUTORY DEBT LIMITATION. THE AUTHORITY HAS NO TAXING POWER.

CALIFORNIA HEALTH FACILITY CONSTRUCTION LOAN INSURANCE PROGRAM

DESCRIPTION OF THE INSURANCE POLICY

General. The Corporation has received a conditional commitment from the Office for insurance of the Corporation’s payment of the principal and interest with respect to the Bonds. Insurance of the full amount of the principal and interest with respect to the Bonds (but not any premium) is evidenced by the Contract of Insurance and the Regulatory Agreement, both of which will be entered into by the Office, the Authority and the Corporation, concurrently with the execution and delivery of the Bonds. See APPENDIX E—“FORM OF CONTRACT OF

INSURANCE” for the form and terms of the insurance provided by the Office. The Regulatory Agreement contains certain financial covenants of the Corporation relating to, among other things, the maintenance of specified debt service coverage levels and the limitations on incurrence of additional indebtedness or disposition of assets by the Corporation. Prospective owners of the Bonds should note that the provisions of the Regulatory Agreement may be amended with the consent of the Office without the necessity of obtaining the consent of the owners of the Bonds or the 2013 Bonds or the holders of any other Parity Debt. *See* “CALIFORNIA HEALTH FACILITY CONSTRUCTION LOAN INSURANCE PROGRAM—Description of the Insurance Policy – Rights of the Office Under the Regulatory Agreement” herein and APPENDIX D—“SUMMARY OF PRINCIPAL DOCUMENTS—REGULATORY AGREEMENT.”

Insurance Law Section 129050, subsection (a) requires that a loan must be secured by a first mortgage, first deed of trust or first priority lien on an interest of the borrower in real property and any other security agreement as the Office may require. For this purpose, the Corporation will grant a security interest in the Gross Revenue Fund and all of the Gross Revenues under the Loan Agreement and the Regulatory Agreement and the Corporation will enter into the Deed of Trust. Prospective holders of the Bonds should note that the provisions of the Deed of Trust may be amended, subordinated or terminated at any time with the consent of the Office without the necessity of obtaining the consent of the holders of the Bonds or the holders of Parity Debt.

Incontestability and Non-Cancellability. Under Insurance Law Section 129110, the Contract of Insurance is incontestable from the date of execution thereof, except in case of fraud or misrepresentation on the part of the lender. The Insurance Law and the Contract of Insurance impose certain continuing obligations on the Corporation as a condition of insuring the Bonds but specify that the remedies for breach of these obligations shall not include withdrawal or cancellation of the insurance. The insurance provided by the Contract of Insurance will terminate under certain circumstances, including payment in full by the Office of the insurance with respect to the Bonds or defeasance of the Bonds pursuant to the Indenture, as more fully described in APPENDIX E—“FORM OF CONTRACT OF INSURANCE.” *See also*, APPENDIX D—“SUMMARY OF PRINCIPAL DOCUMENTS—CONTRACT OF INSURANCE.”

Procedures upon Default. If there is an event of default as specified under the Indenture or the Loan Agreement, the Trustee must notify the Office. The Trustee also must notify the Office if 30 days prior to an Interest Payment Date or Principal Payment Date there are not sufficient available moneys held by the Trustee in the Revenue Fund to make the next payment of principal or interest with respect to the Bonds.

Pursuant to the Regulatory Agreement and the Indenture, if there is an Event of Default under the Indenture and the Trustee has notified the Office that available moneys in the Principal and Interest Account will be insufficient to pay in full the next succeeding payment of interest and/or principal on the Bonds when due, the Office shall cause a sufficient amount to be deposited in the Principal Account and/or Interest Account at least three Business Days prior to the date on which such payment is due. The money will come from the Health Facility Construction Loan Insurance Fund (the “*HFCLIF*”) that is established by the Insurance Law

(Sections 129010, subsection (g) and 129200). The obligation of the Corporation to repay any money advanced from the HFCLIF is secured by the Deed of Trust.

Following an Event of Default, the Office may either (i) continue to approve such transfers or make such payments described in the preceding paragraph as are necessary to provide for the timely payment of the principal of and interest with respect to the Bonds, (ii) accept title to the Community from the Trustee upon foreclosure pursuant to the Deed of Trust or otherwise, (iii) accept an assignment of the security interest created under the Deed of Trust and of all claims under the Indenture, or (iv) instruct the Trustee to declare the principal of the Bonds then Outstanding and the interest with respect thereto to be immediately due and payable and make such payment from the HFCLIF. If funds in the HFCLIF are not sufficient to make the required payments described above, the Office shall notify the Treasurer who is required to issue debentures in place of such Bonds. See “THE OFFICE, THE INSURANCE PROGRAM AND THE INSURANCE FUND—State Debentures” below.

Rights of the Office under the Regulatory Agreement. The Regulatory Agreement grants the Office extensive rights, including the right to attend and participate in all meetings of the Corporation’s Board of Directors. Additionally, the Regulatory Agreement prohibits the Corporation from taking certain actions without first obtaining the consent of the Office or meeting certain requirements in the Regulatory Agreement, including affiliating with, merging into, or consolidating with any entity; transferring cash or cash equivalents to any entity, including but not limited to a subsidiary or an affiliate of the Corporation; disposing of or acquiring property; and incurring indebtedness. Additionally, upon the occurrence of an event of default under the Regulatory Agreement, the Deed of Trust or the Indenture, the Office shall have the remedies provided in Insurance Law Section 129173. See APPENDIX D—“SUMMARY OF PRINCIPAL DOCUMENTS—REGULATORY AGREEMENT.”

Rate Covenant and Other Financial Covenants. Under the Regulatory Agreement and the Loan Agreement, the Corporation is required to fix, charge and collect, or cause to be fixed, charged and collected, subject to applicable requirements or restrictions imposed by law, such rates, fees and charges which, together with all other receipts and revenues of the Corporation and any other funds available therefor, are reasonably projected to be sufficient in each Fiscal Year, to produce a Debt Service Coverage Ratio equal to at least 1.25. The Regulatory Agreement also requires the Corporation to maintain, as of the end of each fiscal year, a Current Ratio of at least 1.50 to 1 and at least 250 Days Cash on Hand. The measurement of Days Cash on Hand is taken at the end of each particular fiscal year. Covenants contained in the Regulatory Agreement may be waived or amended by the Office without the necessity of obtaining the consent of the holders of the Bonds, the Authority or any other party. For more specific information relating to these covenants, see APPENDIX D—“SUMMARY OF PRINCIPAL DOCUMENTS—REGULATORY AGREEMENT.” The Bonds will continue to be insured by the Office in the manner described above even if an Event of Default were to occur under financial or other covenants made by the Corporation.

THE OFFICE, THE INSURANCE PROGRAM AND THE INSURANCE FUND

General. The California Health Facility Construction Loan Insurance Program (the “*Insurance Program*”) is authorized by Article XVI, Section 4 of the California Constitution and is provided for in the Insurance Law. The Insurance Program is operated by the Office, which has adopted regulations implementing the Insurance Program. Under the Insurance Law, the Office is currently authorized to insure health facility construction, improvement and expansion loans, as specified in the Insurance Law. Entities which may obtain insurance for their facilities include both public agencies and nonprofit corporations, and authorized health facilities include a wide range from acute care facilities to local clinics, dependency centers and community mental health centers. The Insurance Law authorizes the Insurance Program to insure not more than \$3,000,000,000 principal amount of loans at any time. According to Cal-Mortgage Loan Insurance Division Monthly Activity reports published on the Office’s website, as of June 30, 2016, the principal amount of loans insured under the Insurance Program was approximately \$1,637,990,120 comprised of 91 loans.

Finances of the Insurance Program; Financial Reports. The Insurance Program is financed by an application fee of 0.5% of the loan applied for, but not to exceed \$500 (Insurance Law section 129090), an inspection fee not in excess of 0.4% of the loan that is insured (Insurance Law section 129035), and an insurance premium due in full at closing not in excess of 3.0% of the total amount of principal and interest payable over the term of the loan (Insurance Law section 129040). The fees and premiums charged are deposited in the HFCLIF and are used to defray administrative expenses of the Insurance Program, to cure defaults on loans and to pay principal of and interest on insured bonds and certificates of participation prior to issuance of debentures by the Treasurer.

Under the Insurance Law, payments of principal and interest with respect to the Bonds or payments on the debentures would be made by the Office from the HFCLIF. As of June 30, 2016, the cash balance of the HFCLIF was approximately \$166,632,464. The monies in the HFCLIF are continuously appropriated to pay obligations insured by the Office under the Insurance Law. Insurance Law section 129215 states: “The Health Facility Construction Loan Insurance Fund, established pursuant to Section 129200, shall be a trust fund and neither the fund nor the interest or other earnings generated by the fund shall be used for any purpose other than those purposes authorized by this chapter.” The moneys in the HFCLIF are invested in the State’s Pooled Money Investment Account.

The Office is required by law to submit certain reports to the Legislature, consisting of two Annual Reports, and a State Plan. The State Plan is prepared every two years, as of January 1 of each odd-numbered year. The 2013 State Plan is available at the website of the Office. The 2015 State Plan has not yet been released but is expected to be available in 2016. The Annual Reports to the Legislature for the year ended June 30, 2014 (the “*2014 Annual Reports*”), are available at the website of the Office. The Office also prepares monthly reports containing limited financial data. The most recent monthly report available from the Office is for the period ended June 30, 2016.

The following table provides certain statistics for the Insurance Program as of the end of the last five fiscal years for which reports are available from the Office:

	FISCAL YEAR ENDED JUNE 30				
	2012	2013	2014	2015	2016
Number of Loans Insured	122	117	109	105	91
Principal Amount of Loans Insured (\$000)	\$ 1,708,991	\$ 1,726,980	\$ 1,671,379	\$ 1,784,501	\$ 1,637,990
Cash Balance of HFCLIF	\$172,924,033	\$168,822,959	\$174,289,633	\$174,317,510	\$166,632,464

Insurance Program Loans; Status of Borrowers. The future financial status of the Insurance Program is directly affected by the financial performance of the borrowers in the Insurance Program and their current and projected ability to repay their loans. The Office has established a rating system to implement objective criteria and continues to monitor each borrower for compliance with loan covenants assigning a risk rating (A to F) to that borrower and all its loans.

The risk ratings have a corresponding relationship to the financial status of the borrower and risk to the HFCLIF:

A Rating—no material problems;

B Rating—minor problems such as one or more of the following: for more than one fiscal year, some of the borrower’s covenant requirements have not been met; the borrower’s financial trends indicate potential problems; the borrower is more than 6 months late in providing its financial and other reports as required by its Regulatory Agreement;

C Rating—serious problems, such as one or more of the following: the borrower’s last insured loan payment was not paid within 30 days of the delinquency date defined in the borrower’s Regulatory Agreement; the borrower’s day’s cash on hand is low; the last calculation of the insured debt service coverage ratio was below 1.0 and the project does not have a substantial cash cushion either in days cash on hand or in relation to amount of insured debt; payables and receivables indicate inappropriate lag time; economic indicators locally, regionally or statewide are impacting the borrower; management turnover and/or board oversight is in question; borrower has filed for bankruptcy protection but is making full payments on insured debt;

D Rating—very serious problems such as one or more of the following: the debt service reserve fund has been invaded and the borrower is not making substantial progress in fully replenishing its debt service reserve fund, pursuant to the loan documents; financial trends have been escalating downward with no action plan in place to correct the problem; the borrower’s days cash on hand is exceedingly low, such that it does not appear that the borrower will be able to make its next payroll; payment(s) are not being made and HFCLIF may be used within the next 12 months;

E Rating— payments have been or are being made from the HFCLIF, but full recovery is expected. The Office has a work out plan with the borrower; and

F Rating—payments have been or are being made from the HFCLIF and loss of some magnitude is expected.

As of June 30, 2016, there was one borrower with two loans in the portfolio with D Ratings, two borrowers with a total of five loans with E Ratings, and no borrowers with an F Rating; the total outstanding principal balance of these D and E rated borrowers' loans was \$57,080,260.

Since the start of the Insurance Program in 1972, 20 borrowers (with 28 loans) have defaulted with all required payments coming from the HFCLIF (without cost to the State General Fund). Kern Valley Healthcare District ("*Kern Valley*") defaulted on its loan in the fiscal year ended June 30, 2011, and required payments from the HFCLIF during calendar year 2015 of approximately \$545,000. The Office anticipates that Kern Valley will require advances from the HFCLIF of approximately \$4,443,000 through August, 2021. Kern Valley is making partial payments through a workout agreement with the Office and the shortfall is expected to be repaid with interest starting in August 2021 through August 2029. On October 17, 2012, Mendocino Coast Health Care District ("*Mendocino Coast*") entered Chapter IX bankruptcy. The Office insured three bond issues totaling \$9,205,000 and a bank line of credit of \$1,000,000 for Mendocino Coast. Mendocino Coast continues to make bond payments. When Mendocino Coast entered bankruptcy, the bank declared the line of credit in default and the Office paid on its insurance and now asserts the claim in bankruptcy. The Office and the District have reached a settlement agreement which restructures the loan, but results in no loss to the Office.

The largest defaulted loan in the Insurance Program was a loan to Triad Healthcare Corporation in the original amount of \$182.3 million. The project is no longer in existence and the Triad loan is carried as a long-term liability of the Insurance Program. As of June 30, 2016, the remaining principal balance of the Triad loan is \$57,940,000. The payments from the HFCLIF (net of recoveries) for the Triad loan have been \$182,465,667. In December 2013, a portion of the outstanding bonds were refunded so the Insurance Program could realize interest expense savings. The HFCLIF will make payments for the Triad loan of approximately \$11.5 million each year until August 1, 2018, \$12.1 million in 2019 and 2020, and a final payment of \$8.2 million on August 1, 2021.

State Debentures. In the event the obligations of the HFCLIF to pay on an issue of defaulted bonds or certificates of participation exceeds the available balances in the HFCLIF, and upon receipt by the Office of title to subject facilities or assignment of the security interest in a deed of trust and upon surrender of the defaulted bonds or certificates of participation to the Office, the Office shall notify the Treasurer and request the Treasurer to issue debentures to the holders of the defaulted bonds and certificates of participation so surrendered. Pursuant to Insurance Law section 129160, subsection (a), (1) the debentures shall bear interest at a rate equal to the insured loan or bond, and shall be payable on a payment schedule identical to payments on the insured loan or bond; (2) the debentures are fully and unconditionally guaranteed as to principal and interest by the State; and (3) the amounts to be paid on the

debentures will be continuously appropriated from the General Fund of the State Treasury. Insurance Law section 129160, subsection (b) provides, “In the event of a default, any debenture issued under this article shall be paid on par with general obligation bonds issued by the state.” See “CERTAIN FINANCIAL INFORMATION REGARDING THE STATE” and “RATING” herein.

While the Office has not requested the issuance of and the Treasurer has not issued any such debentures since the inception of the Insurance Program, and while definitive procedures for their issuance have not been established, including procedures covering matters such as compliance with the provisions of the Code and the Treasury Regulations promulgated thereunder, the Office and the Treasurer have all necessary power to establish such procedures, and it is expected that such procedures would be established in advance of any issuance of debentures. It is expected that, to the same extent as interest on the Bonds is not includable in the gross income of the holders thereof for purposes of federal income taxation, interest on the debentures would not be includable in the gross income of the holders, and that interest on debentures would be exempt under the law as in effect on the date hereof from State personal income taxes. Upon the occurrence of certain Events of Default under the Indenture, there is the possibility that the interest on the Bonds could become subject to federal income taxation. The Indenture provides that there shall be no acceleration of the principal and interest on the Bonds upon the occurrence of an Event of Default under the Indenture without the consent of the Office. If the Bonds were declared taxable by the IRS or another appropriate authority, thereby resulting in an Event of Default under the Indenture, and if the Office did not consent to an acceleration, the holders of the Bonds (and holders of any debentures exchanged for such Bonds) would continue to receive interest payments, but those interest payments would not be excludable from gross income for federal income tax purposes. See APPENDIX D—“SUMMARY OF PRINCIPAL DOCUMENTS—INDENTURE—Events of Default under the Indenture and Remedies.”

Actuarial Study. The Office obtains an independent actuarial review of the HFCLIF every two years. At the request of the Office, Oliver Wyman Actuarial Consulting, Inc. (“*Oliver Wyman*”) completed a study in July 2016 (the “*2014 Actuarial Study*”) to evaluate, among other matters, (1) the reserve sufficiency of the HFCLIF as of June 30, 2014; and (2) the risk to the State’s General Fund from the Insurance Program. Oliver Wyman compared the HFCLIF cash balance as of June 30, 2014 of \$174.29 million against the reserve and capital requirements standards set by the California Department of Insurance for private financial guaranty insurers; the 2014 Actuarial Study indicated that the Insurance Program’s assets were at least \$74.69 million below the level which would be required by the California Department of Insurance standards for private insurers (including reserves for projects which were anticipated to default in fiscal year 2014/15). As to the second subject, the 2014 Actuarial Study indicated that the HFCLIF as of June 30, 2014 under the “expected scenario” (which scenario assumed, among other things, a 6.20% default rate) should maintain a positive balance until at least the forecast period of 2043/2044. Even under the “most pessimistic scenario” in which a 10% probability of catastrophic loss was used, the 2014 Actuarial Study indicated that there was a 70% likelihood that HFCLIF reserves as of June 30, 2014 would protect against any General Fund losses until at least 2022/23, and a 90% likelihood that HFCLIF reserves as of June 30, 2014 would protect against any General Fund losses until at least 2019/20.

The 2014 Actuarial Study is based on stated assumptions and estimates including, but not limited to, default rates, investment yields, termination rates, claim severities, catastrophic losses and payment patterns. Variation from such estimates or assumptions may cause actual results to vary from the analysis in the 2014 Actuarial Study and such variations could be material. A copy of the 2014 Actuarial Study is available on the Office's website or upon request to: Office of Statewide Health Planning and Development, Cal-Mortgage Loan Insurance Division, 400 R Street, Suite 470, Sacramento, CA 95811, Telephone: (916) 319-8800; e-mail: cminsured@oshpd.ca.gov. The actuarial study as of June 30, 2016 (the "*2016 Actuarial Study*") is in progress.

See "BONDHOLDERS' RISKS—State Bond Insurance" for a discussion of the risks related to the Insurance. See "RATING" in this Official Statement for a discussion of the rating the Bonds are expected to receive due to the insurance by the Office of the Bonds.

FOR A FURTHER DESCRIPTION OF THE REGULATORY AGREEMENT AND THE CONTRACT OF INSURANCE, SEE APPENDIX D—"SUMMARY OF PRINCIPAL DOCUMENTS" AND APPENDIX E—"FORM OF CONTRACT OF INSURANCE."

CERTAIN FINANCIAL INFORMATION REGARDING THE STATE

Information about the financial condition of the State, including the State budget and State spending, is available at various State-maintained websites. Information concerning the current year State budget may be found at the website of the Department of Finance, www.dof.ca.gov, under the heading "California Budget." Analyses of the current year budget and future budget proposals are posted from time to time by the independent Office of the Legislative Analyst at www.lao.ca.gov. Reference is made to the most recent preliminary official statement or official statement issued by the State in connection with general obligation bonds, lease revenue obligations or revenue anticipation notes, which can be accessed from the website of the State Treasurer's office, www.treasurer.ca.gov, under the headings "Public Finance Division—Current Offerings" (for preliminary official statements) or through EMMA, a facility of the Municipal Securities Rulemaking Board, at <http://emma.msrb.org> (for official statements). All of such websites and other sources are provided for general informational purposes only and the material on such sites and from such resources is in no way incorporated into this Official Statement. Readers are cautioned that such information is not necessarily fully current and that the reported financial condition of the State may have changed since the date such information was published or posted.

PLAN OF FINANCING

General. The Corporation will use the proceeds of the Bonds, together with other available funds, to (i) advance refund all of the outstanding Prior Bonds; (ii) finance the construction, improvement, furnishing and equipping of the Project; (iii) pay the premium to the Office in connection with the Contract of Insurance; and (iv) pay certain of the costs of issuance of the Bonds. See "ESTIMATED SOURCES AND USES OF FUNDS" herein.

Prior Bonds. On December 1, 2005, CHFFA issued the Prior Bonds in the aggregate principal amount of \$16,125,000, of which \$8,850,000 is currently outstanding. A portion of the proceeds of the Bonds will be irrevocably deposited in an escrow fund. The funds deposited in such escrow fund will be sufficient to pay the principal of and interest on the Prior Bonds coming due on and prior to their date of redemption and to redeem the Prior Bonds on December 1, 2018 at a redemption price of 100% of the principal amount thereof. Upon such irrevocable deposit, the Prior Bonds will be deemed paid and no longer outstanding. The funds deposited in the escrow fund will not be available to make payments on the Bonds. The deposit of moneys into the escrow fund will constitute an irrevocable deposit for the benefit of the holders of the Prior Bonds. See “VERIFICATION OF MATHEMATICAL CALCULATIONS” herein.

The Project. A portion of the proceeds of the Bonds will be used to pay the costs of construction, improvement, furnishing and equipping an 18-bed memory care unit as an expansion of the Corporation’s Quail Creek assisted living building and a parking structure. See “DESCRIPTION OF THE COMMUNITY AND SERVICES—The Project and Future Plans” in APPENDIX A hereto for more information regarding the Project.

ESTIMATED SOURCES AND USES OF FUNDS

The following table sets forth the estimated sources and uses of funds related to the Bonds (with all amounts rounded to the nearest dollar).

ESTIMATED SOURCES OF FUNDS	
Principal Amount of Bonds	\$22,080,000
Net Original Issue Premium	285,636
Trustee Held Funds	1,597,429
Corporation Equity	<u>1,527,666</u>
Total	<u>\$25,490,731</u>
ESTIMATED USES OF FUNDS	
Refunding Costs	\$9,845,267
Project Costs	14,302,527
Costs of Issuance ⁽¹⁾	<u>1,342,937</u>
Total	<u>\$25,490,731</u>

⁽¹⁾ Includes legal, printing, rating agency and Authority’s fees and expenses, Underwriter’s discount, the premium paid to the Office for insurance under the Insurance Program and other miscellaneous issuance costs. Costs of issuance in excess of 2% of the proceeds of the Bonds will be paid from Corporation equity.

CONTINUING DISCLOSURE

THE AUTHORITY

Because the Bonds are limited obligations of the Authority, payable solely from amounts received from the Corporation, financial or operating data concerning the Authority is not

material to an evaluation of the offering of the Bonds or to any decision to purchase, hold or sell the Bonds. Accordingly, the Authority is not providing any such information. The Corporation has undertaken all responsibilities for any continuing disclosure to holders of the Bonds, as described below, and the Authority shall have no liability to the holders of the Bonds or any other person with respect to Rule 15c2-12 promulgated by the Securities and Exchange Commission (the “Rule”).

THE CORPORATION

In connection with the issuance of the Bonds, the Corporation will enter into a continuing disclosure agreement (the “*Continuing Disclosure Agreement*”), in which it will covenant for the benefit of the Holders and Beneficial Owners of the Bonds, to provide to Digital Assurance Certification, L.L.C., as the initial dissemination agent (the “*Dissemination Agent*”), for dissemination each of the following: (i) certain financial information and operating data relating to the Corporation (each, an “*Annual Report*”) by not later than 120 days following the end of the Corporation’s fiscal year (which currently is December 31), commencing with the report for the Corporation’s fiscal year ending December 31, 2016, (ii) certain unaudited financial information and operating data relating to the Corporation by not later than 45 days following the end of each fiscal quarter (each, a “*Quarterly Report*”), commencing with the Quarterly Report for the quarter ending December 31, 2016, (iii) the Corporation’s annual budget by not later than 30 days following the end of each fiscal year, and (iv) notices of the occurrence of certain enumerated events. The Annual Report, the Quarterly Report, the annual budget and notices of certain enumerated events will be filed by the Dissemination Agent on behalf of the Corporation with the MSRB through EMMA. These covenants have been made in order to assist the Underwriter in complying with the Rule. See APPENDIX F—“FORM OF CONTINUING DISCLOSURE AGREEMENT.”

Digital Assurance Certification, L.L.C. also serves as dissemination agent pursuant to the continuing disclosure agreement executed by the Corporation in connection with the 2013 Bonds.

In connection with the prior issuance of indebtedness for the benefit of the Corporation (including the Prior Bonds), the Corporation executed continuing disclosure undertakings (the “*Prior Continuing Disclosure Agreements*”) similar to the Continuing Disclosure Agreement. During the past five years, the Corporation failed to timely file its annual financial information and operating data for the fiscal year ended December 31, 2011 required pursuant to the Prior Continuing Disclosure Agreements. The Corporation filed the required report 271 days late.

BONDHOLDERS’ RISKS

Set forth below are certain risk factors that should be considered before any investment in the Bonds is made. Certain risks are inherent in the successful operation of the Corporation’s facilities. **This section discusses some of these risks but is not intended to be, and should not be considered, a comprehensive listing of all risks associated with the operation of the Corporation’s facilities or the payment of the Bonds.**

GENERAL

As described herein under the caption “SECURITY AND SOURCES OF PAYMENT FOR THE BONDS,” the principal of and interest on the Bonds, except to the extent that the Bonds will be payable, under certain circumstances, from proceeds of insurance, sale or condemnation awards or net amounts by recourse to the Deed of Trust, are payable solely from amounts payable by the Corporation under the Loan Agreement and from certain funds held under the Indenture. No representation or assurance is given or can be made that revenues will be realized by the Corporation in amounts sufficient to pay debt service on the Bonds when due and other payments necessary to meet the obligations of the Corporation. The risk factors discussed below should be considered in evaluating the ability of the Corporation to make payments in amounts sufficient to provide for the payment of the principal of, the premium, if any, and interest on the Bonds.

The receipt of future revenues by the Corporation will be subject to, among other factors, federal and state policies affecting the senior housing and health care industries (including changes in reimbursement rates and policies), increased competition from other senior housing and health care providers, the capability of the management of the Corporation and future economic and other conditions that are impossible to predict. The extent of the ability of the Corporation to generate future revenues has a direct effect upon the payment of principal of, premium and purchase price, if any, and interest on the Bonds. Neither the Underwriter nor the Authority has made any independent investigation of the extent to which any such factors may have an adverse effect on the revenues of the Corporation.

LIMITED OBLIGATIONS

NONE OF THE AUTHORITY, ANY AUTHORITY MEMBER OR ANY PERSON EXECUTING THE BONDS IS LIABLE PERSONALLY ON THE BONDS OR SUBJECT TO ANY PERSONAL LIABILITY OR ACCOUNTABILITY BY REASON OF THEIR ISSUANCE. THE BONDS ARE LIMITED OBLIGATIONS OF THE AUTHORITY, PAYABLE SOLELY FROM AND SECURED BY THE PLEDGE OF CERTAIN REVENUES UNDER THE INDENTURE. NEITHER THE AUTHORITY, ITS MEMBERS, THE STATE OF CALIFORNIA, NOR ANY OF ITS POLITICAL SUBDIVISIONS SHALL BE DIRECTLY, INDIRECTLY, CONTINGENTLY OR MORALLY OBLIGATED TO USE ANY OTHER MONEYS OR ASSETS TO PAY ALL OR ANY PORTION OF THE DEBT SERVICE DUE ON THE BONDS, TO LEVY OR TO PLEDGE ANY FORM OF TAXATION WHATEVER THEREFOR OR TO MAKE ANY APPROPRIATION FOR THEIR PAYMENT (EXCEPT TO THE EXTENT EXPRESSLY PROVIDED THROUGH THE INSURANCE PROGRAM DESCRIBED HEREIN). THE BONDS ARE NOT A PLEDGE OF THE FAITH AND CREDIT OF THE AUTHORITY, ITS MEMBERS, THE STATE OF CALIFORNIA OR ANY OF ITS POLITICAL SUBDIVISIONS, NOR DO THEY CONSTITUTE INDEBTEDNESS WITHIN THE MEANING OF ANY CONSTITUTIONAL OR STATUTORY DEBT LIMITATION. THE AUTHORITY HAS NO TAXING POWER.

MANAGEMENT’S FORECAST

Management’s financial forecast contained in the Financial Feasibility Study included in APPENDIX C hereto is based upon assumptions made by the management of the Corporation. As stated in such financial forecast, there will usually be differences between the forecasted and

actual results, because events and circumstances frequently do not occur as expected, and those differences may be material. In addition, the financial forecast is only for the six years ending December 31, 2021, and consequently does not cover the whole period during which the Bonds may be outstanding. **The Financial Feasibility Study should be read in its entirety, including management's notes and assumptions set forth therein.** See APPENDIX C hereto.

BECAUSE THERE IS NO ASSURANCE THAT ACTUAL EVENTS WILL CORRESPOND WITH THE ASSUMPTIONS MADE, NO GUARANTEE CAN BE MADE THAT MANAGEMENT'S FINANCIAL FORECAST IN THE FINANCIAL FEASIBILITY STUDY WILL CORRESPOND WITH THE RESULTS ACTUALLY ACHIEVED IN THE FUTURE. ACTUAL OPERATING RESULTS MAY BE AFFECTED BY MANY UNCONTROLLABLE FACTORS, INCLUDING BUT NOT LIMITED TO INCREASED COSTS, LOWER THAN ANTICIPATED REVENUES, EMPLOYEE RELATIONS, TAXES, GOVERNMENTAL CONTROLS, CHANGES IN APPLICABLE GOVERNMENTAL REGULATION, CHANGES IN DEMOGRAPHIC TRENDS, CHANGES IN THE SENIOR CARE AND HOUSING AND HEALTH CARE INDUSTRIES, AND GENERAL ECONOMIC CONDITIONS.

STATE BOND INSURANCE

Because the principal and interest payments on the Bonds will be insured by the Office, if the principal and interest payments on the Bonds are not made by the Corporation, such payments would be made by the Office from the HFCLIF. The last actuarial study of HFCLIF obtained by the Office was as of June 30, 2014, and indicated that the HFCLIF could be depleted prior to the maturity date of the Bonds, assuming a 10% probability of catastrophic loss. The 2014 Actuarial Study is available at the website of the Office. See "CALIFORNIA HEALTH FACILITY CONSTRUCTION LOAN INSURANCE PROGRAM—The Office, the Insurance Program and the Insurance Fund."

To the extent the HFCLIF reserves are depleted and subject to the requirements of the Insurance Law, the Office shall request the Treasurer to issue debentures which are fully and unconditionally guaranteed as to principal and interest by the State in an amount equal to the then outstanding principal amount of the Bonds. Accordingly, any decline in the State's fiscal condition could adversely affect the State's ability to make payment on debentures in the event of a claim on such insurance. See "CERTAIN FINANCIAL INFORMATION REGARDING THE STATE."

In addition, over certain time periods, deterioration in the State's budget and cash situation may cause the nationally recognized rating services to reduce the State's credit ratings. S&P Global Ratings, the rating agency for the Bonds, has indicated that it rates the Office's insured bonds on par with the rating of the State's general obligation bonds and that any rating action affecting the State will directly affect the rating on the Insurance Program. Therefore, any decline in the State's fiscal condition could adversely affect the rating on the Bonds. See "CALIFORNIA HEALTH FACILITY CONSTRUCTION LOAN INSURANCE PROGRAM—The Office, the Insurance Program and the Insurance Fund." See also "CERTAIN FINANCIAL INFORMATION REGARDING THE STATE" and "RATING."

UNCERTAINTY OF REVENUES

Although the Corporation expects that revenues will be adequate to make all scheduled payments under the Loan Agreement (and corresponding payments on the Bonds), a number of factors could decrease revenues. Future economic and other conditions, including demand for senior housing, the ability of the Corporation to provide the living environment demanded by residents and potential residents, competition, changes in prevailing rates, costs, demographic changes, legislation, governmental regulations and litigation may adversely affect revenues and, consequently, the Corporation's ability to make payments under the Loan Agreement.

The principal and interest payments on the Bonds will be insured by the Office. The Authority has no control, financial or otherwise, over the Office. If the Corporation were to default in making Loan Repayments under the Loan Agreement and the Office were to default on its insurance obligations under the Contract of Insurance, there could be insufficient funds available to pay the Holders of the Bonds. See "CALIFORNIA HEALTH FACILITY CONSTRUCTION LOAN INSURANCE PROGRAM," "CERTAIN FINANCIAL INFORMATION REGARDING THE STATE," and "BONDHOLDERS' RISKS—State Bond Insurance."

Failure to Achieve and Maintain Occupancy and Turnover. The ability of the Corporation to generate sufficient revenues depends in large part on the Corporation's ability to attract sufficient numbers of residents to its facilities in order to maintain substantial occupancy and turnover of occupancy throughout the term of the Bonds. Because occupancy and turnover at the Corporation's facilities depends upon factors outside the Corporation's control, such as residents' rights to terminate their contracts with the Corporation, the Corporation must rely on various assumptions about the Corporation's residents and the market for its services. Where such assumptions prove to be wrong, the Corporation's revenue will be affected. For example, the Corporation's receipt of additional entrance fees could be impaired by the survival of a substantial number of residents beyond assumed life expectancies, fewer permanent transfers to the Corporation's assisted living or skilled nursing facilities than anticipated, or a market-induced reduction in the amount or deferral of the entrance fees payable by new residents. Revenues would also be impaired if the Corporation is unable to remarket units as they become available. If the Corporation's operations fail to maintain occupancy levels and resell independent living units and assisted living units as they become available, or if there is a reduction in the amount of entrance fees received, the Corporation may lack sufficient funds to pay debt service on the Bonds.

Competition. Increased competition from a wide variety of potential sources, including but not limited to other assisted living and retirement communities, memory care communities, residential living communities, continuing care retirement communities, life care communities, life plan communities, skilled nursing facilities, nursing homes, inpatient and outpatient health care facilities, independent living communities, home health services and others could adversely affect the utilization and/or revenue of the Corporation. Existing and potential competitors may not be subject to various restrictions applicable to the Corporation, and competition may, in the future, arise from new sources not currently anticipated or prevalent. Such competition could inhibit the extent to which the Corporation will be able to raise charges and maintain or increase admissions. There can be no assurance that additional competing facilities will not be

constructed in the future. See APPENDIX A—"INFORMATION CONCERNING NORTHERN CALIFORNIA RETIRED OFFICERS COMMUNITY—MARKET AND COMPETITION."

Real Estate Markets/Sale of Personal Residences. During the term of the Bonds, prospective residents of the Corporation's facility may have difficulty selling their current homes due to national and local economic conditions impairing the sale of residential real estate and, as a consequence, may not have sufficient assets to pay entrance fees and monthly service fees. This could cause a delay in scheduled occupancy of the Corporation's community or the remarketing of vacated units, or a reduction in the amount or deferral of the entrance fees payable, all of which would have an adverse effect on the revenue of the Corporation.

Fixed Income of the Elderly. A large percentage of the monthly income of residents and prospective residents of the Corporation's facilities is fixed income derived from pensions and Social Security. If, due to inflation or otherwise, substantial increases in fees are required to cover increases in operating costs, wages, benefits and other expenses, many residents may have difficulty paying or may be unable to pay such increased fees. Alternatively, any decrease in the amounts paid by a resident's fixed income sources could affect such resident's ability to meet financial obligations. The Corporation's inability to collect the full amount of residents' payment obligations may adversely affect the ability of the Corporation to make payments with respect to the Bonds.

Reduced Demand. Several factors could, if implemented, affect demand for services of the Corporation, including: (i) efforts by insurers and governmental agencies to reduce utilization of skilled nursing and long-term care facilities by means such as preventative medicine and home health programs; (ii) increased consumer demand for services at home; (iii) advances in scientific and medical technology; (iv) a decline in the population or a change in the age composition of the population; and (v) a decline in the economic conditions of the service area of the Corporation's facility.

CONSTRUCTION RISKS

There can be no assurances given that the Project will be completed, or that it can be completed for the cost and within the time as set forth in this Official Statement. Failure to complete the Project, or to complete it in a timely fashion at the estimated cost could adversely affect the ability of the Corporation to generate sufficient revenues to continue its planned operations and to make payments with respect to the Bonds. In addition, if the completion of the Project is delayed, the receipt of monthly service fees necessary to fund operations may be adversely impacted.

Whether or not the Project will be completed on schedule depends upon a large number of factors, many of which may be beyond the control of the Corporation. These include, but are not limited to, adverse weather, strikes, delays in the delivery of or shortages of materials, delays in the issuance of required building permits, environmental restrictions or similar unknown or unforeseeable contingencies. Further, there can be no assurance that the Project will conform to construction specifications or state or local regulations. The occurrence of any of the foregoing could result in increases in construction costs or considerable delays in, or complete

impossibility of, completion of the Project, resulting in a failure to achieve anticipated operating results. Construction costs could exceed the amounts originally forecast due to a number of factors.

Construction of the Project is subject to the usual risks associated with construction projects, including, but not limited to, delays in issuance of required building permits or other necessary approvals or permits, strikes, shortages of materials and adverse weather conditions. Such events could result in delaying occupancy of the Project and thus the entrance fees and other revenue flow therefrom. It is anticipated that the proceeds from the sale of the Bonds, together with anticipated investment earnings thereon and certain funds of the Corporation, will be sufficient to complete the construction and equipping of the Project. However, cost overruns for projects of this magnitude may occur due to change orders and other factors. In addition, the date of substantial completion may be extended by reason of changes authorized by the Corporation, delays due to acts or neglect of the Corporation or by independent contractors employed by the Corporation or by labor disputes, fire, unusual delay in transportation, adverse conditions not reasonably anticipated, unavoidable casualties or any causes beyond the control of the contractors. Cost overruns could also result in the Corporation not having sufficient moneys to complete construction of the Project, thereby materially affecting the receipt of revenues needed to pay debt service on the Bonds.

UNCERTAINTY OF INVESTMENT INCOME

The investment earnings of, and accumulations in, certain funds established pursuant to the Indenture have been estimated and are based on assumed interest rates. While these assumptions are believed to be reasonable in view of the rates of return presently and previously available on the types of securities in which the Trustee is permitted to invest under the Indenture, there can be no assurance that similar interest rates will be available on such securities in the future, nor can there be any assurance that the estimated earnings will actually be realized.

PHILANTHROPY

The Corporation derives income from unrestricted gifts and donations to supplement operating revenues to finance operations and capital needs. See APPENDIX B—“AUDITED FINANCIAL STATEMENTS OF NORTHERN CALIFORNIA RETIRED OFFICERS COMMUNITY AS OF FOR THE FISCAL YEARS ENDED DECEMBER 31, 2013, 2014 AND 2015.” Although management of the Corporation expects gifts and donations to remain at least at current levels and to increase at a moderate rate, there can be no assurance that this revenue will not decrease, adversely affecting the financial condition of the Corporation.

INCREASES IN MEDICAL COSTS

Because the Corporation is obligated to provide its continuing care contract residents with the right to move to a higher level of care, a deviation from the anticipated mortality rate or medical care requirements of the resident population or substantial unanticipated increases in the cost of such care could have a negative impact on the operations of the Corporation’s facility.

The undertaking to provide such care is a contractual obligation of the Corporation, and no assurance can be given that the Corporation will have sufficient funds to meet its anticipated obligations. Residents are required to obtain Medicare Part A, Medicare Part B and supplemental insurance satisfactory to the Corporation; however, Medicare does not cover the cost of nursing home care except under certain limited circumstances (including up to 100 days of skilled nursing care following a 3-day qualifying hospital stay). In addition, the cost of providing health care services may increase due to increases in salaries paid to nurses and other health care personnel and due to shortages in such personnel which may require use of registries or employment agencies. Increases in third party therapy services and other ancillary costs such as drugs and medical supplies may also increase costs.

ADDITIONAL CAPITAL REQUIREMENTS

The Corporation's operations are capital intensive. Economic conditions such as credit market dysfunction and increased regulation of the financial industry could make it more difficult for the Corporation to access the capital markets or to otherwise fund capital expenses through borrowings on favorable terms and conditions. Any such limitation could result in delayed or deferred capital expenditures that could be integral to the operations of the Corporation.

LABOR COSTS AND RELATIONS

The Corporation cannot control the prevailing or required minimum wage rates in its service area and any increase in such rates will directly affect the costs of its operations. Effective January 1, 2016, California's minimum wage is \$10 per hour, among the highest in the country. Pursuant to state legislation passed in 2016, California's minimum wage will incrementally increase to \$15 per hour by 2022 for employees with 26 or more employees. Management has examined the effect of California's minimum wage law and does not anticipate that such minimum wage increases will have a material adverse effect on the financial condition of the Corporation.

Unionization of employees or a shortage of qualified professional personnel could cause an increase in payroll costs beyond those projected. The Corporation cannot control the prevailing wage rates in its service area and any increase in such rates will directly affect the costs of its operations. Management is not aware of any current attempts by the Corporation's employees to unionize.

NURSING OR OTHER STAFF SHORTAGE

The health care industry has from time to time experienced a shortage of nursing and other technical staff, which has periodically resulted in increased costs and lost revenues due to the need to engage agency nursing personnel at higher rates or pay increased compensation to staff, and the inability to use otherwise available beds as a result of staffing shortages. Increased costs and lost revenues resulting from staff shortages could adversely affect the operations or financial condition of the Corporation.

EMPLOYMENT AND LABOR ISSUES

The Corporation's workforce includes professional, quasi-professional, technical, clerical, housekeeping, maintenance, dietary and other types of workers in a single operation. As with all employers, the Corporation bears a wide variety of risks in connection with these employees. These risks include strikes and other related work actions, contract disputes, difficulties in recruitment, discrimination claims, personal tort actions, work-related injuries, exposure to hazardous materials, interpersonal torts, risks related to benefit plans, and other risks that may flow from the relationships between employer and employee or between residents and employees. Certain of these risks are not covered by insurance, and certain of them cannot be anticipated or prevented in advance. Such risks, alone or in combination, could have material adverse consequences to the financial condition or operations of the Corporation. See also, "LABOR COSTS AND RELATIONS" above.

PROFESSIONAL LIABILITY CLAIMS AND LIABILITY INSURANCE

In recent years, the number of professional and general liability suits and the dollar amounts of damage recoveries have increased nationwide in the health care industry, resulting in substantial increases in malpractice insurance premiums, higher deductibles and generally less coverage. Professional liability and other actions alleging wrongful conduct and seeking punitive damages are often filed against health care providers. Insurance does not provide coverage for judgments for punitive damages. Insurers are mandating lower amounts of coverage, requiring greater deductibles, and charging more in premiums. Policies issued may not be renewed or renewable. It is not possible at this time to determine either the extent to which malpractice coverage will continue to be available to the Corporation or the premiums at which such coverage can be obtained. Although the Corporation currently carries excess malpractice and general liability insurance which management of the Corporation considers adequate, the Corporation is unable to predict the availability, cost or adequacy of such insurance in the future.

PRESENT AND PROSPECTIVE FEDERAL AND STATE REGULATIONS

General. Health care providers are subject to federal, state and local laws and regulations, and sanctions imposed under or changes to such laws or regulations could adversely affect the operations or financial results of the Corporation. Further reductions in federal and state funding of health care below levels authorized by present law can be expected.

Skilled nursing facilities, including those owned by the Corporation, are subject to numerous licensing, certifications, accreditation, and other governmental requirements. These include, but are not limited to, requirements relating to state licensing agencies, private payors and accreditation organizations. Continuing care retirement communities, residential care facilities and assisted living communities, including those owned by the Corporation, are also subject to licensing requirements. Renewal and continuance of certain of these licenses, certifications, approvals and accreditations are based upon inspections, surveys, audits, investigations or other review, some of which may require or include affirmative action or response by the Corporation. An adverse determination could result in a loss, fine or reduction

in the Corporation's scope of licensure, certification or accreditation, could affect the ability to undertake certain expenditures or could reduce the payments received or require the repayment of the amounts previously remitted. See "STATE LICENSURE AND REGULATION OF SENIOR LIVING PROVIDERS" below for more information.

Medicare and Medicaid Programs; Program Reimbursement Cuts. Medicare provides certain health care benefits to beneficiaries who are 65 years of age or older, blind, disabled, or qualify for the end stage renal disease program. Medicaid is a program of financial assistance, funded jointly by the federal government and each of the various states, primarily for medical assistance to certain needy individuals and their dependents. Due to health care reform, the evolving health care delivery system, and continuing political and financial pressures, the legal and regulatory environment surrounding the Medicaid and Medicare programs has been changing and is expected to continue to change. Notably, the Centers for Medicare & Medicaid Services ("CMS") recently issued new regulations revising the quality, safety and consumer protection standards that a long-term care facility must meet to participate in the Medicare and Medicaid programs (the "2016 LTCF Final Rule"). The 2016 LTCF Final Rule is the first major regulatory overhaul for the long-term care facility industry since 1991 and will require the Corporation to contribute significant time and financial resources to meet the revised standards, which will be phased-in from November 28, 2016 through November 28, 2019. The Corporation believes it will be able to meet the 2016 LTCF Final Rule requirements in the allotted timeframe. Future changes to Medicare and Medicaid may alter features including: (1) services eligible for payment; (2) rates of payment; (3) eligibility requirements to participate or qualify for different levels of payment/reimbursement; (4) consequences of violations; (5) rates and requirements relating to additional payments unrelated to services offered to patients; (6) guidelines relating to interactions between the participating health care providers, third party payors and the federal and state governments; and (7) payment methodologies.

The federal and state governments have in the past, and may in the future, make changes to their respective budgets due to budget shortfalls or other concerns or strategies, which budget reductions may include reductions to the Medicare program. For the Corporation's fiscal year ended December 31, 2015, approximately 24% of the Corporation's net resident service and other revenue was derived from payment from Medicare, up from 21% of the total in the prior year. While it is uncertain whether future federal or state budgets will result in a decrease in such revenue, any reduction thereof could have an adverse impact on the revenues of the Corporation and the ability to pay the debt service of the Bonds.

Health Care Reform. The "Patient Protection and Affordable Care Act" and "The Health Care and Education Affordability Reconciliation Act of 2010" (together referred to herein as the "Health Care Reform Act") have had a significant impact on the health care and senior care industries and will continue to impact the industry in the future. Some of the provisions of the Health Care Reform Act took effect immediately upon its passage in 2010, while others provisions will be phased in through 2023. Guidelines and regulations related to the Health Care Reform Act continue to be amended and enacted.

The Health Care Reform Act changes how consumers pay for their own and their families' health care and how employers procure health insurance for their employees. In

addition, the Health Care Reform Act requires insurers to change certain underwriting practices and benefit structures in order to cover individuals who previously would have been ineligible for health care insurance coverage. As a result, there has been a significant increase in the number of individuals eligible for health care insurance coverage.

Key provisions of the Health Care Reform Act include: (i) creating active insurance markets (referred to as exchanges) in which individuals and small employers can purchase health care insurance for themselves and their families or their employees and dependents, (ii) providing subsidies for premium costs to individuals and families based upon their income relative to federal poverty levels, (iii) mandating that individuals obtain and certain employers provide a minimum level of health care insurance, and providing for penalties or taxes on individuals and employers that do not comply with these mandates, (iv) establishing insurance reforms that expand coverage generally through such provisions as prohibitions on denials of coverage for pre-existing conditions and elimination of lifetime or annual cost caps, and (v) expanding existing public programs, including Medicaid for individuals and families.

The Health Care Reform Act also contains a significant number of provisions related to health care fraud and abuse and program integrity as well as significant amendments to existing criminal, civil and administrative anti-fraud statutes. See “FEDERAL AND STATE FRAUD AND ABUSE LAWS” below. Increased compliance and regulatory requirements, disclosure and transparency obligations, quality of care expectations, and extraordinary enforcement provisions that could greatly increase potential legal exposure are all aspects of the Health Care Reform Act that could increase operating expenses to the Corporation.

The Health Care Reform Act includes a number of initiatives that impact skilled nursing facility reimbursement. Specifically, the Health Care Reform Act instructed the Secretary of the United States Department of Health and Human Services (“HHS”) to provide a report and recommendations to Congress in 2012 regarding potential payment penalties for conditions acquired during a resident’s stay at a skilled nursing facility as well as a plan to expand the value-based purchasing demonstration to a national payment model. The Skilled Nursing Facility Value Based Purchasing Program is set to begin in fiscal year 2019. Additionally, the Health Care Reform Act implemented full market basket updates for federal fiscal years 2010 and 2011, but required a productivity adjustment factor in federal fiscal year 2012 that reduced the market basket adjustment for 2012 and subsequent years. There is no assurance that payments made by CMS as a result of reimbursement reform measures will be sufficient to cover the Corporation’s costs. In addition, any future Congressional action related to value-based purchasing or adjustments to market basket updates could negatively affect the Corporation’s revenue.

Portions of the Health Care Reform Act have already been limited as a result of legislative amendment or judicial interpretation and efforts to repeal the Health Care Reform Act or certain provisions thereof are from time to time pending in Congress. In June 2012, the U.S. Supreme Court upheld most provisions of the Health Care Reform Act, including the requirement that individuals maintain health insurance coverage. The Supreme Court also ruled that the federal government could not compel states to comply with the Health Care Reform Act’s requirement to expand Medicaid by eliminating all federal funds a state receives for its

existing Medicaid program. In June 2015, the U.S. Supreme Court held that health insurance subsidies under the Health Care Reform Act would be available in all states, including those with a federally-facilitated health insurance exchange. The Health Care Reform Act continues to be subject to judicial interpretation and attempts to repeal or amend the law. It is not possible to predict the outcome of future legislative attempts to repeal or amend the Health Care Reform Act or what affect continued judicial interpretations will have on the Health Care Reform Act. Such uncertainties regarding the implementation of the Health Care Reform Act create unpredictability for health care providers' strategic and business planning efforts, which in itself constitutes a risk.

Given the general complexity of the Health Care Reform Act, additional legislation is likely to be considered and enacted over time. The Health Care Reform Act has required and will continue to require the promulgation of substantial regulations with significant effects on the health care industry and third-party payors. In response, third-party payors as well as suppliers and vendors of goods and services to health care providers have and are expected to continue to impose new contractual terms and conditions. Thus, the health care industry will continue to be subjected to significant new statutory and regulatory requirements as well as contractual terms and conditions, and consequently to structural and operational changes and challenges, for the foreseeable future.

Management is analyzing the Health Care Reform Act and will continue to do so in order to assess the effects of the legislation and/or regulations on current and projected operations, financial performance and financial condition. However, management cannot predict with any reasonable degree of certainty or reliability any interim or ultimate effects of the legislation or promulgated regulations.

Federal and State Fraud and Abuse Laws. Certain federal laws, including the laws commonly known as the Anti-Kickback Statute, the Stark Law and the False Claims Act, seek to protect the federal health care programs from fraud and abuse (collectively, the "*Federal Healthcare Fraud Laws*"). The Federal Healthcare Fraud Laws are complex, heavily enforced and subject to frequent amendment. Violation of the Federal Healthcare Fraud Laws may result in significant financial penalties, fines, exclusion from the federal health care programs and/or criminal liability. Failure to comply with those laws could have a material adverse effect on the Corporation's operations.

A number of states, including California, have passed healthcare fraud and abuse laws similar in scope to the Federal Healthcare Fraud Laws, but have expanded the prohibitions to private insurers. For example, the California Insurance Code provides that a person who submits a fraudulent claim to an insurance company (including private insurers) is subject to significant civil fines and penalties. Similar to the federal False Claims Act, actions under this California Insurance Code section may be initiated by private parties. Failure to comply with state fraud and abuse laws could have a material adverse effect on the Corporation's operations.

The Corporation has a compliance program designed to help ensure material compliance with the Federal Healthcare Fraud Laws and similar state laws. However, in light of the scarcity of case law interpreting the Federal Healthcare Fraud Laws and similar state laws, there can be

no assurances that the Corporation will not be found to have violated a Federal Healthcare Fraud Law or similar state law, and if so, whether any sanction imposed would have a material adverse effect on the operations or the financial condition of the Corporation. At the present time, management is not aware of any pending or threatened claims, investigations or enforcement actions regarding any applicable federal or state statutes which, if determined adversely to the Corporation would have a material adverse effect on the financial condition of the Corporation.

Billing Practices. Medicare requires that extensive financial information be reported on a periodic basis and in a specific format or content. These requirements are numerous, technical and complex and may not be fully understood or implemented by billing or reporting personnel. With respect to certain types of required information, the False Claims Act may be violated by mere negligence or recklessness in the submission of information to the government even without any specific intent to defraud. New billing systems, new medical procedures and procedures for which there is not clear guidance may all result in liability. The penalties for violation include criminal or civil liability and may include, for serious or repeated violations, exclusion from participation in the Medicare program. While management believes that the Corporation's billing practices will be consistent with Medicare criteria, those criteria are often vague and subject to interpretation and there can be no assurance that aggressive anti-fraud actions will not adversely affect the business of the Corporation.

Federal and State Privacy Laws. Specific state and federal laws govern the use and disclosure of confidential patient health information, as well as patients' rights to access and amend their own health information. The Administrative Simplification Requirements of the Health Insurance Portability and Accountability Act of 1996 ("*HIPAA*") established national standards to facilitate the electronic exchange of Protected Health Information ("*PHI*") and to maintain the privacy and security of the PHI. These standards have a major effect on health care providers which transmit PHI in electronic form in connection with HIPAA standard transactions (e.g., health care claims). In particular, HIPAA established standards governing: (1) electronic transactions and code sets; (2) privacy; (3) security; and (4) national identifiers. The Corporation has developed policies, procedures and practices that it believes comply with the HIPAA standards and requirements, but if it was determined that the Corporation was not in compliance there could be criminal and civil penalties imposed.

Title XIII of the American Recovery and Reinvestment Act of 2009, otherwise known as the Health Information Technology for Economic and Clinical Health Act (the "*HITECH Act*"), provides for an investment of almost \$20 billion in public monies for the development of a nationwide health information technology infrastructure ("*HITI*"). The HITI is intended to improve health care quality, reduce costs and facilitate access to certain information. The HITECH Act also expands the scope and application of the administrative simplification provisions of HIPAA, and its implementing regulation, (i) imposing a written notice obligation upon covered entities for security breaches involving "unsecured" protected health information, (ii) expanding the scope of a provider's electronic health record disclosure tracking obligations, (iii) substantially limiting the ability of health care providers to sell protected health information without patient authorization, (iv) increasing penalties for violations, and (v) providing for enforcement of violations by state attorneys general. While the effects of the HITECH Act

cannot be predicted at this time, the obligations imposed thereunder could have a material adverse effect on the financial condition of the Corporation.

In California, two medical privacy laws that became effective January 1, 2009 expanded California's health care privacy standards and provided new oversight mechanisms and enforcement penalties. These state privacy laws, among other things, penalize unlawful access, use or disclosure of a patient's health care information. State consumer privacy laws may also provide the basis for legal action for privacy and security breaches and, unlike HIPAA, authorize a private right of action. The state privacy laws provide additional sources of potential legal liability for the Corporation and compliance with such laws may require the Corporation to incur additional costs.

STATE LICENSURE AND REGULATION OF SENIOR LIVING PROVIDERS

The operations of the Corporation are subject to numerous licensing, certification, accreditation and other governmental requirements that are administered by a variety of federal and state governmental agencies as well as by self-regulatory associations and commercial medical insurance reimbursement programs. These include, but are not limited to, requirements relating to Medicare and Medicaid participation and payment and requirements relating to state licensing agencies, private payors and accreditation organizations. Renewal and continuance of certain of these licenses, certifications, approvals and accreditations are based upon inspections, surveys, audits, investigations or other review, some of which may require or include affirmative action or response by the Corporation. An adverse determination could result in a loss, fine or reduction in the Corporation's scope of licensure, certification or accreditation, could affect the ability to undertake certain expenditures, or could reduce the payment received or require the repayment of the amounts previously remitted. The Corporation currently anticipates no difficulty in renewing or continuing currently-held licenses, certifications and accreditations. It is impossible, however, to predict the effect of future regulation on the operations or financial condition of the Corporation.

State Regulation of the Community. The Corporation operates its Community as a continuing care retirement community ("CCRC"), consisting of a residential portion licensed as a Residential Care Facility for the Elderly ("RCFE") by the California Department of Social Services ("DSS") and a health facility portion licensed as a skilled nursing facility ("SNF") by the California Department of Public Health ("DPH"). If the Corporation fails to meet any of the below described state regulatory requirements with respect to CCRCs, SNFs or RCFEs, it could become unable to operate as described herein and, consequently, be unable to meet debt service requirements on the Bonds.

Generally, an agreement to provide one or more elements of care to an elderly resident for the duration of his or her life or for a term in excess of one year in exchange for the transfer of consideration for the purpose of assuring care or related services is regarded as a "continuing care contract" subject to regulation under the California Health and Safety Code (the "*Health and Safety Code*"). Any person or organization agreeing to provide such care must first obtain: (i) where there is a skilled nursing facility on the premises, a license to operate a skilled nursing facility from the DPH pursuant to Division 2, Chapter 2 of the Health and Safety Code; (ii) a

license to operate a RCFE from the DSS pursuant to Division 2, Chapter 3.2 of the Health and Safety Code; and (iii) a certificate of authority ("*Certificate of Authority*") from DSS pursuant to Chapter 10 of Division 2 of the Health and Safety Code, to enter into continuing care contracts with residents. For information regarding the current licensing of the Community and the types of contracts offered by the Corporation at the Community, see APPENDIX A—"INFORMATION CONCERNING NORTHERN CALIFORNIA RETIRED OFFICERS COMMUNITY—DESCRIPTION OF THE COMMUNITY AND SERVICES — Licenses, Certificates and Memberships."

RCFE licenses renew annually upon payment of renewal fees; however, the license is subject to suspension or revocation on any ground specified in Health and Safety Code Section 1569.50 (violation by the licensee of the RCFE law; aiding, abetting, or permitting violation of the RCFE law; conduct inimical to the health, morals, welfare, or safety of either an individual in or receiving services from the facility or the people of the State of California; the conviction of a licensee, or other person for whom criminal record clearance is required, any time before or during licensure, of a crime as defined in the RCFE law; and engaging in acts of financial malfeasance concerning operation of a facility, including, but not limited to, improper use or embezzlement of client monies and property or fraudulent appropriation for personal gain of facility monies and property, or willful or negligent failure to provide services for the care of clients). DPH inspects nursing facilities approximately once a year, and facilities failing to meet the state or federal standards are subject to fines or other enforcement actions. The Continuing Care Contracts Branch of DSS reviews each CCRC in the state at least once every three years to augment the branch's assessment of the CCRC's financial soundness. The branch considers the condition of the CCRC, whether the CCRC is operating in compliance with applicable state law, and whether the CCRC is performing the services specified in its continuing care contracts. DPH and DSS have the ability to deny licensing if either agency is not satisfied with the Corporation's compliance with requirements to operate as a skilled nursing facility or RCFE, respectively, in the state. In addition, DPH and DSS both have broad remedial powers to intervene in the operation of a provider who fails to comply with applicable regulatory requirements once the provider is licensed and in operation. Failure to maintain required reserves or to comply with regulatory requirements may result in civil penalties or the suspension or revocation of a CCRC's certificate of authority (as discussed in more detail below). Upon certain failures to comply with regulatory requirements, including the CCRC becoming insolvent or unable to perform its contractual obligations, DSS is authorized to petition for the appointment of a court-appointed administrator to rehabilitate the CCRC. In this capacity, the administrator's powers include taking possession of the CCRC's assets and property, dealing with the property in the administrator's name, depositing and investing any of the CCRC's funds, and paying all expenses of the rehabilitation. In the event of a permanent relocation of residents from the Corporation's facilities is required due to termination or forfeiture of the Corporation's Certificate of Authority or licenses, certain procedures are required to be followed. These procedures include the establishment of a reserve, trust fund or performance bond in an amount sufficient to cover the cost and ensure the fulfillment the Corporation's statutory obligations, which include the cost of moving residents to other communities and may include additional monetary compensation to the affected residents in certain circumstances.

A Certificate of Authority may be suspended, conditioned or revoked by DSS if it finds that the continuing care provider has done any of the following: (i) violated the statutes, or the

rules and regulations governing continuing care (the “*Continuing Care Law*”); (ii) aided, abetted, or permitted the violation of the Continuing Care Law; (iii) had a license suspended or revoked; (iv) made a material misstatement, misrepresentation, or fraud in obtaining its licenses, permits or Certificate of Authority; (v) demonstrated a lack of fitness or trustworthiness; (vi) engaged in any fraudulent or dishonest practices or management in the conduct of business; (vii) misappropriated, converted, or withheld moneys; (viii) after request by DSS for an examination, access to records, or information, refused to be examined or otherwise to cooperate; (ix) manifested an unsound financial condition; (x) used methods and practices in the conduct of business so as to render further transactions by the provider hazardous or injurious to the public; (xi) failed to maintain at least the minimum statutory reserves required by the Continuing Care Law; (xii) failed to comply with the requirements of the Continuing Care Law for maintaining escrow accounts for funds; (xiii) failed to file its annual report; (xiv) violated a condition of its permit to accept deposits or Certificate of Authority; (xv) failed to comply with its approved financial and marketing plan or to secure approval of a modified plan; (xvi) materially changed or deviated from an approved plan of operation without the prior consent of DSS; (xvii) failed to fulfill its obligations under continuing care contracts; (xviii) made material misrepresentations to depositors, prospective residents or residents of a continuing care retirement community; (xix) failed to submit proposed changes to continuing care contracts prior to use, or is using a continuing care contract that has not been previously approved by DSS; or (xx) failed to diligently submit materials requested by DSS or required by the Continuing Care Law. The suspension or revocation of a Certificate of Authority by DSS, or the voluntary return of such a Certificate by a continuing care provider, does not release such provider from the obligations assumed at the time continuing care contracts were executed.

As a provider offering a continuing care contract, the Health and Safety Code requires that the Corporation maintain at all times qualifying assets (“*Qualifying Assets*”) as a liquid reserve in an amount at least equal to the sum of (a) the amount the provider is required to hold as a debt service reserve under Section 1792.3 of the Health and Safety Code - described below (the “*Debt Service Reserve Amount*”) and (b) the amount the Continuing Care Provider is required to hold as an operating expense reserve under Section 1792.4 of the Health and Safety Code - described below (the “*Operating Expense Reserve Amount*”). The Debt Service Reserve Amount is the amount equal to the sum of (i) all regular principal and interest payments, and credit enhancement premiums, paid by the Corporation during the immediately preceding fiscal year on account of any fully amortizing long-term debt owed by the Corporation; (ii) facility rental or leasehold payments, and any related payments, paid by the Corporation during the immediately preceding fiscal year; and (iii) all payments paid by the Corporation during the immediately preceding fiscal year on account of any debt that provides for a balloon payment. The Operating Expense Reserve Amount is an amount that equals or exceeds 75 days’ net operating expenses, which includes all expenses of the Corporation except (w) interest and credit enhancement expenses factored into the Debt Service Reserve Amount described above, (x) depreciation or amortization expenses, (y) an amount equal to the reimbursement paid to the Corporation during the past 12 months for services to residents other than residents holding continuing care contracts, and (z) extraordinary expenses that DSS determines may be excluded by the Corporation. Qualifying Assets are: (1) cash; (2) certificates of deposit and United States Treasury securities with a maturity of five years or less; (3) certain investment securities (as defined in Section 1771(i)(2) of the Health and Safety Code); (4) certain equity securities,

including mutual funds (as defined in Section 1771(e)(7) of the Health and Safety Code); and (5) certain lines of credit and letters of credit meeting the requirements of Section 1792.2(a)(5) of the Health and Safety Code. The Corporation is not required to set aside, deposit into escrow, or otherwise restrict the assets it holds as its liquid reserve, unless DSS expressly requires it to do so because DSS has reason to believe the Corporation is insolvent, in imminent danger of becoming insolvent, in a financially unsound or unsafe condition, or in a condition such that it may otherwise be unable fully to perform its obligations pursuant to continuing care contracts. As of August 31, 2016, the Corporation was in compliance with the liquidity reserve obligations described above.

In addition to suspending, limiting or revoking a Certificate of Authority, if a continuing care provider fails to establish or depletes the reserves or escrow account required under the Continuing Care Law, is insolvent or in imminent danger of becoming insolvent, is in a financially unsound or unsafe condition, fails to submit a plan or to obtain DSS' approval of a plan submitted, is unable fully to perform its obligations under continuing care contracts or residents are otherwise placed in serious jeopardy, DSS may petition the superior court in the county in which such community is located for an order appointing a qualified administrator to operate the community and its assets.

In the case of any violation or threatened violation of the Continuing Care Law, DSS may institute a proceeding or may request the Attorney General of the State to institute a proceeding to obtain injunctive or other equitable relief in the superior court in and for the county in which the violation has occurred or will occur, or in which the principal place of business of the continuing care provider is located. If at any time DSS determines that further efforts to rehabilitate the continuing care provider would not be in the best interest of the CCRC residents or prospective residents, or would not be economically feasible, DSS may apply to the court for an order of liquidation and dissolution or may apply for other appropriate relief for dissolving the property and bringing to conclusion its business affairs. Upon issuance of an order directing the liquidation or dissolution of the provider, DSS shall revoke the continuing care provider's Certificate of Authority.

The Corporation has obtained the necessary licenses and Certificate of Authority from DSS and DPH in order to operate its Community and in the opinion of management, operates its Community in a manner consistent with the Health and Safety Code. There is no guarantee that the Corporation's Certificate of Authority and licenses to operate the Community will not be suspended, conditioned or revoked. Further, there is no assurance that future legislation in California will not have an adverse impact on the ability of the Corporation to operate the Community as now operated. To date the Corporation's existing skilled nursing facility licenses, RCFE licenses and Certificate of Authority have never been suspended, conditioned or revoked.

Pursuant to Sections 1773 and 1789.4 of the Health and Safety Code, a provider may not sell or transfer ownership of a CCRC without the approval of DSS, including the granting of any interest in the community, such as a mortgage or deed of trust. Pursuant to Health and Safety Code Section 1779.4, as a condition to the receipt of a Certificate of Authority to operate as a CCRC, a provider must also record a Notice of Statutory Limitation of Transfer with respect to the real property on which the community is located, indicating that use and transfer of the

property is subject to the conditions and limitations imposed by the Health and Safety Code, which Notice is required to be recorded prior to encumbering the CCRC property with a proposed encumbrance securing financing. The limitations on transfer imposed by the Health and Safety Code Section 1789.4 include approval by DSS following review of an application that identifies the purchaser, the terms of the sale, a plan for ensuring performance of the existing continuing care contract obligations and notice to and acknowledgment by the residents. Further, unless a new provider assumes all of the continuing care obligations of the selling provider at the close of the sale or transfer, the selling provider must set up a trust fund or secure a performance bond to ensure the fulfillment of all of its continuing care contract obligations. The purchaser must also make application for and obtain the appropriate licenses and certificate of authority before executing any continuing care contracts or assuming the selling provider's continuing care contracts. The Corporation's Community is subject to the foregoing statutory limitations on transfer.

State Penalties for Significant Patient Care Events. In California, DPH is authorized to issue citations to and impose administrative remedies on SNFs that experience certain significant patient care events that violate State or federal law. In accordance with Sections 1424 and 1424.5 of the California Health and Safety Code, a violation is assigned one of several citation classes based on the scope and impact of the incident on patient health and safety. Depending on the citation class, the administrative penalty for such incidents ranges from \$100 to \$100,000.

SNF Quality Assurance Fees. Certain SNFs in California are subject to "quality assurance fees" on skilled nursing services. State law, however, includes a waiver which exempts certain types of SNFs, such as SNFs that are components of CCRCs and SNFs operated by the state or another public entity, from the obligation to pay such quality assurance fees. There can be no assurance that such exemption (which, as presently in effect exempts the Corporation) will continue in whole or in part, and legislative proposals that contemplate modifying or terminating the scope of the quality assurance fee exemption have been discussed from time to time.

State Fraud and Abuse Laws. As discussed above, states including California have anti-kickback, fee-splitting, physician self-referral and false claims prohibitions similar or more broad in scope to the Federal Healthcare Fraud Laws. Violation of these state laws may result in criminal and civil penalties. See "FEDERAL AND STATE FRAUD AND ABUSE LAWS" above for more information.

RISKS RELATED TO TAX-EXEMPT STATUS

Tax-Exempt Status of the Bonds. The Code imposes a number of requirements that must be satisfied for interest on state and local obligations, such as the Bonds, to be excludable from gross income for federal income tax purposes. These requirements include, among other things, limitations on the use of bond proceeds and facilities financed with bond proceeds, limitations on the investment earnings of bond proceeds prior to expenditure, a requirement that certain investment earnings on bond proceeds be paid periodically to the United States, and a requirement that the Authority file an information report with the IRS. The Authority, the Corporation and the Trustee have covenanted to comply with these requirements to the extent

applicable. Failure to comply with the requirements stated in the Code and related regulations, rulings and policies may result in the treatment of the interest on the Bonds as taxable. Such adverse treatment may be retroactive to the date of issuance. See also, "TAX MATTERS."

IRS officials have recently indicated that more resources will be invested in audits of tax-exempt bonds in the charitable organization sector. The Bonds may be, from time to time, subject to audits by the IRS. Bond Counsel will render an opinion with respect to the tax-exempt status of the Bonds, as described under the caption "TAX MATTERS" below. The opinion of Bond Counsel is not binding on the IRS. There is no assurance that an IRS examination on the Bonds will not adversely affect the market value of the Bonds. See "TAX MATTERS" below.

Proposed Legislation Regarding Limitations or Elimination of Tax-exempt Status of Bonds. Tax legislation, administrative actions taken by tax authorities, or court decisions, whether at the Federal or state level, may adversely affect the tax-exempt status of interest on the Bonds under Federal or state law or otherwise prevent beneficial owners of the Bonds from realizing the full current benefit of the tax status of such interest. In addition, such legislation or actions (whether currently proposed, proposed in the future, or enacted) and such decisions could affect the market price or marketability of the Bonds.

Prospective investors should consult with their tax advisors on the foregoing matters as they consider an investment in the Bonds.

Tax-Exempt Status of the Corporation. The tax-exempt status of the Bonds depends, among other things, upon maintenance by the Corporation of its status as an organization described in Section 501(c)(3) of the Code. The maintenance of such status is contingent on compliance with general rules promulgated in the Code and related regulations regarding the organization and operation of tax-exempt entities, including their operation for charitable and other permissible purposes and their avoidance of transactions that may cause their earnings or assets to inure to the benefit of private individuals. As these general principles were developed primarily for public charities that do not conduct large-scale technical operations and business activities, they often do not adequately address the myriad operations and transactions entered into by a modern senior living organization. Although traditional activities of senior living providers have been the subject of interpretations by the IRS in the form of Private Letter Rulings, many activities or categories of activities have not been fully addressed in any official opinion, interpretation or policy of the IRS.

The IRS has issued Revenue Rulings dealing specifically with the manner in which a facility providing residential services to the elderly must operate in order to maintain its exemption under Section 501(c)(3) of the Code. Revenue Ruling 72-124 states that an otherwise qualified organization will qualify for charitable status for purposes of the Code if it operates in a manner designed to satisfy the needs of elderly persons for housing, health care and financial security. The need for housing is generally met if the organization provides residential facilities specifically designed to meet some combination of the physical, emotional, recreational, social, religious and similar needs of elderly persons. The need for health care is generally met if the organization directly provides some form of health care or, in the alternative, makes such care available through continuing arrangements with other organizations, facilities or health

personnel. The need for financial security is generally met if two conditions are satisfied: (1) the organization must be committed to an established policy of maintaining in residence any persons who become unable to pay their regular charges, and (2) the organization operates so as to provide its services to the elderly at the lowest feasible cost, taking into account such expenses as the payment of indebtedness, maintenance of adequate reserves, and reserves for physical expansion. Revenue Ruling 79-18 states that a charitable organization providing residential services to the elderly may admit only those tenants who are able to pay full rental charges, *provided* that those charges are set at a level that is within the financial reach of a significant segment of the community's elderly persons.

If the IRS were to find that the Corporation has participated in activities in violation of certain regulations or rulings, the Corporation's tax-exempt status could be in jeopardy. Although the IRS has not frequently revoked the Section 501(c)(3) tax-exempt status of nonprofit senior living corporations, it could do so in the future. Loss of tax-exempt status by the Corporation potentially could result in loss of tax exemption of all or a portion of the Bonds, and defaults in covenants regarding the Bonds and other outstanding tax-exempt debt and obligations likely would be triggered. Loss of the Corporation's tax-exempt status also could result in substantial tax liabilities on the income of the Corporation.

In lieu of revocation of exempt status, the IRS may impose penalty excise taxes on certain "excess benefit transactions" involving Section 501(c)(3) organizations and "disqualified persons." An excess benefit transaction is one in which a disqualified person receives more than fair market value from the exempt organization or pays the exempt organization less than fair market value for property or services, or shares the net revenues of the tax-exempt entity. A disqualified person is a person (or a certain kind of entity) who is in a position to exercise substantial influence over the affairs of the exempt organization during the five years preceding an excess benefit transaction. The statute imposes excise taxes on the disqualified person and any "organization manager" who knowingly participates in an excess benefit transaction. These rules do not penalize the exempt organization itself, so there would be no direct impact on the Corporation or the tax status of the Bonds if an excess benefit transaction were subject to IRS enforcement.

It is not possible to predict the scope or effect of future legislative or regulatory actions with respect to taxation of nonprofit corporations. There can be, however, no assurance that future changes in the laws and regulations of the federal, state or local governments, or the interpretation of existing or future laws and regulations will not materially and adversely affect the operations and revenues of the Corporation by requiring them to pay income taxes.

Intermediate Sanctions. On July 31, 1996, the Taxpayers Bill of Rights 2 (the "Taxpayers Act") was signed into law. The Taxpayers Act provides the IRS with an "intermediate" tax enforcement tool to combat violations by tax-exempt organizations of the private inurement prohibition of the Code. Prior to the "intermediate sanctions law," the IRS could punish such violations only through revocation of an entity's tax-exempt status.

Intermediate sanctions may be imposed where there is an "Excess Benefit Transaction," defined to include a disqualified person (*i.e.*, an insider) (1) engaging in a non-fair market value

transaction with the tax-exempt organization; (2) receiving unreasonable compensation from the tax-exempt organization; or (3) receiving payment in an arrangement that violates the private inurement proscription.

A disqualified person who benefits from an excess benefit transaction will be subject to a “*first tier*” penalty excise tax equal to 25% of the amount of the excess benefit. Organizational managers who participate in an excess benefit transaction knowing it to be improper are subject to a first-tier penalty excise tax of 10% of the amount of the excess benefit, subject to a maximum penalty of \$20,000. A “*second tier*” penalty excise tax of 200% of the amount of the excess benefit may be imposed on the disqualified person (but not the organizational manager) if the excess benefit transaction is not corrected in a specified time period.

AMENDMENTS TO THE DOCUMENTS

Certain amendments to the Indenture and the Loan Agreement may be made without the consent of the owners of the outstanding Bonds under the Indenture and certain amendments may be made with the consent of the owners of a majority of the outstanding Bonds. Certain amendments to the Deed of Trust may be made with the consent of the Office and the Corporation, but without the consent of the Trustee, the Bondholders, holders of Parity Debt or the Authority. Such amendments may adversely affect the security of the Bondholders. *See* APPENDIX D—“SUMMARY OF PRINCIPAL DOCUMENTS—INDENTURE—Amendment of Indenture.”

ADDITIONAL INDEBTEDNESS

In addition to its obligations with respect to the Bonds, the Corporation may incur other indebtedness that may be secured by a security interest in Gross Revenues and the lien of the Deed of Trust on a parity with the Corporation’s obligation to make Loan Repayments under the Loan Agreement, if issued for the purposes and subject to the conditions provided in the Regulatory Agreement. Parity Debt may not be incurred unless it is insured by the Office or, if the Parity Debt can be issued as such without being insured under the Insurance Law, it is issued with the consent of the Office. *See* APPENDIX D—“SUMMARY OF PRINCIPAL DOCUMENTS—REGULATORY AGREEMENT—Parity Debt.”

BANKRUPTCY

In the event of bankruptcy of the Corporation, the rights and remedies of the holders of the Bonds are subject to various provisions of the federal Bankruptcy Code. If the Corporation were to file a petition in bankruptcy, payments made by the Corporation during the 90-day (or perhaps one-year) period immediately preceding the filing of such petition may be voidable as preferential transfers to the extent such payments allow the recipients thereof to receive more than they would have received in the event of the Corporation’s liquidation. Security interests and other liens granted to the Trustee and perfected during such preference period also may be voided as preferential transfers to the extent such security interest or other lien secures obligations that arose prior to the date of such perfection. Such a bankruptcy filing would operate as an automatic stay of the commencement or continuation of any judicial or other

proceeding against the Corporation and its property and as an automatic stay of any act or proceeding to enforce a lien upon or to otherwise exercise control over its property as well as various other actions to enforce, maintain or enhance the rights of the Trustee. If the bankruptcy court so ordered, the property of the Corporation, including accounts receivable and proceeds thereof, could be used for the financial rehabilitation of the Corporation despite any security interest of the Trustee therein. The rights of the Trustee to enforce its security interests and other liens it may have could be delayed during the pendency of the rehabilitation proceeding.

The Corporation could file a plan for the adjustment of its debts in any such proceeding, which plan could include provisions modifying or altering the rights of creditors generally or any class of creditors, secured or unsecured. The plan, when confirmed by a court, binds all creditors who had notice or knowledge of the plan and, with certain exceptions, discharges all claims against the debtor to the extent provided for in the plan. No plan may be confirmed unless certain conditions are met, among which conditions are that the plan be feasible and that it shall have been accepted by each class of claims impaired thereunder. Each class of claims has accepted the plan if at least two thirds in dollar amount and more than one-half in number of the class cast votes in its favor. Even if the plan is not so accepted, it may be confirmed if the court finds that the plan is fair and equitable with respect to each class of non-accepting creditors impaired thereunder and does not discriminate unfairly.

Pursuant to the Indenture, the Office will have the right to vote in the place and stead of all owners of Bonds with respect to any plan of reorganization on any agreement for composition of creditors and on any assignment for the benefit of creditors.

In the event of bankruptcy of the Corporation, there is no assurance that certain covenants, including tax covenants, contained in the Loan Agreement or other documents would survive. Accordingly, a bankruptcy trustee could take action that would adversely affect the exclusion of interest on the Bonds from gross income for federal income tax purposes.

CERTAIN MATTERS RELATING TO ENFORCEABILITY

The effectiveness of the security interests in the Corporation's Gross Revenues granted in the Loan Agreement and the Regulatory Agreement may be limited by a number of factors, including: (i) the absence of an express provision permitting assignment of receivables owed to the Corporation under its contracts, and present or future prohibitions against assignment contained in any applicable statutes or regulations; (ii) commingling of the proceeds of Gross Revenues with other moneys not subject to the security interest in the Gross Revenues; (iii) statutory liens; (iv) rights arising in favor of the United States of America or any agency thereof; (v) constructive trusts, equitable or other rights impressed or conferred by a federal or state court in the exercise of its equitable jurisdiction; (vi) federal bankruptcy laws or state insolvency laws which may affect the enforceability of the Deed of Trust or the security interest in the Gross Revenues of the Corporation which are earned by the Corporation within 90 days preceding or, in certain circumstances with respect to related corporations, within one year preceding and after any effectual institution of bankruptcy proceedings by or against the Corporation; (vii) rights of third parties in Gross Revenues converted to cash and not in the possession of the Trustee; and (viii) claims that might arise if appropriate financing or

continuation statements are not filed or other documents are not executed in accordance with the California Uniform Commercial Code as from time to time in effect. Under the Uniform Commercial Code, such security interest ceases to attach to proceeds of Gross Revenues, *e.g.*, collections of accounts receivable which cannot be traced to a specific account of the Corporation other than the Gross Revenue Fund created under the Loan Agreement and the Regulatory Agreement or otherwise have ceased to be “identifiable cash proceeds.”

There exists, in addition to the foregoing, common law authority and authority under California statutes pursuant to which the California courts may terminate the existence of a nonprofit corporation or undertake supervision of its affairs on various grounds, including a finding that such corporation has insufficient assets to carry out its stated charitable purposes or has taken some action which renders it unable to carry out such purposes. Such court action may arise on the court’s own motion pursuant to a petition of the California Attorney General or such other persons who have interests different from those of the general public, pursuant to the common law and statutory power to enforce charitable trusts and to see to the application of their funds to their intended charitable uses.

CERTAIN RISKS ASSOCIATED WITH THE DEED OF TRUST

Valuation. The Community is located in a region that has experienced real property market volatility throughout the past few years. There can be no assurance that, if the Corporation were to default in making the payments under the Loan Agreement, (i) any part or all of the Community could be foreclosed upon and sold for an amount sufficient to fully pay the outstanding principal of and interest on the Bonds or (ii) any bid would be received for the Community and, if received, that such bid would be sufficient to fully pay the outstanding principal of and interest on the Bonds.

Priority of the Liens. The lien created under the Deed of Trust delivered by the Corporation constitutes a first lien on and security interest in the Collateral Property. The liens are subordinate to and independent of liens for general property taxes, special taxes and assessments. Additional special taxes or assessments may be imposed on the Community by other public agencies that have jurisdiction over the Collateral Property. Such future special taxes or assessments would have priority over the liens created under the Deed of Trust. Additionally, the Corporation may create Permitted Encumbrances which have priority over the liens created under the Deed of Trust.

Hazardous Substances. While governmental taxes, assessments and charges are common claims against the value of property, other less common claims may be relevant. One of the most serious in terms of the potential reduction in the value that may be realized is a claim with regard to hazardous substances. In general, the Corporation may be required by law to remedy conditions of the Community relating to release of hazardous substances. The federal Comprehensive Environmental Response, Compensation and Liability Act of 1980, sometimes referred to as “CERCLA” or the “Superfund Act,” is the most well known and widely applicable of these laws. California laws with regard to hazardous substances are stringent and similar to the federal acts. Under many of these laws, the owner (or operator) is obligated to remedy a hazardous substance condition on property, whether or not the owner (or operator) had or has

anything to do with the creation or handling of the hazardous substance. Consequently, if any part of the Community is affected by a hazardous substance, the marketability and value of the parcel may be reduced by the cost of remedying the condition. Further, such liabilities may arise not simply from the existence of a hazardous substance but from the method of handling the hazardous substance. Any of these circumstances could significantly affect the value of the Collateral Property that would be realized upon a delinquency and foreclosure.

Foreclosure. There are two methods of foreclosing on a deed of trust under California law: by nonjudicial sale and by judicial sale. Foreclosure under a deed of trust may be accomplished by a nonjudicial trustee's sale under the power of sale provision in the deed of trust. Prior to such sale, the trustee must record a notice of default and election to sell and must send a copy to the trustor, any person who has recorded a request for a copy of the notice of default and notice of sale, any successor in interest of the trustor and the beneficiary of any junior deed of trust. Following the lapse of three months after recording the notice of default and election to sell, the trustee may give notice of sale. The notice of sale must be posted in a public place and published once each week throughout a 20-day period prior to the trustee's sale. Such notice of sale must be posted on the property and must be sent to the trustor, to each person who has requested a copy, to any successor in interest of the trustor and to the beneficiary of any junior deed of trust at least 20 days prior to the sale. The trustor, any successor in interest of the trustor, or any person having a junior lien or encumbrance of record may cure the default during the statutory reinstatement period by paying the entire amount of the debt then due under the terms of the deed of trust and the obligations secured thereby (exclusive of principal due by virtue of acceleration upon default) plus costs and expenses actually incurred in enforcing the obligation and certain statutorily limited attorneys' and trustee's fees. In addition, the notice of sale must be recorded with the county recorder at least 14 days prior to the date of sale. Following the sale, neither the trustor nor any junior lien holder has any right of redemption, and the beneficiary may not ordinarily obtain a deficiency judgment against the trustor.

If foreclosure under a deed of trust is sought in the form of a judicial foreclosure, it generally is subject to most of the delays and expenses that occur with other lawsuits. Judicial foreclosure sometimes requires up to several years to complete. The primary advantage of a judicial foreclosure is that the beneficiary is entitled, subject to other limitations, to obtain a deficiency judgment against the trustor to the extent that the amount of the debt is in excess of the fair market value of the property. Following a judicial foreclosure sale, the trustor or its successors in interest may redeem the property for a period of one year (or a period of three months if the entire amount of the debt is bid at the foreclosure sale).

Antideficiency Legislation and Other Limitations on Lenders. The State of California has four principal statutory prohibitions limiting the remedies of a beneficiary under a deed of trust. Two of these prohibitions limit the beneficiary's right to obtain a deficiency judgment, one being based on the method of foreclosure and the other on the type of debt secured. Under the former, a deficiency judgment ordinarily is barred when the foreclosure is accomplished by means of a nonjudicial trustee's sale, except where the deed of trust is given to secure the payment of bonds authorized or permitted to be issued by the California Commissioner of Corporation. Under the latter (not intended to be applicable in this situation), a deficiency judgment is barred where a foreclosed deed of trust secures certain purchase money obligations.

Another California statute, commonly known as the “one form of action” rule, requires the beneficiary to exhaust the security under a deed of trust by foreclosure before bringing a personal action against the trustor on the indebtedness. If a court were to hold that this rule were applicable to the Deed of Trust and the Authority or the Trustee were to file suit to collect the debt under the Loan Agreement without seeking first to enforce their remedies under the Deed of Trust, they might be precluded from thereafter proceeding under the Deed of Trust to foreclose on the Collateral Property.

Another statutory provision limits any deficiency judgment obtained by a beneficiary following a judicial sale to the excess of the outstanding debt above the fair market value of the property at the time of sale. This prevents a beneficiary from obtaining a large deficiency judgment against the debtor as the result of low bids at a judicial sale.

Other statutory provisions (such as the federal bankruptcy laws) may have the effect of delaying enforcement of the lien of the Deed of Trust in the event of a default by the Corporation.

RIGHTS OF RESIDENTS

The Corporation enters into residency agreements with its residents. Although these agreements give to each resident a contractual right to use space and do not grant any ownership rights in the Corporation’s Community, in the event that either the Trustee or the holders of the Bonds seek to enforce any of the remedies provided by the Indenture upon the occurrence of a default, management is unable to predict the resolution that a court might make of competing claims between the Trustee, the Authority or the holders of the Bonds and the residents of the Corporation’s Community who have fully complied with all the terms and conditions of their Residency Agreements.

The Corporation may, from time to time, be subject to pressure from organized groups of residents seeking, among other things, to raise the level of services or to maintain the level of facility service fees or other charges without increase. Moreover, the Corporation may be subject to conflicting pressures from different groups of residents, some of whom may seek an increase in the level of services while others wish to hold down monthly service fees and other charges. No assurance can be given that the Corporation will be able to satisfy such resident groups.

ENVIRONMENTAL MATTERS

Retirement communities are subject to a wide variety of federal, state and local environmental and occupational health and safety laws and regulations. Among the types of regulatory requirements faced by such facilities, and by their owners and operators, are: air and water quality control requirements; waste management requirements; specific regulatory requirements applicable to asbestos, medical waste and polychlorinated biphenyls; requirements for providing notice to employees and members of the public about hazardous materials handled by or located at such facilities; requirements for training employees in the proper handling and management of hazardous materials and wastes; and other requirements. Owners and operators

of such facilities may be subject to liability for investigating and remedying any hazardous substances that have come to be located on the property, including any such substances that may have migrated off of the property. Typical operations include, to some extent and in various combinations, the handling, use, storage, transportation, disposal and discharge of infectious, toxic, flammable and other hazardous materials, wastes, pollutants or contaminants. For this reason, the operations of the Corporation is particularly susceptible to the practical financial and legal risks associated with compliance with such laws and regulations. Such risks may result in damage to individuals, property or the environment; may interrupt operations or increase their cost or both; may result in legal liability, damages, injunctions or fines; or may trigger investigations, administrative proceedings, penalties or other government agency actions. There can be no assurance that the Corporation will not encounter such risks in the future, and such risks may result in material consequences to the operations or financial condition of the Corporation.

Under the federal Comprehensive Environmental Response, Compensation and Liability Act and under comparable California State law, a secured party which takes a deed in lieu of foreclosure, purchases a mortgaged property at a foreclosure sale or operates a mortgaged property may become liable in certain circumstances for the cost of remedial action if hazardous waste or hazardous substances have been released or disposed of on the property. Such remedial action costs could subject the Collateral Property to a lien and reduce or eliminate the amounts otherwise available to pay the owners of the Bonds if such remedial action costs were incurred.

NATURAL DISASTERS

The occurrence of natural disasters, including floods, earthquakes and volcanic activity, may damage part or all of the Community, interrupt utility service to part or all of the Community or otherwise impair the operation of part or all of the Community or the generation of revenues from part or all of the Community beyond existing insurance coverage. No assurance is given as to the continuation of such insurance coverage, which, among other things, may not be available at a reasonable cost in the future.

SEISMIC RISK

The Community is situated in an active earthquake zone. A significant earthquake in the region could have a material adverse effect on the Corporation and could result in material damage and temporary or permanent cessation of operations at one or more of the Corporation's communities. Under the Regulatory Agreement, the Corporation will agree to keep its Community and all of its operations adequately insured at all times including through earthquake insurance (unless waived by the Office). Under a preexisting waiver from the Office, the requirement for earthquake insurance is suspended through May 2017. The Office may grant additional waivers.

POSSIBLE FUTURE CHANGES TO ACCOUNTING POLICIES AND PROCEDURES

From time to time, accounting policies and procedures change as accounting principles that are generally accepted in the United States change. Such changes may cause a variation in the presentation of the financial information of the Corporation. There can be no assurance that any such changes would not have a material adverse impact on the Corporation's compliance with certain covenants contained in the Regulatory Agreement.

The most significant accounting standard that may impact the Corporation is the adoption of Accounting Standards Codification 606, *Revenue from Contracts with Customers*. This standard is expected to impact the manner in which entrance fees are amortized and is effective for the Corporation for its fiscal year ending December 31, 2018. The Corporation is currently assessing the impact of this standard on its financial statements; however, since the change would impact non-cash amortization, the Corporation does not expect the adoption of this standard to have a significant impact on covenant compliance.

THE OFFICE'S CONTROL OF REMEDIES

For as long as the Contract of Insurance is in effect and the Office is not in default thereunder, the Office is deemed to be the Holder of the Bonds for purposes of (i) exercising all remedies and directing the Trustee to take actions or for any other purposes following an Event of Default, and (ii) granting any consent, direction or approval or taking any action permitted by or required under the Indenture or the Loan Agreement, as the case may be, to be granted or taken by the Holders of such Bonds (including consenting to amendments to the Indenture or the Loan Agreement that materially adversely affect the interest of the Holders of the Bonds). Anything in the Indenture or the Loan Agreement to the contrary notwithstanding, upon the occurrence and continuance of an Event of Default, the Office shall be entitled to control and direct the enforcement of all rights and remedies granted to the Holders or the Trustee for the benefit of the Holders. *See* APPENDIX D—"SUMMARY OF PRINCIPAL DOCUMENTS."

OTHER POSSIBLE RISK FACTORS

Potential purchasers should also consider the following factors prior to purchasing the Bonds. This list is not, and is not intended to be, all inclusive.

Energy. Changes to the cost and availability of energy could, among other things, affect the cost of utilities of the Corporation's facilities and thereby adversely affect the operations of the Corporation.

Changes to federal, state or local legislation or regulations. Changes to the laws and regulations affecting the Corporation's operations such as reinstatement or establishment of mandatory governmental wage, rent or price controls, or changes in tax, pension, social security or other laws and regulations affecting the provisions of health care, retirement benefits and other services to the elderly, could have an adverse effect on the future operating or financial performance of the Corporation.

Early Redemption. Purchasers of Bonds, including those who purchase Bonds at prices in excess of their principal amount or who hold Bonds trading at prices in excess of their principal amount, should consider that the Bonds are subject to redemption prior to maturity at a redemption price that may be less than the prices at which such Bonds were purchased or are trading. See “THE BONDS—Redemption of the Bonds.”

Forward-Looking Statements. Certain statements contained in this Official Statement do not reflect historical facts but instead are forecasts and “Forward-Looking Statements.” No assurance can be given that the future results discussed herein will be achieved, and actual results may differ materially from the forecasts described herein. In this respect, the words “estimate,” “forecast,” “project,” “anticipate,” “expect,” “intend,” “believe” and other similar expressions are intended to identify forward-looking statements. All projections, forecasts, assumptions and other forward-looking statements are expressly qualified in their entirety by the cautionary statements set forth in this Official Statement.

The information and expressions of opinions herein are subject to change without notice, and neither the delivery of this Official Statement nor any sale made hereunder shall, under any circumstances, create any implication that there has been no change in the affairs of the Corporation or any other person described herein since the date thereof.

LITIGATION

THE CORPORATION

There is no controversy or litigation of any nature now pending against the Corporation or, to the knowledge of its officers, threatened, restraining or enjoining the issuance of the Bonds or in any way contesting or affecting (i) the validity of the Bonds, or (ii) any proceedings of the Corporation taken concerning the issuance or sale thereof or the collection of Revenues pledged under the Indenture.

As with most senior care providers, the Corporation is subject to certain legal actions that, in whole or in part, are not or may not be covered by insurance because of the type of action or amount or types of damages requested (*e.g.*, punitive damages), because of a reservation of rights by an insurance carrier, or because the action has not proceeded to a stage that permits full evaluation. In addition to the matters described above, there are certain legal actions currently pending against the Corporation known to management of the Corporation and for which insurance coverage is uncertain for the above reasons. Management of the Corporation does not anticipate that any such suits will ultimately result in punitive damage awards or judgments in excess of applicable insurance limits, or if such awards or judgments were to be entered, that they would have a material adverse impact on the financial condition of the Corporation.

There is no litigation of any nature now pending against the Corporation or, to the knowledge of the Corporation’s officers, threatened, which, if successful, would materially adversely affect the operations or financial condition of the Corporation.

THE AUTHORITY

To the knowledge of the Authority, there is no material litigation pending or threatened against the Authority concerning the validity of the Bonds or any proceedings of the Authority taken with respect to the issuance thereof.

TAX MATTERS

In the opinion of Orrick, Herrington & Sutcliffe LLP (*"Bond Counsel"*), based upon an analysis of existing laws, regulations, rulings and court decisions, and assuming, among other matters, the accuracy of certain representations and compliance with certain covenants, interest on the Bonds is excluded from gross income for federal income tax purposes under Section 103 of the Code and is exempt from State of California personal income taxes. In the further opinion of Bond Counsel, interest on the Bonds is not a specific preference item for purposes of the federal individual or corporate alternative minimum taxes, although Bond Counsel observes that such interest is included in adjusted current earnings when calculating corporate alternative minimum taxable income. Bond Counsel expresses no opinion regarding any other tax consequences related to the ownership or disposition of, or the amount, accrual or receipt of interest on, the Bonds. A complete copy of the proposed form of opinion of Bond Counsel is set forth in APPENDIX G hereto.

To the extent the issue price of any maturity of the Bonds is less than the amount to be paid at maturity of such Bonds (excluding amounts stated to be interest and payable at least annually over the term of such Bonds), the difference constitutes "original issue discount," the accrual of which, to the extent properly allocable to each Beneficial Owner thereof, is treated as interest on the Bonds which is excluded from gross income for federal income tax purposes and State of California personal income taxes. For this purpose, the issue price of a particular maturity of the Bonds is the first price at which a substantial amount of such maturity of the Bonds is sold to the public (excluding bond houses, brokers, or similar persons or organizations acting in the capacity of underwriters, placement agents or wholesalers). The original issue discount with respect to any maturity of the Bonds accrues daily over the term to maturity of such Bonds on the basis of a constant interest rate compounded semiannually (with straight-line interpolations between compounding dates). The accruing original issue discount is added to the adjusted basis of such Bonds to determine taxable gain or loss upon disposition (including sale, redemption, or payment on maturity) of such Bonds. Beneficial Owners of the Bonds should consult their own tax advisors with respect to the tax consequences of ownership of Bonds with original issue discount, including the treatment of Beneficial Owners who do not purchase such Bonds in the original offering to the public at the first price at which a substantial amount of such Bonds is sold to the public.

Bonds purchased, whether at original issuance or otherwise, for an amount higher than their principal amount payable at maturity (or, in some cases, at their earlier call date) (*"Premium Bonds"*) will be treated as having amortizable bond premium. No deduction is allowable for the amortizable bond premium in the case of bonds, like the Premium Bonds, the interest on which is excluded from gross income for federal income tax purposes. However, the amount of tax-exempt interest received, and a Beneficial Owner's basis in a Premium Bond, will

be reduced by the amount of amortizable bond premium properly allocable to such Beneficial Owner. Beneficial Owners of Premium Bonds should consult their own tax advisors with respect to the proper treatment of amortizable bond premium in their particular circumstances.

The Code imposes various restrictions, conditions and requirements relating to the exclusion from gross income for federal income tax purposes of interest on obligations such as the Bonds. The Authority and the Corporation have made certain representations and covenanted to comply with certain restrictions, conditions and requirements designed to ensure that interest on the Bonds will not be included in federal gross income. Inaccuracy of these representations or failure to comply with these covenants may result in interest on the Bonds being included in gross income for federal income tax purposes, possibly from the date of original issuance of the Bonds. The opinion of Bond Counsel assumes the accuracy of these representations and compliance with these covenants. Bond Counsel has not undertaken to determine (or to inform any person) whether any actions taken (or not taken), or events occurring (or not occurring), or any other matters coming to Bond Counsel's attention after the date of issuance of the Bonds may adversely affect the value of, or the tax status of interest on, the Bonds. Accordingly, the opinion of Bond Counsel is not intended to, and may not, be relied upon in connection with any such actions, events or matters.

In addition, Bond Counsel has relied, among other things, on the opinion of Hanson Bridgett LLP, Counsel to the Corporation, regarding the current qualification of the Corporation as an organization described in Section 501(c)(3) of the Code and the intended operation of the facilities to be financed by the Bonds as substantially related to the Corporation's charitable purpose under Section 513(a) of the Code. Such opinion is subject to a number of qualifications, limitations and assumptions. For example, the Obama Administration's budget proposals in recent years have proposed legislation that would limit the exclusion from gross income of interest on the Bonds to some extent for high-income individuals. Furthermore, Counsel to the Corporation cannot give and has not given any opinion or assurance about the future activities of the Corporation, or about the effect of future changes in the Code, the applicable regulations, the interpretation thereof or changes in enforcement thereof by the IRS. Failure of the Corporation to be organized and operated in accordance with the IRS's requirements for the maintenance of its status as an organization described in Section 501(c)(3) of the Code, or to operate the facilities financed by the Bonds in a manner that is substantially related to the Corporation's charitable purpose under Section 513(a) of the Code, may result in interest payable with respect to the Bonds being included in federal gross income, possibly from the date of the original issuance of the Bonds.

Although Bond Counsel is of the opinion that interest on the Bonds is excluded from gross income for federal income tax purposes and is exempt from State of California personal income taxes, the ownership or disposition of, or the accrual or receipt of interest on, the Bonds may otherwise affect a Beneficial Owner's federal, state or local tax liability. The nature and extent of these other tax consequences depends upon the particular tax status of the Beneficial Owner or the Beneficial Owner's other items of income or deduction. Bond Counsel expresses no opinion regarding any such other tax consequences.

Current and future legislative proposals, if enacted into law, clarification of the Code or court decisions may cause interest on the Bonds to be subject, directly or indirectly, in whole or in part, to federal income taxation or to be subject to or exempted from state income taxation, or otherwise prevent Beneficial Owners from realizing the full current benefit of the tax status of such interest. The introduction or enactment of any such legislative proposals or clarification of the Code or court decisions may also affect, perhaps significantly, the market price for, or marketability of, the Bonds. Prospective purchasers of the Bonds should consult their own tax advisors regarding the potential impact of any pending or proposed federal or state tax legislation, regulations or litigation, as to which Bond Counsel is expected to express no opinion.

The opinion of Bond Counsel is based on current legal authority, covers certain matters not directly addressed by such authorities, and represents Bond Counsel's judgment as to the proper treatment of the Bonds for federal income tax purposes. It is not binding on the IRS or the courts. Furthermore, Bond Counsel cannot give and has not given any opinion or assurance about the future activities of the Authority or the Corporation, or about the effect of future changes in the Code, the applicable regulations, the interpretation thereof or the enforcement thereof by the IRS. The Authority and the Corporation covenanted, however, to comply with the requirements of the Code.

Bond Counsel's engagement with respect to the Bonds ends with the issuance of the Bonds, and, unless separately engaged, Bond Counsel is not obligated to defend the Authority, the Corporation or the Beneficial Owners regarding the tax-exempt status of the Bonds in the event of an audit examination by the IRS. Under current procedures, parties other than the Authority, the Corporation and their appointed counsel, including the Beneficial Owners, would have little, if any, right to participate in the audit examination process. Moreover, because achieving judicial review in connection with an audit examination of tax-exempt bonds is difficult, obtaining an independent review of IRS positions with which the Authority or the Corporation legitimately disagrees, may not be practicable. Any action of the IRS, including but not limited to selection of the Bonds for audit, or the course or result of such audit, or an audit of bonds presenting similar tax issues may affect the market price for, or the marketability of, the Bonds, and may cause the Authority, the Corporation or the Beneficial Owners to incur significant expense.

LEGALITY

The validity of the Bonds and certain other legal matters are subject to the approving opinion of Orrick, Herrington & Sutcliffe LLP, Bond Counsel to the Authority, substantially in the form set forth as APPENDIX G. Certain legal matters will be passed upon for the Corporation by its counsel, Hanson Bridgett LLP, San Francisco, California, and for the Authority by its counsel, Jones Hall, a Professional Law Corporation. Certain legal matters will be passed upon for the Underwriter by Chapman and Cutler LLP. None of the counsel mentioned above undertakes any responsibility for the accuracy, completeness or fairness of this Official Statement.

FEASIBILITY STUDY

As part of the Corporation's application to the Office for insurance, the Feasibility Study dated September 20, 2016 was prepared for the Corporation by Hendrickson Consulting. The conclusions of the Feasibility Study were based on certain assumptions, as outlined in the Feasibility Study. The Authority has not reviewed the Feasibility Study or financial information provided by the Corporation. There can be no assurance that as a result of the Feasibility Study or issuance of insurance by the Office that the Corporation will be able to meet its obligation to make Loan Repayments.

A copy of the Feasibility Study is included herein as APPENDIX C—"FINANCIAL FEASIBILITY REPORT." PROSPECTIVE INVESTORS SHOULD REVIEW THE FEASIBILITY STUDY IN ITS ENTIRETY PRIOR TO PURCHASING THE BONDS.

UNDERWRITING

Pursuant to a Bond Purchase Contract among the Underwriter, the Authority and the Corporation (the "*Purchase Contract*"), the Underwriter has agreed to purchase the Bonds at an aggregate purchase price of \$22,155,876.25 (representing the aggregate principal amount of the Bonds, plus net original issue premium of \$285,636.25 and less an Underwriter's discount of \$209,760.00). Pursuant to the Purchase Contract, the Corporation has agreed to indemnify the Underwriter and the Authority against certain liabilities. The Underwriter reserves the right to join with dealers and other underwriters in offering the Bonds to the public. The obligation of the Underwriter to accept delivery of the Bonds is subject to the various conditions of the Purchase Contract.

In connection with this financing, the Corporation has established certain funds and accounts. Under the terms of the Indenture, the Corporation may direct the Trustee to invest some or all of the funds within the investment parameters established in the Indenture.

FINANCIAL STATEMENTS

The financial statements of the Corporation as of and for the fiscal year ended December 31, 2015 included in APPENDIX B to this Official Statement have been audited by Moss Adams LLP, independent certified public accountants as stated in its report appearing therein. Moss Adams LLP has not been engaged to perform, and has not performed, since the date of its report included in APPENDIX B, any procedures on the financial statements addressed in that report.

The financial statements of the Corporation as of and for the fiscal years ended December 31, 2014 and 2013 included in APPENDIX B to this Official Statement have been audited by Hansen, Hunter & Company, P.C., as stated in its report appearing therein.

Certain unaudited summarized financial information of the Corporation as of and for the eight-month periods ended August 31, 2015 and 2016 is included in APPENDIX A hereto. Such

unaudited summarized financial information for the eight-month period ended August 31, 2016 is not necessarily indicative of the financial results of the Corporation for the fiscal year ending December 31, 2016.

VERIFICATION OF MATHEMATICAL COMPUTATIONS

Concurrently with the issuance of the Bonds, Chris D. Berens, CPA, P.C. will deliver a report with respect to the mathematical accuracy of (1) certain computations, contained in schedules provided to them, which were prepared by the Underwriter, relative to the sufficiency of moneys and securities deposited into the escrow fund established pursuant to an escrow agreement to pay, when due, the principal and interest requirements and the redemption price of the Prior Bonds and (2) the computations of yield on both the securities and the Bonds contained in such schedules to support Bond Counsel's opinion that interest on the Bonds will be excluded from gross income for federal income tax purposes. The report of Chris D. Berens, CPA, P.C. will include the statement that the scope of its engagement is limited to verifying the mathematical accuracy of the aforesaid computations and that it has no obligation to update its report because of events occurring, or data or information coming to its attention, subsequent to the date of the report.

RATING

Standard & Poor's Ratings Services, a division of The McGraw-Hill Companies, Inc., has assigned its municipal bond rating of "AA-" to the Bonds with the understanding that, upon delivery of the Bonds, payment of the principal of and interest on the Bonds will be insured by the Office. The rating reflects the rating agency's current assessment of the creditworthiness of the Office and its ability to pay claims under the Insurance Program.

The rating and an explanation of its significance may be obtained from the rating agency furnishing such rating. Such rating reflects only the view of the rating agency. The Corporation has furnished the rating agency with certain information and materials relating to the Bonds that have not been included in this Official Statement. Generally, rating agencies base their ratings on the information and materials so furnished and on investigations, studies, and assumptions by the rating agencies. There is no assurance that a particular rating will be maintained for any given period of time or that it will not be lowered or withdrawn entirely if, in the judgment of the agency originally establishing the rating, circumstances so warrant. Any such change in or withdrawal of such rating could have an adverse effect on the market price of the Bonds.

MISCELLANEOUS

The foregoing and subsequent summaries or descriptions of provisions of the Bonds, the Contract of Insurance, the Indenture, the Loan Agreement, the Regulatory Agreement and the Deed of Trust and all references to other materials not purporting to be quoted in full are only brief outlines of some of the provisions thereof and do not purport to summarize or describe all of the provisions thereof. Reference is made to said documents for full and complete statements of the provisions of such documents. The appendices attached hereto are a part of this Official

Statement. Copies, in reasonable quantity, of the Indenture, the Loan Agreement, the Contract of Insurance, the Regulatory Agreement and the Deed of Trust may be obtained during the offering period upon request to the Underwriter and thereafter upon request to the principal corporate trust office of the Trustee.

So far as any statements made in this Official Statement involve matters of opinion or estimates, whether or not expressly stated, they are set forth as such and not as representations of fact, and no representation is made that any of such statements will be realized. Neither this Official Statement nor any statement which may have been made orally or in writing is to be construed as a contract with the owners of the Bonds.

It is anticipated that CUSIP identification numbers will be printed on the Bonds, but neither the failure to print such numbers nor any error in the printing of such numbers shall constitute grounds for a failure or refusal by any purchaser thereof to accept delivery of and payment for any Bonds.

The attached Appendices are integral parts of this Official Statement and must be read together with all of the foregoing statements.

The Corporation has reviewed the information contained herein which relates to it and its property and operations, and has approved all such information for use within this Official Statement.

The Authority furnished only the information in this Official Statement contained under the captions “THE AUTHORITY” and “LITIGATION—The Authority” and, except for such information, makes no representation or warranty as to the adequacy, completeness or accuracy of this Official Statement.

This Official Statement has been delivered by the Corporation. This Official Statement is not to be construed as a contract or agreement among any of the Authority, the Corporation or the purchasers or holders of any of the Bonds.

NORTHERN CALIFORNIA RETIRED OFFICERS
COMMUNITY, a California nonprofit public
benefit corporation

By: /s/ Cecil "Bud" Ross
Chair

By: /s/ Neil Calhoun
Chief Financial Officer

APPENDIX A

INFORMATION CONCERNING NORTHERN CALIFORNIA RETIRED OFFICERS COMMUNITY

*The information contained herein as APPENDIX A
to this Official Statement has been obtained from
Northern California Retired Officers Community*

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Capitalized terms used in this Appendix A and not otherwise defined shall have the meanings given in the forepart of this Official Statement

INTRODUCTION

BACKGROUND

Northern California Retired Officers Community (the “Corporation”) was incorporated as a California nonprofit public benefit corporation in 1992 primarily to provide retired uniformed services officers, their spouses, widows and widowers with housing facilities and care services specifically designed to meet their physical, social, recreational and psychological needs.

The Corporation owns and operates Paradise Valley Estates (the “PVE” or the “Community”), a continuing care retirement community (“CCRC”), located on an approximately 76 acre campus in Fairfield, California. The Community currently consists of 199 residential living houses, 123 residential living apartments, 40 social-model assisted living apartments, 28 medical-model assisted living units and a 60-bed skilled nursing facility.

The Corporation is exempt from federal income taxation under Section 501(a) of the Internal Revenue Code of 1986, as amended (the “Code”), as an organization described in Section 501(c)(3) of the Code. The mission of the Corporation is to provide the highest quality of retirement living to qualified persons through services, amenities, and health care that nurtures independence, promotes wellness and preserves dignity.

THE COMMUNITY

The Community is a gated CCRC located on 68 acres in Fairfield, California, adjacent to an extensive planned community of homes. The Community consists of 322 residential living single family homes, duplexes, quadriplexes, and apartments, a 40-unit social-model assisted living facility known as Quail Creek, a 28-unit medical-model assisted living facility and a 60-bed skilled nursing facility known as Laurel Creek Health Center, a Community Center and Recreation Center. In 2011, the Corporation purchased an eight-acre plot of land adjacent to the Community for the purposes of future expansion, bringing the total acreage to 76 (See “the Project and Future Plans” herein). The Community is located approximately midway between San Francisco and Sacramento and approximately 40 miles from the Napa wine region. Travis Air Force Base, home of David Grant Medical Center, is approximately five miles to the southeast.

Residential occupancy of the Community began in November 1997, when construction of the residential living units was completed. While the Community was originally developed to provide housing and services for retired uniformed service officers and their spouses, widows and widowers, the Corporation’s bylaws permit the Community to serve non-military individuals. Occupancy of Laurel Creek Health Center (the “Health Center”) commenced in May 1998 upon completion of construction. Construction of Quail Creek Assisted Living (“Quail Creek”) began in May 2006, and was completed and opened for occupancy in July 2007. The Community currently consists of 199 residential living houses consisting of cottage homes, quadriplexes and duplexes and 123 residential living apartments. The Community also has 40 social-model assisted living apartments, 28 medical-model assisted living units and a 60-bed skilled nursing facility. There are over 500 residents of the Community.

Construction is underway on an 18-bed memory care unit as an expansion of Quail Creek (the “Project”). The memory care expansion will reduce the assisted living capacity of the Quail Creek building to 32, for a new total capacity of 50. The expansion is scheduled to open in the spring of 2017. See “The Project and Future Plans” below.

The Community Center includes a reception desk staffed to provide assistance and information; lounge areas; a main dining room; a café with indoor and outdoor seating; private dining facilities for special family or social occasions; a library/study; a beauty/barber shop; activity areas; a multi-purpose room for large events; a bank and game room.

The Recreation Center features an indoor heated swimming pool with shower and locker areas; spa; fitness room; exercise and dance studios; as well as billiards and card rooms. The Community features the Power House Fitness Center that provides specialized wellness training and state-of-the-art fitness equipment.

UNIT MIX

Residential Living Units

Type of Unit	No. of Units	Size (Sq. Ft.)
Apartments		
Traditional (1 bed/1 bath)	18	803
Custom (2 bed/2 bath)	27	1,140
Deluxe (2 bed/2 bath)	36	1,291
Luxury (2 bed + den/2 bath)	9	1,534
Royale (2 bed + den/2 bath)	18	1,584
Grande (2 bed + den/2 bath)	6	1,846
Grande + (2 bed + den/2 bath)	9	1,870
Houses		
Quadrplex (2 bed/2 bath)	32	1,340
Duplex I (2 bed + den/2 bath)	32	1,451
Duplex II (2 bed + den/2 bath)	72	1,505
Manor (2 bed + den/2 bath)	63	2,015
	<u>322</u>	

Quail Creek Assisted Living Units

Type of Unit	No. of Units	Size (Sq. Ft.)	No. of Units After Project Completion
Assisted Living	40	525	32
Memory Care	<u>0</u>	260-450	<u>18</u>
Total	40		50

Laurel Creek Health Center

Type of Unit	No. of Units	Size (Sq. Ft.)
Assisted Living Unit	28	238
Semi-Private Nursing Bed	8 (16 beds)	374
Private Nursing Bed	<u>44</u>	238
Total	80 Units (86 beds)	

GOVERNANCE AND MANAGEMENT

GOVERNANCE

The Corporation is governed by the Board of Directors (the “Board”). Pursuant to the Corporation’s bylaws, the Board must consist of an odd number of not less than 5 and not more than 15 members. Each member of the Board holds office for a three-year term and/or until a successor is elected. As long as the Corporation operates a CCRC, at least one director will be a resident of the Corporation’s CCRC. The resident director is selected from among three candidates nominated by the residents of the Community. The Board currently consists of the following 11 members.

NAME	OCCUPATION	YEARS SERVED ON BOARD	TERM EXPIRES
Cecil “Bud” Ross, Chair	Interim Chief Executive Officer of the Corporation. Retired Colonel, United States Air Force Director, Public Affairs, UTRANSCOM & AMC HQ, Scott AFB Publisher, O’Fallon Progress Newspaper, O’Fallon, IL Chairman, Travis Regional Armed Forces Committee	8	2019
Ray Schoch, Vice Chair	Retired Lieutenant Colonel, United States Air Force Retired Branch Manager Assistant Vice President, Sanwa Bank	18	2017
Ken Mackie, Secretary (as of November 15, 2016)	Retired Colonel, United States Air Force	1	2018
Dale Baumler	Retired Major General, United States Air Force	13	2017

NAME	OCCUPATION	YEARS SERVED ON BOARD	TERM EXPIRES
	Community Leader		
Gary Erickson, Treasurer	Retired Lieutenant Colonel, United States Air Force CFO, Partnership HealthPlan of California	4	2018
Thomas G. Kurkjian	Retired Lieutenant Colonel, United States Army Engineer	19	2018
Nick Van Male	Retired Captain, United States Navy Retired Attorney and former Partner of Gaw Van Male	7	2018
Chuck Smith	Retired Captain, United States Navy	1	2018
Sandra Schmidt-Berringer	Retired Colonel, United States Air Force Team Manager, VITAS Healthcare Commander, 60 th Medical Operations Squadron Command Nurse, Chief Medical Operations Division	1	2019
Sean Quinn	Retired City Manager, City of Fairfield, California	1	2019
Geoffrey Wiedeman	Retired Major General, United States Air Force Owner and Medical Doctor, Hand Surgery Associates Adjunct Clinical Associate Professor of Surgery	2 months	2019

MANAGEMENT

Day-to-day management of the Corporation is the responsibility of its Chief Executive Officer, who is appointed by the Board. The Chief Executive Officer hires and supervises the Chief Financial Officer, Chief Human Resources Officer, and Chief Operating Officer.

Colonel Cecil “Bud” Ross, USAF (RET.), Interim CEO and Chair of the Board; Years with PVE: Eight

Col. Ross has served as interim Chief Executive Officer of the Corporation since November 4, 2016. Col. Ross has been a member of the NCROC board for eight years and the Chair for two years. Before coming to PVE, Col. Ross was publisher at the O’Fallon Progress newspaper in O’Fallon, IL, where he managed four weekly Knight-Ridder newspapers. He also served as president and CEO of the Fairfield-Suisun Chamber of Commerce, was chair of the Travis Regional Armed Forces Committee, and chaired the Travis Community Consortium. Col. Ross served more than 25 years in the Air Force as a public affairs officer. He served in a wide variety of domestic and overseas public affairs assignments, acting as command spokesman for national, regional, and local news media. He was involved in U.S. embassy team efforts overseas, and was dual director of public affairs for the U.S. Transportation and Air Mobility Commands during relief operations during the Gulf War and in Somalia. Col. Ross earned a B.S. in Business and Technical Journalism from California Polytechnic State University, as well as a M.S. in Personnel Management from Central Michigan University. He is also a graduate of the Mass Communications Short Course at Oklahoma University, as well as the Air War College at Maxwell Air Force Base.

Neil Calhoun, Chief Administrative Officer and Chief Financial Officer. Years with PVE: Two

In addition to managing finance and accounting, Mr. Calhoun also manages the facilities, maintenance, and information technology teams. Before coming to PVE, Mr. Calhoun was Chief Financial Officer and Chief Operating Officer for TAC Associates, where he worked with rapidly growing organizations that required significant change management in order to maintain financial support. Mr. Calhoun has nearly 40 years of experience leading finance, information systems, and operations functions for domestic and international companies in several industries. He also has an extensive background in mergers and acquisitions, start-ups, divestitures, and turnarounds. Mr. Calhoun earned a B.S. in Accounting from the State University of New York at Albany, and a M.S. in Accounting and Finance from the State University at Albany.

Peggy Huston, Chief Human Resources Officer. Years with PVE: Five

Ms. Huston is responsible for ensuring the effective and efficient use of talent to accomplish organizational goals. In that capacity, she is responsible for the design of formal systems involving staffing, human resources development, compensation and benefits, employee and labor management relations, human resources planning and analysis, and EEOC. She plans, organizes, directs, and controls the human resources department, campus security, and campus-wide administrative departments of the company. Ms. Huston has over 30 years of experience in human resources. Previously she was Director of Human Resources at PVE, and before that she was the national human resource director for Amerit Consulting. Ms. Huston has a B.A. in human resources and an MBA—both from California Coast University—and is a certified Senior Professional in Human Resources®.

Mark Anderson, Chief Operating Officer. Years with PVE: Four

Mr. Anderson manages the daily operations for PVE, including skilled nursing, assisted living, life enrichment, resident services, transportation and logistics. As a licensed nursing home administrator in the state of Minnesota and in California, he has over 25 years of experience working in skilled nursing, assisted living, senior housing, home health, and in continuing care retirement communities. Before coming to PVE, he served as an Administrator for The Evangelical Lutheran Good Samaritan Society. Most recently, Mr. Anderson was the Executive Director of two campuses which offer skilled nursing, memory care, assisted living and independent living. In addition, he oversaw the management of a Medicare certified home health agency which provides services for a seven-county area, in two states. Mr. Anderson earned a B.S. in Psychology from Concordia University Irvine, Irvine, California and a M.S. in Gerontology from Minnesota State University, Mankato, Minnesota.

CEO Succession Plan

The Corporation and its Board of Directors are in the process of a nation-wide search for a permanent chief executive officer to fill the position currently held by Col. Ross. During this period, the chief operating officer, chief financial officer and chief human resources officer, in

connection with the interim chief executive officer, will continue to execute their official duties as usual.

DESCRIPTION OF THE COMMUNITY AND SERVICES

Residential Living – 322 Units. Residents receive accommodations that include building and grounds maintenance and security, utilities (except telephone), basic cable television, a flexible dining program, weekly housekeeping and linen services, recreation, fitness, cultural and social programs, and scheduled transportation services. Residents also receive credit for thirty meals per month, per person in the Community's central dining room. Assistance with medications, dietary consulting, observation of health status, 24 hour emergency response and wellness clinical services are provided to residents. Other optional services are provided to residents upon request.

Assisted Living (Quail Creek) – 40 Units. Quail Creek assisted living residents live in social model apartments in a home-like setting. Residents receive all of the residential living services plus additional assistance with general activities of daily living (such as bathing, grooming, dressing, feeding, ambulation and assistance with administration of medications). Residents receive three meals per day, seven days per week, and enjoy daily activities, fitness programs, weekly shopping trips, and other off-campus trips and outings. Certified nursing assistants and licensed vocational nurses are available on a 24 hour basis to monitor and assist residents.

Assisted Living (Health Center) – 28 Units. Laurel Creek assisted living residents generally have higher acuity health care needs than the residents of Quail Creek assisted living apartments. Residents receive all of the residential living services plus three meals per day, additional assistance with general activities of daily living (such as bathing, grooming, dressing, feeding, ambulation and assistance with administration of medications). Licensed nurses are available on a 24 hour basis to monitor and assist residents.

Skilled Nursing (Health Center) – 44 Private Beds and 16 Semi-Private Beds. Residents receive 24 hour licensed nursing care that includes routine nursing care, skin and wound care, incontinence care, and arranging for diagnostic and therapeutic services, all of which are performed under the supervision of the resident's physician. Residents receive all meals and daily activities in the Health Center. Social services and specialized dietary care are provided on an ongoing basis. Rehabilitation services are available upon doctor's orders and usually at an additional charge. Speech, occupational and physical therapy are also available upon doctor's orders. Ten of the skilled nursing beds are designated for residents with dementia-related care needs.

Home Care Program. In addition, the Corporation has augmented its services offered to residents through a home care program, PVE@Home, which provides non-medical, in-home assistance to residents who may need additional companionship or aid with specific activities of daily living.

LICENSES, CERTIFICATES AND MEMBERSHIPS

The residential living cottages and apartments, Quail Creek, and the assisted living units in the Health Center are licensed by the California Department of Social Services (“CDSS”) as a residential care facility for the elderly (an “RCFE”). The basis for this licensure is the agency’s determination that the Corporation has complied with specific requirements of State of California (hereinafter referred to as the “State” or “California”) law related to RCFEs. The skilled nursing facility in the Health Center is licensed by the State Department of Public Health (“CDPH”). The basis for licensure is the CDPH’s determination that the Corporation has complied with State and federal law relating to skilled nursing facilities.

The Corporation has a certificate of authority (“COA”) issued by the Continuing Care Contracts Branch of the CDSS with respect to the Community. A COA permits the Corporation to enter into continuing care contracts, defined by the State as an express or implied agreement between a person 60 years of age or older and the provider where, in exchange for payment of an entrance fee and/or periodic charges, a promise is made to provide one or more elements of care at a facility for the duration of the resident’s life or a period longer than one year. The Corporation must submit audited financial statements, reserve reports, and key indicator reports to the State.

The Community is accredited by the continuing care accreditation program of the Commission on Accreditation of Rehabilitation Facilities (“CARF-CCAC”), an independent accrediting body. Accreditation by CARF-CCAC means that the Community has met set standards in the areas of residential life, health and wellness, financial resources and disclosure and governance and administration. This accreditation requires the Community to submit annual financial statements and must be renewed every five years.

The Corporation is a member of LeadingAge, a national trade association that represents more than 6,000 nonprofit providers of aging services. The Corporation is also a member of LeadingAge California, the state trade association affiliated with LeadingAge, which represents more than 400 nonprofit providers of aging services throughout the State.

EMPLOYEES

As of December 31, 2015, the Corporation employed approximately 491 employees (279.61 full-time equivalent employees), none of whom are represented by labor organizations under contract. Management believes that the salary levels and benefit packages for its employees are competitive and that its relationship with employees is satisfactory.

THE PROJECT AND FUTURE PLANS

The Project. In March, 2016, the Corporation began construction of an 18-bed memory care unit as an expansion of Quail Creek assisted living building and a parking structure. The memory care expansion will reduce the assisted living capacity in the Quail Creek building from 40 to 32, for a new total capacity of 50 including the new memory care units. The Project also includes a new two-level parking structure located near the Community Center which will serve

residents, staff and guests. The parking structure was completed in October, 2016. The memory care expansion is scheduled to open in the spring of 2017.

The primary reason for the expansion of Quail Creek assisted living to include a state-of-the-art memory care program. The new memory care unit will include 18 private rooms and a dedicated, self-contained community to serve those diagnosed with Alzheimer's Disease and other forms of dementia. While PVE currently serves those individuals needing memory support, this new part of the community will employ current best practices in design and programming in a social setting.

The Corporation anticipates that the total cost of constructing and equipping the Project will be \$14,300,000. The Corporation has executed a construction contract with the general contractor, Sundt Corporation, in the amount of approximately \$10,800,000, including certain contingencies. The construction of the parking garage portion of the contract has been completed. In addition to the construction contracts, anticipated costs for the project also include furniture, fixtures and equipment, design and engineering fees and other fees. The cost estimate also includes a contingency of approximately \$300,000. The entire cost of the Project cost will be paid or reimbursed from the proceeds of the Bonds.

Construction projects such as the Project are subject to certain factors beyond the control of the Corporation that could result in unanticipated construction delays, additional construction costs or both. Such unanticipated events could have a material adverse effect on the cost of constructing the Project and the timing of the revenues that will be received from the completed project. See "BONDHOLDERS' RISKS - Construction Risks" in this Official Statement.

Future Plans. In April, 2011, the Board authorized the purchase of eight acres of undeveloped land adjacent to the Community for \$1,931,652. The Board determined that the cost of purchasing this undeveloped land was well below market rate given the continued recessionary pricing of land in Solano County, California.

Upon completion Quail Creek Project, focus will shift toward the potential development of the 8-acre site. To date, the Corporation has engaged both an architect and project manager to assist in the master planning of the 8-acre project. In addition, the Corporation has conducted two market studies to assess the demand for additional residential living units. It is expected that the Board will make a decision in mid-2017 regarding whether or not to move forward with this contemplated expansion project on the adjacent parcel.

ADMISSION CRITERIA

Each continuing care resident must meet specific criteria to reside at the residential living portion of the Community. Eligibility for occupancy is based on the Corporation's requirements, which include (i) being at least 60 years old at the time of occupancy; (ii) having sufficient resources to meet one's fee obligations, including those arising under the residency agreement; and (iii) having care needs that are consistent with the laws pertaining to RCFE and that do not present an unacceptable risk of early, frequent, or chronic long-term care.

Exceptions to the admission policy are reviewed by the Corporation's Board of Directors on a case by case basis. The Corporation admits residents directly to the Health Center and Quail Creek without an obligation to enter into a continuing care contract (a "CCC") with the Corporation.

CONTINUING CARE CONTRACT, RENTAL PLANS AND FEE STRUCTURE

Entrance Fee. Under the terms of the Corporation's CCCs, a resident pays an entrance fee (the "Entrance Fee") according to the type of residence selected, the refund plan chosen, and the number of residents who occupy the unit. Under all of the refund plans (described below), the resident has the right to cancel such resident's CCC with or without cause within 90 days of occupancy of the residence (the "Cancellation Period"). In case of any such cancellation, or in the event the resident dies within the Cancellation Period, the Corporation is obligated to refund the Entrance Fee, the monthly service fee (the "Monthly Fee"), and all other fees paid to the Corporation through the date the residence is vacated, less the reasonable value of services rendered to the resident pursuant to the canceled CCC. Refunds are paid within 14 days after the resident vacates his or her unit. The Corporation's three refund plans are described below.

Plan 0 (0% Refund Plan) – Following the Cancellation Period, upon termination of the CCC by the resident, the Entrance Fee will be refunded, less a \$7,500 processing fee and less 2% of the Entrance Fee per month of residency for each of 50 months. After the CCC has been in effect for 53 months, the resident will no longer be entitled to a refund for any reason.

Plan 50 (50% Refund Plan) – Following the Cancellation Period, upon termination of the CCC by the resident, the Entrance Fee will be refunded, less a \$7,500 processing fee and less 2% of the Entrance Fee per month of residency for each of 25 months. After the CCC has been in effect for 28 months, the refund remains fixed at 50% of the original Entrance Fee, regardless of the length of time the resident retains the residence. This plan is restricted to those residents who have not attained the age of 81 by the occupancy date. If a resident is part of a couple, one resident must not have attained the age of 81 by the occupancy date and the other must not have attained the age of 85 by the occupancy date.

Plan 95 (95% Refund Plan) – Following the Cancellation Period, upon termination of the CCC by the resident, the Entrance Fee will be refunded, less a \$7,500 processing fee and less 2% of the Entrance Fee per month of residency for each of 2.5 months. After the CCC has been in effect for 5.5 months, the refund remains fixed at 95% of the original Entrance Fee, regardless of the length of time the resident retains the residence. This plan is restricted to those residents who have not attained the age of 81 by the occupancy date. If a resident is part of a couple, one resident must not have attained the age of 81 by the occupancy date and the other must not have attained the age of 85 by the occupancy date.

Refund Reserve. The Corporation is required to maintain a refund reserve to fund the payment of Entrance Fee refunds to residents who elect the 50% Refund Plan or the 95% Refund Plan. As of August 31, 2016, the value of the refund reserve was \$3,705,011.

Monthly Fee. In addition to the Entrance Fee, all residents pay a monthly fee. The monthly fee varies according to the type of unit selected, services provided, and the number of residents who occupy the unit. Upon permanent transfer to the Health Center or Quail Creek, the resident pays the daily resident health care rate, which is approximately equal to the weighted average of all first person monthly fees at such facility. For a temporary transfer to the Health Center, the resident pays his/her typical monthly fee plus the cost of two additional meals per day.

Rental Plan. A rental plan, which does not include any health care or assisted living services or any promise of continuing care, is available for a few designated residential units. A community fee of \$7,500 is collected the maximum upfront fee allowed by law if the contract is not a CCC and the monthly fee is increased by \$1,000 as compared to monthly fees charged to continuing care residents. Residents on rental plans are encouraged to convert to a CCC after one year; however, there is no guarantee of admission as a continuing care resident. The Community has not entered into any new rental contracts in the past three years.

FEE SCHEDULE

The range of fees for the Community as of January 1, 2016, is summarized below. Fee structures are based on single occupancy of residential living units.

UNIT DESCRIPTION	ENTRANCE FEES AS OF JANUARY 1, 2016 ⁽¹⁾	
	0% REFUND PLAN	MONTHLY CARE FEE ⁽²⁾
Apartments		
Traditional(1 bed/1 bath)	\$174,000	\$2,774
Custom (2 bed/2 bath)	242,000	3,424
Deluxe (2 bed/2 bath)	277,000	3,713
Luxury (2 bed + den/2 bath)	327,000	4,174
Royale (2 bed + den/2 bath)	340,000	4,270
Grande (2 bed + den/2 bath)	369,000	4,774
Grande plus (2 bed + den/2 bath)	375,000	4,818
Houses		
Quadraplex (2 bed/2 bath)	298,000	3,806
Duplex I (2 bed + den/2 bath)	334,000	4,018
Duplex II (2 bed + den/2 bath)	384,000	4,119
Manor (2 bed + den/2 bath)	431,000	5,097
Additional Refund Plans	Plan 50 (50% Return)	Add 30%
	Plan 95 (95% Return)	Add 90%

(1) Second Person Entrance Fee: \$30,000.

(2) Second Person Monthly Fee: \$1,237.

The fees for residents that move into assisted living after January 1, 2007, as of January 1, 2016 are shown below.

SCHEDULE OF CURRENT FEES FOR ASSISTED LIVING UNITS

TYPE OF UNIT	DAILY FEE CONTRACTED RESIDENTS	FEE NON-CONTRACTED RESIDENTS
Quail Creek Assisted Living	\$138	\$5,050/month*
Laurel Creek Assisted Living	138	222/day

* Quail Creek second person fee for non-contracted residents: \$1,519.

The daily rates for the Laurel Creek Health Center for residents that move in after January 1, 2007, as of January 1, 2016 are shown below.

SCHEDULE OF CURRENT FEES FOR SKILLED NURSING-LAUREL CREEK

TYPE OF UNIT	DAILY RATE CONTRACTED RESIDENTS	DAILY RATE NON-CONTRACTED RESIDENTS
Private Rooms	\$138	\$354
Semi-Private Rooms	138	294

As of January 1, 2016, the resident mix by refund plan was as follows:

ENTRANCE FEE REFUND PLAN	CONTRACTS	RESIDENTS
Plan 0	353	501
Plan 50	9	14
Plan 95	9	14

HISTORICAL UTILIZATION

The following table sets forth the average percentage of occupancy during the period for the residential living units, the assisted living units and the skilled nursing beds for the Community.

FISCAL YEAR ENDED DECEMBER 31	RESIDENTIAL LIVING	ASSISTED LIVING	SKILLED NURSING
2013	82%	87%	93%
2014	86	89	92
2015	92	83	91
2016 (8/31)	93	81	91

Historically, the Corporation maintained a waiting list for residential living units for individuals or couples who maintained a \$5,000 deposit with the Corporation. These potential residents were regularly contacted when specified units became available. While there are still potential residents on the waiting list, the Corporation is not currently soliciting new waiting list members. Rather, the sales focus is to work with clients who are ready to move forward with the current inventory available.

RESIDENTIAL LIVING TURNOVER

The following table summarizes new resident move-ins, turnover rates, and Entrance Fees for the Corporation's fiscal years ending December 31, 2013, 2014 and 2015, and for the eight months ended August 31, 2016.

	FISCAL YEAR ENDED DECEMBER 31,			AS OF AUGUST 31
	2013	2014	2015	2016
Total Move ins	43	45	38	15
Total Vacated Units	31	34	36	27
Turnover Percent	10%	11%	11%	8%
Entrance Fees Received	\$12,209,237	\$13,474,390	\$11,411,700	\$5,284,134
Entrance Fees Refunded	(\$283,241)	(\$1,199,324)	(\$1,160,731)	(\$261,360)
Net Entrance Fees	\$11,925,996	\$12,275,066	\$10,250,969	\$5,022,774

SOURCES OF REVENUE FOR THE SNF AT LAUREL CREEK HEALTH CENTER

At December 31, 2015, approximately 16% of the SNF patients were patients who had been admitted directly to the SNF without having been a resident of the Community. The following table sets forth the percentage of patient days for the SNF by payor. The information is presented for the three most recent fiscal years.

	FISCAL YEAR ENDED DECEMBER 31,		
	2013	2014	2015
Non-Resident Private Pay	15%	15%	12%
Resident Private Pay	58%	59%	60%
Medicare	26%	21%	24%
HMO/Other	<u>1%</u>	<u>5%</u>	<u>4%</u>
Total	<u>100%</u>	<u>100%</u>	<u>100%</u>

For further discussion of Medicare and other payors, please refer to "BONDHOLDERS' RISKS" in the forepart of this Official Statement.

MARKET AND COMPETITION

The Corporation's primary market is determined chiefly by its charitable purpose to provide housing facilities and related services to its target market of retired military officers and their spouses, who comprise approximately 75% of the Community's residents. The

Corporation's ancillary and subordinate purpose, to provide continuing care and treatment to other non-officers on a space-available basis, results in a secondary market influenced by more traditional geographic, demographic and economic market factors.

The Corporation maintains a marketing staff on site at the Community. On an annual basis, the staff updates a written marketing analysis that includes a description of existing and potential competition. Competition may increase in the future with the construction of new facilities or the expansion or renovation of existing facilities. Management of the Corporation has prepared the following description of the primary current competition for the Community, and future competition expected to result from the construction of new facilities or expansion of existing facilities. The information listed below refers to "RL" to represent residential living units, "AL" to represent assisted living units, "SNB" to represent skilled nursing beds and "Memory" to represent memory care beds. The Corporation has estimated the current occupancy of its competitors based on telephone calls to its competitors made in June 2016.

NAME	LOCATION	MILES FROM THE FACILITIES	NUMBER OF UNITS	FEE TYPE	RESIDENTIAL LIVING OCCUPANCY
University Retirement Community	Davis	28	RL 205	Entry Fee and Monthly Fee	95%
			AL 36		
			SNB 37		
			Memory 14		
Spring Lake Village	Santa Rosa	49	RL 266	Entry Fee and Monthly Fee	97
			AL 24		
			SNB 70		
			Memory 11		
Eskaton Village	Carmichael	56	RL 295	Entry Fee and Monthly Fee	95
			AL 38		
			SNB 35		
			Memory 20		
Altavita	Riverside	452	RL 440	Entry Fee and Monthly Fee	57
			AL 76		
			SNB 76		
			Memory 20		

FINANCIAL INFORMATION

SUMMARY FINANCIAL INFORMATION

The following summary financial information for the Corporation as of and for the fiscal years ended December 31, 2013, 2014 and 2015 has been derived by Corporation management from the audited financial statements of the Corporation. The financial data should be read in conjunction with the audited financial statements of the Corporation as of and for the fiscal years ended December 31, 2013, 2014 and 2015, together with the related notes, appearing in Appendix B to this Official Statement.

The following summary financial information for the Corporation as of and for the eight month periods ended August 31, 2015 and 2016 was derived from unaudited financial statements for the Corporation for the same periods and was prepared by management of the Corporation.

The unaudited financial information set forth in this Appendix A that was derived from such unaudited financial statements is not necessarily indicative of the results of the Corporation for the fiscal year ending December 31, 2016.

In April 2015, the FASB issued Accounting Standards Update (ASU) 2015-03, *Interest-Imputation of Interest (Subtopic 835-30) – Simplifying the Presentation of Debt Issuance Costs*. ASU 2015-03 defined debt issuance costs as a direct deduction from the debt liability as opposed to a deferred asset that has no future economic benefit. This presentation has the effect of reducing the proceeds of borrowing, thereby increasing the effective interest rate and requires the presentation of amortization of debt issuance costs as a component of interest expense. This ASU is effective for the Corporation in the fiscal period ending December 31, 2016 and interim periods within that fiscal year. For comparative purposes, the fiscal year 2013, 2014 and 2015 amounts as well as the August 31, 2015 amounts presented in the table below were also adjusted to ensure consistency with the August 30, 2016 presentation.

See “MANAGEMENT DISCUSSION OF FINANCIAL AND OPERATING PERFORMANCE” below for management’s discussion and analysis of the Corporation’s finances and results of operations.

SUMMARY STATEMENT OF HISTORICAL REVENUES AND EXPENSES

The following summary statement of historical revenues and expenses sets forth the Corporation's financial position for the fiscal years ended December 31, 2013, 2014 and 2015 and for the eight month periods ended August 31, 2015 and 2016.

Summary Statement of Revenues and Expenses

	(AUDITED)			(UNAUDITED)	
	FISCAL YEAR ENDED DECEMBER 31,			EIGHT MONTHS ENDED	
	2013	2014	2015	2015	2016
REVENUES:					
Residential care services	\$14,121,572	\$15,185,361	\$15,454,802	\$10,158,400	\$10,910,932
Health care services	6,367,575	6,820,078	6,142,842	4,275,430	4,108,341
Amortization of entrance fees	6,029,895	7,175,039	6,543,356	4,607,792	5,342,840
Investment income	1,540,788	1,421,439	1,291,118	751,401	1,815,820
Contributions	-	715,161	-	-	-
Other income	375,421	852,832	1,714,438	902,688	754,569
Net assets released from restriction	92,544	123,364	118,089	15,613	80,223
TOTAL UNRESTRICTED REVENUES:	<u>\$28,527,795</u>	<u>\$32,293,274</u>	<u>\$31,264,645</u>	<u>\$20,711,324</u>	<u>\$23,012,725</u>
EXPENSES:					
Residential care services	\$5,184,957	\$5,596,833	\$6,103,244	\$3,873,168	\$4,026,737
Utilities	1,737,097	1,874,421	2,038,665	1,371,316	1,402,657
Dining services	4,387,676	4,616,366	4,833,465	3,120,016	3,443,765
Health services	5,939,495	6,050,184	6,668,048	4,239,936	4,529,541
General and administrative	4,350,047	4,689,300	5,344,481	3,453,441	3,582,178
Depreciation ⁽¹⁾	2,913,783	3,146,558	3,343,741	2,216,381	2,467,524
Interest	2,009,865	1,513,755	1,454,179	974,369	992,594
Other expenses	1,396,055	580,037	752,701	421,675	82,060
TOTAL EXPENSES:	<u>\$27,918,975</u>	<u>\$28,067,454</u>	<u>\$30,538,524</u>	<u>\$19,670,302</u>	<u>\$20,527,056</u>
Income from operations	<u>\$608,820</u>	<u>\$4,225,820</u>	<u>\$726,121</u>	<u>\$ 1,041,022</u>	<u>\$ 2,485,669</u>
Unrealized change in value of investments	<u>\$2,505,235</u>	<u>\$1,379,895</u>	<u>\$(1,420,844)</u>	<u>\$(2,208,091)</u>	<u>\$1,698,345</u>
Change in unrestricted net assets	<u>\$3,114,055</u>	<u>\$5,605,715</u>	<u>\$(694,723)</u>	<u>\$(1,167,069)</u>	<u>\$4,184,014</u>
Change in temporarily restricted net assets:					
Temporarily restricted contributions	160,590	891,573	86,858	98,418	114,636
Net assets released	(92,544)	(123,364)	(118,089)	(15,613)	(80,223)
Other	-	-	605,993	406,062	1,830
Change in temporarily restricted net assets	<u>68,046</u>	<u>768,209</u>	<u>574,762</u>	<u>488,867</u>	<u>36,243</u>
Change in total net assets	<u>\$ 3,182,101</u>	<u>\$ 6,373,924</u>	<u>\$ (119,961)</u>	<u>\$ (678,202)</u>	<u>\$ 4,220,257</u>

⁽¹⁾ Amortization of deferred financing costs for the years ended December 31, 2013, 2014 and 2015 as well as the eight months ended August 31, 2015 were reclassified from Depreciation to Interest expense in accordance with ASU 2015-03 to ensure consistency with the amounts presented for the eight months ended August 31, 2016.

SUMMARY BALANCE SHEET

The following summary balance sheet sets forth the Corporation's financial position as of December 31, 2013, 2014 and 2015 and as of August 31, 2015 and 2016.

	(AUDITED)			(UNAUDITED)	
	AS OF FISCAL YEAR ENDED DECEMBER 31,			EIGHT MONTHS ENDED AS OF AUGUST 31,	
	2013	2014	2015	2015	2016
Assets					
Cash and cash equivalents	\$3,366,312	\$5,157,787	\$4,257,148	\$3,185,608	\$4,141,690
Accounts receivable	381,312	616,141	431,994	584,698	782,347
Entrance fees receivable	2,001,003	2,109,000	1,707,000	653,000	714,000
Assets whose use is limited	13,158,716	16,520,572	16,219,577	15,550,948	12,157,174
Investments	31,914,158	33,795,834	36,570,214	35,291,278	38,522,008
Prepaid expenses & Inventory	556,369	1,298,844	1,208,116	572,747	1,180,710
Pledges receivable	-	760,322	80,000	80,000	80,000
Deposits	28,354	28,354	-	28,354	-
Property and equipment, net	65,389,174	65,289,516	65,972,607	65,790,026	70,418,709
Intangible assets, net	19,866	14,322	8,778	10,627	5,083
Total assets	\$116,815,264	\$125,590,692	\$126,455,434	\$121,747,286	\$128,001,721
Liabilities					
Accounts Payable and accrued expenses	\$1,236,126	\$717,841	\$1,215,378	\$744,699	\$1,268,994
Accrued personnel expenses	565,588	797,542	554,591	639,481	661,790
Accrued compensated annual leave	238,006	284,745	468,152	425,611	570,783
Accrued interest	697,228	675,978	643,847	330,833	307,907
Other accrued liabilities	654,650	831,940	920,670	646,797	974,597
Revenue bonds ⁽²⁾	43,488,406	40,819,637	38,055,765	38,620,389	35,875,120
Charitable remainder annuity trust	144,204	90,006	38,376	74,999	11,185
Refundable entrance fees	7,296,973	7,196,605	6,848,968	7,171,468	7,001,168
Unearned entrance fees	47,292,526	52,600,917	56,254,167	52,195,730	55,654,400
Total liabilities	\$101,613,707	\$104,015,211	\$104,999,914	\$100,850,007	\$102,325,944
Net Assets					
Unrestricted	\$14,959,054	\$20,564,769	\$19,870,046	\$19,397,700	\$24,054,060
Temporarily restricted	242,503	1,010,712	1,585,474	1,499,579	1,621,717
Total net assets	\$15,201,557	\$21,575,481	\$21,455,520	\$20,897,279	\$25,675,777
Total liabilities and net assets	\$116,815,264	\$125,590,692	\$126,455,434	\$121,747,286	\$128,001,721

⁽²⁾ Unamortized deferred financing costs at December 31, 2013, 2014, 2015 and August 31, 2015 were reclassified from total assets to a reduction of Revenue Bonds in accordance with ASU 2015-03 to ensure consistency with the amounts presented in August 31, 2016

DEBT SERVICE COVERAGE

The following table sets forth actual historical debt service coverage for the Corporation's three most recent fiscal years and for the eight months ended August 31, 2015 and 2016. It also shows coverage of pro forma maximum annual debt service coverage assuming issuance of the Bonds and the application of the proceeds of their sale towards the purposes described in "PLAN OF FINANCING" in the forepart of this Official Statement, without reflecting any expenses to be incurred or revenues realized in connection with such transaction.

	FISCAL YEAR ENDED DECEMBER 31,			(UNAUDITED) EIGHT MONTHS ENDED AUGUST 31,	
	2013	2014	2015	2015	2016
Revenues					
Operating Revenue	\$28,527,795	\$32,293,274	\$31,264,645	\$20,711,324	\$23,012,725
Plus Entrance Fees Received	12,209,237	13,474,390	11,411,700	4,914,605	5,284,134
Less Entrance Fees Refunded	(283,241)	(1,199,324)	(1,160,731)	(860,827)	(261,360)
Less Earned Entrance Fees	<u>(6,029,895)</u>	<u>(7,175,039)</u>	<u>(6,543,356)</u>	<u>(4,607,792)</u>	<u>(5,342,840)</u>
(A) Total Revenues available for debt service	\$34,423,896	\$37,393,301	\$34,972,258	\$20,157,310	\$22,692,659
Operating Expenses					
Total Operating Expenses	\$27,918,975	\$28,067,454	\$30,538,524	\$19,670,302	\$20,527,056
Less Depreciation	(2,913,783)	(3,146,558)	(3,343,741)	(2,216,381)	(2,467,524)
Less Provision for Uncollectible Accounts	-	-	-	-	-
Less Interest Expense	<u>(2,009,865)</u>	<u>(1,513,755)</u>	<u>(1,454,179)</u>	<u>(974,369)</u>	<u>(992,594)</u>
(B) Total Operating Expenses	\$22,995,327	\$23,407,141	\$25,740,604	\$16,479,552	\$17,066,938
(C) Income Available for Debt Service (A)-(B)	\$11,428,569	\$13,986,160	\$9,231,654	\$3,677,758	\$5,625,721
(D) Historical Maximum Debt Service	4,250,181	4,250,181	4,250,181	2,833,454	2,833,454
Debt Service Coverage (C)/(D) ⁽¹⁾	2.69x	3.29x	2.17x	1.30x	1.99x
(E) Pro Forma Maximum Annual Debt Service	4,666,031	4,666,031	4,666,031	3,110,687	3,110,687
Pro Forma Maximum Annual Debt Service Coverage Ratio (C)/(E)	2.45	3.00x	1.98x	1.18x	1.81x

(1) Calculated in accordance with the provisions of the Regulatory Agreement.

DAYS CASH ON HAND

The following table presents Days Cash on Hand of the Corporation, calculated in accordance with the Regulatory Agreement, as of December 31, 2013, 2014 and 2015 and as of August 31, 2015 and 2016.

	FOR THE FISCAL YEARS ENDED DECEMBER 31,			(UNAUDITED) EIGHT MONTHS ENDED AUGUST 31,	
	2013	2014	2015	2015	2016
Unrestricted Cash and Investments					
Cash	\$3,366,312	\$5,157,787	\$4,257,148	\$3,185,608	\$4,141,690
Investments	31,914,158	33,795,834	36,570,214	35,291,278	38,522,008
Assets Limited as to Use – Board Designated ⁽¹⁾	2,598,188	4,098,188	4,098,188	4,220,013	435,812
(A) Total Unrestricted Cash and Investments	\$37,878,658	\$43,051,809	\$44,925,550	\$42,696,899	\$43,099,510
Cash Operating Expenses					
Total Operating Expenses	\$27,918,975	\$28,067,454	\$30,538,524	\$19,670,302	\$20,527,056
Less Depreciation	(2,913,783)	(3,146,558)	(3,343,741)	(2,216,381)	(2,467,524)
Less Provision for Uncollectible Accounts	-	-	-	-	-
Other Expenses	-	-	-	-	-
(B) Total Cash Operating Expenses	\$25,005,192	\$24,920,896	\$27,194,783	\$17,453,921	\$18,059,532
(C) Number of Days in Year	365	365	365	243	244
Daily Cash Expenses	\$68,507	\$68,276	\$74,506	\$71,827	\$74,014
Days Cash-on-Hand ⁽²⁾	553	631	603	594	582

(1) Assets Limited as to Use includes Board designated capital replacement and benevolence funds. In 2016, the Board designated capital replacement fund was reclassified to unrestricted investments.

(2) Calculated in accordance with the provisions of the Regulatory Agreement.

MANAGEMENT'S DISCUSSION OF FINANCIAL PERFORMANCE

Eight Months ended August 31, 2016 compared to Eight Months ended August 31, 2015. For the eight months ended August 31, 2016, the average occupancy of residential living units was 93%, assisted living units was 81% and nursing care beds was 91% as compared to an average occupancy of residential living units of 90%, of assisted living units of 84% and of nursing care beds of 93% for the eight months ended August 31, 2015. These changes in occupancy were due to continued marketing focus on growing residential living over this period. The construction of the new memory care began during this period reducing available assisted living units. Skilled nursing has stayed in this range over the past 12 months to maintain availability of beds for contract residents for short term stays. The Corporation's total unrestricted revenues for the eight months ended August 31, 2016, were \$23,012,725, an increase of 11.1% over total unrestricted revenues of \$20,711,324 for the eight months ended August 31, 2015, resulting from a 7.4% increase in resident revenue, 141.7% increase in realized gain on investments and a 16.0% increase in earned entrance fee revenue. Total expenses for the eight months ended August 31, 2016 were \$20,527,056, a 4.4% increase over total expenses of \$19,670,302 for the eight months ended August 31, 2015. This increase was primarily due to increase variable cost in dining services of 10.4% as a result of increase occupancy from 90% to 93% and also the impact of the California increase in minimum wage and the compression effect of that increase. Health services cost increased by 6.8% as a result of increased staffing cost and a 11.3% increase in depreciation expense. Unrestricted net assets of \$24,054,060 as of August 31, 2016, were a 24.0% increase over unrestricted net assets of \$19,397,700 as of August 31, 2015. As of August 31, 2016, the Debt Service Coverage Ratio was 1.99 times and the Corporation had 582 Days Cash on Hand as compared to a Debt Service Coverage Ratio of 1.30 times and 594 Days Cash on Hand as of August 31, 2015.

Fiscal Year ended December 31, 2015 compared to Fiscal Year ended December 31, 2014. For the fiscal year ended December 31, 2015, the 12-month average occupancy of residential living units was 92%, assisted living units was 83% and nursing care beds was 91% as compared to a 12-month average occupancy of residential living units of 86%, of assisted living units of 89% and of nursing care beds of 92% for the fiscal year ended December 31, 2014. These changes in occupancy were due to an active marketing program focused on residential living increase as the effect of home prices raising as the housing market improved coming out of the recession. The reduction of occupancy in assisted living and skilled nursing resulted in the changing demographics of the resident population as younger residents pushed up the independent living numbers, the aging out of the prior existing residents drove the assisted living and skilled nursing numbers down. The Corporation's total unrestricted revenues for the fiscal year ended December 31, 2015 were \$31,264,645, a decrease of 3.2% over total unrestricted revenues of \$32,293,274 for the fiscal year ended December 31, 2014, is due to the loss of revenues of 9.9% in health services resulting from the decrease in occupancy, a reduction in contributions because of a major contribution from an estate in the prior year offset by an increase in resident revenue of 1.8%. Total expenses for the fiscal year ended December 31, 2015 were \$30,538,524, an 8.8% increase over total expenses of \$28,067,454 for the fiscal year ended December 31, 2014. This increase was primarily due to continued cost in health care services of 10.2% and an increase in Administration cost of 14.0% as the Corporation moved from being managed by Haskell Corporation to self-managed during this period. Unrestricted

net assets of \$19,870,046 as of December 31, 2015 were a 3.4% decrease over unrestricted net assets of \$20,564,769 as of December 31, 2014. As of December 31, 2015, the Debt Service Coverage Ratio was 2.17 times and the Corporation had 603 Days Cash on Hand as compared to a Debt Service Coverage Ratio of 3.29 times and 631 Days Cash on Hand as of December 31, 2014.

Fiscal Year ended December 31, 2014 compared to Fiscal Year ended December 31, 2013. For the fiscal year ended December 31, 2014, the 12-month average occupancy of residential living units was 86%, assisted living units was 89% and nursing care beds was 92% as compared to a 12-month average occupancy of residential living units of 82%, of assisted living units of 87% and of nursing care beds of 93% for the fiscal year ended December 31, 2013. These increases in occupancy for residential living and assisted living were due to a strong marketing program to raise occupancy aided by the economy moving further out of the recession. The Corporation's total unrestricted revenues for the fiscal year ended December 31, 2014 were \$32,293,274, an increase of 13.2% over total unrestricted revenues of \$28,527,795 for the fiscal year ended December 31, 2013, due to strong increases in both resident and health services of 7.4% combined and a sizable unrestricted contribution of \$715,161 while earned entrance fees and other income grew by a combined 5.2%. Total expenses for the fiscal year ended December 31, 2014, were \$28,067,454, a .5 % increase over total expenses of \$27,918,975 for the fiscal year ended December 31, 2013. This increase was primarily due to the increase in resident services, health care and increased administration cost as PVE transitioned to a self-managed CCRC which was offset with a 58.5% decrease in other expenses over prior year. Unrestricted net assets of \$20,564,769 as of December 31, 2014, were a 37.5% increase over unrestricted net assets of \$14,959,054 as of December 31, 2013. As of December 31, 2014, the Debt Service Coverage Ratio was 3.29 times and the Corporation had 631 Days Cash on Hand as compared to a Debt Service Coverage Ratio of 2.69 times and 553 Days Cash on Hand as of December 31, 2013.

RETIREMENT PLANS

The Corporation sponsors defined contribution retirement plans for its employees. Participants are permitted to make contributions up to certain prescribed limits. The Corporation provides a matching contribution determined annually by the Board. For the years ended December 31, 2013, 2014 and 2015 the total contribution expense for the plans were \$64,291, \$162,571 and \$140,151, respectively.

INVESTMENT POLICY

The goal of the investment policy is to provide the greatest possible investment return for the future plan needs and obligations without exceeding a prudent level of risk. There can be no complete assurance that the goal of the investment policy will be realized. The goal of the investment policy is based on a long term investment horizon so that the interim market fluctuations can be viewed with appropriate perspective.

Generally, the Corporation's investments will consist of stocks (equities), bonds and cash equivalents. Stocks are selected from the New York Stock Exchange, American Stock Exchange

or the Over the Counter market. At least 60% of the stocks (by dollar value) must be from the New York Stock Exchange at any given time. Bonds must be “A” rated or better by Standard & Poor’s, Moody’s or Fitch. The maximum maturity of any single bond must not exceed 15 years. The average maturity of the bond portfolio is not to exceed 7.5 years without written permission from the Board. All of the Corporation’s investments must conform to The California Uniform Prudent Management of Institutional Funds Act.

The following table summarizes the targeted allocation of the Corporation’s investments. The Board has the power to hire investment managers (the “Investment Managers”), who are responsible for maintaining the asset allocations with respect to stocks and fixed income within 5% of the targeted allocations depicted below. If an asset allocation falls outside these ranges, the applicable Investment Manager must contact the Board within 30 business days to discuss the reasons for this occurrence. The Board will only change these allocation ranges based on long term investment criteria or liquidity needs. Accounts will be rebalanced on a quarterly basis.

TARGET ASSET ALLOCATIONS

	ALLOCATION
Stocks	55%
Bonds and other Fixed Income	42
Cash Equivalents	<u>3⁽¹⁾</u>
Total	<u>100%</u>

(1) 30 day notice of availability.

To ensure adequate diversification, no more than 5% of the initial purchase of the portfolio will be invested in one stock and no more than 10% of the portfolio will be invested in any single stock. International stocks and ADRs may not exceed 15% of the equity portion of the portfolio or 9% of the entire portfolio. No bond will represent more than 10% of the entire portfolio. It is the intention of the Plan to maintain a balanced portfolio. An Investment Manager may, for defensive reasons, temporarily reduce the equity or bond portion below the indicated guidelines. In this event, such Investment Manager is required to inform the Board within 30 working days with the reasons for such action.

As of December 31, 2015, the Corporation's cash and investments were invested in the following assets:

ASSET CLASS	ALLOCATION	AS OF DECEMBER 31, 2015
Mixed Portfolio		
Cash and cash equivalents	12%	\$ 5,374,695
Government securities/bonds	33%	14,723,691
Equity securities	49%	21,872,920
Mutual funds	6%	2,668,845
Board Designated Funds*		
Cash and cash equivalents		25,704
Government securities/bonds		169,418
Equity securities		68,230
Mutual funds		22,047
Operating Funds		
Total	<u>100 %</u>	<u>\$ 44,925,550</u>

* Less than 1% of total operating funds.

Investment earnings and realized gains on sales of securities constitute a portion of the Corporation's total operating revenue. Due to variations in market performance as well as timing of the sale of securities, the level of investment earnings and realized gains reflected in the Corporation's statement of operations may vary significantly from year-to-year.

BUDGET PROCESS

The Corporation is managed under a budgetary plan adopted each year by its Board. Department directors prepare management plans and operational budgets with detailed input from other members of the staff. Senior management recommends the final budget that is presented to the Board for approval.

The budgeting process begins each July with the establishment of a budget timetable, budget process and service demand projections. The budget is completed and presented to the Board for approval by November each year, for implementation at the beginning of the next fiscal year. Senior management meets regularly to review operational performance and plan corrective actions as necessary.

INSURANCE MATTERS

The Corporation is insured with HealthCap California Affinity Group for commercial liability, including corporate, general and professional liability pursuant to insurance policies that cover the Community for a limit of \$1 million per occurrence with an annual aggregate policy

limit of \$3 million. The Corporation is also insured with Ironshore Specialty Insurance Company pursuant to an umbrella/excess liability policy in the amount of \$10 million. The Community is not covered by earthquake insurance. Management has determined that obtaining earthquake insurance at current rates is not economically justified. However, management will review this determination from time to time. In addition, the Corporation maintains directors' and officers' liability coverage up to \$2 million in the aggregate annually. The Corporation is also insured for workers' compensation with GuardianComp Non-Profit Self-Insurance, with statutory limits.

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APPENDIX B

**AUDITED FINANCIAL STATEMENTS OF
NORTHERN CALIFORNIA RETIRED OFFICERS COMMUNITY
AS OF AND FOR THE FISCAL YEARS ENDED DECEMBER 31, 2013, 2014 AND 2015**

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**PARADISE VALLEY
ESTATES**

**NORTHERN CALIFORNIA RETIRED OFFICERS COMMUNITY
DBA PARADISE VALLEY ESTATES**

**INDEPENDENT AUDITORS' REPORT
AND
FINANCIAL STATEMENTS**

FOR THE YEARS ENDED DECEMBER 31, 2014 AND 2013



HANSEN HUNTER & CO. P.C.
Certified Public Accountants

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HANSEN HUNTER & CO. P.C.

Certified Public Accountants

INDEPENDENT AUDITORS' REPORT

To the Board of Directors
Northern California Retired Officers Community
dba Paradise Valley Estates
Fairfield, California

We have audited the accompanying financial statements of Northern California Retired Officers Community, dba Paradise Valley Estates (a California non-profit public benefit Corporation), which comprise the statements of financial position as of December 31, 2014 and 2013, and the related statements of activities and cash flows for the years then ended, and the related notes to the financial statements.

Management's Responsibility for the Financial Statements

Management is responsible for the preparation and fair presentation of these financial statements in accordance with accounting principles generally accepted in the United States of America; this includes the design, implementation and maintenance of internal control relevant to the preparation and fair presentation of financial statements that are free from material misstatement, whether due to fraud or error.

Auditor's Responsibility

Our responsibility is to express an opinion on these financial statements based on our audits. We conducted our audits in accordance with auditing standards generally accepted in the United States of America. Those standards require that we plan and perform the audit to obtain reasonable assurance about whether the financial statements are free of material misstatement.

An audit involves performing procedures to obtain audit evidence about the amounts and disclosures in the financial statements. The procedures selected depend on the auditor's judgment, including the assessment of the risks of material misstatement of the financial statements, whether due to fraud or error. In making those risk assessments, the auditor considers internal control relevant to the entity's preparation and fair presentation of the financial statements in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the entity's internal control. Accordingly, we express no such opinion. An audit also includes evaluating the appropriateness of accounting policies used and the reasonableness of significant accounting estimates made by management, as well as evaluating the overall presentation of the financial statements.

We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinion.



HANSEN HUNTER & CO. P.C.

Certified Public Accountants

Opinion

In our opinion, the financial statements referred to above present fairly, in all material respects, the financial position of Northern California Retired Officers Community, dba Paradise Valley Estates, as of December 31, 2014 and 2013, and the changes in its net assets and its cash flows for the years then ended in accordance with accounting principles generally accepted in the United States of America.

Hansen Hunter & Co. P.C.

March 30, 2015

NORTHERN CALIFORNIA RETIRED OFFICERS COMMUNITY
dba PARADISE VALLEY ESTATES

STATEMENTS OF FINANCIAL POSITION

	December 31,	
	2014	2013
ASSETS		
Cash and cash equivalents	\$ 5,157,787	\$ 3,366,312
Accounts receivable	616,141	381,312
Entrance fees receivable	2,109,000	2,001,003
Assets whose use is limited	16,520,572	13,158,716
Investments	33,795,834	31,914,158
Prepaid expenses	1,162,927	446,196
Inventory	135,917	110,173
Pledge receivable	760,322	-
Deposits	28,354	28,354
Property and equipment, net	65,289,516	65,389,174
Intangible assets, net	14,322	19,866
Deferred financing costs, net	1,112,280	1,292,149
Total assets	\$ 126,702,972	\$ 118,107,413
LIABILITIES AND NET ASSETS		
Liabilities		
Accounts payable and accrued expenses	\$ 717,841	\$ 1,236,126
Accrued personnel expenses	797,542	565,588
Accrued compensated annual leave	284,745	238,006
Accrued interest	675,978	697,228
Other accrued liabilities	831,940	654,650
Revenue bonds	41,931,917	44,780,555
Charitable gift annuities	90,006	144,204
Refundable entrance fees	7,196,605	7,296,973
Unearned entrance fees	52,600,917	47,292,526
Total liabilities	105,127,491	102,905,856
Net assets		
Unrestricted		
Undesignated net assets	16,466,581	12,360,866
Board designated net assets	4,098,188	2,598,188
Total unrestricted net assets	20,564,769	14,959,054
Temporarily restricted net assets	1,010,712	242,503
Total net assets	21,575,481	15,201,557
Total liabilities and net assets	\$ 126,702,972	\$ 118,107,413

The accompanying notes are an integral part of these financial statements.

NORTHERN CALIFORNIA RETIRED OFFICERS COMMUNITY
dba PARADISE VALLEY ESTATES

STATEMENTS OF ACTIVITIES

	Years Ended December 31,	
	2014	2013
Change in unrestricted net assets:		
Revenues		
Resident services	\$ 15,185,361	\$ 14,121,572
Health services	6,820,078	6,367,575
Amortization of entrance fees	7,175,039	6,029,895
Investment income	2,801,334	4,046,023
Contributions	715,161	-
Other income	852,832	375,421
	33,549,805	30,940,486
Net assets released – restricted purpose met	123,364	92,544
Total unrestricted revenues	33,673,169	31,033,030
Expenses		
Resident services	5,596,833	5,184,957
Utilities	1,874,421	1,737,097
Dining services	4,616,366	4,387,676
Health services	6,050,184	5,939,495
General and administrative	4,689,300	4,350,047
Depreciation	3,146,558	2,913,783
Amortization	185,412	233,415
Interest	1,328,343	1,776,450
Other expenses	580,037	1,396,055
Total expenses	28,067,454	27,918,975
Change in unrestricted net assets	5,605,715	3,114,055
Change in temporarily restricted net assets		
Temporarily restricted contributions	891,573	160,590
Net assets released – restricted purpose met	(123,364)	(92,544)
Change in temporarily restricted net assets	768,209	68,046
Change in total net assets	6,373,924	3,182,101
Net assets, beginning of year	15,201,557	12,019,456
Net assets, end of year	\$ 21,575,481	\$ 15,201,557

The accompanying notes are an integral part of these financial statements.

NORTHERN CALIFORNIA RETIRED OFFICERS COMMUNITY
dba PARADISE VALLEY ESTATES

STATEMENTS OF CASH FLOWS

Increase (Decrease) in Cash

	Years Ended December 31,	
	2014	2013
Cash flows from operating activities		
Cash received from residents	\$ 22,573,442	\$ 21,123,972
Unrestricted contributions	380,000	-
Unearned entrance fees received from residents	13,040,384	10,767,664
Investment income received	1,421,439	1,540,788
Interest paid	(1,823,231)	(2,428,831)
Cash paid to suppliers and employees	<u>(24,127,171)</u>	<u>(21,460,224)</u>
Net cash provided by operating activities	<u>11,464,863</u>	<u>9,543,369</u>
Cash flows from investing activities		
Net change in assets whose use is limited	(3,361,856)	(1,718,428)
Purchase and construction of property and equipment	(3,081,647)	(2,728,890)
Net purchase of investments	<u>(501,781)</u>	<u>(4,259,941)</u>
Net cash used in investing activities	<u>(6,945,284)</u>	<u>(8,707,259)</u>
Cash flows from financing activities		
Proceeds from contributions limited to long-term use	466,412	160,590
Payoff of Series 2002 revenue bonds	-	(36,360,000)
Proceeds from Series 2013 revenue bonds	-	35,426,298
Payments on revenue bonds	(2,375,000)	(425,000)
Financing costs paid	-	(1,348,447)
Refundable entrance fees received	434,006	1,441,573
Refund of refundable entrance fees	(534,375)	(283,241)
Refund of unearned entrance fees	(664,949)	-
Charitable gift annuity payments	<u>(54,198)</u>	<u>(58,280)</u>
Net cash used in financing activities	<u>(2,728,104)</u>	<u>(1,446,507)</u>
Net change in cash and cash equivalents	1,791,475	(610,397)
Cash and cash equivalents, beginning of year	<u>3,366,312</u>	<u>3,976,709</u>
Cash and cash equivalents, end of year	<u>\$ 5,157,787</u>	<u>\$ 3,366,312</u>

The accompanying notes are an integral part of these financial statements.

NORTHERN CALIFORNIA RETIRED OFFICERS COMMUNITY
dba PARADISE VALLEY ESTATES

STATEMENTS OF CASH FLOWS

Increase (Decrease) in Cash
(Continued)

	Years Ended December 31,	
	2014	2013
Reconciliation of change in net assets to net cash provided by operating activities		
Change in net assets	\$ 6,373,924	\$ 3,182,101
Adjustments to reconcile change in net assets to net cash provided by operating activities:		
Amortization of earned entrance fees	(7,175,039)	(6,029,895)
Amortization of intangible assets and deferred financing costs	185,412	233,415
Depreciation of property and equipment	3,146,558	2,913,783
Unearned entrance fees received	13,040,384	10,767,664
Unrealized gain on investments	(1,379,895)	(2,505,235)
Contributions restricted to long-term use	(891,573)	(160,590)
Loss on sale of property and equipment	34,747	3,393
Loss on write-off of old financing costs	-	1,089,103
Loss on write-off unamortized Series 2002 bond discount	-	182,507
Amortization of bond premium	(473,638)	(365,651)
(Increase) decrease in assets:		
Accounts receivable	(234,829)	5,894
Prepaid expenses	(716,731)	(204,699)
Inventory	(25,744)	4,370
Unrestricted pledge receivable	(335,161)	-
Increase (decrease) in liabilities:		
Accounts payable and accrued expenses	(518,285)	347,815
Accrued personnel expenses	231,954	98,550
Accrued compensated annual leave	46,739	14,064
Accrued interest	(21,250)	(286,730)
Other accrued liabilities	177,290	253,510
Net cash provided by operating activities	\$ 11,464,863	\$ 9,543,369

The accompanying notes are an integral part of these financial statements.

NORTHERN CALIFORNIA RETIRED OFFICERS COMMUNITY
dba PARADISE VALLEY ESTATES

NOTES TO FINANCIAL STATEMENTS

Note 1 – Nature of Business

The Northern California Retired Officers Community (NCROC), located in Fairfield, California, is a California non-profit public benefit corporation organized to provide housing facilities and related services to primarily retired commissioned officers of the Uniformed Services and their spouses.

The facility consists of 327 housing units, public spaces and amenities, a 40-room assisted living facility and an 88-bed health service facility with 28 beds licensed for assisted living and 60 beds licensed as a skilled nursing facility.

NCROC operates primarily under the "continuing care" concept in which residents enter into a residential contract that generally provides for a specified entrance fee, with certain options for refunds, and for monthly service fees throughout the residents' tenancy. Generally, payment of these fees entitles residents to the use and privileges of NCROC for life. Residents are also entitled to certain health care services provided in the NCROC assisted living and skilled nursing facility. The residency agreement does not entitle the residents to an ownership interest in NCROC.

Note 2 – Summary of Significant Accounting Policies

Basis of presentation

The accompanying financial statements have been prepared on the accrual basis of accounting in accordance with accounting principles generally accepted in the United States of America.

Use of estimates

The preparation of financial statements in conformity with accounting principles generally accepted in the United States of America requires management to make estimates and assumptions that affect the reported amounts of assets and liabilities and disclosures of contingent assets and liabilities at the date of the financial statements and the reported amounts of revenues, gains, other support and expenses during the reporting period. Actual results could differ from those estimates.

Functional expenses

The expenses of NCROC are presented according to their functional classification in the accompanying statements of activities. There were no fundraising costs incurred for the years ending December 31, 2014 and 2013.

Cash and cash equivalents

NCROC considers all highly liquid instruments, with a maturity of three months or less at the time of purchase, to be cash equivalents, excluding assets whose use is limited. The carrying amount reported in the statements of financial position for cash and cash equivalents approximates fair value due to the short-term nature of these financial instruments.

NORTHERN CALIFORNIA RETIRED OFFICERS COMMUNITY
dba PARADISE VALLEY ESTATES

NOTES TO FINANCIAL STATEMENTS
(Continued)

Note 2 – Summary of Significant Accounting Policies (continued)

Accounts receivable

Accounts receivable represent amounts due from residents for deposits, monthly service fees and health service fees. An allowance for doubtful accounts is based upon an analysis of the collectibility of outstanding amounts. Accounts deemed uncollectible are charged against the allowance. Subsequent recoveries of bad debts are credited to the allowance. As of December 31, 2014 and 2013, all accounts were deemed collectible. Accounts receivable balances over 90-days at December 31, 2014 and 2013, were \$37,723 and \$67,675, respectively.

Entrance fees receivable

Entrance fees receivable consist of amounts due from residents. These amounts are supported by a signed continuing care contract, and in some cases, a promissory note. Generally these amounts are satisfied at, or about, the time of initial residency by the contract holder(s). Promissory notes may contain a grace period with respect to interest, but only for a limited time. If the promissory note is extended, a 5% interest rate is assessed.

Assets whose use is limited

Assets whose use is limited at December 31, 2014 and 2013 consist of cash, money market funds and other investments whose use is restricted by donors, the board of directors or the bond agreements. The use of the California Health Facilities Financing Authority Revenue Bonds Series 2013 and Series 2005 assets are legally restricted per the bond agreements. All limited use assets are reported at fair market value.

Investments

Investments consist of long-term certificates of deposit, mutual funds and debt and equity securities recorded at fair value. Equity securities consist of stocks of companies listed with the Securities Exchange Commission.

The fair values for debt securities and equity securities are based upon the quoted market prices at year end. Accordingly, net realized and unrealized gains and losses on debt and equity securities are reflected in the statements of activities.

Inventory

Inventory consists primarily of food and miscellaneous supplies and is stated at the lower of cost (principally using the first-in, first-out method) or market.

NORTHERN CALIFORNIA RETIRED OFFICERS COMMUNITY
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NOTES TO FINANCIAL STATEMENTS
(Continued)

Note 2 – Summary of Significant Accounting Policies (continued)

Property and equipment

Property and equipment acquisitions in excess of \$2,500 and with an estimated useful life of more than three years are capitalized at historical cost. Depreciation is computed using the straight-line method based upon the following estimated useful lives:

Land improvements	7 to 80 years
Building and improvements	10 to 80 years
Furniture and equipment	3 to 20 years
Vehicles	3 to 10 years

Upon sale or retirement of depreciable assets, the related cost and accumulated depreciation are removed from the accounts and any resulting gain or loss is reflected in the statements of activities.

NCROC evaluates whether events and circumstances have occurred that indicate whether the carrying value of long-lived assets have been impaired. In the event that NCROC determines that impairment has occurred, a write-down to estimated fair value would be recorded. Measurement is based on those assets' estimated fair values as compared to the carrying value. No events have occurred to date that would indicate an impairment of value.

Interest costs incurred on borrowed funds, less investment income earned on unspent borrowed proceeds during the period of construction of long-term assets, are capitalized and amortized over the related assets' estimated useful lives.

Intangible assets

Intangible assets, consisting of marketing costs incurred during the development stage of NCROC, are deferred and amortized over the future periods in which management believes they will be recovered from future revenues. These costs are being amortized on a straight-line basis over a 12-year period, which approximates the average expected residency agreement term. Included in marketing costs are costs related to direct response advertising incurred prior to and during the initial occupancy period of NCROC, and other marketing and promotional costs incurred in connection with acquiring initial continuing care contracts that have been capitalized in accordance with accounting principles generally accepted in the United States of America.

All other costs of advertising, promotion and marketing programs are charged to expense in the year incurred. During 2014 and 2013, NCROC incurred marketing and advertising costs of \$1,483,779 and \$1,426,683, respectively.

Deferred financing costs

Bond issuance costs are amortized over the term of the respective bonds using the effective interest method.

NORTHERN CALIFORNIA RETIRED OFFICERS COMMUNITY
dba PARADISE VALLEY ESTATES

NOTES TO FINANCIAL STATEMENTS
(Continued)

Note 2 – Summary of Significant Accounting Policies (continued)

Bond premium

The bond premium is netted with the related Series 2013 bonds and is amortized over the term of the bonds using the effective interest method.

Refundable and unearned entrance fees

Refundable entrance fees and unearned entrance fees have been recorded as deferred revenue in the statements of financial position. NCROC offers one basic residency agreement (Agreement) with three different refund programs. The differences amongst the Agreement refund programs relate primarily to the amount of entrance fees refundable to the resident (or resident's estate) upon termination of the residency agreement. Under all plans, the resident has a limited time period to cancel the contract and receive a 100% refund of all entrance fees. This cancellation period is five months for contracts signed December 31, 2001 and prior and three months for contracts signed January 1, 2002 or later. Plan "0" provides for a declining refundable amount based on the length of residency and, generally, requires no refund after approximately four and one-half years of residency. Plans "50" and "95" provide for refunds of 50% and 95%, respectively, of entrance fees upon termination of the residency agreement. The amount of refundable entrance fees reflected in the statements of financial position are estimates that are actuarially determined using data available from similar facilities and are based upon residents' life expectancies and projected withdrawals from the facility.

The total liability for the refundable entrance fee contracts was \$7,196,605 and \$7,296,973 at December 31, 2014 and 2013, respectively. As required by the state of California, NCROC has established an escrow account that holds funds for the sole purpose of refunding entrance fees. The escrow balance is included in assets whose use is limited on the statements of financial position and was \$3,459,434 and \$1,845,861 as of December 31, 2014 and 2013, respectively.

Fees paid by the resident upon entering into a residency agreement, net of the portion thereof that is estimated refundable entrance fees, are recorded as deferred revenue and amortized to income using the straight-line method over the estimated remaining life expectancy of the resident. Resident life expectancy is reevaluated annually.

Actual amounts refundable from refundable entrance fees and unearned entrance fees could change significantly from actuarial estimates.

Obligation to provide future services

NCROC annually calculates the present value of the costs of future services and the use of facilities to be provided to current residents and compares that amount to expected resident service income and deferred revenue from unearned entrance fees. The calculation is an actuarially determined amount of future net cash flows, which is based on the present value of cash outflows and inflows (using a discount rate of 5% for 2014 and 2013) and adjusted for certain non-cash items as compared to the balance of unearned entrance fees. This calculation indicates that no net liability for future service to current residents existed at December 31, 2014 and 2013.

NORTHERN CALIFORNIA RETIRED OFFICERS COMMUNITY
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NOTES TO FINANCIAL STATEMENTS
(Continued)

Note 2 – Summary of Significant Accounting Policies (continued)

Resident services revenue

In addition to the entrance fees paid by the residents of NCROC, the Agreement requires each resident to pay a monthly service fee. The entire monthly service fee is recognized as revenue on a monthly basis. NCROC began offering a new rental contract during 2011 under which residents are not required to pay an entrance fee but they must pay a monthly premium in addition to the monthly service fees.

Financial instruments

NCROC's financial instruments consist of accounts receivable, entrance fees receivable, a pledge receivable, investments, limited use assets, deposits, accounts payable, accrued expenses, charitable gift annuities and revenue bonds. It is management's opinion that NCROC is not exposed to significant interest rate or credit risk arising from these instruments. Unless otherwise noted, the fair value of these financial instruments approximates their carrying values.

Charitable gift annuities

NCROC has established a program under which donors may setup charitable gift annuities. Under this program, donors can contribute assets to NCROC and in return receive a guaranteed fixed income for life. NCROC recognizes contribution revenue for the difference between the fair value of the assets received and the annuity liability.

Annuity liabilities are recorded for the required life annuity payments at the present value of expected future cash payments discounted using current interest rates and actuarial assumptions for those annuities that have not been reinsured. The annuity obligations are adjusted each year for changes in the life expectancy of the beneficiaries and are reduced either as payments are made to the donor or as annuities are reinsured. The present value of future payment liabilities of charitable gift annuities was \$90,006 and \$144,204 at December 31, 2014 and 2013, respectively.

Contributions

NCROC accounts for contributions in accordance with the recommendations of the Revenue Recognition Topic of the FASB Accounting Standards Codification. In accordance with this Topic, contributions received are recorded as unrestricted, temporarily restricted or permanently restricted support, depending on the existence or nature of any donor restrictions.

Donor-restricted contributions and related gains and investment income are reported as increases in temporarily or permanently restricted net assets depending on the nature of the restriction. When a restriction expires (that is, when a stipulated time restriction ends or purpose restriction is accomplished), temporarily restricted net assets are reclassified to unrestricted net assets and reported in the statements of activities as net assets released from restrictions.

**NORTHERN CALIFORNIA RETIRED OFFICERS COMMUNITY
dba PARADISE VALLEY ESTATES**

NOTES TO FINANCIAL STATEMENTS
(Continued)

Note 2 – Summary of Significant Accounting Policies (continued)

Donated services

Significant amounts of time from a number of people have been donated to NCROC. The accompanying financial statements do not reflect the value of those donated services, as no reliable basis exists for reasonably determining the amounts involved.

Donated property

Contributed property and equipment is recorded at fair value at the date of donation. If donors stipulate how long the asset must be used, the contribution is recorded as restricted support. In the absence of such stipulations, contributions of property and equipment are recorded as unrestricted support.

Workers' compensation plan

NCROC is self-insured for workers' compensation. Claims are accrued under the plan as the incidents that give rise to them occur. Unpaid claims accruals, including estimates of incurred but not reported claims, are based on the estimated ultimate cost of settlement, including claim settlement expenses, in accordance with NCROC's past experience. As of December 31, 2014, a workers' compensation reserve liability in the amount of \$277,860 was included in other accrued liabilities on the accompanying statements of financial position.

Note 3 – Tax Status

NCROC has been granted an exemption from federal income tax under the Internal Revenue Code, Section 501(c)(3). This Internal Revenue Code section provides for taxation of certain unrelated business income. Management believes that NCROC has had no significant unrelated business income to date. NCROC is exempt from state income tax under similar provisions of the Franchise Tax Board of the State of California. NCROC believes that it has appropriate support for any tax positions taken and, as such, does not have any uncertain tax positions that are material to the financial statements.

NORTHERN CALIFORNIA RETIRED OFFICERS COMMUNITY
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NOTES TO FINANCIAL STATEMENTS
(Continued)

Note 4 – Assets Whose Use is Limited

Assets whose is use limited are invested as follows:

	December 31,	
	2014	2013
<u>Funds held by trustee</u>		
<i>2005 Bond funds:</i>		
Cash & money market	\$ 1,078,238	\$ 1,073,417
	<u>1,078,238</u>	<u>1,073,417</u>
<i>2013 Bond funds:</i>		
Cash & money market	5,987,062	5,996,847
	<u>5,987,062</u>	<u>5,996,847</u>
<u>Board designated funds</u>		
Cash & money market	360,593	465,327
Government securities	131,479	119,615
Corporate bonds/notes	1,318,260	655,134
Equities	2,089,471	1,229,179
Mutual funds	198,385	128,933
	<u>4,098,188</u>	<u>2,598,188</u>
<u>Other limited uses</u>		
Cash & money market	1,707,354	1,506,522
Corporate bonds/notes	1,508,780	798,032
Equities	2,140,950	1,185,710
	<u>5,357,084</u>	<u>3,490,264</u>
	\$ <u>16,520,572</u>	\$ <u>13,158,716</u>

NORTHERN CALIFORNIA RETIRED OFFICERS COMMUNITY
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NOTES TO FINANCIAL STATEMENTS
(Continued)

Note 4 – Assets Whose Use is Limited (continued)

The use of these assets is restricted as follows:

	December 31,	
	2014	2013
<u>Funds held by trustee</u>		
<i>2005 Bond funds:</i>		
Interest funds	\$ 43,354	\$ 44,853
Principal funds	39,584	33,333
Reserve funds	<u>995,300</u>	<u>995,231</u>
	<u>1,078,238</u>	<u>1,073,417</u>
 <i>2013 Bond funds:</i>		
Interest funds	632,663	652,405
Principal funds	2,020,131	1,975,096
Reserve funds	<u>3,334,268</u>	<u>3,369,346</u>
	<u>5,987,062</u>	<u>5,996,847</u>
 <u>Board designated funds</u>		
Benevolence funds	285,399	285,399
Capital replacement	<u>3,812,789</u>	<u>2,312,789</u>
	<u>4,098,188</u>	<u>2,598,188</u>
 <u>Other limited uses</u>		
Resident Council funds	88,669	82,696
Scholarship funds	48,038	45,887
Benevolence funds	677,190	323,139
Entrance fees	607,741	657,575
Entrance fee refund		
escrows	3,459,434	1,845,861
Charitable annuities	<u>476,012</u>	<u>535,106</u>
	<u>5,357,084</u>	<u>3,490,264</u>
	<u>\$ 16,520,572</u>	<u>\$ 13,158,716</u>

NORTHERN CALIFORNIA RETIRED OFFICERS COMMUNITY
dba PARADISE VALLEY ESTATES

NOTES TO FINANCIAL STATEMENTS
(Continued)

Note 4 – Assets Whose Use is Limited (continued)

The board designated funds listed above are fully funded and will be used to enhance the lives of NCROC's residents as they provide a safer and more marketable atmosphere.

Expenditures of \$98,425 and \$70,298 were made from the Benevolence funds during the years ended December 31, 2014 and 2013, respectively.

Note 5 – Fair Value of Financial Instruments

NCROC has adopted the requirements of the Fair Value Measurements and Disclosure Topic of the FASB Accounting Standards Codification. This Topic defines fair value and requires enhanced disclosure about assets and liabilities carried at fair value. These additional disclosures are required only for financial assets and liabilities measured at fair value and for nonfinancial assets and liabilities measured at fair value on a recurring basis.

This Topic requires that a fair value measurement reflect the assumptions market participants would use in pricing an asset or liability based on the best available information. These assumptions include risks inherent in a particular valuation technique (such as a pricing model) and the risks inherent in the inputs to the model. It also specifies that transaction costs should not be considered in the determination of fair value. According to this Topic, fair value is the price that would be received to sell an asset or paid to transfer a liability in an orderly transaction between market participants at the measurement date (exit price).

This Topic establishes a fair value hierarchy that prioritizes the inputs used to measure fair value. The hierarchy gives the highest priority to unadjusted quoted prices in active markets for identical assets or liabilities (Level 1 measurement) and the lowest priority to unobservable inputs (Level 3 measurement). The three levels of the fair value hierarchy defined by this Topic are as follows:

Level 1 – Quoted prices are available in active markets for identical assets or liabilities as of the reporting date. Active markets are those in which transactions for the asset or liability occur in sufficient frequency and volume to provide pricing information on an ongoing basis.

Level 2 – Pricing inputs are observable, either directly or indirectly, but are not quoted prices included within Level 1. Level 2 includes those financial instruments that are valued using external inputs with models or other valuation methodologies.

Level 3 – Pricing inputs include significant inputs that are generally less observable from objective sources. These inputs may be used with internally developed methodologies that result in management's best estimate of fair value. Level 3 instruments include those that may be more structured or otherwise tailored to customers' needs.

As required by this Topic, financial assets and liabilities are classified in their entirety based on the lowest level of input that is significant to the fair value measurement.

NORTHERN CALIFORNIA RETIRED OFFICERS COMMUNITY
dba PARADISE VALLEY ESTATES

NOTES TO FINANCIAL STATEMENTS
(Continued)

Note 5 – Fair Value of Financial Instruments (continued)

The following table shows NCROC's financial assets and liabilities that were accounted for at fair value on a recurring basis as of December 31, 2014 and 2013:

	Fair Value Measurements at Reporting Date Using:			
	Fair Value	Quoted Prices in Active Markets for Identical Assets (Level 1)	Significant Other Observable Inputs (Level 2)	Significant Unobservable Inputs (Level 3)
<u>December 31, 2014</u>				
<u>Assets:</u>				
<u>Assets whose use is limited</u>				
Cash and certificates	\$ 9,133,247	\$ 9,133,247	\$ -	\$ -
Government securities	131,479	131,479	-	-
Corporate bonds	2,827,040	2,827,040	-	-
U.S. equity securities	4,230,421	4,230,421	-	-
Growth funds	198,385	198,385	-	-
Total assets whose use is limited	<u>16,520,572</u>	<u>16,520,572</u>	<u>-</u>	<u>-</u>
<u>Investments</u>				
Cash and certificates	1,638,722	1,638,722	-	-
Government securities	1,165,405	1,165,405	-	-
Corporate bonds	11,090,453	11,090,453	-	-
U.S. equity securities	18,142,803	18,142,803	-	-
Growth funds	1,758,451	1,758,451	-	-
Total investments	<u>33,795,834</u>	<u>33,795,834</u>	<u>-</u>	<u>-</u>
Total assets	\$ <u>50,316,406</u>	\$ <u>50,316,406</u>	\$ <u>-</u>	\$ <u>-</u>
<u>Liabilities:</u>				
Charitable gift annuities	\$ <u>90,006</u>	\$ <u>-</u>	\$ <u>-</u>	\$ <u>90,006</u>

NORTHERN CALIFORNIA RETIRED OFFICERS COMMUNITY
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NOTES TO FINANCIAL STATEMENTS
(Continued)

Note 5 – Fair Value of Financial Instruments (continued)

Fair Value Measurements at Reporting Date Using:				
		Quoted Prices in Active Markets for Identical Assets (Level 1)	Significant Other Observable Inputs (Level 2)	Significant Unobservable Inputs (Level 3)
	Fair Value			
<u>December 31, 2013</u>				
<u>Assets:</u>				
<u>Assets whose use is limited</u>				
Cash and certificates	\$ 9,042,113	\$ 9,042,113	\$ -	\$ -
Government securities	119,615	119,615	-	-
Corporate bonds	1,453,166	1,453,166	-	-
U.S. equity securities	2,414,889	2,414,889	-	-
Growth funds	128,933	128,933	-	-
Total assets whose use is limited	<u>13,158,716</u>	<u>13,158,716</u>	<u>-</u>	<u>-</u>
<u>Investments</u>				
Cash and certificates	2,482,831	2,482,831	-	-
Government securities	1,650,562	1,650,562	-	-
Corporate bonds	9,040,185	9,040,185	-	-
U.S. equity securities	16,961,437	16,961,437	-	-
Growth funds	1,779,143	1,779,143	-	-
Total investments	<u>31,914,158</u>	<u>31,914,158</u>	<u>-</u>	<u>-</u>
Total assets	\$ <u>45,072,874</u>	\$ <u>45,072,874</u>	\$ <u>-</u>	\$ <u>-</u>
<u>Liabilities:</u>				
Charitable gift annuities	\$ <u>144,204</u>	\$ <u>-</u>	\$ <u>-</u>	\$ <u>144,204</u>

NORTHERN CALIFORNIA RETIRED OFFICERS COMMUNITY
dba PARADISE VALLEY ESTATES

NOTES TO FINANCIAL STATEMENTS
(Continued)

Note 5 – Fair Value of Financial Instruments (continued)

Liabilities measured at fair value on a recurring basis using significant unobservable inputs (Level 3):

	Fair Value Measurements Using Significant Unobservable Inputs (Level 3)
	<u>Charitable gift annuities</u>
<u>Liabilities:</u>	
January 1, 2013	\$ 202,484
Payments made to annuitants	(58,280)
Net change in present value of annuities	<u>-</u>
December 31, 2013	144,204
Payments made to annuitants	(54,198)
Net change in present value of annuities	<u>-</u>
December 31, 2014	\$ <u>90,006</u>

Financial assets valued using Level 1 inputs are based on unadjusted quoted market prices within active markets. The fair value for Level 3 liabilities is determined by calculating the present value of cash flows expected to be paid out, using various discount rates and life expectancy tables.

NORTHERN CALIFORNIA RETIRED OFFICERS COMMUNITY
dba PARADISE VALLEY ESTATES

NOTES TO FINANCIAL STATEMENTS
(Continued)

Note 6 –Pledge Receivable

Pledge receivable consists of the following:

	December 31,	
	2014	2013
Benevolence fund pledge	\$ 335,161	\$ -
Operations fund pledge	<u>425,161</u>	<u>-</u>
	<u>\$ 760,322</u>	<u>\$ -</u>
Receivable in less than one year	\$ 680,322	\$ -
Receivable in one to five years	40,000	-
Receivable in more than five years	<u>40,000</u>	<u>-</u>
	<u>\$ 760,322</u>	<u>\$ -</u>

As of December 31, 2014, there was no allowance for uncollectible pledges, as the pledge was deemed collectible.

Note 7 – Property and Equipment

A summary of property and equipment is as follows:

	December 31,	
	2014	2013
Land	\$ 9,863,452	\$ 9,863,452
Land improvements	12,744,467	12,026,380
Building and improvements	65,312,263	65,068,385
Furniture and equipment	20,093,592	17,545,231
Vehicles	513,935	498,885
Work-in-progress	<u>349,248</u>	<u>892,958</u>
	108,876,957	105,895,291
Less: accumulated depreciation	<u>(43,587,441)</u>	<u>(40,506,117)</u>
	<u>\$ 65,289,516</u>	<u>\$ 65,389,174</u>

NORTHERN CALIFORNIA RETIRED OFFICERS COMMUNITY
dba PARADISE VALLEY ESTATES

NOTES TO FINANCIAL STATEMENTS
(Continued)

Note 8 – Intangible Assets

Net intangible assets consist of the following:

	December 31,	
	2014	2013
Initial marketing costs	\$ 5,632,780	\$ 5,632,780
Less: accumulated amortization	<u>(5,618,458)</u>	<u>(5,612,914)</u>
	\$ <u>14,322</u>	\$ <u>19,866</u>

Future amortization of these marketing costs is as follows:

Years Ending December 31	
2015	\$ 5,544
2016	5,544
2017	<u>3,234</u>
	\$ <u>14,322</u>

Note 9 – Deferred Financing Costs

NCROC refinanced its Series 2002 bonds during the year ended December 31, 2013. Costs associated with the issuance of those bonds in the amount of \$1,089,103 were written off during the year ended December 31, 2013. This is included in other expenses on the statement of activities. Costs related to the Series 2013 bonds in the amount of \$1,348,447 were capitalized as of December 31, 2013. Net deferred financing costs consist of the following:

	December 31,	
	2014	2013
Bond issue costs	\$ 2,822,052	\$ 2,822,053
Accumulated amortization	<u>(1,709,772)</u>	<u>(1,529,904)</u>
	\$ <u>1,112,280</u>	\$ <u>1,292,149</u>

NORTHERN CALIFORNIA RETIRED OFFICERS COMMUNITY
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NOTES TO FINANCIAL STATEMENTS
(Continued)

Note 9 – Deferred Financing Costs (continued)

Future amortization of these financing costs is as follows:

Years Ending December 31	
2015	\$ 168,210
2016	156,069
2017	143,547
2018	130,546
2019	117,026
Thereafter	<u>396,882</u>
	<u>\$ 1,112,280</u>

Note 10 – Revenue Bonds

A summary of revenue bonds is as follows:

	December 31,	
	<u>2014</u>	<u>2013</u>
California Health Facilities Financing Authority Revenue Bonds, Series 2005, reoffered in 2008: Interest from 2.75% to 5.80% payable semi- annually. Beginning December 1, 2008 principal payments due serially to December 2026	\$ 3,525,000	\$ 3,925,000
Interest from 2.75% to 6% payable semi- annually. Beginning December 1, 2021 principal payments due serially to December 2030	5,800,000	5,800,000
California Health Facilities Financing Authority Revenue Bonds, Series 2013: Interest from 2.0% to 3.5% payable semi- annually. Beginning January 1, 2014 principal payments due serially to January 2026	<u>30,340,000</u>	<u>32,315,000</u>
	39,665,000	42,040,000
Plus: unamortized bond premium	<u>2,266,917</u>	<u>2,740,555</u>
	<u>\$ 41,931,917</u>	<u>\$ 44,780,555</u>

NORTHERN CALIFORNIA RETIRED OFFICERS COMMUNITY
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NOTES TO FINANCIAL STATEMENTS
(Continued)

Note 10 – Revenue Bonds (continued)

During the year ended December 31, 2013, NCROC refinanced the Series 2002 bonds with the issuance of Series 2013 bonds. The unamortized bond discount related to the Series 2002 bonds in the amount of \$182,507 was written off during the year ended December 31, 2013. The bonds are collateralized by current and future gross revenues of NCROC and all real property. Additionally, NCROC is required to comply with certain debt covenants with respect to additional borrowings, maintenance of insurance, financial reporting and maintenance of certain financial ratios. Also, under the terms of the bonds, NCROC is required to maintain certain deposits with a trustee.

Future principal payments on the bonds are as follows:

	Series 2005	Series 2013	Total
Years Ending December 31,			
2015	\$ 475,000	\$ 2,020,000	\$ 2,495,000
2016	450,000	2,090,000	2,540,000
2017	500,000	2,165,000	2,665,000
2018	475,000	2,240,000	2,715,000
2019	525,000	2,340,000	2,865,000
Thereafter	<u>6,900,000</u>	<u>19,485,000</u>	<u>26,385,000</u>
	<u>\$ 9,325,000</u>	<u>\$ 30,340,000</u>	<u>\$ 39,665,000</u>

Note 11 – Unearned Entrance Fees

	Years Ending December 31,	
	2014	2013
Balance, beginning of year	\$ 47,292,526	\$ 42,621,244
New fees received	13,148,379	10,984,418
Entrance fees refunded	(664,949)	(283,241)
Amortization of fees	<u>(7,175,039)</u>	<u>(6,029,895)</u>
Balance, end of year	<u>\$ 52,600,917</u>	<u>\$ 47,292,526</u>

Entrance fees still within a potentially refundable declining period at December 31, 2014 and 2013, were \$22,491,536 and \$17,821,483, respectively. Based on the past five years actual refunds have averaged \$560,413 per year for the potentially refundable declining period.

NORTHERN CALIFORNIA RETIRED OFFICERS COMMUNITY
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NOTES TO FINANCIAL STATEMENTS
(Continued)

Note 12 – Temporarily Restricted Net Assets

Temporarily restricted net assets consist of the following:

	December 31,	
	2014	2013
Benevolence fund	\$ 804,484	\$ 170,139
Scholarship fund	50,931	48,780
Angels in Paradise	508	508
Health Center fund	8,200	8,200
Specific use fund	140,889	10,119
Worship committee	<u>5,700</u>	<u>4,757</u>
	<u>\$ 1,010,712</u>	<u>\$ 242,503</u>

Note 13 – Third Party Payor Revenue

NCROC has agreements to provide care to recipients of the Medicare program. NCROC charges these residents based on normal posted rates, however, reimbursement by the Medicare program is restricted by various reimbursement guidelines. Net revenues include contractual adjustments, which represent the difference between customary charges and actual payments. Net resident revenues from Medicare for the years ended December 31, 2014 and 2013, were \$1,869,459 and \$1,879,677, respectively.

The above Medicare revenues are subject to audit based upon annual cost reports. Upon audit by Medicare intermediaries, there is a possibility of adjustment to revenues.

Note 14 – Investment Income

Investment income consists of the following:

	Years Ended December 31,	
	2014	2013
Interest and dividends	\$ 1,154,937	\$ 960,894
Net realized gains	266,502	579,894
Net unrealized gains	<u>1,379,895</u>	<u>2,505,235</u>
	<u>\$ 2,801,334</u>	<u>\$ 4,046,023</u>

NORTHERN CALIFORNIA RETIRED OFFICERS COMMUNITY
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NOTES TO FINANCIAL STATEMENTS
(Continued)

Note 15 – Leases

NCROC leases certain office equipment under operating leases. The terms range from 51 to 60 months, expiring in 2015 and 2016. Lease expense for the years ended December 31, 2014 and 2013 was \$36,520 and \$32,565, respectively. Future minimum lease payments are as follows:

Years Ending December 31	
2015	\$ 29,724
2016	<u>379</u>
	\$ <u>30,103</u>

NCROC also leases out certain space within the facility to a bank. The current monthly payment is \$1,525 per month and will increase seven percent per year over the term of the lease, which expires in 2017. The future minimum lease payments due to NCROC are as follows:

Years Ending December 31	
2015	\$ 18,519
2016	19,816
2017	<u>17,465</u>
	\$ <u>55,800</u>

In addition, NCROC rents out other space and equipment to a beauty salon on a month-to-month basis. Payments are set at 6% of gross receipts. Total rental income under both leases for the years ending December 31, 2014 and 2013, was \$22,246 and \$21,457, respectively, and was included in other income on the statements of activities.

Note 16 – Defined Contribution Plans

NCROC sponsors a defined contribution retirement plan available to substantially all employees who are at least 18 years old and have been continuously employed by NCROC for at least six months. Participants can make pre-tax contributions up to certain limits while NCROC provides a matching contribution determined annually by the Board. Total administrative costs incurred by NCROC related to this plan during the years ended December 31, 2014 and 2013, were \$6,804 and \$6,007, respectively.

As of December 2013, NCROC also sponsors a second defined contribution retirement plan available to employees who meet additional eligibility requirements. Participants can make pre-tax contributions up to certain limits while NCROC may make discretionary contributions, as determined by the Board. Total administrative costs incurred by NCROC related to this plan during the years ended December 31, 2014 and 2013, were \$371 and \$0, respectively.

Total contribution expense related to both plans for the years ending December 31, 2014 and 2013, were \$140,151 and \$64,291, respectively.

NORTHERN CALIFORNIA RETIRED OFFICERS COMMUNITY
dba PARADISE VALLEY ESTATES

NOTES TO FINANCIAL STATEMENTS
(Continued)

Note 17 – Statutory Reserves

NCROC is certified as a Continuing Care Retirement Community (CCRC) by the State of California Department of Social Services. California Code Chapter 10, Article 6, Section 1792 requires CCRCs to establish "liquid reserves" (cash, marketable securities, etc.) equal to, or greater than the annual principal and interest payments on long-term obligations plus 75 days of the CCRC's adjusted operating expenses. NCROC's liquid reserves at December 31, 2014, were sufficient to meet this requirement.

Note 18 – Commitments and Contingencies

NCROC had an agreement with the Haskell Company (Haskell), whereby Haskell will provide management services for NCROC. Effective January 1, 2014, the management agreement with Haskell was terminated by NCROC. Management fees charged were \$448,604 for the year ended December 31, 2013.

While NCROC may be party to legal claims in the ordinary course of business, at December 31, 2014 and 2013, management is unaware of any pending claims for which the ultimate liability would have a material effect on the organization's financial position or results of operations.

Note 19 – Concentrations of Credit Risk

NCROC provides care to residents under the Medicare program. Noridian Healthcare Solutions, LLC is the agency responsible for payment for services to Medicare residents.

NCROC is subject to numerous laws and regulations of federal, state and local governments. These laws and regulations relate to, among other things, matters such as licensure, accreditation, and government health care program participation requirements, regulations regarding reimbursement for patient services and regulations regarding Medicare billing, fraud and abuse. Government agencies are actively conducting investigations concerning possible violations of statutes and regulations by health care providers. Violations of these laws and regulations could result in expulsion from government health care programs, together with the imposition of fines and penalties, as well as significant repayments for patient services previously billed. NCROC has implemented a voluntary corporate compliance program which includes guidance for all NCROC employees' adherence to applicable laws and regulations. Management is not aware of any actions or potential actions at December 31, 2014.

NCROC also invests its cash with what it believes to be high quality financial institutions and thus limits credit exposure. At various times during the year and at year-end, NCROC had balances in excess of the coverage under Federal Deposit Insurance Corporation insurance.

In addition, NCROC grants credit to private residents, on an unsecured basis, most of who are local residents.

NORTHERN CALIFORNIA RETIRED OFFICERS COMMUNITY
dba PARADISE VALLEY ESTATES

NOTES TO FINANCIAL STATEMENTS
(Continued)

Note 20 – Subsequent Events

On March 24, 2015, NCROC terminated its contract with Status Solutions, a provider of situational awareness technologies, due to significant problems experienced with the implementation of new software. As of December 31, 2014, installments paid on the contract totaled \$588,190 and were included in prepaid expenses on the accompanying statements of financial position. NCROC requested a refund of these payments in its notice of termination sent to Status Solutions. At this time, it is unknown if any amount will be refunded to NCROC.

NCROC did not have any other subsequent events through March 30, 2015, which is the date the financial statements were issued, requiring recording or disclosure in the financial statements for the year ended December 31, 2014.

Report of Independent Auditors and
Financial Statements



PARADISE VALLEY
ESTATES

December 31, 2015 and 2014

MOSS ADAMS LLP

Certified Public Accountants | Business Consultants

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INDEPENDENT AUDITORS' REPORT

To the Board of Directors
Northern California Retired Officers Community d.b.a. Paradise Valley Estates
Fairfield, California

We have audited the accompanying financial statements of Northern California Retired Officers Community, d.b.a. Paradise Valley Estates (a California nonprofit public benefit Company), which comprise the statement of financial position as of December 31, 2015, and the related statements of activities and changes in net assets and cash flows for the year then ended, and the related notes to the financial statements. The financial statements of Northern California Retired Officers Community, d.b.a. Paradise Valley Estates as of and for the year ended December 31, 2014, were audited by other auditors whose report dated March 30, 2015, expressed an unmodified opinion on those statements.

Management's Responsibility for the Financial Statements

Management is responsible for the preparation and fair presentation of these financial statements in accordance with accounting principles generally accepted in the United States of America; this includes the design, implementation and maintenance of internal control relevant to the preparation and fair presentation of financial statements that are free from material misstatement, whether due to fraud or error.

Auditor's Responsibility

Our responsibility is to express an opinion on these financial statements based on our audit. We conducted our audit in accordance with auditing standards generally accepted in the United States of America. Those standards require that we plan and perform the audit to obtain reasonable assurance about whether the financial statements are free of material misstatement.

An audit involves performing procedures to obtain audit evidence about the amounts and disclosures in the financial statements. The procedures selected depend on the auditor's judgment, including the assessment of the risks of material misstatement of the financial statements, whether due to fraud or error. In making those risk assessments, the auditor considers internal control relevant to the entity's preparation and fair presentation of the financial statements in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the entity's internal control. Accordingly, we express no such opinion. An audit also includes evaluating the appropriateness of accounting policies used and the reasonableness of significant accounting estimates made by management, as well as evaluating the overall presentation of the financial statements.

We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinion.

Opinion

In our opinion, the financial statements referred to above present fairly, in all material respects, the financial position of Northern California Retired Officers Community, d.b.a. Paradise Valley Estates, as of December 31, 2015, and the result of its operations and its cash flows for the year then ended in accordance with accounting principles generally accepted in the United States of America.



San Francisco, California
April 1, 2016

FINANCIAL STATEMENTS

NORTHERN CALIFORNIA RETIRED OFFICERS COMMUNITY
D.B.A. PARADISE VALLEY ESTATES
STATEMENTS OF FINANCIAL POSITION
December 31, 2015 and 2014

	2015	2014
ASSETS		
Cash and cash equivalents	\$ 4,257,148	\$ 5,157,787
Accounts receivable	431,994	616,141
Entrance fees receivable	1,707,000	2,109,000
Assets whose use is limited	16,219,577	16,520,572
Investments	36,570,214	33,795,834
Prepaid expenses	1,067,775	1,162,927
Inventory	140,341	135,917
Pledges receivable	80,000	760,322
Deposits	-	28,354
Property and equipment, net	65,972,607	65,289,516
Intangible assets, net	8,778	14,322
Deferred financing costs, net	944,071	1,112,280
Total assets	<u>\$ 127,399,505</u>	<u>\$ 126,702,972</u>
LIABILITIES AND NET ASSETS		
Liabilities		
Accounts payable and accrued expenses	\$ 1,215,378	\$ 717,841
Accrued personnel expenses	554,591	797,542
Accrued compensated annual leave	468,152	284,745
Accrued interest	643,847	675,978
Other accrued liabilities	920,670	831,940
Revenue bonds	38,999,836	41,931,917
Charitable remainder annuity trust	38,376	90,006
Refundable entrance fees	6,848,968	7,196,605
Unearned entrance fees	56,254,167	52,600,917
Total liabilities	<u>105,943,985</u>	<u>105,127,491</u>
Net assets		
Unrestricted	19,870,046	20,564,769
Temporarily restricted	<u>1,585,474</u>	<u>1,010,712</u>
Total net assets	<u>21,455,520</u>	<u>21,575,481</u>
Total liabilities and net assets	<u>\$ 127,399,505</u>	<u>\$ 126,702,972</u>

See accompanying notes.

**NORTHERN CALIFORNIA RETIRED OFFICERS COMMUNITY
D.B.A. PARADISE VALLEY ESTATES
STATEMENTS OF ACTIVITIES AND CHANGES IN NET ASSETS
December 31, 2015 and 2014**

	<u>2015</u>	<u>2014</u>
Change in unrestricted net assets:		
Revenues		
Resident services	\$ 15,454,802	\$ 15,185,361
Health services	6,142,842	6,820,078
Amortization of entrance fees	6,543,356	7,175,039
Investment income	1,291,118	1,421,439
Contributions	-	715,161
Other income	1,714,438	852,832
	<u>31,146,556</u>	<u>32,169,910</u>
Net assets released – restricted purpose met	<u>118,089</u>	<u>123,364</u>
Total unrestricted revenues	31,264,645	32,293,274
Expenses		
Resident services	6,103,244	5,596,833
Utilities	2,038,665	1,874,421
Dining services	4,833,465	4,616,366
Health services	6,668,048	6,050,184
General and administrative	5,344,481	4,689,300
Depreciation	3,343,741	3,146,558
Amortization	168,209	185,412
Interest	1,285,970	1,328,343
Other expenses	752,701	580,037
Total expenses	30,538,524	28,067,454
Income from operations	726,121	4,225,820
Nonoperating (expense) income:		
Unrealized change in value of investments	<u>(1,420,844)</u>	<u>1,379,895</u>
Total nonoperating (expense) income	<u>(1,420,844)</u>	<u>1,379,895</u>
Change in unrestricted net assets	(694,723)	5,605,715
Change in temporarily restricted net assets		
Temporarily restricted contributions	86,858	891,573
Net assets released – restricted purpose met	(118,089)	(123,364)
Other	605,993	-
Change in temporarily restricted net assets	574,762	768,209
Change in total net assets	<u>(119,961)</u>	<u>6,373,924</u>
Net assets, beginning of year	<u>21,575,481</u>	<u>15,201,557</u>
Net assets, end of year	<u><u>\$ 21,455,520</u></u>	<u><u>\$ 21,575,481</u></u>

See accompanying notes.

NORTHERN CALIFORNIA RETIRED OFFICERS COMMUNITY
D.B.A. PARADISE VALLEY ESTATES
STATEMENTS OF CASH FLOWS
December 31, 2015 and 2014

	2015	2014
Cash flows from operating activities		
Cash received from residents	\$ 21,781,791	\$ 22,573,442
Contributions and miscellaneous revenue	2,481,618	380,000
Unearned entrance fees received from residents	11,411,700	13,040,384
Refund of unearned entrance fees	(712,594)	(664,949)
Investment income received	1,291,118	1,421,439
Interest paid	(1,755,182)	(1,823,231)
Cash paid to suppliers and employees	(24,483,262)	(24,127,171)
Net cash provided by operating activities	<u>10,015,189</u>	<u>10,799,914</u>
Cash flows from investing activities		
Net change in assets whose use is limited	300,995	(3,361,856)
Proceeds from sale of investments	4,338,446	-
Purchase of investments	(8,513,638)	(501,781)
Purchase and construction of property and equipment	(4,026,832)	(3,081,647)
Net cash used in investing activities	<u>(7,901,029)</u>	<u>(6,945,284)</u>
Cash flows from financing activities		
Proceeds from contributions limited to long-term use	-	466,412
Payments on revenue bonds	(2,495,000)	(2,375,000)
Payments on charitable remainder trust	(71,662)	(54,198)
Refundable entrance fees received	-	434,006
Refund of refundable entrance fees	(448,137)	(534,375)
Net cash used in financing activities	<u>(3,014,799)</u>	<u>(2,063,155)</u>
Net change in cash and cash equivalents	(900,639)	1,791,475
Cash and cash equivalents, beginning of year	<u>5,157,787</u>	<u>3,366,312</u>
Cash and cash equivalents, end of year	<u>\$ 4,257,148</u>	<u>\$ 5,157,787</u>

See accompanying notes.

**NORTHERN CALIFORNIA RETIRED OFFICERS COMMUNITY
D.B.A. PARADISE VALLEY ESTATES
STATEMENTS OF CASH FLOWS (CONTINUED)
December 31, 2015 and 2014**

	<u>2015</u>	<u>2014</u>
Reconciliation of change in net assets to net cash provided by operating activities		
Change in net assets	\$ (119,961)	\$ 6,373,924
Adjustments to reconcile change in net assets to net cash provided by operating activities:		
Amortization of unearned entrance fees	(6,543,356)	(7,175,039)
Amortization of intangible assets and deferred financing costs	168,209	185,412
Depreciation	3,343,741	3,146,558
Unearned entrance fees received	10,297,106	12,932,387
Unrealized (gain) loss on investments	1,420,844	(2,044,844)
Contributions restricted to long-term use	-	(891,573)
Loss on sale of property and equipment	-	34,747
Amortization of bond premium	(437,081)	(473,638)
(Increase) decrease in assets:		
Accounts receivable	184,147	(234,829)
Prepaid expenses	100,696	(716,731)
Inventory	(4,424)	(25,744)
Pledges receivable	680,322	(335,161)
Entrance fee receivable	402,000	107,997
Refundable deposits	28,354	-
Increase (decrease) in liabilities:		
Accounts payable and other accrued expenses	497,537	(518,285)
Accrued personnel expenses	(242,951)	231,954
Accrued compensated annual leave	183,407	46,739
Accrued interest	(32,131)	(21,250)
Other accrued liabilities	88,730	177,290
Net cash provided by operating activities	<u>\$ 10,015,189</u>	<u>\$ 10,799,914</u>

See accompanying notes.

**NORTHERN CALIFORNIA RETIRED OFFICERS COMMUNITY
D.B.A. PARADISE VALLEY ESTATES
NOTES TO FINANCIAL STATEMENTS**

NOTE 1 – NATURE OF BUSINESS

The Northern California Retired Officers Community ("NCROC"), located in Fairfield, California, is a California nonprofit public benefit corporation organized to provide housing facilities and related services to primarily retired commissioned officers of the Uniformed Services and their spouses.

The facility consists of 327 housing units, public spaces and amenities, a 40-room assisted living facility and an 88-bed health service facility with 28 beds licensed for assisted living and 60 beds licensed as a skilled nursing facility.

NCROC operates primarily under the "continuing care" concept in which residents enter into a residential contract that generally provides for a specified entrance fee, with certain options for refunds, and for monthly service fees throughout the residents' tenancy. Generally, payment of these fees entitles residents to the use and privileges of NCROC for life. Residents are also entitled to certain health care services provided in the NCROC assisted living and skilled nursing facility. The residency agreement does not entitle the residents to an ownership interest in NCROC.

NOTE 2 – SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES

Basis of presentation — The accompanying financial statements have been prepared on the accrual basis of accounting in accordance with accounting principles generally accepted in the United States of America.

Functional expenses — The expenses of NCROC are presented according to their functional classification in the accompanying Statements of Activities and Changes in Net Assets. There were no fundraising costs incurred for the years ending December 31, 2015 and 2014.

Performance indicator — "Income from operations" as reflected in the accompanying Statements of Activities and Changes in Net Assets, is the performance indicator. The performance indicator excludes receipt of restricted contributions and unrealized change in values of investments.

Cash and cash equivalents — NCROC considers all highly liquid instruments, with a maturity of three months or less at the time of purchase, to be cash equivalents. The carrying amount reported in the Statements of Financial Position for cash and cash equivalents approximates fair value due to the short-term nature of these financial instruments.

Accounts receivable — Accounts receivable represent amounts due from residents for deposits, monthly service fees and health service fees. An allowance for doubtful accounts is based upon an analysis of the collectibility of outstanding amounts. Accounts deemed uncollectible are charged against the allowance. Subsequent recoveries of bad debts are credited to the allowance. As of December 31, 2015 and 2014, all accounts were deemed collectible. Accounts receivable balances over 90-days at December 31, 2015 and 2014, were \$22,465 and \$37,723, respectively.

Entrance fees receivable — Entrance fees receivable consist of amounts due from residents. These amounts are supported by a signed continuing care contract, and in some cases, a promissory note. Generally these amounts are satisfied at, or about, the time of initial residency by the contract holder(s). Promissory notes may contain a grace period with respect to interest, but only for a limited time. If the promissory note is extended, a 5% interest rate is assessed.

Assets whose use is limited — Assets whose use is limited at December 31, 2015 and 2014 consist of cash, money market funds and other investments whose use is restricted by donors, the board of directors or the bond agreements. The use of the California Health Facilities Financing Authority Revenue Bonds Series 2013 and Series 2005 assets are legally restricted per the bond agreements. All limited use assets are reported at fair market value.

Investments — Investments consist of long-term certificates of deposit, mutual funds and debt and equity securities recorded at fair value. Equity securities consist of stocks of companies listed with the Securities Exchange Commission.

The fair values for debt securities and equity securities are based upon the quoted market prices at year end. Accordingly, net realized and unrealized gains and losses on debt and equity securities are reflected in the Statements of Activities and Changes in Net Assets.

**NORTHERN CALIFORNIA RETIRED OFFICERS COMMUNITY
D.B.A. PARADISE VALLEY ESTATES
NOTES TO FINANCIAL STATEMENTS**

Inventory — Inventory consists primarily of food and miscellaneous supplies and is stated at the lower of cost (principally using the first-in, first-out method) or market.

Property and equipment — Property and equipment acquisitions in excess of \$2,500 and with an estimated useful life of more than three years are capitalized at historical cost. Depreciation is computed using the straight-line method based upon the following estimated useful lives:

Building and improvements	10 to 80 years
Furniture and equipment	3 to 20 years
Land improvements	7 to 80 years
Vehicles	3 to 10 years

Upon sale or retirement of depreciable assets, the related cost and accumulated depreciation are removed from the accounts and any resulting gain or loss is reflected in the Statements of Activities and Changes in Net Assets.

NCROC evaluates whether events and circumstances have occurred that indicate whether the carrying value of long-lived assets have been impaired. In the event that NCROC determines that impairment has occurred, a write-down to estimated fair value would be recorded. Measurement is based on those assets' estimated fair values as compared to the carrying value. No events have occurred during the years ending December 31, 2015 and 2014, that would indicate an impairment of value.

Interest costs incurred on borrowed funds, less investment income earned on unspent borrowed proceeds during the period of construction of long-term assets, are capitalized and amortized over the related assets' estimated useful lives.

Donated property — Contributed property and equipment is recorded at fair value at the date of donation. If donors stipulate how long the asset must be used, the contribution is recorded as restricted support. In the absence of such stipulations, contributions of property and equipment are recorded as unrestricted support.

Pledges receivable — Unconditional promises to give are recorded in the financial statements as pledges receivable and contribution revenue in the period the promise is received. Pledges receivable due after one year are recorded at present value calculated using a risk-free rate of return in effect at the time the contribution is received. Pledges are written-off in the period deemed uncollectible. The provision for uncollectible amounts is computed based upon management's evaluation of past experiences and analysis of current receivable balances. No pledges were written off for the years ended December 31, 2015 and 2014.

Intangible assets — Intangible assets, consisting of marketing costs incurred during the development stage of NCROC, are deferred and amortized over the future periods in which management believes they will be recovered from future revenues. These costs are being amortized on a straight-line basis over a 12-year period, which approximates the average expected residency agreement term. Included in marketing costs are costs related to direct response advertising incurred prior to and during the initial occupancy period of NCROC, and other marketing and promotional costs incurred in connection with acquiring initial continuing care contracts that have been capitalized in accordance with accounting principles generally accepted in the United States of America. As of December 31, 2015 and 2014 accumulated amortization was \$5,624,002 and \$5,618,458, respectively.

All other costs of advertising, promotion and marketing programs are charged to expense in the year incurred. For the years ended December 31, 2015 and 2014, NCROC incurred marketing and advertising costs of \$1,526,529 and \$1,483,779, respectively.

Deferred financing costs — NCROC refinanced its Series 2002 bonds during the year ended December 31, 2013. Costs associated with the issuance of those bonds were written off during the year ended December 31, 2013. This Bond issuance costs are amortized over the term of the respective bonds using the effective interest method. As of December 31, 2015 and 2014, accumulated amortization was \$1,877,982 and \$1,709,773, respectively. For the years ended December 31, 2015 and 2014, amortization expense was \$168,209 and \$185,412, respectively.

Bond premium — The bond premium is netted with the related Series 2013 bonds and is amortized over the term of the bonds using the effective interest method. As of December 31, 2015 and 2014, accumulated amortization was \$1,281,462 and \$844,381, respectively. For the years ended December 31, 2015 and 2014, amortization expense was \$437,081 and \$473,638, respectively.

NORTHERN CALIFORNIA RETIRED OFFICERS COMMUNITY
D.B.A. PARADISE VALLEY ESTATES
NOTES TO FINANCIAL STATEMENTS

Refundable and unearned entrance fees — Refundable entrance fees have been recorded as a liability and unearned entrance fees have been recorded as deferred revenue in the Statements of Financial Position. NCROC offers one basic residency agreement (the “Agreement”) with three different refund programs. The differences amongst the Agreement refund programs relate primarily to the amount of entrance fees refundable to the resident (or resident’s estate) upon termination of the residency agreement. Under all plans, the resident has a limited time period to cancel the contract and receive a 100% refund of all entrance fees. This cancellation period is five months for contracts signed December 31, 2001, and prior, and three months for contracts signed January 1, 2002, or later. Plan “0” provides for a declining refundable amount based on the length of residency and, generally, requires no refund after approximately four and one-half years of residency. Plans “50” and “95” provide for refunds of 50% and 95%, respectively, of entrance fees upon termination of the residency agreement. The amount of unearned entrance fees reflected in the Statements of Financial Position are estimates that are actuarially determined using data available from similar facilities and are based upon residents’ life expectancies and projected withdrawals from the facility.

The total liability for the refundable entrance fee contracts was \$6,848,968 and \$7,196,605 at December 31, 2015 and 2014, respectively. As required by the state of California, NCROC has established an escrow account that holds funds for the sole purpose of refunding entrance fees. The escrow balance is included in assets whose use is limited on the Statements of Financial Position and was \$3,590,512 and \$3,459,434 as of December 31, 2015 and 2014, respectively.

Fees paid by the resident upon entering into a residency agreement, net of the portion thereof that is estimated refundable entrance fees, are recorded as unearned entrance fees and amortized to income using the straight-line method over the estimated remaining life expectancy of the resident. Resident life expectancy is reevaluated annually.

Actual amounts refundable from refundable entrance fees and unearned entrance fees could change significantly from actuarial estimates.

Future service obligation — NCROC annually calculates the present value of the costs of future services and the use of facilities to be provided to current residents and compares that amount to expected resident service income and deferred revenue from unearned entrance fees. The calculation is an actuarially determined amount of future net cash flows, which is based on the present value of cash outflows and inflows (using a discount rate of 5% for 2015 and 2014) and adjusted for certain noncash items as compared to the balance of unearned entrance fees. This calculation indicates that no net liability for future service to current residents existed at December 31, 2015 and 2014.

Charitable remainder annuity trust — NCROC has established a program under which donors may setup charitable remainder annuity trusts. Under this program, donors can contribute assets to NCROC and in return receive a guaranteed fixed income for life. NCROC recognizes contribution revenue for the difference between the fair value of the assets received and the annuity liability.

Annuity liabilities are recorded for the required life annuity payments at the present value of expected future cash payments discounted using current interest rates and actuarial assumptions for those annuities that have not been reinsured. The annuity obligations are adjusted each year for changes in the life expectancy of the beneficiaries and are reduced either as payments are made to the donor or as annuities are reinsured. The present value of future payment liabilities of charitable gift annuities was \$38,376 and \$90,006 at December 31, 2015 and 2014, respectively.

Net asset classifications — The accompanying financial statements have been prepared in accordance with the standards set forth in Financial Accounting Standards Board (the “FASB”) Accounting Standards Codification (the “ASC”) Topic 954, *Health Care Entities* and FASB ASC Topic 958, *Not-for-Profit Entities* and the guidelines set forth in the industry audit and accounting guide “*Health Care Organizations*” issued by the American Institute of Certified Public Accountants. Under these guidelines, contributions of cash and other assets are classified as one of the following three categories:

Unrestricted net assets — represent unrestricted resources available to support NCROC operations and temporarily restricted resources that have become available for use by NCROC in accordance with the intention of the donor. Included within unrestricted are board designated funds of \$4,098,188 at December 31, 2015 and 2014, subject to board approval.

Temporarily restricted — represent contributions that are limited in use by NCROC in accordance with temporary donor-imposed stipulations. These stipulations may expire with time or may be satisfied by the actions of NCROC according to the intention of the donor. Upon satisfaction of such stipulations, the associated net assets are released from temporarily restricted net assets and recognized as unrestricted net assets. Temporarily restricted net assets are available primarily for assistance or other projects as designated by the donors.

**NORTHERN CALIFORNIA RETIRED OFFICERS COMMUNITY
D.B.A. PARADISE VALLEY ESTATES
NOTES TO FINANCIAL STATEMENTS**

Permanently restricted — represent net assets subject to donor-imposed stipulations that they be maintained by NCROC in perpetuity. The Board of Directors has interpreted California's enacted Uniform Prudent Management of Institutional Funds Act ("UPMIFA") as requiring the preservation of the fair value of the original gift as of the gift date of permanently restricted donations absent explicit donor stipulations to the contrary. As a result of this interpretation, the NCROC classifies as permanently restricted net assets (a) the original value of gifts donated, (b) the original value of subsequent gifts, and (c) accumulations to the permanently restricted fund made in accordance with the direction of the applicable donor gift instrument at the time the accumulation is added to the fund. Generally, the donors of these assets permit the NCROC to use all or part of the investment return on these assets. NCROC has no permanently restricted net assets at December 31, 2015 and 2014.

Resident services revenue — In addition to the entrance fees paid by the residents of NCROC, the Agreement requires each resident to pay a monthly service fee. The entire monthly service fee is recognized as revenue on a monthly basis. NCROC began offering a new rental contract during 2011 under which residents are not required to pay an entrance fee but they must pay a monthly premium in addition to the monthly service fees.

Contributions — NCROC reports unconditional contributions of cash and other assets at fair value at the date the contribution is made. Conditional contributions are reported at fair value at the date the conditions are substantially met. Contributions received are recorded as either unrestricted, temporarily restricted or permanently restricted support, depending on the existence or nature of any donor restrictions.

Donor-restricted contributions and related gains and investment income are reported as increases in temporarily or permanently restricted net assets depending on the nature of the restriction. When a restriction expires (that is, when a stipulated time restriction ends or purpose restriction is accomplished), temporarily restricted net assets are reclassified to unrestricted net assets and reported in the statements of activities as net assets released from restrictions.

Charity Care — NCROC provides care without charge or at amounts less than its established rates to residents who meet certain criteria under its charity care policy. Because NCROC does not normally pursue collection of amounts determined to qualify as benevolence, they are not reported as revenue.

Donated services — Significant amounts of time from a number of people have been donated to NCROC. The accompanying financial statements do not reflect the value of those donated services, as no reliable basis exists for reasonably determining the amounts involved.

Workers' compensation plan — NCROC is self-insured for workers' compensation. Claims are accrued under the plan as the incidents that give rise to them occur. Unpaid claims accruals, including estimates of incurred but not reported claims, are based on the estimated ultimate cost of settlement, including claim settlement expenses, in accordance with NCROC's past experience. As of December 31, 2015 and 2014, a workers' compensation reserve liability in the amount of \$189,860, and \$277,860, respectively, was included in other accrued liabilities on the accompanying Statements of Financial Position.

Concentration of credit risk — Financial instruments potentially subjecting NCROC to concentrations of credit risk consist primarily of bank demand deposits in excess of the Federal Deposit Insurance Corporation insurance thresholds and cash held in money market accounts in excess of the amounts insured by the U.S. Treasury insurance for money market funds. Demand deposits are placed with local financial institutions, and management has not experienced any loss related to these demand deposits in the past. Investment securities are exposed to various risks, such as interest rate, market, and credit risks. It is at least reasonably possible, given the level of risk associated with investment securities, that changes in the near term could materially affect the amount reported in the financial statements. The risk associated with the investments is mitigated through diversification.

Concentration of credit risk results from the Corporation granting credit without collateral to its residents and patients, most of whom are local residents and insured under third-party payor agreements. The mix of receivables as of December 31, 2015 and 2014, from residents and third-party payors is listed at Note 17.

Use of estimates — The preparation of financial statements in conformity with accounting principles generally accepted in the United States requires management to make estimates and assumptions that affect the reported amounts of assets and liabilities and disclosure of contingent assets and liabilities at the date of the financial statements and the reported amounts of revenues, expenses, gains, and losses during the reporting period. Significant items subject to such estimates and assumptions include the fair values of investments, future service obligation, depreciation, and unearned entrance fees. Actual results could differ from those estimates.

**NORTHERN CALIFORNIA RETIRED OFFICERS COMMUNITY
D.B.A. PARADISE VALLEY ESTATES
NOTES TO FINANCIAL STATEMENTS**

Fair value of financial instruments — NCROC's financial instruments consist of accounts receivable, entrance fees receivable, pledges receivable, investments, assets whose use is limited, deposits, accounts payable, accrued expenses, charitable gift annuities and revenue bonds. It is management's opinion that NCROC is not exposed to significant interest rate or credit risk arising from these instruments. Unless otherwise indicated, the fair value of all reported assets and liabilities that represented financial instruments approximate their carrying values. NCROC's policy is to recognize transfers in and transfers out of Level 1 and Level 2 as of the end of the reporting period. Please see Note 5 for fair value hierarchy disclosures.

New accounting pronouncements — In October 2012, the FASB issued Accounting Standard Update ("ASU") No. 2012-05, *Classification of the Sale Proceeds of Donated Financial Assets in the Statement of Cash Flows* ("ASU 2012-05") to classify cash receipts from the sale of donated financial assets consistently with cash donations received in the statement of cash flows if those cash receipts were from the sale of donated financial assets that upon receipt were directed without any NFP-imposed limitations for sale and were converted nearly immediately into cash. Accordingly, the cash receipts from the sale of those financial assets should be classified as cash inflows from operating activities, unless the donor restricted the use of the contributed resources to long-term purposes, in which case those cash receipts should be classified as cash flows from financing activities. Otherwise, cash receipts from the sale of donated financial assets should be classified as cash flows from investing activities by the NFP. NCROC implemented this guidance in 2015. The adoption did not have a material impact on NCROC's financial statements.

In May 2014, the FASB issued ASU No. 2014-09, *Revenue from Contracts with Customers* ("ASU 2014-09") to recognize revenue to depict the transfer of promised goods or services to customers in an amount that reflects the consideration to which the entity expects to be entitled in exchange for those goods or services. For all nonpublic entities, the amendments in this update are effective for financial statements issued for fiscal years beginning after December 15, 2017, and interim periods within fiscal years beginning after December 15, 2018. NCROC is currently evaluating the impact of the ASU 2014-09 on the NCROC's financial statements.

In April 2015, the FASB issued ASU No. 2015-03, *Interest-Imputation of Interest (Subtopic 835-30): Simplifying the Presentation of Debt Issuance Costs* ("ASU 2015-03"). The amendment in this update require that debt issuance costs related to a recognized debt liability be presented in the statement of financial position as a direct deduction from the carrying amount of that debt liability, consistent with debt discounts. The recognition and measurement guidance for debt issuance costs are not affected by the amendments in this update. For all nonpublic entities, the amendments in this update are effective for financial statements issued for fiscal years beginning after December 15, 2015, and interim periods within fiscal years beginning after December 15, 2016. NCROC is currently evaluating the impact of the ASU 2015-03 on the NCROC's financial statements.

Reclassifications — Certain financial statement reclassifications have been made to prior year balances for comparability purposes and had no impact on change in net assets as previously reported.

NOTE 3 – TAX STATUS

NCROC has been granted an exemption from federal income tax under the Internal Revenue Code, Section 501(c)(3). This Internal Revenue Code section provides for taxation of certain unrelated business income. Management believes that NCROC has had no significant unrelated business income to date. NCROC is exempt from state income tax under similar provisions of the Franchise Tax Board of the State of California. At December 31, 2015 and 2014, there were no such uncertain tax positions.

**NORTHERN CALIFORNIA RETIRED OFFICERS COMMUNITY
D.B.A. PARADISE VALLEY ESTATES
NOTES TO FINANCIAL STATEMENTS**

NOTE 4 – ASSETS WHOSE USE IS LIMITED

The use of these assets is restricted as follows:

	December 31,	
	2015	2014
<u>Funds held by trustee</u>		
<i>2005 Bond funds:</i>		
Interest fund	\$ 41,525	\$ 43,354
Principal fund	37,503	39,584
Reserve fund	977,091	995,300
	<u>1,056,119</u>	<u>1,078,238</u>
<i>2013 Bond funds:</i>		
Interest fund	602,436	632,663
Principal fund	2,090,410	2,020,131
Reserve fund	3,326,099	3,334,268
	<u>6,018,945</u>	<u>5,987,062</u>
<u>Board designated funds</u>		
Benevolence fund	285,399	285,399
Capital replacement fund	3,812,789	3,812,789
	<u>4,098,188</u>	<u>4,098,188</u>
<u>Other limited uses</u>		
Benevolence fund	1,061,109	677,190
Entrance fee refund escrow	3,590,512	3,459,434
Charitable annuities	394,704	476,012
Other	-	744,448
	<u>5,046,325</u>	<u>5,357,084</u>
	<u><u>\$ 16,219,577</u></u>	<u><u>\$ 16,520,572</u></u>

The board designated funds listed above are fully funded and will be used to enhance the lives of NCROC's residents as they provide a safer and more marketable atmosphere.

Expenditures of \$97,080 and \$98,425 were made from the Benevolence funds during the years ended December 31, 2015 and 2014, respectively.

NOTE 5 – FAIR VALUE OF FINANCIAL INSTRUMENTS

FASB ASC 820 defines fair value as the price that would be received to sell an asset or paid to transfer a liability in an orderly transaction between market participants at the measurement date. FASB ASC 820 also establishes a fair value hierarchy which requires an entity to maximize the use of observable inputs and minimize the use of unobservable inputs when measuring fair value. The standard describes three levels of inputs that may be used to measure fair value:

- Level 1** – Quoted prices are available in active markets for identical assets or liabilities as of the reporting date. Active markets are those in which transactions for the asset or liability occur in sufficient frequency and volume to provide pricing information on an ongoing basis.
- Level 2** – Pricing inputs are observable, either directly or indirectly, but are not quoted prices included within Level 1. Level 2 includes those financial instruments that are valued using external inputs with models or other valuation methodologies.
- Level 3** – Pricing inputs include significant inputs that are generally less observable from objective sources. These inputs may be used with internally developed methodologies that result in management's best estimate of fair value. Level 3 instruments include those that may be more structured or otherwise tailored to customers' needs.

NORTHERN CALIFORNIA RETIRED OFFICERS COMMUNITY
D.B.A. PARADISE VALLEY ESTATES
NOTES TO FINANCIAL STATEMENTS

Following is a description of the valuation methodologies used for instruments measured at fair value on a recurring basis and recognized in the Statements of Financial Position at December 31, 2015 and 2014, as well as the general classification of such instruments pursuant to the valuation hierarchy.

Cash and cash equivalents – Level 1 securities include cash and cash equivalents, including those held in bond sinking funds and held for refundable deposits, as recapped below.

Investments and assets whose use is limited– Where quoted market prices are available in an active market, securities are classified within Level 1 of the valuation hierarchy. Level 1 securities include cash and cash equivalents held for investment, exchange traded equities, growth funds, debt securities and equity securities, and are valued at the closing price reported in the active market in which the individual security is traded. If quoted market prices are not available, then fair values are estimated by using pricing models, quoted prices of securities with identical characteristics, discounted cash flows, or net asset values. In certain cases where Level 1 and Level 2 inputs are not available, securities are classified within Level 3 of the hierarchy.

Revenue bonds – The fair value of revenue bonds is based on quoted market prices in an active market (Level 1). At December 31, 2015 and 2014, the fair value of revenue bonds was \$40,766,591 and \$43,513,576, respectively.

Charitable remainder annuity trusts – The fair value for charitable remainder annuity trusts are determined by calculating the present value of cash flows expected to be paid out, using various discount rates and life expectancy tables.

NROC's Board of Directors meets with management and the investment advisors to review the strategy and ongoing performance of all investments, including analyzing changes in fair value measurements from period to period.

The following table presents the fair value hierarchy for those financial instruments measured at fair value on a recurring basis:

December 31, 2015				
		Quoted Prices in Active Markets for Identical Assets (Level 1)	Significant Other Observable Inputs (Level 2)	Significant Unobservable Inputs (Level 3)
	Fair Value			
Asset at fair market value:				
Cash and certificates	\$ 8,814,658	\$ 8,814,658	\$ -	\$ -
Government securities	1,265,399	1,265,399	-	-
Corporate bonds	15,347,591	15,347,591	-	-
U.S. equity securities	23,983,948	23,983,948	-	-
Other	1,195,450	1,195,450	-	-
Growth funds	2,182,745	2,182,745	-	-
Total assets at fair market value	<u>\$ 52,789,791</u>	<u>\$ 52,789,791</u>	<u>\$ -</u>	<u>\$ -</u>
Liabilities:				
Charitable annuity trust	<u>\$ 38,376</u>	<u>\$ -</u>	<u>\$ -</u>	<u>\$ 38,376</u>

**NORTHERN CALIFORNIA RETIRED OFFICERS COMMUNITY
D.B.A. PARADISE VALLEY ESTATES
NOTES TO FINANCIAL STATEMENTS**

December 31, 2014				
	Fair Value	Quoted Prices in Active Markets for Identical Assets (Level 1)	Significant Other Observable Inputs (Level 2)	Significant Unobservable Inputs (Level 3)
Asset at fair market value:				
Cash and certificates	\$ 10,771,969	\$ 10,771,969	\$ -	\$ -
Government securities	1,296,884	1,296,884	-	-
Corporate bonds	13,917,493	13,917,493	-	-
U.S. equity securities	22,373,224	22,373,224	-	-
Growth funds	1,956,836	1,956,836	-	-
Total assets at fair market value	<u>\$ 50,316,406</u>	<u>\$ 50,316,406</u>	<u>\$ -</u>	<u>\$ -</u>
Liabilities:				
Charitable gift annuities	<u>\$ 90,006</u>	<u>\$ -</u>	<u>\$ -</u>	<u>\$ 90,006</u>

The following table reconciles the beginning and ending balances of recurring fair value measurements significant unobservable (Level 3) inputs:

	Fair Value Measurements Using Significant Unobservable Inputs (Level 3) Charitable gift annuities
January 1, 2014	\$ 144,204
Payments made to annuitants	(54,198)
Net change in present value of annuities	-
December 31, 2014	90,006
Payments made to annuitants	(51,630)
Net change in present value of annuities	-
December 31, 2015	<u>\$ 38,376</u>

**NORTHERN CALIFORNIA RETIRED OFFICERS COMMUNITY
D.B.A. PARADISE VALLEY ESTATES
NOTES TO FINANCIAL STATEMENTS**

NOTE 6 –PLEDGES RECEIVABLE

Pledges receivable consists of the following:

	December 31,	
	2015	2014
Benevolence fund pledge	\$ 40,000	\$ 335,161
Operations fund pledge	40,000	425,161
	<u>\$ 80,000</u>	<u>\$ 760,322</u>
Receivable in less than one year	\$ -	\$ 680,322
Receivable in one to five years	40,000	40,000
Receivable in more than five years	40,000	40,000
	<u>\$ 80,000</u>	<u>\$ 760,322</u>

As of December 31, 2015 and 2014, there was no allowance for uncollectible pledges, as the pledges were deemed collectible.

NOTE 7 – PROPERTY AND EQUIPMENT

A summary of property and equipment is as follows:

	December 31,	
	2015	2014
Land	\$ 9,863,452	\$ 9,863,452
Land improvements	12,900,247	12,744,467
Building and improvements	65,884,113	65,312,263
Furniture and equipment	22,209,488	20,093,592
Vehicles	695,629	513,935
	111,552,929	108,527,709
Less: accumulated depreciation	<u>(46,930,724)</u>	<u>(43,587,441)</u>
	64,622,205	64,940,268
Construction in progress	1,350,402	349,248
	<u>\$ 65,972,607</u>	<u>\$ 65,289,516</u>

**NORTHERN CALIFORNIA RETIRED OFFICERS COMMUNITY
D.B.A. PARADISE VALLEY ESTATES
NOTES TO FINANCIAL STATEMENTS**

NOTE 8 – REVENUE BONDS

A summary of revenue bonds is as follows:

	December 31,	
	2015	2014
California Health Facilities Financing Authority Revenue Bonds, Series 2005, reoffered in 2008:		
Interest from 2.75% to 5.80% payable semi-annually. Beginning December 1, 2008, principal payments due serially to December 2026	\$ 3,050,000	\$ 3,525,000
Interest from 2.75% to 6% payable semi-annually. Beginning December 1, 2021, principal payments due serially to December 2030	5,800,000	5,800,000
California Health Facilities Financing Authority Revenue Bonds, Series 2013:		
Interest from 2.0% to 3.5% payable semi-annually. Beginning January 1, 2014 principal payments due serially to January 2026	28,320,000	30,340,000
	37,170,000	39,665,000
Plus: unamortized bond premium	1,829,836	2,266,917
	<u>\$ 38,999,836</u>	<u>\$ 41,931,917</u>

The revenue bonds are collateralized by current and future gross revenues of NCROC and all real property. Additionally, NCROC is required to comply with certain debt covenants with respect to additional borrowings, maintenance of insurance, financial reporting and maintenance of certain financial ratios. Also, under the terms of the bonds, NCROC is required to maintain certain deposits with a trustee. Management believes they are in compliance with these covenants as of December 31, 2015.

Future principal payments on the bonds are as follows:

<u>Year Ending December 31,</u>	<u>Series 2005</u>	<u>Series 2013</u>	<u>Total</u>
2016	\$ 450,000	\$ 2,090,000	\$ 2,540,000
2017	500,000	2,165,000	2,665,000
2018	475,000	2,240,000	2,715,000
2019	525,000	2,340,000	2,865,000
2020	550,000	2,455,000	3,005,000
Thereafter	6,350,000	17,030,000	23,380,000
	<u>\$ 8,850,000</u>	<u>\$ 28,320,000</u>	<u>\$ 37,170,000</u>

**NORTHERN CALIFORNIA RETIRED OFFICERS COMMUNITY
D.B.A. PARADISE VALLEY ESTATES
NOTES TO FINANCIAL STATEMENTS**

NOTE 9 – UNEARNED ENTRANCE FEES

	2015	2014
Balance, beginning of year	\$ 52,600,917	\$ 47,292,526
New fees received	10,909,200	13,148,379
Entrance fees refunded	(712,594)	(664,949)
Amortization of fees	(6,543,356)	(7,175,039)
Balance, end of year	<u>\$ 56,254,167</u>	<u>\$ 52,600,917</u>

Entrance fees still within a potentially refundable declining period at December 31, 2015 and 2014, were \$32,690,024 and \$22,491,536, respectively. Based on the past five years actual refunds have averaged \$867,877 per year for the potentially refundable declining period.

NOTE 10 – TEMPORARILY RESTRICTED NET ASSETS

Temporarily restricted net assets consist of the following:

	2015	2014
Benevolence fund	\$ 1,361,849	\$ 804,484
Scholarship fund	59,897	50,931
Angels in Paradise	508	508
Health Center fund	8,200	8,200
Specific use fund	149,474	140,889
Worship committee	5,546	5,700
	<u>\$ 1,585,474</u>	<u>\$ 1,010,712</u>

NOTE 11 – THIRD PARTY PAYOR REVENUE

NCROC has agreements to provide care to recipients of the Medicare program. NCROC charges these residents based on normal posted rates, however, reimbursement by the Medicare program is restricted by various reimbursement guidelines. Net revenues include contractual adjustments, which represent the difference between customary charges and actual payments. Net health service revenues from Medicare for the years ended December 31, 2015 and 2014, were \$1,594,104 and \$1,869,459, respectively.

The above Medicare revenues for the years ended December 2015, 2014, and 2013 are subject to audit based upon annual cost reports. Upon audit by Medicare intermediaries, there is a possibility of adjustment to revenues.

**NORTHERN CALIFORNIA RETIRED OFFICERS COMMUNITY
D.B.A. PARADISE VALLEY ESTATES
NOTES TO FINANCIAL STATEMENTS**

NOTE 12 – INVESTMENT INCOME

Investment income consists of the following:

	<u>2015</u>	<u>2014</u>
Interest and dividends	\$ 1,227,470	\$ 1,154,937
Net realized gains	63,648	266,502
	<u>\$ 1,291,118</u>	<u>\$ 1,421,439</u>

NOTE 13 – LEASES

NCROC leases certain office equipment under operating leases. The terms range from 51 to 60 months, expiring in 2016. Lease expense for the years ended December 31, 2015 and 2014, was \$39,061 and \$36,520, respectively. Future minimum lease payments are as follows:

Year Ending December 31,

2016	<u>\$ 379</u>
	<u>\$ 379</u>

NCROC also leases out certain space within the facility to a bank. The current monthly payment is \$1,632 per month and will increase seven percent per year over the term of the lease, which expires in 2017. The future minimum lease payments due to NCROC are as follows:

Year Ending December 31,

2016	\$ 19,816
2017	<u>17,465</u>
	<u>\$ 37,281</u>

In addition, NCROC rents out other space and equipment to a beauty salon on a month-to-month basis. Payments are set at 6% of gross receipts. Total rental income under both leases for the years ending December 31, 2015 and 2014, was \$23,950 and \$22,246, respectively, and was included in other income on the Statements of Activities.

NOTE 14 – DEFINED CONTRIBUTION PLANS

NCROC sponsors a defined contribution retirement plan available to substantially all employees who are at least 18 years old and have been continuously employed by NCROC for at least six months. Participants can make pre-tax contributions up to certain limits while NCROC provides a matching contribution determined annually by the Board. Total administrative costs incurred by NCROC related to this plan during the years ended December 31, 2015 and 2014, were \$5,992 and \$6,804, respectively.

As of December 2013, NCROC also sponsors a second defined contribution retirement plan available to employees who meet additional eligibility requirements. Participants can make pre-tax contributions up to certain limits while NCROC may make discretionary contributions, as determined by the Board. Total administrative costs incurred by NCROC related to this plan during the years ended December 31, 2015 and 2014, were \$627 and \$371, respectively.

Total contribution expense related to both plans for the years ending December 31, 2015 and 2014, were \$162,571 and \$140,151, respectively.

**NORTHERN CALIFORNIA RETIRED OFFICERS COMMUNITY
D.B.A. PARADISE VALLEY ESTATES
NOTES TO FINANCIAL STATEMENTS**

NOTE 15 – STATUTORY RESERVES

NCROC is certified as a Continuing Care Retirement Community (“CCRC”) by the State of California Department of Social Services. California Code Chapter 10, Article 6, Section 1792 requires CCRCs to establish “liquid reserves” (cash, marketable securities, etc.) equal to, or greater than the annual principal and interest payments on long-term obligations plus 75 days of the CCRC’s adjusted operating expenses. NCROC’s liquid reserves at December 31, 2015 and 2014, were sufficient to meet this requirement.

NOTE 16 – COMMITMENTS AND CONTINGENCIES

NCROC is party to various claims and legal actions in the normal course of business. In the opinion of management, NCROC has substantial meritorious defenses to pending or threatened litigation and, based upon current facts and circumstances, the resolution of these matters is not expected to have a material adverse effect on the consolidated financial position of NCROC.

On March 23, 2010, the Patient Protection and Affordable Care Act (“PPACA”) was signed into law. On March 30, 2010, the Health Care and Education Reconciliation Act of 2010 was signed, amending the PPACA (collectively the “Affordable Care Act”). The Affordable Care Act addresses a broad range of topics affecting the health care industry, including a significant expansion of health care coverage. The expansion is accomplished primarily through incentives to individuals to obtain and employers to provide health care coverage and an expansion in Medicaid eligibility. The Affordable Care Act also includes incentives for medical research and the use of electronic health records; changes designed to curb fraud, waste and abuse; and creates new agencies and demonstration projects to promote the innovation and efficiency in the health care delivery system. Some provisions of the health care reform legislation were effective immediately; others will be phased in through 2016. Further legislative policies are required for several provisions that will be effective in future years. The impact of this legislation will likely affect NCROC. The effect of the changes that will be required in future years are not determinable at this time.

NCROC is subject to numerous laws and regulations of federal, state and local governments. These laws and regulations relate to, among other things, matters such as licensure, accreditation, and government health care program participation requirements, regulations regarding reimbursement for patient services and regulations regarding Medicare billing, fraud and abuse. Government agencies are actively conducting investigations concerning possible violations of statutes and regulations by health care providers. Violations of these laws and regulations could result in expulsion from government health care programs, together with the imposition of fines and penalties, as well as significant repayments for patient services previously billed. NCROC has implemented a voluntary corporate compliance program which includes guidance for all NCROC employees’ adherence to applicable laws and regulations. Management is not aware of any actions or potential actions at December 31, 2015 and 2014.

NOTE 17 – CONCENTRATIONS OF CREDIT RISK

NCROC provides care to residents under the Medicare program. Noridian Healthcare Solutions, LLC, is the agency responsible for payment for services to Medicare residents.

Accounts receivable consisted of the following:

	December 31,	
	2015	2014
Medicare	\$ 147,791	\$ 320,954
Resident monthly fees	234,517	189,512
Secondary insurance	40,999	95,213
Other	8,687	10,462
	<u>\$ 431,994</u>	<u>\$ 616,141</u>

**NORTHERN CALIFORNIA RETIRED OFFICERS COMMUNITY
D.B.A. PARADISE VALLEY ESTATES
NOTES TO FINANCIAL STATEMENTS**

Accounts receivable, gross by payor, as December 31, consisted of the following:

	<u>2015</u>	<u>2014</u>
Medicare	34%	52%
Resident monthly fees	54%	31%
Secondary insurance	10%	15%
Other	2%	2%

In addition, NCROC grants credit to private residents, on an unsecured basis, most of who are local residents.

NOTE 18 – SUBSEQUENT EVENTS

Subsequent events are events or transactions that occur after the statement of financial position date but before the financial statements are available to be issued. NCROC recognizes in the financial statements the effects of all subsequent events that provide additional evidence about conditions that existed at the date of the statement of financial position, including the estimates inherent in the process of preparing the financial statements. NCROC's financial statements do not recognize subsequent events that provide evidence about conditions that did not exist at the date of the Statement of Financial Position but arose after the statement of financial position date and before financial statements are issued.

NCROC evaluated all events or transactions that occurred after December 31, 2015, through April 1, 2016, the date the financial statements are issued.

APPENDIX C

FINANCIAL FEASIBILITY REPORT

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HENDRICKSON CONSULTING

1505 Bridgeway – Suite 101, Sausalito, California 94965 - (415) 332-7169 – Bill.Hendrickson@SBCGlobal.net

FINAL REPORT

NORTHERN CALIFORNIA RETIRED OFFICERS COMMUNITY

DBA PARADISE VALLEY ESTATES

FINANCIAL FEASIBILITY REPORT

SEPTEMBER 20, 2016

HENDRICKSON CONSULTING

1505 Bridgeway, Sausalito, CA 94965 – (415) 332-7169 – Bill.Hendrickson@SBCGlobal.net

September 20, 2016

Neil Calhoun
Chief Financial Officer
Paradise Valley Estates
2600 Estates Drive
Fairfield, CA 94533

Dear Mr. Calhoun:

We are pleased to submit this feasibility study for Northern California Retired Officers Community DBA Paradise Valley Estates (PVE), a 501(c)(3) corporation that owns and operates a continuing care retirement community (CCRC) in Fairfield, California. PVE includes 322 independent living units, 68 assisted living units/beds, and a 60-bed licensed skilled nursing facility. PVE began operations in 1997. The proceeds of the \$22.7 million 2016 Bonds (\$20.2 million par with a \$2.5 million premium) will be used to complete the construction of an 18-unit Memory Care (MC) facility (approximately \$5.3 million remaining on \$10.0 million project budget total), to reimburse PVE for expenditures through closing (approximately \$9.0 million: \$4.7 million for MC and \$4.3 million for a parking structure required for the MC), and to refinance \$8.4 million remaining on 2005 Bonds.

The 2016 Bonds are anticipated to be issued in December and insured through Cal Mortgage. The 2016 Bonds are expected to have a 30-year term and maximum coupon rates of 5.0% (sold at a premium to generate lower yield). Interest and principal payments to bondholders will begin on June 1, 2017.

To evaluate the financial feasibility of the transaction we have reviewed critical information sources, including the following:

- the key revenue sources for PVE;
- the key expenses for PVE;
- the estimated costs and timing of the improvements, and
- the terms and structure of the proposed bond issue.

The information obtained through this process has been used to forecast PVE financial statements for the fiscal years ending December 31, 2016 to 2021. Based on our evaluation, the debt coverage ratio is expected to equal or exceed 1.80x maximum annual debt service in all forecast years after

2016. In addition, the sources of funds will be adequate to meet operating expenses, working capital, and other capital requirements.

The forecasts contained in this report are based on several assumptions. To the extent that these assumptions are not realized, the actual results may vary accordingly. Implementation of policies and procedures to attain the forecast results is the responsibility of PVE and its management. Since forecasts of future events are subject to uncertainty, we cannot guarantee these forecasts as specific results that will be achieved.

We appreciate the assistance provided by PVE management during the preparation of this study.

Sincerely,

William D. Hendrickson

William D. Hendrickson
Hendrickson Consulting

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SECTION A
PARADISE VALLEY ESTATES
STATEMENTS OF ACTIVITIES
(\$000s)

Fiscal Year Ending 12/31	2014	2015	2016	2017	2018	2019	2020	2021
REVENUE								
Independent Living	\$13,865	\$15,455	\$16,400	\$16,892	\$17,399	\$17,921	\$18,458	\$19,012
Assisted Living/Memory Care	2,651	2,410	2,200	2,522	2,945	3,033	3,124	3,218
Skilled Nursing	4,171	3,733	4,000	4,105	4,223	4,344	4,459	4,577
Other	1,905	1,714	1,100	1,133	1,167	1,202	1,238	1,275
Amortized Entrance Fees	7,175	6,544	6,502	6,759	7,017	7,278	7,541	7,808
Contributions	715	0	0	0	0	0	0	0
Interest/Realized Gains	1,689	1,291	1,050	1,044	1,077	1,100	1,128	1,159
Net Released Assets	124	118	100	100	100	100	100	100
Total Revenue	\$32,295	\$31,265	\$31,352	\$32,554	\$33,928	\$34,978	\$36,049	\$37,150
EXPENSES								
Resident Services	\$7,471	\$8,142	\$8,100	\$8,392	\$8,700	\$8,961	\$9,230	\$9,507
Dining Services	4,616	4,833	5,200	5,391	5,593	5,761	5,934	6,112
Health Services - SNF	4,563	4,957	5,000	5,150	5,305	5,464	5,628	5,796
Health Services - AL/MC	1,487	1,712	1,800	2,020	2,276	2,344	2,414	2,487
General/Administrative/Other	5,269	5,491	5,400	5,572	5,750	5,923	6,100	6,283
Depreciation/Amortization	3,332	3,512	3,600	3,915	4,103	4,140	4,186	4,239
Interest	1,329	1,286	1,255	1,398	1,387	1,314	1,226	1,128
Total Expenses	\$28,067	\$29,933	\$30,355	\$31,837	\$33,114	\$33,907	\$34,718	\$35,553
Income from Operations	\$4,228	\$1,332	\$997	\$717	\$814	\$1,071	\$1,330	\$1,597
Unrealized Gains (Losses)	\$1,380	(\$1,421)	(\$2,000)	\$0	\$0	\$0	\$0	\$0
Other	0	(606)	(804)	0	0	0	0	0
Change in Unrestr. Net Assets	\$5,608	(\$695)	(\$1,807)	\$717	\$814	\$1,071	\$1,330	\$1,597
Contributions	\$892	\$87	\$100	\$100	\$100	\$100	\$100	\$100
Net Released Assets	(124)	(118)	(100)	(100)	(100)	(100)	(100)	(100)
Other	0	606	0	0	0	0	0	0
Change in T.Restr. Net Assets	\$768	\$575	\$0	\$0	\$0	\$0	\$0	\$0
CHANGE IN NET ASSETS	\$6,376	(\$120)	(\$1,807)	\$717	\$814	\$1,071	\$1,330	\$1,597
BALANCE (DEFICIT)	\$21,575	\$21,455	\$19,648	\$20,365	\$21,179	\$22,250	\$23,580	\$25,177

SECTION A
PARADISE VALLEY ESTATES
STATEMENTS OF FINANCIAL POSITION
(\$000s)

Fiscal Year Ending 12/31	2014	2015	2016	2017	2018	2019	2020	2021
<u>ASSETS</u>								
Cash & Equivalents - Unrestr.	\$5,158	\$4,257	\$5,000	\$5,000	\$5,000	\$5,000	\$5,000	\$5,000
Entrance Fees Receivable	2,109	1,707	1,707	1,707	1,707	1,707	1,707	1,707
Accounts Receivable	616	432	500	649	675	705	726	747
Other Current Assets	2,089	1,289	1,500	1,545	1,591	1,639	1,688	1,739
Total Current Assets	\$9,972	\$7,685	\$8,707	\$8,901	\$8,974	\$9,051	\$9,121	\$9,193
Investments - Restricted Bonds	\$7,065	\$7,075	\$11,810	\$6,510	\$6,510	\$6,510	\$6,510	\$6,510
Investments - Restricted Refunds	3,459	3,591	3,699	3,810	3,924	4,042	4,163	4,288
Investments - Restricted Other	1,220	395	395	395	395	395	395	395
Investments - Unrestricted/Designated	38,571	41,729	40,673	42,355	43,509	44,882	46,460	48,284
Net PPE/Financing	66,416	66,925	72,635	76,020	74,917	73,777	72,591	71,352
TOTAL ASSETS	\$126,703	\$127,400	\$137,918	\$137,991	\$138,229	\$138,657	\$139,240	\$140,022
<u>LIABILITIES</u>								
Accts. Payable/Accr. Exp.	\$3,308	\$3,803	\$3,619	\$3,665	\$3,825	\$3,974	\$4,078	\$4,183
Other Current Liabilities	90	38	50	52	53	55	56	58
Current Debt - Bonds	2,495	2,540	2,565	2,665	2,780	2,905	3,045	3,185
Total Current Liabilities	\$5,893	\$6,381	\$6,234	\$6,382	\$6,658	\$6,934	\$7,179	\$7,425
Unamortized Entrance Fees	\$59,797	\$63,103	\$64,251	\$66,565	\$68,892	\$71,238	\$73,610	\$76,013
Long-term Debt	39,437	36,460	47,785	44,680	41,501	38,236	34,871	31,406
TOTAL LIABILITIES	\$105,127	\$105,944	\$118,271	\$117,627	\$117,050	\$116,407	\$115,660	\$114,844
NET ASSETS	\$21,576	\$21,456	\$19,648	\$20,365	\$21,179	\$22,250	\$23,580	\$25,177
TOTAL NET ASSETS/LIAB.	\$126,703	\$127,400	\$137,918	\$137,991	\$138,229	\$138,657	\$139,240	\$140,022

SECTION A
PARADISE VALLEY ESTATES
STATEMENTS OF CASH FLOWS
(\$000s)

Fiscal Year Ending 12/31	2014	2015	2016	2017	2018	2019	2020	2021
<u>OPERATING ACTIVITIES</u>								
Change in Net Assets	\$6,376	(\$120)	(\$1,807)	\$717	\$814	\$1,071	\$1,330	\$1,597
Depreciation and Amortization	3,332	3,512	3,600	3,915	4,103	4,140	4,186	4,239
Amortized Entrance Fees	(7,175)	(6,544)	(6,502)	(6,759)	(7,017)	(7,278)	(7,541)	(7,808)
Amortized Premium/Other	(439)	(437)	407	(440)	(400)	(360)	(320)	(280)
Changes in Assets/Liabilities	(1,288)	1,886	(451)	(147)	89	73	35	35
Cash From Operating Act.	\$806	(\$1,703)	(\$4,753)	(\$2,713)	(\$2,411)	(\$2,353)	(\$2,310)	(\$2,217)
<u>INVESTING ACTIVITIES</u>								
Project Expenditures	(\$1,000)	(\$2,000)	(\$6,000)	(\$5,300)	\$0	\$0	\$0	\$0
Capital Expenditures	(2,082)	(2,027)	(2,000)	(2,000)	(3,000)	(3,000)	(3,000)	(3,000)
Cash From Investing Act.	(\$3,082)	(\$4,027)	(\$8,000)	(\$7,300)	(\$3,000)	(\$3,000)	(\$3,000)	(\$3,000)
<u>FINANCING ACTIVITIES</u>								
Net Entrance Fees	\$12,832	\$9,799	\$7,650	\$9,072	\$9,344	\$9,624	\$9,914	\$10,211
2016 Bonds/Premium	0	0	22,687	0	0	0	0	0
Discount/Issuance/Fees	0	0	(1,311)	0	0	0	0	0
SLGS Purchase	0	0	(9,204)	0	0	0	0	0
Debt Principal Payments	(2,375)	(2,495)	(2,540)	(2,565)	(2,665)	(2,780)	(2,905)	(3,045)
Cash From Financing Act.	\$10,457	\$7,304	\$17,282	\$6,507	\$6,679	\$6,844	\$7,009	\$7,166
Net Change in Cash/Inv.	\$8,181	\$1,574	\$4,529	(\$3,506)	\$1,268	\$1,491	\$1,699	\$1,949
Cash & Investments	\$55,473	\$57,047	\$61,576	\$58,070	\$59,338	\$60,829	\$62,528	\$64,476
Unrestricted/Designated	43,729	45,986	45,673	47,355	48,509	49,882	51,460	53,284
Restricted - Bonds	7,065	7,075	11,810	6,510	6,510	6,510	6,510	6,510
Restricted - Other	4,679	3,986	4,094	4,205	4,319	4,437	4,558	4,683

B. BACKGROUND

Northern California Retired Officers Community (NCROC), doing business as (DBA) Paradise Valley Estates (PVE), is a 501(c)(3) non-profit corporation which owns and operates a continuing care retirement community (CCRC) on a 76-acre site located in the City of Fairfield, approximately 50 miles southwest of the City of Sacramento. PVE currently consists of 322 independent living (IL) units, 68 assisted living (AL) units/beds, and a 60-bed skilled nursing facility (SNF). The IL units opened in late 1997 and include 199 single family homes and duplexes and 123 apartments. The Laurel Creek Health Care Center SNF (60 beds) and AL (28 beds) opened in mid-1998. The 40-unit Quail Creek AL opened in mid-2007. All IL and AL units are licensed as residential care facility for the elderly (RCFE) by the State's Department of Social Services (DSS).

PVE was incorporated in 1992 for the purpose of providing housing and care to retired military officers and their spouses/widows. In 2012 admission eligibility was broadened to include non-military related entrants. At the current time approximately 75% of the 500+ residents are military-related. PVE is located five miles from Travis Air Force Base.

THE 2016 BONDS

PVE began construction on an 18-unit memory care (MC) expansion of Quail Creek in 2016 to meet the needs of its residents with dementia. At the same time PVE began construction on a 51-space two-story parking structure required for the MC. These projects have been funded to date from working capital. The parking structure is scheduled to be completed in October 2016 and the MC expansion by the spring of 2017. Total costs are estimated at \$14.3 million and PVE estimates that approximately \$9.0 million will be expended by the end of 2016. The 2016 Bond proceeds will reimburse PVE for the funds spent through 2016 and will fund remaining project costs (\$5.3 million). Eight of the existing Quail Creek AL units will be eliminated by the MC project, resulting in a net addition of 10 units to the existing 68 AL RCFE units/beds for a total of 78 AL/MC units/beds.

2016 Bond proceeds will also be used to refinance the remaining principal (\$8.4 million) on 2005 Bonds at an approximate average annual savings of \$220,000 during the forecast period.

THE LEGAL STRUCTURE/PROGRAM

New PVE IL entrants currently are covered by one continuing care contract with three entrance fee refund options. These include a "Plan 0" a "Plan 50", and a "Plan 95", representing the percent of the original entrance fee refunded at death or voluntary withdrawal. These contracts have been in place since 2007 and currently about 70% of all residents are covered by one of these plans, with Plan 0 by far the most popular (90%+ of all post-2007 entrants). Under Plan 0, entrants pay a one-time entrance fee which is refundable over a 50 month period on a 2% per month declining basis.

Under the 50 and 95 Plans, entrants pay a higher one-time entrance fee and receive 50% or 95% of the original entrance fee back when the contract is terminated through death or withdrawal. The refund is not contingent on resale of the unit and, as a result, PVE is currently required to maintain a DSS-required refund reserve.

Residents receive the same services under each of the three plans and pay the same monthly fee. Services include 30 meal credits per month with a 20-meal plan option, bi-weekly housekeeping, and a range of social and activity programs. AL/MC and SNF care are provided to residents at a substantially discounted rate for contract residents, equivalent to approximately 30% from market for AL/MC and 50% from market for the SNF.

THE BOARD OF DIRECTORS

PVE is governed by an 11-member Board of Directors. Directors are eligible to serve unlimited three-year consecutive terms. Current Board members have served an average of six years. Members also participate in a series of committees including Finance & Investment, Foundation, Health Services, and Marketing.

C. PROJECT DESCRIPTION

The proceeds of the 2016 Bonds will be used to 1) reimburse PVE for a portion of costs incurred up to the time of Bond issuance for the Quail Creek MC and parking structure projects, 2) fund completion expenditures for the Quail Creek MC, and 3) refinance the outstanding balance on the 2005 Bonds.

THE QUAIL CREEK MEMORY CARE AND PARKING PROJECT

The MC and parking structure projects began construction in February 2016. The parking structure is scheduled to be completed in October 2016 and the MC project in April 2017. The parking structure was required by the City of Fairfield for the MC expansion. The total hard and soft cost budget for the MC is \$10.0 million and \$4.3 million for the parking structure, for a total of \$14.3 million. Through August 31 a total of \$5.2 million has been expended on both projects and an additional \$3.8 million is estimated to be expended by the end of FY 2016.

Quail Creek Memory Care Project

The MC project is a 7,500 square foot addition to the existing 50,000 square foot three-story Quail Creek AL facility. Quail Creek currently includes 40 AL units averaging 600 square feet, with 8 units on the first floor, 16 on the second floor, and 16 on the third floor. The new MC expansion will add 18 MC units averaging 450 square feet, and located on the first floor. A total of eight of the existing AL units will be replaced by the MC units, resulting in a Quail Creek unit count of 32 AL and 18 MC units after completion. MC operations are scheduled to begin in May 2017. The total project budget of \$10.0 million includes \$7.2 million in construction costs, \$2.5 million in soft costs (e.g. architectural, permits, furnishings and equipment) and \$300,000 in contingencies. An estimated \$4.7 million is estimated to be spent on the MC project by the end of FY 2016 with \$5.3 million expended thereafter.

Parking Structure Project

The parking structure is located adjacent to Quail Creek and includes two levels and space for 51 vehicles.

2005 BOND REFINANCING

PVE issued a total of \$16.1 million 2005 Bonds for the purpose of constructing the 40-AL unit Quail Creek and other campus common area improvements. In 2008 the outstanding balance of \$12.0 million on the 2005 Bonds were remarketed in a fixed rate mode, carrying a maximum coupon rate of 6.0% with the final payments due in 2030. Annual payments average \$940,000 during the forecast period. A total of \$8.40 million will remain on the 2005 Bonds after the

December 1, 2016 payment. The refinancing component of the 2016 Bonds will also require payments through 2030 and will result in a reduction of annual debt to \$720,000 during the forecast period, a savings of approximately \$220,000 per year.

FINANCING ASSUMPTIONS

The 2016 Bonds financing assumptions reflected in **Table 1** have been provided by Zeigler, Inc., PVE's investment banker.

The refinancing bonds are estimated to have a maximum 4.0% coupon rate with the last payment due on December 1, 2030. The \$14.3 million new money portion of the debt has a maximum estimated coupon rate of 5.0% with the final payment due on December 1, 2046. Other sources of funds include a 10% of the new money portion of the Bonds cash equity contribution, along with the existing 2005 Bonds debt service reserve fund. Annual debt payments are estimated to average \$1.24 million during the forecast period; \$720,000 for the refunding and \$520,000 for the new money components.

As shown in **Table 2**, PVE's other debt includes \$26.2 million remaining on 2013 Bonds, which were issued to refinance 2002 Bonds. The last payment on the 2013 Bonds is due January 1, 2026. Annual debt averages \$3.3 million during the forecast period.

The non-cash amortization of the premiums for the 2013 and 2016 Bonds is also shown in **Table 2**. The premium for the 2016 Bonds is amortized over 30 years. The forecasts follow the audit format of including amortized premiums in the interest expense.

TABLE 1
PARADISE VALLEY ESTATES
SOURCES/USES OF FUNDS
(\$000s)

Fiscal Year Ending 12/31	TOTAL	Thru 2015	2016	2017	2018
<u>SOURCES</u>					
2016 Bonds	\$20,205	\$0	\$20,205	\$0	\$0
Premium	\$2,482	0	2,482	0	0
Cash Equity	\$1,563	0	1,563	0	0
2005 Bond Reserves	\$1,187	0	1,187	0	0
TOTAL SOURCES	\$25,437	\$0	\$25,437	\$0	\$0
<u>USES</u>					
Reimbursement	\$9,000	\$0	\$9,000	\$0	\$0
Construction	\$5,300	0	0	5,300	0
SLGS Purchase	\$9,204	0	9,204	0	0
Debt Service Reserve	\$622	0	622	0	0
Cal Mortgage Fees	\$665	0	665	0	0
Issuance Costs	\$646	0	646	0	0
TOTAL USES	\$25,437	\$0	\$20,137	\$5,300	\$0
BALANCE	\$0	\$0	\$5,300	\$0	\$0

TABLE 2
PARADISE VALLEY ESTATES
DEBT PAYMENT SCHEDULE
(\$000s)

Fiscal Year Ending 12/31	2014	2015	2016	2017	2018	2019	2020	2021
<u>2005 BONDS</u>								
Interest	\$538	\$520	\$498	\$0	\$0	\$0	\$0	\$0
Principal	\$400	\$475	\$450	\$0	\$0	\$0	\$0	\$0
Total Payments	\$938	\$995	\$948	\$0	\$0	\$0	\$0	\$0
Balance	\$9,325	\$8,850	\$0	\$0	\$0	\$0	\$0	\$0
<u>2013 BONDS</u>								
Interest	\$1,264	\$1,203	\$1,121	\$1,046	\$971	\$871	\$756	\$631
Principal	\$1,975	\$2,020	\$2,090	\$2,165	\$2,240	\$2,340	\$2,455	\$2,580
Total Payments	\$3,239	\$3,223	\$3,211	\$3,211	\$3,211	\$3,211	\$3,211	\$3,211
Balance	\$30,340	\$28,320	\$26,230	\$24,065	\$21,825	\$19,485	\$17,030	\$14,450
<u>2016 BONDS</u>								
Interest	\$0	\$0	\$33	\$792	\$816	\$803	\$790	\$777
Principal	\$0	\$0	\$0	\$400	\$425	\$440	\$450	\$465
Total Payments	\$0	\$0	\$33	\$1,192	\$1,241	\$1,243	\$1,240	\$1,242
Balance	\$0	\$0	\$20,205	\$19,805	\$19,380	\$18,940	\$18,490	\$18,025
<u>BOND PREMIUM</u>								
2013 Bonds	(\$474)	(\$437)	(\$397)	(\$357)	(\$317)	(\$277)	(\$237)	(\$197)
2016 Bonds	\$0	\$0	\$0	(\$83)	(\$83)	(\$83)	(\$83)	(\$83)
Total Premium	(\$474)	(\$437)	(\$397)	(\$440)	(\$400)	(\$360)	(\$320)	(\$280)
Balance	\$2,267	\$1,830	\$3,915	\$3,475	\$3,076	\$2,716	\$2,396	\$2,116
<u>TOTAL DEBT</u>								
Interest/Premium	\$1,328	\$1,286	\$1,255	\$1,398	\$1,387	\$1,314	\$1,226	\$1,128
Principal	\$2,375	\$2,495	\$2,540	\$2,565	\$2,665	\$2,780	\$2,905	\$3,045
Total Payments	\$3,703	\$3,781	\$3,795	\$3,963	\$4,052	\$4,094	\$4,131	\$4,173
EOY Balance	\$41,932	\$39,000	\$50,350	\$47,345	\$44,281	\$41,141	\$37,916	\$34,591

D. REVENUE AND EXPENSE ASSUMPTIONS

The following is a discussion of key historical and forecast utilization, revenue, and expense assumptions for PVE.

REVENUES

PVE relies primarily on four key revenue sources: entrance fees, monthly fees, other income, and investment earnings. **Table 3** shows a summary of current (FY 2016) entrance fees and IL monthly fees. All IL, AL, and MC resident monthly fees are estimated to increase by 3.0% in fiscal year (FY) 2017 and thereafter. SNF Medicare rates are forecast to increase by 2.0% per year. AL/MC and SNF community rates are forecast to increase by 3.0% and 4.0% per year respectively.

Monthly Fees

Table 4 shows a summary of IL occupancy and resident monthly fee forecasts. Monthly fees increased by an average of 2.9% per year over the last three years. IL occupancy prior to the 2009-12 recession ran over 95% (310 units) but dropped to a low of 80% (259 units) in the spring of 2013 as PVE took longer to fill units after the recession than other CCRCs. IL occupancy reached 95% in the Spring of 2016 and has since stabilized at approximately 92% (300 units). Occupancy is forecast to remain at this level (PVE's goal is for occupancy to improve to 310+ units). A lower occupancy level to determine breakeven is forecast in the sensitivity analysis in **Section G**.

Conversely, AL occupancy was at its recent highest level in 2014 and declined in 2015 and 2016. The decline has been due in part to the Quail Creek MC construction which has reduced the number of Quail Creek AL units from 40 to 32. AL and MC occupancy is expected to improve once the new MC section opens in spring 2017 and to reach stabilized occupancy by 2018. PVE limits the number of outside community admits to ensure sufficient capacity for its IL residents. As a result, stabilized occupancy is projected at 65 units (83%). All contract resident transfers from IL to AL, MC, and SNF pay a discounted monthly rate of \$129 per day for pre-2007 residents (about 25% of total IL residents) and \$138 per day for post-2007 residents. For AL this equates to a discount of 25%-40% from market rates depending on whether the resident is placed at the Quail Creek or Laurel Creek AL facilities (Laurel Hill is a more acute medical model and has higher community rates).

SNF occupancy has been stable over the last three years at approximately 90%. PVE takes in very few outside community admits, and the majority of Medicare patients are transfers from the IL units. Occupancy at the new SNF is expected to continue at current levels.

TABLE 3
PARADISE VALLEY ESTATES
KEY INDEPENDENT LIVING UNIT/FEE ASSUMPTIONS
FISCAL YEAR 2016 DOLLARS

UNIT/BED TYPE	TOTAL UNITS	SQUARE FEET	ENTRANCE FEE PLAN 0	MONTHLY FEE
Traditional	6	800	\$174,000	\$2,774
Custom	9	1,140	\$242,000	\$3,424
Deluxe	50	1,290	\$277,000	\$3,713
Luxury	50	1,530	\$327,000	\$4,174
Royale	40	1,580	\$340,000	\$4,270
Grande	40	1,850	\$369,000	\$4,774
Grande Plus	70	1,870	\$375,000	\$4,818
Quadraplex	10	1,340	\$298,000	\$3,806
Duplex One	30	1,450	\$334,000	\$4,018
Duplex Two	8	1,510	\$384,000	\$4,119
Manor	8	2,020	\$431,000	\$5,097
TOTAL/AVERAGE	321	1,590	\$335,000	\$4,280
Double Fee	156		\$30,000	\$1,237

TABLE 4
PARADISE VALLEY ESTATES
REVENUE ASSUMPTIONS
(\$000s)

Fiscal Year Ending 12/31	2014	2015	2016	2017	2018	2019	2020	2021
<u>INDEPENDENT LIVING</u>								
Available Units	323.0	323.0	323.0	323.0	323.0	323.0	323.0	323.0
Occupied Units	277.0	295.0	300.0	300.0	300.0	300.0	300.0	300.0
Percent Occupancy	85.8%	91.3%	92.9%	92.9%	92.9%	92.9%	92.9%	92.9%
Average Monthly Rate	\$4,171	\$4,366	\$4,556	\$4,692	\$4,833	\$4,978	\$5,127	\$5,281
ANNUAL IL REVENUES	\$13,865	\$15,455	\$16,400	\$16,892	\$17,399	\$17,921	\$18,458	\$19,012
<u>ASSISTED LIVING/MEMORY CARE</u>								
Available Beds	68.0	68.0	68.0	78.0	78.0	78.0	78.0	78.0
Occupied Beds - Contract	48.9	45.6	43.5	47.0	55.0	55.0	55.0	55.0
Occupied Beds - Community	13.9	11.7	8.0	10.0	10.0	10.0	10.0	10.0
Occupied Beds - Total	62.8	57.3	51.5	57.0	65.0	65.0	65.0	65.0
Percent Occupancy	92.4%	84.3%	75.7%	73.1%	83.3%	83.3%	83.3%	83.3%
Aver. Monthly Rate - Contract	\$3,357	\$3,337	\$3,410	\$3,512	\$3,618	\$3,726	\$3,838	\$3,953
Aver. Monthly Rate - Community	\$4,083	\$4,160	\$4,375	\$4,506	\$4,641	\$4,781	\$4,924	\$5,072
ANNUAL REVENUES								
Monthly Fees - Contract	\$1,970	\$1,826	\$1,780	\$1,981	\$2,388	\$2,459	\$2,533	\$2,609
Monthly Fees - Community	\$681	\$584	\$420	\$541	\$557	\$574	\$591	\$609
ANNUAL AL/MC REVENUES	\$2,651	\$2,410	\$2,200	\$2,522	\$2,945	\$3,033	\$3,124	\$3,218
<u>SKILLED NURSING</u>								
Available Beds	60.0	60.0	60.0	60.0	60.0	60.0	60.0	60.0
Occupied Beds	55.5	50.5	55.0	55.0	55.0	55.0	55.0	55.0
Percent Occupancy	92.5%	84.2%	91.7%	91.7%	91.7%	91.7%	91.7%	91.7%
PAYOR MIX (NUMBER)								
Contract Residents	46.5	43.6	48.0	48.0	48.0	48.0	48.0	48.0
Community - Private Pay/Other	2.0	1.0	1.0	1.0	1.0	1.0	1.0	1.0
Community - Medicare	7.0	5.9	6.0	6.0	6.0	6.0	6.0	6.0
AVERAGE DAILY w/ANCILLARIES								
Contract Resident	\$112	\$120	\$120	\$123	\$127	\$131	\$135	\$139
Community - Private Pay/Other	\$562	\$636	\$548	\$570	\$620	\$673	\$700	\$727
Community - Medicare	\$730	\$740	\$776	\$792	\$808	\$824	\$840	\$857
ANNUAL REVENUES								
Contract Resident	\$1,896	\$1,907	\$2,100	\$2,163	\$2,228	\$2,295	\$2,364	\$2,434
Community - Private Pay/Other	\$410	\$232	\$200	\$208	\$226	\$246	\$255	\$266
Community - Medicare	\$1,865	\$1,594	\$1,700	\$1,734	\$1,769	\$1,804	\$1,840	\$1,877
ANNUAL SNF REVENUES	\$4,171	\$3,733	\$4,000	\$4,105	\$4,223	\$4,344	\$4,459	\$4,577

Entrance Fees

Entrance fees under Plan 0 average approximately \$335,000 for the first person fee and \$30,000 for the second person fee (about 50% of all entrants are couples). All entrance fee prices are increased by 30% for Plan 50 and by 90% Plan 95. Prices increases have been held to an average of 2.2% per year over the last four years as PVE has been increasing occupancy, and are forecast to increase by 3.0% per year in FY 2017 and thereafter. Over 90% of the sales in the last three years have been under Plan 0, and are assumed to continue at this level.

Move-ins in 2014 and 2015 were high as the market for PVE units recovered and occupancy increased by more than 50 units from the lowest levels in Spring 2013 (259 units) to a peak of 310 units in early 2016. There have been 15 move-ins through August 31, 2016 as occupancy has stabilized at approximately 300 units. Move-ins over the forecast period are estimated at 28 per year. Total entrance fee revenues are shown in **Table 5**. Forecast ratios under lower sales assumptions are shown in **Section G**.

TABLE 5
PARADISE VALLEY ESTATES
ENTRANCE FEE REVENUES
(000s)

Fiscal Year Ending 12/31	2014	2015	2016	2017	2018	2019	2020	2021
Resales	47.0	38.0	25.0	28.0	28.0	28.0	28.0	28.0
Average Price	\$298,500	\$288,400	\$340,000	\$360,000	\$370,800	\$381,900	\$393,400	\$405,200
Gross Resale Revenues	\$14,031	\$10,960	\$8,500	\$10,080	\$10,382	\$10,693	\$11,015	\$11,346
Refunds	(\$1,199)	(\$1,161)	(\$850)	(\$1,008)	(\$1,038)	(\$1,069)	(\$1,102)	(\$1,135)
NET ENTRANCE FEES	\$12,832	\$9,799	\$7,650	\$9,072	\$9,344	\$9,624	\$9,914	\$10,211

Other Income

Other income includes additional meals, bar sales, home care services, guest room charges, social activities, unit upgrade reimbursement, and processing fee income. Other income was particularly high in 2014 and 2015 due to a upgrades related to the large number of move-ins. Other income in 2016 is estimated at \$1.1 million and is forecast to increase by 3.0% per year.

Contributions and Net Assets Released

Contributions for operations, the benevolence fund, and the scholarship fund, average about \$100,000 per year and are classified as temporarily restricted until used for the designated purpose. In addition, PVE does occasionally receive bequests, with last major one received in 2014. No bequests are included in the forecasts.

Investment Income

PVE invests in a wide variety of instruments, including publicly traded equity and fixed income mutual funds. In FY 2014 and FY 2015 PVE earned an average of approximately \$1.5 million in interest and realized gains, or about 2.7% of average restricted and unrestricted cash and investments. Earnings in FY 2017 and thereafter are estimated to average 2.0% of prior year cash and investment balances. Bond debt service reserve earnings are estimated at 2.0%.

EXPENSES

PVE's total operating expenses excluding interest and depreciation are estimated at \$25.3 million in FY 2016, an approximate 1% increase from FY 2015. Expenses have increased by an average of 2.0% per year since FY 2014. After FY 2016, operating expenses are increased at an inflation rate of 3.0% per year with additional increases in specific departments to reflect the impact of the Quail Creek MC expansion (and AL unit reduction).

PVE currently operates with approximately 275 full-time equivalent (FTE) employees (**Table 6**) and has added 10 FTEs since FY 2014. Salaries have increased by an average of 3.5% per year for the last three years. Benefits currently average about 33% of salaries. Resident services includes maintenance/utilities, housekeeping, and activities departments. Health services includes AL, MC and SNF nursing care and health care administration. General and administrative services include marketing, accounting, and administration. Salaries and benefits comprise approximately two-thirds of total cash departmental expenses (excluding interest). The remaining one-third include utilities, food, ancillary expenses, and supplies.

Table 7 shows a detailed summary of the impact of the Quail Creek MC expansion. As shown, there is expected to be a net addition of 10 FTEs and \$540,000 in FY 2016 dollars to existing departmental expenses at MC stabilized occupancy (FY 2018). The 18-unit MC section will require an estimated 13 FTEs and \$700,000 in annual incremental expenses, offset by a reduction of three AL FTEs and \$160,000 expenses as a result of the reduction from the current 40 units to 32 units.

Interest Expense

Interest expense reflects all PVE debt and is shown in **Table 2**.

TABLE 6
PARADISE VALLEY ESTATES
CURRENT OPERATING EXPENSES
FY 2016 DOLLARS

Department	FTEs
Resident Services	82
Dining Services	75
Health Services - SNF	68
Health Services - AL/MC	30
General/Administrative/Other	20
TOTAL	275

TABLE 7
PARADISE VALLEY ESTATES
NEW MEMORY CARE NET OPERATING EXPENSES
FY 2016 DOLLARS

Department	FTEs	Sal/FTE	Salaries	Benefits	Other	TOTAL
Resident Services	2.0	\$35,000	\$70,000	\$21,000	\$10,000	\$101,000
Dining Services	1.0	\$30,000	\$30,000	\$9,000	\$32,900	\$71,900
Health Services - SNF	-	\$0	\$0	\$0	\$0	\$0
Health Services - AL/MC	7.4	\$35,000	\$258,000	\$77,400	\$10,000	\$345,400
General/Administrative/Other	-	\$0	\$0	\$0	\$20,000	\$20,000
TOTAL/AVERAGE	10.4	\$34,522	\$358,000	\$107,400	\$72,900	\$538,300

OPERATING CASH FLOW SUMMARY

Table 8 shows a summary of historical and forecast operating cash flows. Operating revenues exclude entrance fee receipts and operating expenses exclude interest payments and capital expenditures. Operating cash flows have remained stable in FY 2015 and FY 2016. Operating expenses in FY 2015 exclude an asset reclassification of \$606,000 reflected in the Audit. As shown, PVE operates at an operating deficit of approximately \$1.7 million (-7% of revenues) before inclusion of entrance fees, and is expected to continue to do so through FY 2021. When entrance fees are included, annual surplus cash flows are forecast average about \$7.5 million (21% of revenues including entrance fees).

TABLE 8
PARADISE VALLEY ESTATES
SUMMARY OF CASH FLOWS
(\$000s)

Fiscal Year Ending 12/31	2014	2015	2016	2017	2018	2019	2020	2021
<u>REVENUE</u>								
Independent Living	\$13,865	\$15,455	\$16,400	\$16,892	\$17,399	\$17,921	\$18,458	\$19,012
Assisted Living/Memory Care	2,651	2,410	2,200	2,522	2,945	3,033	3,124	3,218
Skilled Nursing	4,171	3,733	3,900	4,002	4,117	4,235	4,346	4,461
Other	1,905	1,714	1,100	1,133	1,167	1,202	1,238	1,275
Total Revenue	\$22,592	\$23,312	\$23,600	\$24,549	\$25,627	\$26,391	\$27,167	\$27,966
<u>EXPENSES</u>								
Resident Services	\$7,471	\$8,142	\$8,000	\$8,289	\$8,594	\$8,852	\$9,118	\$9,391
Dining Services	4,616	4,833	5,200	5,391	5,593	5,761	5,934	6,112
Health Services - SNF	4,563	4,957	5,000	5,150	5,305	5,464	5,628	5,796
Health Services - AL/MC	1,487	1,712	1,800	2,020	2,276	2,344	2,415	2,487
General/Administrative/Other	5,269	5,491	5,300	5,469	5,644	5,813	5,988	6,167
Total Expenses	\$23,406	\$25,135	\$25,300	\$26,318	\$27,412	\$28,234	\$29,081	\$29,954
Net Operating Cash Flow	(\$814)	(\$1,823)	(\$1,700)	(\$1,769)	(\$1,785)	(\$1,844)	(\$1,914)	(\$1,988)
Net Entrance Fees	\$12,832	\$9,799	\$7,650	\$9,072	\$9,344	\$9,624	\$9,914	\$10,211
Net Cash Flow w/ E. Fees	\$12,018	\$7,976	\$5,950	\$7,303	\$7,559	\$7,780	\$7,999	\$8,223

E. FINANCIAL STATEMENT ASSUMPTIONS

In addition to the PVE operating assumptions, there are several other assumptions used to forecast the **Section A** financial statements.

STATEMENTS OF ACTIVITIES

The three accrual adjustments to the Statement of Activities includes amortized entrance fees, depreciation and amortization of capitalized costs, and amortization of 2013 and 2016 Bonds premiums.

Amortized Entrance Fees – The non-refundable portion of entrance fees are amortized over the estimated life of entrants (10 years).

Depreciation and Amortization - New capital expenditures are depreciated over a 30-year period for the MC/Parking project and over a 15-year period for ongoing capital expenditures. Fees and 2016 Bonds issuance costs are amortized over 30 years.

Bond Premium Amortization – The premiums for 2013 and 2016 Bonds are amortized over the term of the debt, and reflected in interest expense.

The Statement of Activities also reflects a \$606,000 reclassification of assets in FY 2015 and a loss on extinguishment of the 2005 Bonds in FY 2016.

STATEMENTS OF FINANCIAL POSITION

Assets - Accounts receivable are estimated at 10 days of cash revenues. Other current assets are increased by 3.0% per year from FY 2015.

Cash and Investments – PVE unrestricted and restricted reserves totaled over \$57 million at the end of FY 2015, including \$41 million in unrestricted cash and investments, \$5 million Board designated investments, \$7 million in Bond funds, and \$4 million in entrance fee refund reserves and other restricted cash and investments. In FY 2016 and thereafter, current unrestricted cash and investments are estimated at \$5 million with the remainder in long-term investments. Bond funds reflect the activity of the 2005, 2013, and 2016 Bonds. The entrance fee refund reserves are restricted for refunds as required by DSS. For purposes of calculating days cash on hand, board designated funds are defined as unrestricted.

Liabilities - Accounts payable are estimated at 50 days of cash operating expenses. Other current liabilities are increased by 3.0% per year.

STATEMENTS OF CASH FLOWS

Ongoing Capital costs – Ongoing capital expenditures are projected at \$3.0 million per year after FY 2017.

Project costs – Expenditures for the Quail Creek MC and parking structure project began in 2014 with architectural and related expenditures. Total costs through FY 2016 are estimated at \$9.0 million, with \$5.3 million estimated for FY 2017 (and to be paid from 2016 Bond proceeds).

F. KEY FINANCIAL RATIOS

Table 9 shows a summary of key financial ratios for PVE. As shown, PVE pre-debt cash flows from FY 2014 through FY 2016 exceed proposed annual debt payments. For FY 2017 and thereafter, debt coverage ratios are estimated to exceed 1.80x on maximum annual debt service (MADS). Unrestricted days cash on hand is projected to continue to exceed 600 days.

TABLE 9
PARADISE VALLEY ESTATES
DEBT COVERAGE AND OTHER KEY RATIOS
(\$000s)

Fiscal Year Ending 12/31	2014	2015	2016	2017	2018	2019	2020	2021
<u>CASH AVAILABLE FOR DEBT SERVICE</u>								
Net Income	\$4,228	\$1,332	\$997	\$717	\$814	\$1,071	\$1,330	\$1,597
Depreciation and Amortization	3,332	3,512	3,600	3,915	4,103	4,140	4,186	4,239
Amortized Entrance Fees	(7,175)	(6,544)	(6,502)	(6,759)	(7,017)	(7,278)	(7,541)	(7,808)
Net Entrance Fees	12,832	9,799	7,650	9,072	9,344	9,624	9,914	10,211
Interest Expensed	1,329	1,286	1,255	1,398	1,387	1,314	1,226	1,128
Net Cash for Debt Service	\$14,546	\$9,385	\$7,000	\$8,344	\$8,631	\$8,872	\$9,115	\$9,367
<u>DEBT SERVICE</u>								
Interest Paid	\$1,803	\$1,723	\$1,652	\$1,838	\$1,787	\$1,674	\$1,546	\$1,408
Principal	2,375	2,495	11,744	2,565	2,665	2,780	2,905	3,045
Total Payments	\$4,178	\$4,218	\$13,396	\$4,403	\$4,452	\$4,454	\$4,451	\$4,453
Unrestricted Cash and Equiv.	\$43,729	\$45,986	\$45,673	\$47,355	\$48,509	\$49,882	\$51,460	\$53,284
Long-term Debt	\$39,437	\$36,460	\$47,785	\$44,680	\$41,501	\$38,236	\$34,871	\$31,406
Operating Expenses w/Interest	\$24,735	\$26,421	\$26,755	\$27,922	\$29,011	\$29,767	\$30,532	\$31,313
MADS	\$4,300	\$4,300	\$4,300	\$4,550	\$4,550	\$4,550	\$4,550	\$4,550
<u>KEY RATIOS</u>								
Debt Coverage Ratio - MADS	3.38	2.18	1.63	1.83	1.90	1.95	2.00	2.06
Unrestr. Days Cash on Hand	645	635	623	619	610	612	615	621
Unrestr. Cash to Long-term Debt	110.9%	126.1%	95.6%	106.0%	116.9%	130.5%	147.6%	169.7%

G. SENSITIVITY FORECASTS

The base case ratio forecasts are shown in **Section A**. The following are debt coverage and days cash calculations under alternative scenarios (**Table 10**).

Sensitivity 1 – Breakeven Analysis

Under this scenario, IL occupancy levels are decreased to 82% (265 IL units) versus the current 93% (300 units). Entrance fee sales (move-ins) are reduced to 25 per year (versus 28 in the base case).

Sensitivity 2 – Higher Interest Rates

Under this scenario, interest rates for the 2016 Bonds average 1.0% higher than the rate used in the base case, adding approximately \$230,000 per year to annual debt service.

TABLE 10
PARADISE VALLEY ESTATES
DEBT COVERAGE AND OTHER KEY RATIOS
(\$000s)

Fiscal Year Ending 12/31	2017	2018	2019	2020	2021
Base Case					
Debt Coverage	1.83	1.90	1.95	2.00	2.06
Unrestricted Days Cash	619	610	612	615	621
Sensitivity 1 - Breakeven					
Debt Coverage	1.19	1.22	1.24	1.26	1.28
Unrestricted Days Cash	581	535	499	464	432
Sensitivity 2 - High Interest Rates					
Debt Coverage	1.75	1.80	1.85	1.90	1.96
Unrestricted Days Cash	616	605	603	604	607

APPENDIX D

SUMMARY OF PRINCIPAL DOCUMENTS

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APPENDIX D

SUMMARY OF PRINCIPAL DOCUMENTS

The following is a summary of certain provisions of the Indenture, the Loan Agreement, the Regulatory Agreement, the Deed of Trust and the Contract of Insurance, which are not described elsewhere in this Official Statement. *These summaries do not purport to be complete or definitive and are qualified in their entirety by reference to the full terms of the Loan Agreement, the Indenture, the Regulatory Agreement, the Deed of Trust and the Contract of Insurance.* All capitalized terms not defined in this Official Statement have the meaning set forth in the Indenture or in the Regulatory Agreement. The definitions set forth below are derived from the Indenture. Certain terms defined for purposes of the Indenture are defined differently in the Regulatory Agreement. Reference should be made to the Regulatory Agreement for definitions of terms used therein.

DEFINITIONS OF CERTAIN TERMS

“Accountant” means any Independent certified public accountant or firm of such accountants with a national or regional reputation selected by the Corporation and acceptable to the Office and so long as such Accountant is acceptable to the Office. The initial Accountant of Moss Adams LLP is acceptable to the Office.

“Act” means the Joint Exercise of Powers Act, comprising Articles 1, 2, 3 and 4 of Chapter 5 of Division 7 of Title 1 (commencing with Section 6500) of the Government Code of the State of California, as now in effect and as it may from time to time hereafter be amended or supplemented.

“Additional Payments” means payments so designated and required to be made by the Corporation pursuant to the Loan Agreement.

“Adjusted Annual Operating Revenues” means operating revenue and investment income of the Corporation, less contractual allowances, allowance for bad debts and free services for any Fiscal Year, all as determined in accordance with generally accepted accounting principles.

“Administrative Fees and Expenses” means any application, commitment, financing or similar fee charged, or reimbursement for administrative or other expenses incurred by the Authority or the Trustee.

“Affiliate” means a Person which, directly or indirectly through one or more intermediaries, controls, is controlled by or is under common control with the Corporation.

“Aggregate Debt Service” means, as of any date of calculation and with respect to any period, the sum of amounts of Debt Service for all Long-Term Indebtedness for such period.

“Authority” or **“2016 Authority”** means the California Municipal Finance Authority, or its successors and assigns, a joint exercise of powers authority formed by the Joint Powers Agreement, pursuant to the Act.

“Authority Representative” means with respect to the Authority, any member of the Board of Directors of the Authority or the Executive Director of the Authority, or any other person designated as an Authority Representative by a certificate signed by a member of the Board or such Executive Director and filed with the Trustee.

“Authorized Denomination” means \$5,000 or any integral multiple thereof.

“Authorized Representative” means (1) with respect to the Corporation, its president or chair, vice president or vice chair, chief executive officer, chief financial officer or any other person designated as an Authorized Representative of the Corporation by a Certificate of the Corporation signed by its chair, vice-chair, chief executive officer or chief financial officer and filed with the Trustee, and (2) with respect to the Office, the Director of the Office or the Deputy Director of the Cal-Mortgage Loan Insurance Division or any other person designated as an Authorized Representative of the Office by a Statement of the Office signed by its Director or the Deputy Director of the Cal Mortgage Loan Insurance Division and filed with the Trustee. Such authorization shall remain in effect until the Trustee has received written notice to the contrary accompanied by a new designation.

“Beneficial Owner” means any person which has or shares the power, directly or indirectly, to make investment decisions concerning ownership of any Bonds (including Persons holding Bonds through nominees, depositories or other intermediaries).

“Board” means the Board of Directors of the Corporation.

“Bond Counsel” means Independent counsel of recognized national standing in the field of obligations the interest on which is excluded from gross income for federal income tax purposes, selected by the Corporation and acceptable to the Authority or the 2013 Authority, as applicable, and the Office.

“Bondholder” or ***“Holder,”*** whenever used with respect to a Bond, means the Person in whose name such Bond is registered.

“Bonds” or ***“2016 Bonds”*** mean the California Municipal Finance Authority Insured Revenue Bonds (NCROC – Paradise Valley Estates Project), Series 2016 issued under the Indenture.

“Business Day” means any day other than a Saturday, Sunday, or a day on which banking institutions in the city in which the Corporate Trust Office of the Trustee is located are authorized or obligated by law or executive order to be closed or a day on which the Federal Reserve System is closed.

“Certificate,” “Statement,” “Request,” “Requisition” and ***“Order”*** of the Authority, the Office or the Corporation mean, respectively, a written certificate, statement, request, requisition or order signed in the name of the Authority by an Authority Representative or such other person as may be designated and authorized to sign for the Authority, in the name of the Corporation by an Authorized Representative of the Corporation and in the name of the Office by an Authorized Representative of the Office.

“Code” means the Internal Revenue Code of 1986, or any successor statute thereto, and any regulations promulgated thereunder. Reference to any particular Code section shall, in the event of such a successor Code, be deemed to be a reference to the successor to such Code section.

“Continuing Disclosure Agreement” means that certain Continuing Disclosure Agreement, dated the date of issuance and delivery of the Bonds, between the Corporation and U.S. Bank National Association, as dissemination agent thereunder, as originally executed and as it may be amended from time to time in accordance with the terms thereof.

“Contract of Insurance” means that certain Contract of Insurance, dated as of November 1, 2016, among the Office, the Corporation and the Authority relating to the Bonds, as amended, modified and supplemented from time to time.

“Corporate Trust Office” means the corporate trust office of the Trustee, which at the date of the execution of the Indenture is located at U.S. Bank National Association, 555 SW Oak Street, Portland, Oregon 97204, Attention: Global Corporate Trust Services, provided that for purposes of exchange, transfer, cancellation, payment, redemption and surrender of Bonds such term means the office or agency of the Trustee in St. Paul, Minnesota.

“Corporation” means Northern California Retired Officers Community, a California nonprofit public benefit corporation duly organized and existing under the laws of the State, its successors and assigns, or any corporation which is the surviving, resulting or transferee corporation in any merger, consolidation or transfer of assets permitted under the Regulatory Agreement.

“Costs of Issuance” means all items of expense directly or indirectly payable by or reimbursable to the Corporation and related to the authorization, issuance, sale and delivery of the Bonds, including but not limited to advertising and printing costs, costs of preparation and reproduction of documents, filing and recording fees, initial fees and charges of the Trustee (including legal fees and charges of its counsel), legal fees and charges, fees and disbursements of consultants and professionals, rating agency fees, fees and charges for preparation, execution, transportation and safekeeping of Bonds, and any other cost, charge or fee in connection with the original issuance of Bonds.

“Costs of Issuance Fund” means the fund by that name established pursuant to the Indenture.

“Current Ratio” means a ratio of current assets to current liabilities, as determined in accordance with generally accepted accounting principles and as shown on the Corporation’s audited financial statements for such Fiscal Year.

“Days Cash on Hand” means, for any Fiscal Year, the quotient obtained by dividing (1) the Corporation’s cash and cash equivalents (including board designated funds and funded depreciation but excluding donor-restricted funds and proceeds of short term debt) as of the end of such Fiscal Year by (2) the quotient of dividing (a) the Corporation’s operating expenses (excluding depreciation, amortization, allowance for bad debts, and any other noncash expenses) for such Fiscal Year by (b) the number of days in such Fiscal Year.

“Debt Service” means, when used with respect to any Long-Term Indebtedness, as of any date of calculation and with respect to any period, the sum of (a) The interest falling due on such Long-Term Indebtedness during such period (except to the extent that such interest is payable from the proceeds of such Long-Term Indebtedness set aside for such purpose), and (b) The scheduled principal (or mandatory sinking fund or installment purchase price or lease rental or similar) payments or deposits required with respect to such Long-Term Indebtedness during such period (except to the extent such principal is payable from the proceeds of such Long-Term Indebtedness set aside for such purpose), computed on the assumption that no portion of such Long-Term Indebtedness shall cease to be outstanding during such period except by reason of the application of such scheduled payments, provided, however, that for purposes of such computation:

(1) if Long-Term Indebtedness is

(a) secured by an irrevocable letter of credit or irrevocable line of credit issued by a financial institution having a combined capital and surplus of at least fifty million dollars (\$50,000,000) and whose unsecured securities are rated in one of the two highest short-term or long-term rating categories (without regard to numerical modifier) by each rating agency then rating the Bonds, or

(b) insured by an insurance policy or surety bond issued by an insurance company rated at least A+ by Alfred M. Best Company in Best's Insurance Reports,

principal payments or deposits with respect to such Long-Term Indebtedness nominally due in the last Fiscal Year in which such Long-Term Indebtedness matures may, at the option of the Corporation, be treated as if they were due as specified in any loan agreement or installment sale/purchase agreement issued in connection with such letter of credit, line of credit, insurance policy or surety bond or pursuant to the repayment provisions of such letter of credit, line of credit, insurance policy or surety bond (or, if such loan agreement or installment sale/purchase agreement or repayment provisions provide for repayment over less than 20 years and the Trustee receives a Statement of the Corporation to the effect that the Corporation intends to refinance such Long-Term Indebtedness prior to maturity, as if they were amortized over a 20-year period with substantially level debt service) and interest on such Long-Term Indebtedness after such Fiscal Year shall be assumed to be payable at an interest rate equal to a rate per annum equal to the 25-year revenue bond index most recently published preceding the date of calculation in The Bond Buyer (subject to any adjustment for errors therein which may be acknowledged by the publishers thereof);

(2) if interest on Long-Term Indebtedness is payable pursuant to a variable interest rate formula, the interest rate on such Long-Term Indebtedness for periods when the actual interest rate cannot yet be determined shall be assumed to be equal to the greater of

(a) the average rate of interest borne (or which would have been borne) by such Long-Term Indebtedness during the Fiscal Year immediately preceding the date of calculation, plus 1%, or

(b) the average rate of interest borne by such Long-Term Indebtedness during the three full calendar months immediately preceding the date of calculation, plus 1%;

(3) if interest is capitalized with respect to Long-Term Indebtedness, Debt Service on such Long-Term Indebtedness shall be included in computations of Maximum Aggregate Annual Debt Service under the Regulatory Agreement only in proportion to the amount of interest payable in the then-current Fiscal Year from sources other than amounts funded to pay such capitalized interest;

(4) with respect to a Guarantee, there shall be included in the Debt Service of the Corporation:

(a) 25% of the Corporation's maximum possible monetary liability under the Guarantee in any Fiscal Year unless the Guarantee is drawn upon, and

(b) 100% of the Corporation's monetary liability under the Guarantee which has been drawn upon, until such time as all amounts drawn upon the Guarantee have been repaid to the Corporation, and for two Fiscal Years thereafter; and

(5) if moneys or Investment Securities described in subsections (a), (b), (e) or (f) of the definition thereof set forth below and contained in the applicable Indenture (not callable by the issuer thereof prior to maturity) have been deposited with a trustee or escrow agent in an amount, together with earnings thereon, sufficient to pay the principal of or interest on Long-Term Indebtedness as it comes due, such principal or interest, as the case may be, shall not be included in computations of Debt Service.

“Debt Service Coverage Ratio” means the ratio of Net Income Available for Debt Service to Maximum Aggregate Annual Debt Service described below under the caption “REGULATORY AGREEMENT—Rates and Charges; Debt Coverage; Current Ratio; Days Cash on Hand.”

“Deed of Trust” means, collectively, that certain Deed of Trust, Assignment of Rents and Leases with Fixture Filing and Security Agreement, dated as of December 1, 2002, as amended by the first supplemental deed of trust, dated as of December 1, 2005, further amended by the second supplemental deed of trust, dated as of March 1, 2013, and further amended by the third supplemental deed of trust, dated as of November 1, 2016, executed by the Corporation, as trustor, in favor of Chicago Title Company, as successor trustee for the benefit of the Office and the Trustee for the benefit of the holders of the Bonds and of Parity Debt, as beneficiaries, as amended, modified and supplemented from time to time.

“Deed Trustee” means the Person at the time serving as such under the Deed of Trust.

“Deposit Account Control Agreement” means a deposit account control agreement among the Corporation, the Office, the Trustee, and a Depository Bank.

“Depository” means The Depository Trust Company and its successors and assigns, or any other Securities Depository selected as set forth in the Indenture, which agrees to follow the procedures required to be followed by such depository in connection with the Bonds.

“Depository Bank” means a financial institution which has entered into a Deposit Account Control Agreement with the Corporation, the Office and the Trustee.

“Electronic Means” shall mean the following communication methods: e-mail, facsimile transmission, secure electronic transmission containing applicable authorization codes, passwords and/or authentication keys, or another method or system specified by the Trustee as available for use in connection with its services under the Indenture.

“Entrance Fees” means fees, other than security deposits, monthly rentals or monthly service charges, paid to the Corporation by residents of living units for the purpose of obtaining the right to reside in those living units or to obtain a parking space including any refundable resident deposits described in any lease, residency agreement or similar agreement with respect to those living units or parking spaces, but shall not include any such amounts held in escrow or otherwise set aside pursuant to the requirements of any such agreement or a reservation agreement prior to the occupancy of the living unit or parking space covered by such lease, residency agreement or similar agreement (which amounts shall be included if and when occupancy occurs).

“Environmental Laws” means any federal, state or local law, statute, code, ordinance, regulation, requirement or rule relating to dangerous, toxic or hazardous pollutants, Hazardous Materials, chemical waste, materials or substances.

“Event of Default” means any of the events specified in the Indenture and described below under the subheading “INDENTURE—Events of Default under the Indenture and Remedies—Events of Default.”

“Facilities” means: (i) the real property described in an exhibit to the Deed of Trust and the Regulatory Agreement and all real property added, from time to time, to the definition of Facilities pursuant to the Regulatory Agreement; (ii) all buildings and structures thereon and fixtures and improvements thereto, whether now existing or hereafter constructed, installed or acquired; and (iii) all

tangible personal property owned by the Corporation, whether now existing or hereafter constructed, installed or acquired, and used in, around or about the aforesaid real property, including but not limited to the personal property described in an exhibit to the Regulatory Agreement.

“Favorable Opinion of Bond Counsel” means an opinion of Bond Counsel, addressed to the Trustee to the effect that the action proposed to be taken will not, in and of itself, adversely affect any exclusion of interest on the Bonds from gross income for purposes of federal income taxation.

“Fiscal Year” means the period beginning on January 1 of each year and ending on the next succeeding December 31 or any other twelve-month period hereafter selected and designated as the official fiscal year period of the Corporation.

“Governmental Unit” shall have the meaning set forth in Section 150 of the Code.

“Gross Revenue Fund” means the fund by that name established pursuant to the Loan Agreement.

“Gross Revenues” means all revenues, income, receipts and money received in any period by the Corporation (other than donor-restricted gifts, grants, bequests, donations or contributions, and tax revenues), including, but without limiting the generality of the foregoing, the following: (a) gross revenues derived from its operation and possession of and pertaining to its properties; (b) proceeds with respect to, arising from, or relating to its properties and derived from (1) insurance (including business interruption insurance) or condemnation proceeds (except to the extent such proceeds are required by the terms of the Regulatory Agreement or other agreements with respect to the Indebtedness which the Corporation is permitted to incur pursuant to the terms of the Regulatory Agreement) to be used for purposes inconsistent with their use for the payment of Loan Repayments, Additional Payments or similar payments with respect to Parity Debt, (2) accounts, including but not limited to, accounts receivable, (3) securities and other investments, (4) inventory and intangible property, (5) payment/reimbursement programs and agreements, and (6) contract rights, accounts, instruments, claims for the payment of moneys and other rights and assets now or hereafter owned, held or possessed by or on behalf of the Corporation, and (c) rentals received from the lease of the Corporation’s properties or space in the Facilities; provided, however, that there shall be excluded from Gross Revenues (i) any amounts received by the Corporation as a billing agent for another entity, except for fees received for serving as billing agent, (ii) gifts, grants, bequests, donations and contributions to the Corporation heretofore or hereafter made, and the income and gains derived therefrom, which are specifically restricted by the donor or grantor to a particular purpose which is inconsistent with their use for Loan Repayments, Additional Payments or similar payments with respect to Parity Debt, (iii) any moneys received by the Corporation from prospective residents or commercial tenants in order to pay for customized improvements to those independent living units or other areas of the Corporation’s facilities to be occupied or leased to such residents or tenants, (iv) payments or deposits under a residency agreement that by its terms or applicable law are required to be held in escrow or trust for the benefit of a resident until the conditions for the release of such payment or deposit have been satisfied, and (v) all deposits and/or advance payments made in connection with any residency of the independent living units or other areas of the Corporation’s facilities to be occupied by residents or tenants and received prior to receipt of such certificate and licenses for occupancy of such units.

“Guarantee” means any obligation of the Corporation guaranteeing in any manner, whether directly or indirectly, any obligation of any Persons which would, if such Persons were the Corporation, constitute Long-Term Indebtedness.

“Hazardous Material” means: (a) any oil, flammable substance, explosives, radioactive materials, hazardous wastes or substances, toxic wastes or substances or any other wastes, materials or pollutants which (i) pose a hazard to the Project or to persons on or about the Project or (ii) cause the Project to be in violation of any Environmental Laws; (b) asbestos in any form which is or could become friable, urea formaldehyde foam insulation, transformers or other equipment which contain dielectric fluid containing levels of polychlorinated biphenyls, or radon gas; (c) any chemical, material or substance defined as or included in the definition of “waste,” “hazardous substances,” “hazardous wastes,” “hazardous materials,” “extremely hazardous waste,” “restricted hazardous waste,” or “toxic substances” or words of similar import under any Environmental Laws including, but not limited to, the Comprehensive Environmental Response, Compensation and Liability Act (“CERCLA”), 42 USC §§ 9601 et seq.; the Resource Conservation and Recovery Act (“RCRA”), 42 USC §§ 6901 et seq.; the Hazardous Materials Transportation Act, 49 USC §§ 1801 et seq.; the Federal Water Pollution Control Act, 33 USC §§ 1251 et seq.; the California Hazardous Waste Control Law (“HWCL”), Cal. Health & Safety Code §§ 25100 et seq.; the Hazardous Substance Account Act (“HSAA”), Cal. Health & Safety Code §§ 25300 et seq.; the Underground Storage of Hazardous Substances Act, Cal. Health & Safety Code §§ 25280 et seq.; the Porter-Cologne Water Quality Control Act (the “Porter-Cologne Act”), Cal. Water Code §§ 13000 et seq., the Safe Drinking Water and Toxic Enforcement Act of 1986 (Proposition 65); and Title 22 of the California Code of Regulations, Division 4, Chapter 30; (d) any other chemical, material or substance, exposure to which is prohibited, limited or regulated by any governmental authority or agency or may or could pose a hazard to the health and safety of the occupants of the Project or the owners and/or occupants of property adjacent to or surrounding the Project, or any other person coming upon the Project or adjacent property; or (e) any other chemical, materials or substance which may or could pose a hazard to the environment.

“Indebtedness” means any Guarantee and any indebtedness or obligation of the Corporation (other than accounts payable and accruals), as determined in accordance with generally accepted accounting principles, including obligations under conditional sales contracts or other title retention contracts, and rental obligations under leases which are considered capital leases under generally accepted accounting principles. Indebtedness shall not include Non-recourse Indebtedness.

“Indenture” means the Indenture relating to the Bonds, between the Authority and the Trustee, dated as of November 1, 2016, as originally executed or as it may from time to time be supplemented, modified or amended by any Supplemental Indenture.

“Independent,” when referring to an Accountant, counsel, Management Consultant or a Person, means an Accountant, counsel, Management Consultant or Person who is independent of and not under the control of the Corporation, does not have any substantial interest, direct or indirect, in the Corporation, and in the case of an individual, is not connected, including through a spouse, with the Corporation as a director, officer or employee of the Corporation, and in the case of a firm, is not connected with the Corporation as a partner, director, officer or employee of the Corporation, but who may be regularly retained by the Corporation.

“Independent Living Units” means the newly-constructed independent living units that are part of the Project.

“Information Services” means, initially, the Electronic Municipal Market Access system (EMMA), or any successor designated by the Securities and Exchange Commission.

“Initial Entrance Fees” means Entrance Fees received upon the initial occupancy of any Independent Living Unit (including any such fees collected for the purpose of obtaining a parking space) not previously occupied.

“Insurance and Condemnation Proceeds Fund” means the fund by that name established pursuant to the Indenture.

“Insurance Law” means Chapter 1, Part 6, Division 107 of the Health and Safety Code of the State, cited as the “California Health Facility Construction Loan Insurance Law,” as now in effect and as it may from time to time hereafter be amended or supplemented.

“Insurance Premium” means the premium charged for insurance by the Office pursuant to Insurance Law Section 129040.

“Interest Account” means the account by that name in the Revenue Fund established pursuant to the Indenture.

“Interest Payment Date” means January 1 and July 1 of each year, commencing July 1, 2017.

“Investment Securities” means any of the following:

(a) Direct obligations of the United States of America (including obligations issued or held in book-entry form on the books of the Department of the Treasury of the United States of America) or obligations the timely payment of the principal of and interest on which are fully guaranteed by the United States of America, including instruments evidencing an ownership interest in securities described in this clause (a) such as CATS, TIGRs, Treasury Receipts and Stripped Treasury Coupons;

(b) Obligations of any of the following federal agencies which obligations represent the full faith and credit of the United States of America (including stripped securities if the agency has stripped them itself)

- (i) U.S. Export-Import Bank;
- (ii) Farmers Home Administration;
- (iii) Federal Financing Bank;
- (iv) Federal Housing Administration;
- (v) General Services Administration;
- (vi) Government National Mortgage Association (“GNMA”) (including guaranteed mortgage-backed bonds and guaranteed pass-through obligations);
- (vii) Rural Economic Community Development Administration
- (viii) Small Business Administration
- (ix) U.S. Maritime Administration (guaranteed Title XI financing); and
- (x) U.S. Department of Housing and Urban Development (including project notes, local authority bonds, new communities debentures, U.S. government guaranteed debentures, U.S. Public Housing Notes and Bonds and U.S. government guaranteed public housing notes and bonds;

(c) Debentures, bonds, notes or other evidence of indebtedness issued or guaranteed by any of the following U.S. government agencies which obligations are not fully guaranteed by the full faith and credit of the United States of America (including stripped securities if the agency has stripped them itself):

- (i) Federal Home Loan Bank System (senior debt obligations);
- (ii) Resolution Funding Corporation (REFCORP) obligations;
- (iii) Federal Home Loan Mortgage Corporation (FHLMC or “Freddie Mac”) senior debt obligations or participation certificates;
- (iv) Federal National Mortgage Association (FNMA or “Fannie Mae”) mortgage-backed securities and senior debt obligations;
- (v) Senior debt obligations of other government sponsored agencies approved by the Office.

(d) Investments in money market funds registered under the Federal Investment Company Act of 1940, whose shares are registered under the Federal Securities Act of 1933, and having a rating by S&P of AAAm-G, AAAM or better (including such funds for which the Trustee, its affiliates or subsidiaries provide investment advisory or other management services or for which the Trustee or an affiliate of the Trustee serves as investment administrator, shareholder servicing agent, and/or custodian or subcustodian, notwithstanding that (i) the Trustee or an affiliate of the Trustee receives fees from funds for services rendered, (ii) the Trustee collects fees for services rendered pursuant to this Indenture, which fees are separate from the fees received from such funds, and (iii) services performed for such funds and pursuant to this Indenture may at times duplicate those provided to such funds by the Trustee or an affiliate of the Trustee);

(e) Pre-refunded municipal obligations defined as follows: any bonds or other obligations of any state of the United States of America or of any agency, instrumentality or local governmental unit of any such state which are not callable at the option of the obligor prior to maturity or as to which irrevocable instructions have been given by the obligor to call on the date specified in the notice; and

(i) which are rated, based on an irrevocable escrow account or fund (the “Escrow”), in the highest rating category of Moody’s or S&P or any successors thereto; or

(ii) (A) which are fully secured as to principal, interest and redemption premium, if any, by an Escrow consisting only of cash or obligations described in paragraph (a) above, which Escrow may be applied only to the payment of such principal of and interest and redemption premium, if any, on such bonds or other obligations on the maturity date or dates thereof or the specified redemption date or dates pursuant to such irrevocable instructions, as appropriate, and (B) which Escrow is sufficient, as verified by a nationally recognized independent certified public accountant, to pay principal of and interest and redemption premium, if any on the bonds or other obligations described in this paragraph on the maturity date or dates specified in the irrevocable instructions referred to above, as appropriate;

(f) Repurchase agreements fully secured by collateral security described in clauses (a), (b), (c), or (h) of this definition, which collateral (i) is held by the Trustee or a third party agent during the term of such repurchase agreement, (ii) is not, pursuant to the terms of such agreement, subject to liens or claims of third parties and (iii) has a market value (determined at least once every 14 days) at least equal to the amount so invested;

(g) Demand deposits, including trust accounts, trust funds, interest bearing money market accounts, overnight bank deposits, interest bearing deposits, banker's acceptances or certificates of deposit of, or time deposits in, any bank (including the Trustee or any of its affiliates) or savings and loan association (i) which certificates of deposit or time deposits are fully insured by the Federal Deposit Insurance Corporation or (ii) which certificates of deposit (including those placed by a third party pursuant to an agreement between the Trustee and the Corporation) or time deposits are secured at all times, in the manner and to the extent provided by law, by collateral security (described in clauses (a), (b), (c), or (h) of this definition) with a market value (valued at least quarterly) of no less than the original amount of moneys so invested;

(h) Municipal obligations rated "Aaa/AAA" on the basis of insurance or credit enhancement, provided the underlying rating of the municipal obligation must be at least "Baa/BBB," uninsured, or unenhanced municipal obligations rated at least "Aa2/AA" or general obligations of states with a rating of "A2/A" by Moody's or S&P;

(i) U.S. dollar denominated deposit accounts, federal funds or bankers acceptances with domestic commercial banks which may include the Trustee and its affiliates which have a rating on their short term certificates of deposit on the date of purchase of "P-1" by Moody's and "A-1" or "A-1+" by S&P (for purposes of rating, ratings on holding companies are not considered as the rating of the bank) and maturing not more than 360 calendar days after the date of purchase;

(j) The Local Agency Investment Fund of the State, created pursuant to Section 16429.1 of the California Government Code, to the extent the Trustee is authorized to register such investment in its name;

(k) Direct obligations of the State (including obligations issued or held in book-entry form on the books of the Office of the Treasurer of the State) or obligations the timely payment of the principal of and interest on which are fully guaranteed by the State; and

(l) Other forms of investments approved in writing by the Office.

"Joint Powers Agreement" means a Joint Exercise of Powers Agreement, dated as of January 1, 2004 by and among certain California cities, counties and special districts, as may be amended from time to time.

"Loan Agreement" or **"2016 Loan Agreement"** means that certain Loan Agreement, dated as of November 1, 2016, between the Corporation and the Authority, as amended, modified and supplemented from time to time in accordance with the terms thereof and of the Indenture.

"Loan Default Event" means any of the events specified in the Loan Agreement and described below under the subheading "LOAN AGREEMENT—Loan Default Events."

"Loan Repayments" means the payments so designated and required to be made by the Corporation pursuant to the Loan Agreement.

"Long-Term Indebtedness" means Indebtedness having an original maturity greater than one year or renewable at the option of the Corporation for a period greater than one year from the date of original incurrence or issuance thereof unless, by the terms of such Indebtedness, no Indebtedness is permitted to be outstanding thereunder for a period of at least 30 consecutive days during each calendar year.

“Management Consultant” means an Independent Person of national or regional reputation qualified to report on questions relating to the financial condition and projections of health facilities, selected by the Corporation and acceptable to the Office and so long as such Management Consultant is acceptable to the Office.

“Mandatory Sinking Account Payment” means the amount required to be paid on any single date for the retirement of Bonds.

“Maximum Aggregate Annual Debt Service” means, as of any date of calculation, the Aggregate Debt Service as computed for the then current or any future Fiscal Year in which such sum shall be largest.

“Moody’s” means Moody’s Investors Service, Inc., a corporation organized and existing under the laws of the State of Delaware, its successors and their assigns, or, if such corporation shall be dissolved or liquidated or shall no longer perform the functions of a securities rating agency, any other nationally recognized securities rating agency designated by the Corporation by notice to the Authority and the Trustee.

“Net Income Available for Debt Service” means, with respect to any period, the excess of revenues (including non-operating revenues and Entrance Fees other than Initial Entrance Fees and net of any refunds of Entrance Fees (other than Initial Entrance Fees) due under Residency Agreements) over expenses from operations of the Corporation for such period, determined in accordance with generally accepted accounting principles, to which shall be added interest, amortization, depreciation expense and other non-cash charges, each item determined in accordance with generally accepted accounting principles, and excluding (a) any profits or losses on the sale or other disposition, not in the ordinary course of business, of investments or fixed or capital assets or resulting from the early extinguishment of debt, (b) gifts, grants, bequests, donations and contributions, to the extent specifically restricted by the donor to a particular purpose inconsistent with their use for the payment of Debt Service or operating expenses, (c) the net proceeds of insurance (other than business interruption insurance) and condemnation awards, (d) changes in net unrealized gain (loss) on investments, (e) non-cash revenues and (f) Initial Entrance Fees.

“New Money Project” means the costs of, or reimbursements for, the capital construction, improvement, furnishing and equipping of an expansion project at the continuing care retirement community owned and operated by the Corporation, to be financed with a portion of the proceeds of the Bonds.

“Non-recourse Indebtedness” means any indebtedness of the Corporation, which is not a general obligation of the Corporation and is secured by a lien on property of the Corporation, liability for which is effectively limited to the property subject to such lien (which property is not integral to the operation of the Facilities) with no recourse, directly or indirectly, to any other property of the Corporation.

“Office” means the Office of Statewide Health Planning and Development of the Health and Human Services Agency of the State, or its successors and assigns.

“Office Documents” means the Contract of Insurance, the Deed of Trust and the Regulatory Agreement.

“Opinion of Counsel” means a written opinion of counsel (including, without limitation, counsel for the Authority, the Trustee or the Corporation) selected by the Corporation and acceptable to the Authority.

“Outstanding,” when used as of any particular time with reference to Bonds, means (subject to the provisions of the Indenture relating to unclaimed Bonds) all Bonds theretofore, or thereupon being, authenticated and delivered by the Trustee under the Indenture except: (1) Bonds theretofore cancelled by the Trustee or surrendered to the Trustee for cancellation; (2) Bonds with respect to which all liability of the Authority shall have been discharged in accordance with the Indenture; and (3) Bonds for the transfer or exchange of or in lieu of or in substitution for which other Bonds shall have been authenticated and delivered by the Trustee pursuant to the Indenture.

“Parity Debt” means (i) the obligations of the Corporation with respect to the 2013 Bonds and the 2016 Bonds, and (ii) Long-Term Indebtedness which is incurred by the Corporation in accordance with the provisions of the Regulatory Agreement and secured equally and ratably with the obligations of the Corporation under the 2013 Loan Agreement and the 2016 Loan Agreement by a lien on and security interest in the Gross Revenues and the Deed of Trust.

“Participating Underwriter” means the original underwriter of the Bonds required to comply with the Rule in connection with offering of the Bonds.

“Permitted Encumbrances” means and includes:

(a) undetermined liens and charges incident to construction or maintenance, and liens and charges incident to construction or maintenance now or hereafter filed of record which are being contested in good faith and have not proceeded to final judgment (and for which all applicable periods for appeal or review have not expired), provided that the Corporation shall have set aside reserves with respect thereto which, in the opinion of the Office, are adequate;

(b) notices of *lis pendens* or other notices of or liens with respect to pending actions which are being contested in good faith and have not proceeded to final judgment (and for which all applicable periods for appeal or review have not expired), provided that the Corporation shall have set aside reserves with respect thereto which, in the opinion of the Office, are adequate;

(c) the lien of taxes and assessments which are not delinquent, or, if delinquent, are being contested in good faith, provided that the Corporation shall have set aside reserves with respect thereto which, in the opinion of the Board, are adequate;

(d) minor defects and irregularities in title to the Facilities which in the aggregate do not materially adversely affect the value or operation of the Facilities for the purposes for which they are or may reasonably be expected to be used;

(e) easements, exceptions or reservations for the purpose of ingress and egress, parking, pipelines, telephone lines, telegraph lines, power lines and substations, roads, streets, alleys, highways, railroad purposes, drainage and sewerage purposes, dikes, canals, laterals, ditches, the removal of oil, gas, coal or other minerals, and other like purposes, or for the joint or common use of real property, facilities and equipment, which in the aggregate do not materially interfere with or impair the operation of the Facilities for the purposes for which they are or may reasonably be expected to be used;

(f) rights reserved to or vested in any municipality or governmental or other public authority to control or regulate or use in any manner any portion of the Facilities which do not materially impair the operation of the Facilities for the purposes for which they are or may reasonably be expected to be used;

(g) present or future valid zoning laws and ordinances;

(h) the rights of the Authority, the 2013 Authority, the Corporation, the Office, the Trustee and holders of Parity Debt under the Loan Agreement, the applicable Indenture, the Regulatory Agreement and the Deed of Trust, and the lien and charge of the applicable Indenture, the Regulatory Agreement and the Deed of Trust;

(i) liens securing indebtedness for the payment, redemption or satisfaction of which money (or evidences of indebtedness) in the necessary amount shall have been deposited in trust with a trustee or other holder of such indebtedness;

(j) purchase money security interests and security interests existing on any personal property prior to the time of its acquisition by the Corporation through purchase, merger, consolidation or otherwise, whether or not assumed by the Corporation, or placed upon property being acquired by the Corporation to secure a portion of the purchase price thereof, or lessor's interests in leases required to be capitalized in accordance with generally accepted accounting principles;

(k) statutory liens arising in the ordinary course of business which are not delinquent or are being contested in good faith by the Corporation;

(l) the lease or license of the use of a part of the Facilities for use in performing professional or other services necessary for the proper and economical operation of the Facilities in accordance with customary business practices in the health care industry;

(m) liens or encumbrances existing as of the date of initial execution and delivery of the Bonds as listed on an exhibit to the Regulatory Agreement;

(n) liens securing Parity Debt on a parity with the obligations of the Corporation under the Regulatory Agreement;

(o) statutory rights of the United States of America to recover against the Corporation by reason of federal funds made available under 42 U.S.C. § 291 et seq., and similar rights under other federal and state statutes;

(p) any liens arising from or in connection with assistance provided by the Federal Emergency Management Agency;

(q) liens on any of the Corporation's accounts receivable to secure Indebtedness permitted by the Regulatory Agreement, but only for so long as the Corporation shall maintain a valid Credit Rating BBB- or higher. Should the Corporation become unrated, it shall not extend or renew such Indebtedness without the consent of the Office; and

(r) other liens and encumbrances specifically approved in writing by the Office.

“Person” means a person, individual, company, firm, association, organization, partnership, trust, corporation or other legal entity or group of entities, including a governmental entity or any agency or political subdivision thereof.

“Principal Account” means the account by that name in the Revenue Fund established pursuant to the Indenture.

“Prior Bonds” means the California Health Facilities Financing Authority Insured Revenue Bonds (NCROC – Paradise Valley Estates Project), Series 2005, to be refunded with a portion of the proceeds of the Bonds.

“Project” has the meaning given in the Official Statement.

“Project Costs” means (a) the obligations of the Corporation incurred for labor and materials and to architects, engineers, project supervisors, contractors, builders and materialmen in connection with the design, demolition of existing structures, acquisition, construction, installation and equipping of the New Money Project; (b) the cost of contract bonds and of insurance of all kinds that may be required or necessary during the course of construction of the New Money Project which is not paid by the contractor or contractors or otherwise provided for; (c) all costs of engineering services, including test borings, surveys, estimates, plans and specifications and preliminary investigations, and supervising construction, as well as for the performance of all other duties required by or consequent upon the proper construction of the New Money Project; (d) Costs of Issuance; (e) all other costs which the Corporation shall be required to pay, under the terms of any contract or contracts, for the acquisition, construction and installation of the New Money Project; (f) other costs of a nature comparable to those described in clauses (a) through (e) above which the Corporation shall be required to pay as a result of the damage, destruction, condemnation or taking of the New Money Project or any portion thereof; (g) fees and expenses including consultants’ fees and expenses incurred in connection with the New Money Project; (h) allocable interest on the Bonds and any interim financing of the New Money Project during the period of construction of such New Money Project; and (i) any other costs incurred by the Corporation which are properly chargeable to the capital account of the New Money Project and which may be financed by the Bonds under the Act and the Code (including any fees for a qualified guarantee, as defined in Regulations, to the extent properly chargeable to the capital account of the New Money Project under the Code); provided, however, that in no event shall the term “Project Costs” include any item or items of expense which may not be financed from the proceeds of the Bonds under the Act or which, if paid or reimbursed from the proceeds of the Bonds would, individually or in the aggregate, cause the interest on the Bonds to be includable for federal income tax purposes in the gross income of the registered owners thereof.

“Project Fund” means the fund by that name established pursuant to the Indenture.

“Rating Category” means (i) with respect to any long term Rating Category, all ratings designated by a particular letter or combination of letters, without regard to any numerical modifier, plus or minus sign or other modifier and (ii) with respect to any short term or commercial paper Rating Category, all ratings designated by a particular letter or combination of letters and taking into account any numerical modifier, but not any plus or minus sign or other modifier.

“Rebate Fund” means the fund by that name established pursuant to the Indenture.

“Rebate Requirement” means the Rebate Requirement as defined in the Tax Agreement.

“Record Date” means, with respect to any Interest Payment Date for the Bonds, the 15th day of the calendar month immediately preceding such Interest Payment Date, whether or not such day is a Business Day.

“Redemption Fund” means the fund by that name established pursuant to the Indenture.

“Redemption Price” means, with respect to any Bond (or portion thereof), the principal amount of such Bond (or portion thereof), payable upon redemption thereof pursuant to the provisions of such Bond and the Indenture.

“Refunding Fund” means the fund by that name established pursuant to the Indenture.

“Regulations” means the federal income tax regulations, as the same may be amended from time to time.

“Regulatory Agreement” means that certain Amended and Restated Regulatory Agreement, dated as of November 1, 2016, by and among the Corporation, the Office, the Authority and the 2013 Authority, further amending, supplementing and restating that certain regulatory agreement, dated as of December 1, 2002, by and among the Corporation, the Office and the 2013 Authority, which was first amended, supplemented and restated by an amended and restated regulatory agreement, dated as of December 1, 2005, by and among the Corporation, the Office and the 2013 Authority, and was further amended, supplemented and restated by an amended and restated regulatory agreement, dated as of March 1, 2013, by and among the Corporation, the Office and the 2013 Authority.

“Revenue Fund” means the fund by that name established pursuant to the Indenture.

“Revenues” means all amounts received by the Authority or the Trustee pursuant or with respect to the Loan Agreement, including, without limiting the generality of the foregoing, Loan Repayments (including both timely and delinquent payments and any late charges, and regardless of source), prepayments, insurance proceeds, payments received pursuant to the Insurance Law, condemnation proceeds, and all interest, profits or other income derived from the investment of amounts in any fund or account established pursuant to the Indenture (except the Rebate Fund), but not including (1) any Additional Payments or Administrative Fees and Expenses, (2) any amounts paid to the Authority or the Trustee pursuant to rights of indemnification, or (3) any moneys required to be deposited in the Rebate Fund.

“Risk Management Consultant” means an Independent Person having experience and a favorable reputation in consulting on the insurance requirements of health facilities in the State of the general size and character of the Facilities, selected by the Corporation and acceptable to the Office, and so long as such Risk Management Consultant is acceptable to the Office.

“Rule” means Rule 15c2-12(b)(5) adopted by the Securities and Exchange Commission under the Securities Exchange Act of 1934, as the same may be amended from time to time.

“S&P” means Standard & Poor’s Ratings Services, a business of Standard & Poor’s Financial Services LLC, a limited liability company organized and existing under the laws of the State of Delaware, its successors and assigns or, if such corporation shall be dissolved or liquidated or shall no longer perform the functions of a securities rating agency, any other nationally recognized securities rating agency designated by the Corporation by notice to the Authority and the Trustee.

“Short-Term Indebtedness” means Indebtedness having an original maturity less than or equal to one year and not renewable at the option of the Corporation for a term greater than one year from the date of original incurrence or issuance unless, by the terms of such Indebtedness, no Short-Term Indebtedness is permitted to be outstanding thereunder for a period of at least 30 consecutive days during each calendar year.

“Special Record Date” means the date established by the Trustee pursuant to the provisions of the Indenture as a record date for the payment of defaulted interest on Bonds.

“State” means the State of California.

“Supplemental Indenture” means any indenture hereafter duly authorized and entered into between the Authority and the Trustee, supplementing, modifying or amending the Indenture; but only if and to the extent that such Supplemental Indenture is specifically authorized under the Indenture.

“Tax Agreement” means the Tax Certificate and Agreement, delivered by the Authority and the Corporation at the time of issuance of the Bonds, as the same may from time to time be amended or supplemented in accordance with the terms thereof.

“Trustee” means U.S. Bank National Association, a national banking association duly organized and existing under and by virtue of the laws of the United States of America, or its successor, as Trustee under the Indenture as provided in the Indenture.

“2013 Authority” means the California Health Facilities Financing Authority, a public instrumentality of the State.

“2013 Bonds” means the \$32,315,000 California Health Facilities Financing Authority Insured Refunding Revenue Bonds (NCROC – Paradise Valley Estates Project), Series 2013, issued under the 2013 Indenture.

“2013 Indenture” means that certain Indenture, between the 2013 Authority and the Trustee, dated as of March 1, 2013, as amended, modified and supplemented from time to time.

“2013 Loan Agreement” means that certain Loan Agreement, dated as of March 1, 2013, between the 2013 Authority and the Corporation, as amended, modified and supplemented from time to time.

“United States Government Obligations” means:

(1) direct obligations of the United States of America (including obligations issued or held in book-entry form on the books of the Department of the Treasury of the United States of America, and “CATS” and “TIGRS”) or obligations the payment of principal of and interest on which are unconditionally guaranteed by the United States of America; and

(2) senior debt obligations of other agencies of the United States of America approved in writing by the Office.

INDENTURE

General

The Indenture sets forth the terms of the Bonds, the application of the Bond proceeds, the nature and extent of the security, various rights of the Bondholders, rights, duties and immunities of the Trustee and the rights and obligations of the Authority. Certain provisions of the Indenture are summarized below. Other provisions are summarized in this Official Statement under the captions “THE BONDS” and “SECURITY AND SOURCE OF PAYMENT FOR THE BONDS.” These summaries do not purport to be complete or definitive and are qualified in their entireties by reference to the full terms of the Indenture.

Pledge and Assignment

Pursuant to the provisions of the Indenture, the Authority transfers in trust, grants a security interest in and assigns to the Trustee, for the benefit of the Holders from time to time of the Bonds, all of the Revenues and other assets pledged in the Indenture and all of the right, title and interest of the Authority in the Loan Agreement (except for (i) the right to receive any Additional Payments or Administrative Fees and Expenses to the extent payable to the Authority, (ii) any rights of the Authority to be indemnified, held harmless and defended and rights to inspection and to receive notices, certificates and opinions, (iii) express rights of the Authority to give approvals, consents or waivers and (iv) the obligation of the Corporation to make deposits pursuant to the Tax Agreement), the Deed of Trust, the Contract of Insurance and the Regulatory Agreement. The Trustee shall be entitled to and shall collect and receive all of the Revenues, and any Revenues collected or received by the Authority shall be deemed to be held, and to have been collected or received, by the Authority as the agent of the Trustee and shall forthwith be paid by the Authority to the Trustee. The Trustee shall also be entitled to, and subject to the provisions of the Indenture, shall take all steps, actions and proceedings reasonably necessary in its judgment to enforce, either jointly with the Authority or separately, any or all rights of the Authority (other than those specifically retained by the Authority) and all of the obligations of the Corporation under the Indenture, the Loan Agreement, the Deed of Trust, the Contract of Insurance and the Regulatory Agreement.

Establishment of Funds and Accounts

The Indenture creates the Revenue Fund, including the Interest Account and the Principal Account, each established within the Revenue Fund, the Insurance and Condemnation Proceeds Fund, the Project Fund, the Refunding Fund, the Costs of Issuance Fund and the Rebate Fund. All of such funds and accounts shall be established, maintained and held in trust by the Trustee and applied in accordance with the provisions set forth in the Indenture.

Project Fund. The Trustee shall establish, maintain and hold in trust a separate fund designated as the "Project Fund." The moneys in the Project Fund shall be used and withdrawn by the Trustee to pay Project Costs. No moneys in the Project Fund shall be used to pay Costs of Issuance. Before any payment from the Project Fund shall be made, the Corporation shall file or cause to be filed with the Trustee certain items described in the Indenture. When the Project has been completed, and the required items described in the Indenture shall have been delivered to the Trustee and the Office by the Corporation, the Trustee shall, as directed by the Corporation, transfer any remaining balance in such Project Fund, less the amount of any retention, to the Revenue Fund and the Project Fund shall be closed.

Refunding Fund. The Trustee shall establish, maintain and hold in trust a separate fund designated as the "Refunding Fund." The moneys in the Refunding Fund shall be immediately applied by the Trustee, in accordance with the wire instructions provided to the Trustee by the Corporation, to refund and redeem the outstanding Prior Bonds on the date of issuance of the Bonds. Following such payment, the Trustee shall transfer any remaining balance in the Refunding Fund to the Revenue Fund and the Trustee shall close the Refunding Fund. No moneys in the Refunding Fund shall be used to pay Costs of Issuance.

Costs of Issuance Fund. The Trustee shall establish, maintain and hold in trust a separate fund designated as the "Costs of Issuance Fund." The moneys in the Costs of Issuance Fund shall be used and withdrawn by the Trustee to pay the Costs of Issuance upon receipt by the Trustee of (i) a Requisition of the Corporation, and (ii) an executed form of the Office stating that such disbursements are authorized and the amounts so authorized. Amounts, if any, remaining in the Costs of Issuance Fund shall be transferred to the Revenue Fund and the Costs of Issuance Fund shall be closed.

Revenue Fund. All Revenues shall be promptly deposited by the Trustee upon receipt thereof in a special fund designated as the “Revenue Fund,” which the Trustee shall establish, maintain and hold in trust, except as otherwise provided in the Indenture and except that all moneys received by the Trustee and required by the Regulatory Agreement to be deposited in the Insurance and Condemnation Proceeds Fund or the Redemption Fund shall be promptly deposited in the Insurance and Condemnation Proceeds Fund. All Revenues deposited with the Trustee shall be held, disbursed, allocated and applied by the Trustee only as provided in the Indenture.

Interest Account. All amounts in the Interest Account shall be used and withdrawn by the Trustee solely for the purpose of paying interest on the Bonds as it shall become due and payable (including accrued interest on any Bonds purchased or redeemed prior to maturity pursuant to the Indenture).

Principal Account. All amounts in the Principal Account shall be used and withdrawn by the Trustee solely for the purpose of paying the principal of the Bonds when due and payable as provided in the Indenture.

Insurance and Condemnation Proceeds Fund. The Trustee shall establish, maintain and hold in trust when deposits thereto are required under the Regulatory Agreement a separate fund designated as the “Insurance and Condemnation Proceeds Fund,” and shall administer said fund in accordance with the Regulatory Agreement.

Redemption Fund. The Trustee shall establish and maintain a fund designated as the “Redemption Fund.” The Trustee shall accept all moneys deposited for redemption (other than for sinking account redemption) and shall deposit such moneys into the Redemption Fund. All amounts deposited in the Redemption Fund shall be accepted and used and withdrawn by the Trustee solely for the purpose of redeeming Bonds, in the manner and upon the terms and conditions specified in the Indenture, at the next succeeding date of redemption for which notice has not been given and at the Redemption Prices then applicable to redemptions from the Redemption Fund; provided that, at any time prior to selection of Bonds for redemption, the Trustee shall, upon direction of the Corporation, apply such amounts to the purchase of Bonds at public or private sale, as and when and at such prices (including brokerage and other charges, but excluding accrued interest, which is payable from the Interest Account) as the Corporation may direct, except that the purchase price (exclusive of accrued interest) may not exceed the Redemption Price then applicable to such Bonds (or, if such Bonds are not then subject to redemption, the par value of such Bonds); and provided further that in the case of optional redemption of Bonds pursuant to the Indenture in lieu of optional redemption at such next succeeding date of redemption, or in combination therewith, amounts on deposit in the Redemption Fund for such optional redemption may, upon written direction of the Corporation, be transferred to the Principal Account and credited against Loan Repayments in order of their due date as set forth in a Request of the Corporation.

All Bonds purchased or redeemed from the Redemption Fund shall be allocated to the Mandatory Sinking Account Payments for such Bonds specified by the Corporation (in accordance with the Tax Agreement) in writing delivered to the Trustee, provided, however, if the Corporation fails to deliver such specification, in inverse order of the Mandatory Sinking Fund Payments.

Rebate Fund. The Trustee shall establish and maintain a fund separate from any other fund established and maintained under the Indenture designated as the Rebate Fund. Within the Rebate Fund, the Trustee shall, upon the direction of the Authority or the Corporation, maintain such accounts as shall be necessary to comply with the terms and conditions of the Tax Agreement. Subject to the transfer provisions provided in the Indenture, all money at any time deposited in the Rebate Fund shall be held by the Trustee in trust, to the extent required to satisfy the Rebate Requirement (as defined, computed and

provided to the Trustee in accordance with the Tax Agreement), for payment to the federal government of the United States of America. Neither the Authority, the Corporation, the Office nor the Holder of any Bonds shall have any rights in or claim to such money. All amounts deposited into or on deposit in the Rebate Fund shall be governed by the Indenture and by the Tax Agreement.

Allocation of Revenues

On or before the 25th day of each month, the Trustee shall transfer from the Revenue Fund and deposit into the following respective accounts (each of which the Trustee shall establish and maintain within the Revenue Fund) and then to the Rebate Fund, the following amounts, in the following order of priority, the requirements of each such account or fund (including the making up of any deficiencies in any such account resulting from lack of Revenues sufficient to make any earlier required deposit) at the time of deposit to be satisfied before any transfer is made to any account or fund subsequent in priority:

First: to the Interest Account, one-sixth of the aggregate amount of interest becoming due and payable on all Bonds then Outstanding on the next Interest Payment Date occurring three or more months after such deposit; provided that from the date of delivery of the Bonds until the first Interest Payment Date with respect to the Bonds (if less than six months), transfers to the Interest Account shall be sufficient, on a monthly pro rata basis, to pay the interest becoming due and payable on the Bonds on said Interest Payment Date by the date that is three months prior to such Interest Payment Date;

Second: to the Principal Account, one-twelfth of the aggregate amount of principal and Mandatory Sinking Account Payments becoming due and payable on the Outstanding Bonds on the next Interest Payment Date occurring three or more months after such deposit, until the balance in said Principal Account is equal to said aggregate amount of such principal and Mandatory Sinking Account Payments; provided that from the date of delivery of the Bonds until the first principal payment date with respect to the Bonds (if less than twelve months), transfers to the Principal Account shall be sufficient on a monthly pro rata basis to pay the principal and Mandatory Sinking Account Payments becoming due and payable on such principal payment date by the date that is three months prior to such principal payment date; and

Third: upon direction of the Authority or the Corporation, to the Rebate Fund, such amounts as are required to be deposited therein by the Indenture (including the Tax Agreement).

Any moneys remaining in the Revenue Fund after the foregoing transfers shall be transferred first to the Office to the extent necessary to repay insurance advances made by the Office (as directed by the Office to the Trustee in writing), including interest thereon as specified in the Regulatory Agreement, and thereafter to the Corporation.

Investment of Moneys in Funds and Accounts

All moneys in any of the funds and accounts established pursuant to the Indenture shall be invested by the Trustee, upon the written direction of the Corporation, solely in Investment Securities. The Trustee shall acquire such Investment Securities upon the written direction of the Corporation at such prices and on such terms as directed by the Corporation. In the absence of written directions from the Corporation, the Trustee shall invest solely in Investment Securities described in clause (D) of the definition thereof in "DEFINITIONS OF CERTAIN TERMS" above. All Investment Securities shall be acquired subject to the limitations set forth in the Indenture, the limitations as to maturities described under this caption and such additional limitations or requirements consistent with the foregoing as may be established by Request of the Corporation.

Moneys in all funds and accounts shall be invested in Investment Securities maturing not later than the date on which it is estimated that such moneys will be required for the purposes specified in the Indenture. Investment Securities purchased under a repurchase agreement may be deemed to mature on the date or dates on which the Trustee may deliver such Investment Securities for repurchase under such agreement.

Notwithstanding any other provision in the Indenture, the Authority shall not enter into or direct the Trustee to enter into any agreement, including, without limitation, any investment or sale agreement involving the sale of future interest income or forward delivery agreement or forward purchase contract or forward purchase supply contract, which provides for an upfront payment to the Corporation, in connection with the investment of any of the funds or accounts established under the Indenture and held by the Trustee.

All interest, profits and other income received from the investment of moneys in the Rebate Fund shall be deposited when received in the Rebate Fund. All interest, profits and other income received from the investment of moneys in the Insurance and Condemnation Proceeds Fund shall be deposited when received in the Insurance and Condemnation Proceeds Fund. All interest, profits and other income received from the investment of moneys in any other fund or account established pursuant to the Indenture, shall be transferred when received (a) first, to the Principal Account to the extent necessary to increase the balance therein to the aggregate amount of principal of the Bonds coming due during the next ensuing twelve months, and (b) second, to the Revenue Fund. Notwithstanding anything to the contrary contained in this paragraph, an amount of interest received with respect to any Investment Security equal to the amount of accrued interest, if any, paid as part of the purchase price of such Investment Security shall be credited to the fund or account for the credit of which such Investment Security was acquired.

Certain Covenants

Against Encumbrances. The Authority shall not create, or permit the creation of, any pledge, lien, charge or other encumbrance upon the Revenues and other assets pledged or assigned under the Indenture while any of the Bonds are Outstanding, except the pledge and assignment created by the Indenture. Subject to this limitation, the Authority expressly reserves the right to enter into one or more other indentures for any of its corporate purposes, including other programs under the Act, and reserves the right to issue other obligations for such purposes.

Enforcement of Loan Agreement and Other Covenants. The Trustee shall collect all amounts due from the Corporation pursuant to the Loan Agreement, and subject to the provisions of the Indenture, shall exercise all rights assigned to it pursuant to the Loan Agreement and shall enforce, and take all steps, actions and proceedings reasonably necessary for the enforcement of all of the rights of the Authority except as is otherwise provided in the Indenture and all of the obligations of the Corporation, including, without limitation, such steps, actions and proceedings as shall be directed by the Authority.

The Authority shall not amend, modify or terminate any of the terms of the Loan Agreement, or consent to any such amendment, modification or termination, without the written consent of the Office. The Authority shall not amend, modify or terminate the Loan Agreement or any of the Office Documents in any manner adverse to the interests of the Trustee without the written consent of the Trustee.

The Trustee, subject to the provisions of the Indenture, shall take all actions required by the terms of the Contract of Insurance, and shall enforce the Contract of Insurance by appropriate legal action, for the benefit of the Bondholders.

If (1) a Loan Default Event has occurred and is continuing under the Loan Agreement or (2) debentures have been issued by the Treasurer of the State of California in satisfaction of the Office's obligations under the Contract of Insurance, the Trustee shall, within three Business Days of receipt of a Request of the Office, transfer to the Office all of the Trustee's right, title and interest in the Loan Agreement and the Regulatory Agreement and Deed of Trust other than the right of the Trustee to receive payments under the Loan Agreement.

Events of Default under the Indenture and Remedies

Events of Default. The following events shall be Events of Default:

- (a) default in the due and punctual payment of the principal or Redemption Price of any Bond when and as the same shall become due and payable, whether at maturity as therein expressed, by proceedings for redemption, by declaration or otherwise, or default in the redemption of any Bonds from Mandatory Sinking Account Payments in the amounts and at the times provided therefor;
- (b) default in the due and punctual payment of any installment of interest on any Bond when and as such interest installment shall become due and payable;
- (c) default by the Authority in the observance of any of the other covenants, agreements or conditions on its part in the Indenture or in the Bonds contained, if such default shall have continued for a period of 60 days after written notice thereof, specifying such default and requiring the same to be remedied, shall have been given to the Authority and the Corporation by the Trustee, or to the Authority, the Corporation and the Trustee by the Holders of not less than 25% in aggregate principal amount of the Bonds at the time Outstanding; or
- (d) a Loan Default Event.

Acceleration of Maturities. If an Event of Default shall occur, then, and in each and every such case during the continuance of such Event of Default, the Trustee may and, upon receipt of instructions from the Holders of not less than a majority in aggregate principal amount of the Bonds at the time Outstanding, or the Office shall, upon notice in writing to the Authority, the Office and the Corporation, declare the principal of all of the Bonds then Outstanding, and the interest accrued thereon, to be due and payable immediately, and upon any such declaration the same shall become and shall be immediately due and payable, anything in the Indenture or in the Bonds contained to the contrary notwithstanding; provided, however, that no such declaration may be made if the Contract of Insurance is in effect and the Office is not in default thereunder unless (i) the Trustee is required to make such declaration pursuant to the provisions of the Indenture described below under the caption "—Collection Upon Insurance" or (ii) the Office consents to such acceleration and agrees to pay an amount equal to the full principal amount of Bonds then Outstanding and interest thereon at the stated interest rates on the Bonds to the date of acceleration.

Any such declaration, however, is subject to the condition that if, at any time after such declaration and before any judgment or decree for the payment of the moneys due shall have been obtained or entered, the Authority, the Office or the Corporation shall deposit with the Trustee a sum sufficient to pay all the principal or Mandatory Sinking Account Payments or Redemption Price of and installments of interest on the Bonds payment of which is overdue, with interest on such overdue principal at the rate borne by the respective Bonds, and the reasonable fees, charges and expenses of the Authority and the Trustee, including without limitation those of their respective attorneys, and any and all other defaults actually known to the Trustee (other than in the payment of principal of and interest on the Bonds due and payable solely by reason of such declaration) shall have been made good or cured to the

satisfaction of the Trustee or provision deemed by the Trustee to be adequate shall have been made therefor, then, and in every such case, the Trustee may, if such declaration was made by the Trustee without instruction from the Holders, and the Trustee shall, upon receipt of written notice by the Holders of not less than a majority in aggregate principal amount of the Bonds then Outstanding, which written notice shall also be delivered to the Authority, the Office and the Corporation, on behalf of the Holders of all of the Bonds, rescind and annul such declaration and its consequences and waive such default; but no such rescission and annulment shall extend to or shall affect any subsequent default, or shall impair or exhaust any right or power consequent thereon. Notwithstanding the foregoing, the Trustee shall waive any Event of Default which is caused solely by a default under the Regulatory Agreement if the Office waives such default in writing.

Collection Upon Insurance. Upon the occurrence and continuance of an Event of Default, the Trustee shall proceed to take such steps as are necessary, in the reasonable judgment of the Trustee, to collect upon the insurance provided by the Insurance Law. If the Office and the Treasurer of the State of California have notified the Trustee in writing that they elect to pay such insurance by means of debentures of the Office's Health Facility Construction Loan Insurance Fund, the Trustee shall as soon as practicable provide notice to each Bondholder of the exchange of such debentures for the Bonds then Outstanding in the same manner as for notice of redemption pursuant to the Indenture, and shall deliver to each Bondholder, as soon as practicable after surrender of such Bondholder's Bonds, debentures in a principal amount equal to the principal amount of such Bonds plus accrued interest thereon and having maturities the same as such Bonds, bearing interest at such rate or rates equal to the rates on the respective Bonds.

Application of Revenues and Other Funds After Default. If an Event of Default shall occur and be continuing, all Revenues and any other funds then held or thereafter received by the Trustee under any of the provisions of the Indenture shall be applied by the Trustee as follows and in the following order:

(1) To the payment of any expenses necessary in the opinion of the Trustee to protect the interests of the Holders of the Bonds and payment of reasonable fees, charges and expenses of the Trustee (including reasonable fees and disbursements of its counsel, agents and advisors) incurred, subject to the provisions described below under the caption "—Trustee to Represent Bondholders," in and about the performance of its powers and duties under the Indenture;

(2) To the payment of the principal or Redemption Price of and interest then due on the Bonds (upon presentation of the Bonds to be paid, and stamping thereon of the payment if only partially paid, or surrender thereof if fully paid) subject to the provisions of the Indenture, as follows:

(i) Unless the principal of all of the Bonds shall have become or have been declared due and payable,

First: To the payment to the persons entitled thereto of all installments of interest then due in the order of the maturity of such installments, and, if the amount available shall not be sufficient to pay in full any installment or installments maturing on the same date, then to the payment thereof ratably, according to the amounts due thereon, to the persons entitled thereto, without any discrimination or preference;

Second: To the payment to the Persons entitled thereto of the unpaid principal (including Mandatory Sinking Account Payments) or Redemption Price of any Bonds which shall have become due, whether at maturity or by call for redemption, in the order of their due dates, with interest on the overdue principal at the rate borne by the

respective Bonds, and, if the amount available shall not be sufficient to pay in full all the Bonds due on any date, together with such interest, then to the payment thereof ratably, according to the amounts of principal or Redemption Price due on such date to the persons entitled thereto, without any discrimination or preference.

(ii) If the principal of all of the Bonds shall have become or have been declared due and payable, to the payment of the principal or Redemption Price and interest then due and unpaid upon the Bonds, with interest on the overdue principal at the rate borne by the respective Bonds, and, if the amount available shall not be sufficient to pay in full the whole amount so due and unpaid, then to the payment thereof ratably, without preference or priority of principal over interest or Redemption Price, or of interest over principal or Redemption Price, or of Redemption Price over principal or interest, or of any installment of interest over any other installment of interest, or of any Bond over any other Bond, according to the amounts due respectively for principal, Redemption Price, and interest, to the persons entitled thereto without any discrimination or preference;

(3) To the payment of any expenses necessary in the opinion of the Trustee to protect the interests of the Holders of the Bonds and payment of reasonable fees, charges and expenses of the Trustee (including reasonable fees and disbursements of its counsel, agents and advisors) incurred in and about the performance of its powers and duties under the Indenture;

(4) To the Office to the extent necessary to repay insurance advances (including interest thereon calculated in accordance with the Regulatory Agreement) made by the Office; and

(5) To the payment of the reasonable fees, charges and expenses of the Authority and the payment of any amounts owed under the expense and indemnification provisions of the Loan Agreement.

Notwithstanding the foregoing or any other provision of the Indenture to the contrary, in the event that the Office shall no longer be obligated under the Contract of Insurance for any reason while any of the Bonds remain Outstanding, if an Event of Default shall occur and be continuing, all Revenues and any other funds then held or thereafter received by the Trustee under any of the provisions of the Indenture (other than funds held for the payment of particular Bonds pursuant to the provisions of the Indenture) shall be applied by the Trustee first to the payment of any expenses necessary in the opinion of the Trustee to protect the interests of the Holders of the Bonds and payment of reasonable fees, charges and expenses of the Trustee (including reasonable fees and disbursements of its counsel) incurred, subject to the provisions of the Indenture described below under the caption “—Trustee to Represent Bondholders,” in and about the performance of its powers and duties under the Indenture and then in accordance with the order described above under this caption.

Trustee to Represent Bondholders. Pursuant to the Indenture, the Trustee is irrevocably appointed (and the successive respective Holders of the Bonds by taking and holding the same, shall be conclusively deemed to have so appointed the Trustee) as trustee and true and lawful attorney in fact of the Holders of the Bonds for the purpose of exercising and prosecuting on their behalf such rights and remedies as may be available to such Holders under the provisions of the Bonds, the Indenture, the Loan Agreement, the Regulatory Agreement, the Contract of Insurance, the Deed of Trust, the Act and applicable provisions of any other law. Upon the occurrence and continuance of an Event of Default or other occasion giving rise to a right in the Trustee to represent the Bondholders, the Trustee in its discretion may, and upon the written request of the Office or the Holders of not less than 25% in aggregate principal amount of the Bonds then Outstanding (provided, however, that if more than one such request is received by the Trustee from the Holders, the Trustee shall follow the request executed by the Holders of the greater percentage of Bonds then Outstanding in excess of 25%), and upon being

indemnified to its satisfaction therefor, shall, with the written consent of the Office (so long as the Contract of Insurance is in effect and the Office is not in default thereunder,) proceed to protect or enforce its rights or the rights of such Holders by such appropriate action, suit, mandamus or other proceedings as it shall deem most effectual to protect and enforce any such right, at law or in equity, either for the specific performance of any covenant or agreement contained in the Indenture, or in aid of the execution of any power granted under the Indenture, or for the enforcement of any other appropriate legal or equitable right or remedy vested in the Trustee or in such Holders under the Indenture, the Loan Agreement, the Regulatory Agreement, the Contract of Insurance, the Deed of Trust, the Act or any other law; and upon instituting such proceeding, the Trustee shall be entitled, as a matter of right, to the appointment of a receiver of the Revenues and other assets pledged under the Indenture, pending such proceedings. All rights of action under the Indenture or the Bonds or otherwise may be prosecuted and enforced by the Trustee without the possession of any of the Bonds or the production thereof in any proceeding relating thereto, and any such suit, action or proceeding instituted by the Trustee shall be brought in the name of the Trustee for the benefit and protection of all the Holders of such Bonds, subject to the provisions of the Indenture.

Notwithstanding anything to the contrary in the Indenture, the Authority shall have no obligation to and instead the Trustee may, without further direction from the Authority, take any and all steps, actions and proceedings, to enforce any or all rights of the Authority (other than those specifically retained by the Authority pursuant to the Indenture) under the Indenture and the Loan Agreement, including, without limitation, the rights to enforce the remedies upon the occurrence and continuation of an Event of Default and the obligations of the Corporation under the Loan Agreement.

Office and Bondholders' Direction of Proceedings. Anything in the Indenture to the contrary notwithstanding, the Office (so long as the Contract of Insurance is in effect and the Office is not in default thereunder) and/or the Holders of a majority in aggregate principal amount of the Bonds then Outstanding, in each case where the Holders seek to direct proceedings with the written consent of the Office (so long as the Contract of Insurance is in effect and the Office is not in default thereunder), shall have the right, by an instrument or concurrent instruments in writing executed and delivered to the Trustee, to direct the method of conducting all remedial proceedings taken by the Trustee under the Indenture, provided that such direction shall not be otherwise than in accordance with law and the provisions of the Indenture, and that, unless the Office is the Holder of all Bonds or has caused all Bonds to be paid in full, the Trustee shall have the right to decline to follow any such direction which in the opinion of the Trustee might involve the Trustee in personal liability or would be unjustly prejudicial to Bondholders not parties to such direction; provided, further, that the Trustee shall have no duty to ascertain whether or not such actions or forbearances are unduly prejudicial to such Bondholders.

Anything in the Indenture to the contrary notwithstanding, in the event that any of the following has occurred and is continuing:

(a) the Corporation files a petition in voluntary bankruptcy, for the composition of its affairs or for its corporate reorganization under any state or federal bankruptcy or insolvency law, or makes an assignment for the benefit of creditors, or admits in writing to its insolvency or inability to pay debts as they mature, or consents in writing to the appointment of a trustee or receiver for itself or for the whole or any substantial part of the Facilities;

(b) a court of competent jurisdiction shall enter an order, judgment or decree declaring the Corporation an insolvent, or adjudging it bankrupt, or appointing a trustee or receiver of the Corporation or of the whole or any substantial part of the Facilities, or approving a petition filed against the Corporation seeking reorganization of the Corporation under any applicable law or statute of the

United States of America or any state thereof, and such order, judgment or decree shall not be vacated or set aside or stayed within 60 days from the date of the entry thereof; or

(c) under the provisions of any other law for the relief or aid of debtors any court of competent jurisdiction shall assume custody or control of the Corporation or of the whole or any substantial part of the Facilities, and such custody or control shall not be terminated within 60 days from the date of assumption of such custody or control;

then, so long as the Contract of Insurance is in effect and the Office is not in default thereunder, the Office shall have the right to vote in the place and stead of all Holders with respect to any plan of reorganization, on any agreement for composition of creditors, and on any assignment for the benefit of creditors and the Office shall represent Bondholders in all bankruptcy proceedings and may take such action or consent to any agreement on behalf of Bondholders, provided that any such action or consent shall in no way impair the rights and benefits due Bondholders under the Contract of Insurance.

Limitation on Bondholders' Right to Sue. No Holder of any Bond shall have the right to institute any suit, action or proceeding at law or in equity, for the protection or enforcement of any right or remedy under the Indenture, the Loan Agreement, the Regulatory Agreement, the Contract of Insurance, the Deed of Trust, the Act or any other applicable law with respect to such Bond, unless: (1) such Holder shall have given to the Trustee written notice of the occurrence of an Event of Default; (2) the Holders of not less than 25% in aggregate principal amount of the Bonds then Outstanding (or if more than one such request is received, the written request executed by the Holders of the greatest percentage of Bonds then Outstanding in excess of 25%) shall have made written request upon the Trustee to exercise the powers granted by the Indenture or to institute such suit, action or proceeding in its own name; (3) such Holder or said Holders shall have tendered to the Trustee reasonable indemnity against the costs, expenses and liabilities to be incurred in compliance with such request; (4) the Trustee shall have refused or omitted to comply with such request for a period of 60 days after such written request shall have been received by, and said tender of indemnity shall have been made to, the Trustee; and (5) the Office consents in writing to the action specified in such request (provided that such consent shall be required only so long as the Contract of Insurance is in effect and the Office is not in default thereunder).

Such notification, request, tender of indemnity and refusal or omission are declared, in every case, to be conditions precedent to the exercise by any Holder of Bonds of any remedy under the Indenture or under law; it being understood and intended that no one or more Holders of Bonds shall have any right in any manner whatever by his or their action to affect, disturb or prejudice the security of the Indenture or the rights of any other Holders of Bonds, or to enforce any right under the Indenture, the Loan Agreement, the Regulatory Agreement, the Contract of Insurance, the Deed of Trust, the Act or other applicable law with respect to the Bonds, except in the manner provided in the Indenture, and that all proceedings at law or in equity to enforce any such right shall be instituted, had and maintained in the manner provided in the Indenture and for the benefit and protection of all Holders of the Outstanding Bonds, subject to the provisions of the Indenture.

Control Rights of the Office. Notwithstanding anything in the Indenture to the contrary, so long as the Insurance is in effect and the Office is not in default under the Contract of Insurance: (a) the Office shall be deemed to be the Holder of all of the Bonds for purposes of (i) exercising all remedies and directing the Trustee to take actions or for any other purposes following an Event of Default, and (ii) granting any consent, direction or approval or taking any action permitted by or required under the Indenture or the Loan Agreement, as the case may be, to be granted or taken by the Holders of such Bonds; (b) anything in the Indenture or the Loan Agreement to the contrary notwithstanding, upon the occurrence and continuance of an Event of Default, the Office shall be entitled to control and direct the

enforcement of all rights and remedies granted to the Holders or the Trustee for the benefit of the Holders; and (c) the rights granted to the Office under the Indenture and/or the Loan Agreement to request, consent to or direct any action are rights granted to the Office in consideration of its issuance of its insurance for the Bonds. Any exercise by the Office of such rights is merely an exercise of the Office's contractual rights and shall not be construed or deemed to be taken for the benefit, or on behalf, of the Holders and such action does not evidence any position of the Office, affirmative or negative, as to whether the consent of the Holders or any other person is required in addition to the consent of the Office.

Amendment of Indenture

The Indenture and the rights and obligations of the Authority and of the Holders of the Bonds and of the Trustee may be modified or amended from time to time and at any time by an indenture or indentures supplemental thereto, which the Authority and the Trustee may enter into when the written consent of the Office and the Holders of a majority in aggregate principal amount of the Bonds then Outstanding shall have been filed with the Trustee; provided that if such modification or amendment will, by its terms, not take effect so long as any Bonds of any particular maturity remain Outstanding, the consent of the Holders of such Bonds shall not be required and such Bonds shall not be deemed to be Outstanding for the purpose of any calculation of Bonds Outstanding under the Indenture. No such modification or amendment shall (1) extend the fixed maturity of any Bond, extend the time of payment for the payment of any Bond, reduce the amount of any Mandatory Sinking Account Payment or principal thereof or reduce the rate of interest thereon, or extend the time of payment of interest thereon, without the consent of the Holder of each Bond so affected, or (2) reduce the aforesaid percentage of Bonds the consent of the Holders of which is required to effect any such modification or amendment, or permit the creation of any lien on the Revenues and other assets pledged under the Indenture prior to or on a parity with the lien created by the Indenture, or deprive the Holders of the Bonds of the lien created by the Indenture on such Revenues and other assets (except as expressly provided in the Indenture and the Loan Agreement), without the consent of the Holders of all of the Bonds then Outstanding. It shall not be necessary for the consent of the Bondholders to approve the particular form of any Supplemental Indenture, but it shall be sufficient if such consent shall approve the substance thereof. Promptly after the execution by the Authority and the Trustee of any Supplemental Indenture pursuant to the Indenture, the Trustee shall mail a notice, setting forth in general terms the substance of such Supplemental Indenture, to the Bondholders at the addresses shown on the bond registration books maintained by the Trustee. Any failure to give such notice, or any defect therein, shall not, however, in any way impair or affect the validity of any such Supplemental Indenture.

The Indenture and the rights and obligations of the Authority, of the Trustee and of the Holders of the Bonds may also be modified or amended from time to time and at any time by an indenture or indentures supplemental thereto, which the Authority and the Trustee may enter into without the consent of any Bondholders, but only with the consent of the Corporation and the Office, if the Trustee has been furnished an Opinion of Counsel, that the provisions of such Supplemental Indenture shall not materially adversely affect the interests of the Holders, including, without limitation, for any one or more of the following purposes:

- (1) to add to the covenants and agreements of the Authority in the Indenture contained other covenants and agreements thereafter to be observed, to pledge or assign additional security for the Bonds (or any portion thereof), or to surrender any right or power reserved to or conferred upon the Authority, provided that no such covenant, agreement, pledge, assignment or surrender shall materially and adversely affect the interests of the Holders of the Bonds;

(2) to make such provisions for the purpose of curing any ambiguity, inconsistency or omission, or of curing or correcting any defective provision, contained in the Indenture, or in regard to matters or questions arising under the Indenture, as the Authority may deem necessary or desirable and not inconsistent with the Indenture, and which shall not materially and adversely affect the interests of the Holders of the Bonds;

(3) to modify, amend or supplement the Indenture in such manner as to permit the qualification thereof under the Trust Indenture Act of 1939, as amended, or any similar federal statute in effect, and to add such other terms, conditions and provisions as may be permitted by said act or similar federal statute, and which shall not materially and adversely affect the interests of the Holders of the Bonds;

(4) to make such provisions for the purpose of preserving the exclusion from gross income for federal income tax purposes of interest on the Bonds as the Authority may deem necessary or desirable and not inconsistent with the Indenture; or

(5) to modify, amend or supplement the Indenture in any other respect that does not materially adversely affect the interests of the Holders of the Bonds.

Defeasance

Discharge of Indenture. Bonds may be paid by the Authority in any of the following ways; provided that the Authority also pays or causes to be paid any other sums payable under the Indenture by the Authority and related to the Bonds: (a) by paying or causing to be paid the principal or Redemption Price of and interest on all Bonds then Outstanding, as and when the same become due and payable; (b) by depositing with the Trustee, in trust, or with an escrow agent in irrevocable escrow, at or before maturity, moneys or securities in the necessary amount (as provided in the Indenture) to pay or redeem all Bonds then Outstanding; or (c) by delivering to the Trustee, for cancellation by it, all Bonds then Outstanding.

If the Authority shall pay all Bonds then Outstanding and shall also pay or cause to be paid all other sums payable under the Indenture by the Authority, then and in that case, at the election of the Authority, and notwithstanding that any Bonds shall not have been surrendered for payment, the Indenture and the pledge of Revenues and other assets made under the Indenture and all covenants, agreements and other obligations of the Authority under the Indenture shall cease, terminate, become void and be completely discharged and satisfied, except only as provided pursuant to the provisions of the Indenture described below under the caption “—Discharge of Liability on Bonds.”

Discharge of Liability on Bonds. Upon the deposit with the Trustee, in trust, at or before maturity, of money or securities in the necessary amount (as provided in the Indenture) to pay or redeem any Outstanding Bond (whether upon or prior to its maturity or the redemption date of such Bond), provided that, if such Bond is to be redeemed prior to maturity, notice of such redemption shall have been given as provided in the Indenture or provision satisfactory to the Trustee shall have been made for the giving of such notice, then all liability of the Authority in respect of such Bond shall cease, terminate and be completely discharged, except only that thereafter the Holder thereof shall be entitled to payment of the principal of and interest on such Bond by the Authority and the Authority shall remain liable for such payment, but only out of such money or securities deposited with the Trustee as aforesaid for their payment, provided further, however, that the provisions of the Indenture shall apply in all events.

Deposit of Money or Securities with Trustee. Whenever in the Indenture it is provided or permitted that there be deposited with or held in trust by the Trustee money or securities in the necessary

amount to pay or redeem any Bonds, the money or securities to be deposited or held may include money or securities held by the Trustee in the funds and accounts established pursuant to the Indenture (exclusive of the Rebate Fund) and shall be:

(a) lawful money of the United States of America in an amount equal to the principal amount of such Bonds and all unpaid interest thereon to maturity, except that, in the case of Bonds which are to be redeemed prior to maturity and in respect of which notice of such redemption shall have been given as provided in the Indenture or provision satisfactory to the Trustee shall have been made for the giving of such notice, the amount to be deposited or held shall be the principal amount or Redemption Price of such Bonds and all unpaid interest thereon to the redemption date; or

(b) Investment Securities described in clause (A) of the definition thereof in “DEFINITIONS OF CERTAIN TERMS” above (not callable by the issuer thereof prior to maturity) the principal of and interest on which when due will provide money sufficient in the opinion of an Accountant to pay the principal or Redemption Price of and all unpaid interest to maturity, or to the redemption date, as the case may be, on the Bonds to be paid or redeemed, as such principal or Redemption Price and interest become due, provided that, in the case of Bonds which are to be redeemed prior to the maturity thereof, notice of such redemption shall have been given as provided in the Indenture or provision satisfactory to the Trustee shall have been made for the giving of such notice;

provided, in each case, that the Trustee shall have been irrevocably instructed to apply such money to the payment of such principal or Redemption Price and interest with respect to such Bonds.

LOAN AGREEMENT

General

The Loan Agreement is an agreement between the Authority and the Corporation whereby the Authority agrees to lend the proceeds of the Bonds to the Corporation and the Corporation agrees to make payments to the Trustee sufficient to pay debt service on the Bonds. Certain of the provisions of the Loan Agreement are summarized below. This summary does not purport to be complete or definitive and is qualified in its entirety by reference to the full terms of the Loan Agreement.

Loan of Proceeds; Loan Repayments

The Authority lends and advances to the Corporation, and the Corporation borrows and accepts from the Authority (solely from the proceeds of the sale of the Bonds), the net proceeds received from the sale of the Bonds, such proceeds to be applied under the terms and conditions of the Loan Agreement and the Indenture. In consideration of the loan of such proceeds to the Corporation, the Corporation agrees that, on or before the first Business Day of each month and as long as any of the Bonds remain Outstanding, it shall pay to the Trustee for deposit in the Revenue Fund such amount as is required by the Trustee to make the transfers and deposits required on or before the 25th day of such month pursuant to the Indenture (each such payment being referred to as a “Loan Repayment”). Notwithstanding the foregoing, if five Business Days prior to any interest or principal payment date with respect to the Bonds, the aggregate amount in the Revenue Fund is for any reason insufficient or unavailable to make the required payments of principal, Mandatory Sinking Account Payments or Redemption Price of or interest on the Bonds then becoming due (whether by maturity, redemption or acceleration), the Corporation shall forthwith pay the amount of any such deficiency to the Trustee.

Except as otherwise expressly provided in the Loan Agreement, all amounts payable by the Corporation to the Authority under the Loan Agreement shall be paid to the Trustee, as assignee of the

Authority, and the Loan Agreement and all right, title and interest of the Authority in any such payments shall be assigned and pledged to the Trustee so long as any Bonds remain Outstanding.

Additional Payments

In addition to the Loan Repayments, the Corporation shall also pay to the Authority or to the Trustee, as the case may be, "Additional Payments," as provided in the Loan Agreement. Such Additional Payments may be discharged in whole or in part by payment actually received from amounts in the Costs of Issuance Fund or may be billed to the Corporation by the Authority or the Trustee from time to time, together with a statement certifying the amount billed has been incurred or paid for one or more of the below items. After such a demand, amounts so billed shall be paid by the Corporation within 30 days after receipt of the bill by the Corporation. The obligations of the Corporation under the Loan Agreement shall survive the resignation and removal of the Trustee, payment of the Bonds and discharge of the Indenture.

The Additional Payments to the Authority are:

(a) All taxes and assessments of any type or character charged to the Authority or to the Trustee affecting the amount available to the Authority or the Trustee from payments to be received under the Loan Agreement or in any way arising due to the transactions contemplated by the Loan Agreement (including taxes and assessments assessed or levied by any public agency or governmental authority of whatsoever character having power to levy taxes or assessments); provided, however, that the Corporation shall have the right to protest any such taxes or assessments and to require the Authority or the Trustee, at the Corporation's expense, to protest and contest any such taxes or assessments levied upon them and that the Corporation shall have the right to withhold payment of any such taxes or assessments pending disposition of any such protest or contest unless such withholding, protest or contest would adversely affect the rights or interests of the Authority or the Trustee;

(b) All reasonable fees, costs and charges of the Authority identified in the Loan Agreement, including reasonable fees and expenses of attorneys, accountants, consultants and other experts, incurred in good faith and arising out of or in connection with the Financing Documents (as defined below), the Bonds or the Indenture;

(c) The reasonable fees and expenses of such accountants, consultants, attorneys and other experts as may be engaged by the Authority to prepare audits, financial statements, reports, opinions or provide such other services required under the Loan Agreement, the Office Documents, the Tax Agreement and the Continuing Disclosure Agreement (collectively, the "Financing Documents") or the Indenture;

(d) The issuance fee and annual fee of the Authority and the reasonable fees and expenses of the Authority or any agent or attorney selected by the Authority to act on its behalf in connection with the Financing Documents, the Bonds or the Indenture, including, without limitation, any and all reasonable expenses incurred in connection with the authorization, issuance, sale and delivery of any such Bonds or in connection with any litigation, investigation or other proceeding which may at any time be instituted involving the Loan Agreement, the Financing Documents, the Bonds or the Indenture or any of the other documents contemplated thereby, or in connection with the reasonable supervision or inspection of the Corporation, its properties, assets or operations or otherwise in connection with the administration of the Financing Documents;

(e) Any amounts due and payable by the Corporation as arbitrage rebate under Section 148 of the Code, pursuant to the Corporation's covenants and agreements with respect thereto in the Financing Documents; and

(f) All other reasonable and necessary fees and expenses attributable to the Bonds, the Loan Agreement, or related documents, including without limitation all payments required pursuant to the Tax Agreement.

The Additional Payments to the Trustee are:

(a) All taxes and assessments of any type or character charged to the Trustee affecting the amount available to the Trustee from payments to be received under the Loan Agreement or in any way arising due to the transactions contemplated thereby (including taxes and assessments assessed or levied by any public agency or governmental authority of whatsoever character having power to levy taxes or assessments) but excluding franchise taxes based upon the capital and/or income of the Trustee and taxes based upon or measured by the net income of the Trustee; provided, however, that the Corporation shall have the right to protest any such taxes or assessments and to require the Trustee, at the Corporation's expense, to protest and contest any such taxes or assessments levied upon them and that the Corporation shall have the right to withhold payment of any such taxes or assessments pending disposition of any such protest or contest unless such withholding, protest or contest would adversely affect the rights or interests of the Trustee and the Corporation has provided the Trustee with security and indemnification reasonably deemed adequate by the Trustee in respect of such affected rights or interests;

(b) All reasonable fees and expenses of accountants, consultants, attorneys and other experts as may be engaged by the Trustee to prepare audits, financial statements, reports, opinions or provide such other services required under the Loan Agreement or the Indenture;

(c) All reasonable fees, costs and charges of the Trustee identified in the Loan Agreement, including reasonable fees and expenses of attorneys, accountants, consultants and other experts, incurred in good faith and without negligence and arising out of or in connection with the Financing Documents, the Bonds or the Indenture; and

(d) All other reasonable and necessary fees and expenses attributable to the Bonds, the Loan Agreement, or related documents, including without limitation all payments required pursuant to the Tax Agreement.

Security For Corporation's Obligations

In consideration of the issuance of the Bonds by the Authority and the loan of the proceeds thereof to the Corporation and to secure the payment of Loan Repayments and Additional Payments and the performance of the other obligations of the Corporation under the Loan Agreement, the Corporation pledges and grants a security interest (subject to Permitted Encumbrances) to the Trustee and the Office, as their interests may appear, in the Facilities. The Corporation will enter into the Deed of Trust to further secure the Corporation's obligations under the Loan Agreement. The Corporation agrees to execute and cause to be filed and to deliver such other documents (including, but not limited to, deposit account control agreements) as the Authority, the Office or the Trustee may reasonably require in order to perfect or maintain as perfected such security interest or give public notice thereof. The Deed of Trust, pursuant to its terms, may be amended and property released therefrom upon written notice to the Trustee with the consent of the Office without the necessity of obtaining the consent of the Authority, the Trustee or the Bondholders.

Obligations of the Corporation Unconditional

The obligations of the Corporation under the Loan Agreement are absolute and unconditional, notwithstanding any other provision of the Loan Agreement or the Indenture. Until the Loan Agreement is terminated and all payments under the Loan Agreement are made, the Corporation: (i) will pay all amounts required under the Loan Agreement without abatement, deduction or setoff except as otherwise expressly provided in the Loan Agreement; (ii) will not suspend or discontinue any payments due under the Loan Agreement for any reason whatsoever, including, without limitation, any right of setoff or counterclaim; (iii) will perform and observe all its other agreements contained in the Loan Agreement; and, (iv) except as provided in the Loan Agreement, will not terminate the Loan Agreement for any cause including, without limiting the generality of the foregoing, damage, destruction or condemnation of the Facilities or any part thereof, commercial frustration of purpose, any change in the tax or other laws of the United States of America or of the State, or any political subdivision of either thereof or any failure of the Authority or the Trustee to perform and observe any agreement, whether express or implied, or any duty, liability or obligation arising out of or connected with the Loan Agreement.

Prepayment

The Corporation shall have the right, so long as all amounts that have theretofore become due under the Loan Agreement have been paid, at any time or from time to time to prepay all or any part of the Loan Repayments, and the Authority agrees that the Trustee shall accept such prepayments when the same are tendered. All such prepayments shall be deposited upon receipt in the Redemption Fund established under the Indenture and used for the redemption or purchase of Outstanding Bonds in the manner and subject to the terms and conditions set forth in the Indenture.

Limitation on Indebtedness

The Corporation shall not incur any indebtedness or financial obligations, including without limitation, by borrowing money, by assuming or guaranteeing the obligations of others, and by entering into installment purchase contracts or leases required to be capitalized in accordance with generally accepted accounting principles, provided, however, that notwithstanding the foregoing provision, the Corporation may incur the following: (i) obligations and liabilities under the Loan Agreement, the Regulatory Agreement or the Indenture, including any supplements or amendments thereto; (ii) obligations and liabilities permitted under the Regulatory Agreement; and (iii) any other indebtedness or obligations of the Corporation approved in writing by the Office.

Tax Covenant

The Corporation covenants and agrees that it will at all times do and perform all acts and things permitted by law and the Loan Agreement which are necessary in order to assure that interest paid on the Bonds will be excluded from gross income for federal income tax purposes and will take no action that would result in such interest not being so excluded. Without limiting the generality of the foregoing, the Corporation agrees that it will comply with the provisions of the Tax Agreement.

Continuing Disclosure

In the Loan Agreement, the Corporation covenants and agrees to comply with and carry out all of the provisions of the Continuing Disclosure Agreement. Notwithstanding any other provision of the Loan Agreement, failure of the Corporation to comply with the Continuing Disclosure Agreement shall not be considered a Loan Default Event; however, the Trustee, at the written request of any Participating Underwriter or the Holders of at least 25% aggregate principal amount of Bonds Outstanding, shall, but

only to the extent the Trustee is indemnified to its satisfaction from and against any cost, liability or expense related thereto, including, without limitation, reasonable fees and expenses of its attorneys and advisors and its additional fees and expenses, or any Holder or Beneficial Owner of the Bonds may, take such actions as may be necessary and appropriate, including seeking mandate or specific performance by court order, to cause the Corporation to comply with its obligations under the provisions of the Loan Agreement described herein.

Loan Default Events

The following events shall be “Loan Default Events:”

(a) If the Corporation shall fail to pay any Loan Repayments on or before the day such Loan Repayments are due and payable;

(b) If any representation or warranty made by the Corporation in the Loan Agreement or in any document, instrument or certificate furnished to the Trustee or the Authority in connection with the issuance of the Bonds shall at any time prove to have been incorrect in any material respect as of the time made;

(c) If the Corporation shall fail to observe or perform any covenant, condition, agreement or provision in the Loan Agreement or the Regulatory Agreement on its part to be observed or performed, other than as referred to in subsection (a) of this section, or shall breach any warranty by the Corporation contained in the Loan Agreement, for a period of 60 days after written notice, specifying such failure or breach and requesting that it be remedied, has been given to the Corporation by the Authority, the Trustee or the Office; except that, if such failure or breach can be remedied but not within such 60-day period and if the Corporation has taken all action reasonably possible to remedy such failure or breach within such 60-day period, such failure or breach shall not become a Loan Default Event for so long as the Corporation shall diligently proceed to remedy the same in accordance with and subject to any directions or limitations of time established by the Trustee or the Office;

(d) If the Corporation shall abandon the Facilities, or any substantial part thereof, and such abandonment shall continue for a period of 60 days after written notice thereof shall have been given to the Corporation by the Authority, the Trustee or the Office;

(e) If any default shall exist under any agreement respecting Long-Term Indebtedness (other than Parity Debt) and if, as a result thereof, Long-Term Indebtedness in an aggregate principal amount in excess of 10% of the Corporation’s Adjusted Annual Operating Revenues shall be declared immediately due and payable or a proceeding is brought for enforcement thereof; provided, however, that a Loan Default Event shall not exist under this clause (e) if the Corporation establishes reserves or obtains a surety bond acceptable to the Office for the payment of such Long-Term Indebtedness which, in the opinion of the Office, are adequate or (ii) sets aside 100% of the payments then due on such Long-Term Indebtedness in a separate fund or with an escrow agent until any dispute as to the amount due has been resolved;

(f) If any default shall exist under any instrument pursuant to which Parity Debt was issued and is Outstanding, and such default shall continue after the applicable grace period;

(g) If the Corporation files a petition in voluntary bankruptcy, for the composition of its affairs or for its corporate reorganization under any state or federal bankruptcy or insolvency law, or makes an assignment for the benefit of creditors, or admits in writing to its insolvency or inability to pay

debts as they mature, or consents in writing to the appointment of a trustee or receiver for itself or for the whole or any substantial part of the Facilities;

(h) If a court of competent jurisdiction shall enter an order, judgment or decree declaring the Corporation an insolvent, or adjudging it bankrupt, or appointing a trustee or receiver of the Corporation or of the whole or any substantial part of the Facilities, or approving a petition filed against the Corporation seeking reorganization of the Corporation under any applicable law or statute of the United States of America or any state thereof, and such order, judgment or decree shall not be vacated or set aside or stayed within 60 days from the date of the entry thereof;

(i) If, under the provisions of any other law for the relief or aid of debtors, any court of competent jurisdiction shall assume custody or control of the Corporation or of the whole or any substantial part of the Facilities, and such custody or control shall not be terminated within 60 days from the date of assumption of such custody or control; or

(j) If any Event of Default under the Indenture shall occur.

Remedies on Default

If a Loan Default Event shall occur, then, and in each and every such case during the continuance of such Loan Default Event, the Trustee on behalf of the Authority, subject to the limitations in the Indenture as to the enforcement of remedies and subject to the Trustee's rights and protections under the Indenture, may, with the consent of the Office (so long as the Contract of Insurance is in full force and effect and the Office is not in default thereunder) take any one or more of the following remedial steps subject to applicable law:

(a) The Trustee may, upon notice in writing to the Corporation, declare all installments of Loan Repayments and Additional Payments payable for the remainder of the term of the Loan Agreement to be immediately due and payable, whereupon the same shall be immediately due and payable, anything in the Loan Agreement to the contrary notwithstanding; "all installments" as used in this paragraph (a) shall mean an amount equal to the entire principal amount of the then Outstanding Bonds, together with any applicable redemption premiums and all interest accrued or to accrue on and prior to the next succeeding redemption date or dates on which the Bonds can be redeemed after giving notice to the Holders thereof as required by the Indenture (less moneys available for such purposes then held by the Trustee) plus any other payments due or to become due under the Loan Agreement, including, without limitation, any unpaid fees and expenses of the Trustee which are then due or will become due prior to the time that the Bonds are paid in full and the trust established by the Indenture is terminated.

(b) The Trustee may take whatever action, at law or in equity, as may appear necessary or desirable to collect the Loan Repayments, Additional Payments and any other payments then due and thereafter to become due under the Loan Agreement or to enforce the performance and observance of any obligation, covenant, agreement or provision contained in the Loan Agreement to be observed or performed by the Corporation.

(c) The Authority or the Trustee shall have all the rights and remedies of a secured party or creditor under the Uniform Commercial Code of the State of California, and the general laws of the State of California, with respect to the enforcement of the security interests granted or reserved under the Loan Agreement, including without limitation to the extent permitted by law the right to require that all or a portion of the Gross Revenues be assembled and delivered to the Trustee and the Trustee may, to the extent permitted by law, impound books and records evidencing the Corporation's accounts, accounts receivable and other similar claims for the payment of money and take possession of all notes and other

documents which evidence such accounts, accounts receivable and claims for money and give notice to obligors thereunder of its interest in Gross Revenues and make direct collections on such accounts, accounts receivable and claims for money.

(d) The Authority or the Trustee may take whatever legal action may appear necessary or desirable to enforce their rights and the rights of the Holders of the Bonds under the Deed of Trust.

(e) With regard to the Deed of Trust, the exercise of any remedies are subject to the provisions of the Indenture described above under the caption “INDENTURE— Events of Default under the Indenture and Remedies—Additional Requirements Concerning Foreclosure.”

Loan Agreement Represents Complete Agreement; Amendments

The Loan Agreement represents the entire contract between the parties. The Loan Agreement may not be effectively amended, changed, modified, altered or terminated except by the written agreement of the Corporation and the Authority and the concurring written consent of the Trustee and the Office, given in accordance with the provisions of the Indenture.

REGULATORY AGREEMENT

General

The Regulatory Agreement is an agreement among the Office, the Authority and the Corporation to establish the requirements of the Office with respect to certain details of the financing transaction. The Regulatory Agreement also sets out certain business covenants of the Corporation, including maintenance, operation and management of the Facilities and limitations on encumbrances, assignment and transfer of any part of the Facilities and other matters. The Regulatory Agreement also provides for the rights and obligations of the parties in the event of a default and provides for the manner in which the benefits of the insurance are to be paid. Although certain provisions of the Regulatory Agreement are summarized below, this summary does not purport to be complete or definitive and is qualified in its entirety by reference to the full terms of the Regulatory Agreement.

Security of Gross Revenues Pledged and Deed of Trust

The performance of the obligations of the Corporation to the Office under the Regulatory Agreement and the Contract of Insurance is secured by, among other things, the Gross Revenues pledged by the Corporation under the Regulatory Agreement, and by the lien on the Facilities created by the Deed of Trust and the Insurance Law. The Corporation covenants and agrees that the lien of the Deed of Trust shall be subject only to liens, conditions, covenants and restrictions, easements, taxes and assessments of record approved by the Office as exceptions to the ALTA title insurance policy identified in the Regulatory Agreement, and Permitted Encumbrances.

Use of Proceeds of Bonds

The proceeds of the 2016 Bonds shall be used exclusively by the Corporation for the following purposes: (1) to refund the Prior Bonds; (2) to finance the New Money Project; and (3) to pay the insurance premium and other expenses related to the issuance of the Bonds.

Negative Covenants

The Corporation covenants not to, without the prior written consent of the Office, among other things: (a) alter the Facilities (except in the ordinary course of business); (b) pay officers or directors other than in their capacities as employees, contractors or suppliers of the Corporation or for reimbursement of ordinary out-of-pocket expenses; (c) amend the Corporation's articles of incorporation or bylaws in any material respect; (d) subject to the limited exceptions set forth in the Regulatory Agreement, establish, maintain or affiliate with a Person in conjunction with which the Corporation will carry on its activities, transfer control of any of the Facilities, or assume the management or control of any other Person; or (e) cease to operate the Facilities as a "health facility" as defined in the Insurance Law, except to the extent permitted by the Insurance Law.

Maintenance of the Facilities

The Corporation shall maintain the Facilities in good and substantial repair and condition; provided that, in the event all or any of the Facilities shall be destroyed or damaged by fire or other casualty, the money derived from any insurance on the property shall be applied in accordance with the terms of the Regulatory Agreement and the applicable Indenture.

Bankruptcy; Insolvency; Receiver

The Corporation shall not file any petition in bankruptcy or in insolvency, or for a receiver or reorganization or composition; or make any assignment for the benefit of creditors or to a trustee for creditors; or permit an adjudication in bankruptcy, the taking possession of the Facilities or any part thereof by a receiver, or the seizure and sale of the Facilities or any part thereof under judicial process or pursuant to any power of sale (except as provided in the Deed of Trust) and fail to have such adverse actions set aside within 45 days.

The Corporation immediately shall give notice to the Office of the filing of any petition, or commencement of any proceedings, in bankruptcy, or for a receiver or insolvency or for reorganization or composition, or any assignment for the benefit of creditors to a trustee for the benefit of creditors, relating to the Corporation or the Facilities.

If the Corporation, or its creditors, file a petition alleging insolvency, requesting reorganization or a composition of creditors, or for an assignment for the benefit of creditors, in any court, the Office shall have the right to participate in, or vote on, any plan or reorganization, agreement for a composition of creditors and on any assignment for the benefit of creditors. If there is a proceeding to effect a receivership for the Corporation, the Office shall have the right to select the receiver.

So long as the Contract of Insurance is in full force and effect and the Office is not in default thereunder, the Office shall represent Bondholders in all bankruptcy proceedings and may take such action or consent to any agreement on behalf of Bondholders, provided that any such action or consent shall in no way impair the rights and benefits due Bondholders under the Contract of Insurance.

Maintenance of Existence; Affiliation, Merger, Consolidation Sale or Transfer Under Certain Conditions

The Corporation shall maintain its existence as a nonprofit public benefit corporation of the State, operating a health facility and meeting the requirements of Section 501(c)(3) of the Code, and shall not dissolve, sell or otherwise dispose of all or substantially all of its assets or affiliate with, consolidate with or merge into another Person or permit one or more other Persons to affiliate with, consolidate with or

merge into it; provided, that the Corporation may, without violating the covenants contained in the Regulatory Agreement, affiliate with, consolidate with or merge into another Person, or permit one or more other Persons to affiliate with, consolidate with or merge into it, or sell or otherwise transfer to another Person such assets, if:

(1) The Corporation obtains the written consent of the Office to such transaction and a Statement of the Office to the effect that the Contract of Insurance remains in full force and effect after such transaction;

(2) The Office, the Authority, the 2013 Authority and the Trustee shall have received an Opinion of Bond Counsel to the effect that such affiliation, merger, consolidation, sale or other transfer will not cause the interest on the Bonds to be included in gross income for federal income tax purposes under Section 103 of the Code;

(3) The surviving, resulting or transferee Person: (a) assumes in writing, if such Person is not the Corporation, all of the obligations of the Corporation under the Regulatory Agreement, the Loan Agreement and the Contract of Insurance, and agrees to fulfill and comply with the terms, covenants and conditions thereof; and further consents to the terms of the Indenture; (b) is not, after such transaction, otherwise in default under any provision of the Regulatory Agreement, the Loan Agreement or the Indenture; (c) is an organization meeting the requirements of section 501(c)(3) of the Code or a corresponding provision of the federal income tax laws then in effect; and (d) shall have fund balances at least equal to the fund balances of the Corporation prior to such transaction;

(4) The Trustee and the Office shall have received the report of a Management Consultant to the effect that Debt Service Coverage Ratio of the surviving, resulting or transferee Person (after giving effect to such merger, consolidation, sale or other transfer) for each of the first two full Fiscal Years following such merger, consolidation, sale or other transfer is forecasted to be not less than the greater of Debt Service Coverage Ratio of the Corporation for each of the two most recent Fiscal Years for which audited financial statements are available, as certified by an Accountant;

(5) The Trustee and the Office shall have received a report of an Accountant to the effect that the net worth of the surviving, resulting or transferee Person, after giving effect to such merger, consolidation, sale or other transfer, is at least equal to 100% of the net worth of the Corporation immediately prior to such merger, consolidation, sale or other transfer; and

(6) The Trustee, the Authority, the 2013 Authority and the Office shall have received an Opinion of Counsel to the effect that the applicable Loan Agreement, the Contract of Insurance and the Regulatory Agreement constitute the legal, valid and binding obligations of the surviving, resulting or transferee Person, as the case may be, enforceable against such Person in accordance with their respective terms.

Notwithstanding the foregoing, the Corporation may, without complying with the provisions described above in this section, transfer substantially all of its assets to an Affiliate provided that:

(1) The Corporation obtains the written consent of the Office to such transaction and the Contract of Insurance remains in full force and effect after such transaction;

(2) The Office, the Authority, the 2013 Authority and the Trustee shall have received an Opinion of Bond Counsel to the effect that such proposed transfer(s) will not cause the interest on the Bonds to be included in gross income for federal income tax purposes under Section 103 of the Code;

(3) Such Affiliate agrees to become a co-obligor and jointly and severally liable with the Corporation under the Regulatory Agreement, the Contract of Insurance and the Loan Agreement; and

(4) After such transaction, the Corporation and the Affiliate are in compliance with the provisions of the Regulatory Agreement and the Loan Agreement.

In the event of such a transfer to an Affiliate, references in the Regulatory Agreement to Indebtedness of the Corporation shall apply to the combined Indebtedness of the Corporation and the Affiliate, and references to the financial condition or forecasted results of operations of the Corporation shall apply to the consolidated financial condition or results of operations of the Corporation and the Affiliate.

If an affiliation, merger, consolidation, sale or other transfer is effected, as described under this caption, the provisions described under this caption shall continue in full force and effect, and no further affiliation, merger, consolidation, sale or transfer shall be effected except in accordance with such provisions.

Rates and Charges; Debt Coverage; Current Ratio; Days Cash on Hand

(A) The Corporation shall operate the Facilities as revenue producing health care facilities. The Corporation shall fix, charge and collect, or cause to be fixed, charged and collected, subject to applicable requirements or restrictions imposed by law, such rates, fees and charges which, together with all other receipts and revenues of the Corporation and any other funds available therefor, are reasonably projected to be sufficient in each Fiscal Year to produce a Debt Service Coverage Ratio equal to at least 1.25 for such Fiscal Year, commencing December 31, 2016.

(B) The Corporation shall maintain, as of the end of each Fiscal Year, commencing in the Fiscal Year ending December 31, 2016, a Current Ratio of at least 1.50:1.0.

(C) The Corporation shall maintain, as of the end of each Fiscal Year, commencing in the Fiscal Year ending December 31, 2016, at least two hundred fifty (250) Days Cash on Hand, as shown on the Corporation's audited financial statements for such Fiscal Year.

(D) Within 120 days after the end of each Fiscal Year (commencing with the first full Fiscal Year after the Closing Date), the Corporation shall compute (1) the Net Income Available for Debt Service and Maximum Aggregate Annual Debt Service, (2) the Current Ratio and (3) the Days Cash on Hand for such Fiscal Year and promptly furnish to the Authority, the 2013 Authority, the Trustee and the Office a Statement setting forth the results of such computation.

The Corporation further covenants and agrees that if at the end of such Fiscal Year, (i) Net Income Available for Debt Service shall have been less than 1.25 times Maximum Aggregate Annual Debt Service for such Fiscal Year, (ii) the Current Ratio shall have been less than as required by subsection (B) described above, or (iii) the Days Cash on Hand shall have been less than as required by subsection (C) described above, the Corporation will promptly employ a Management Consultant to make recommendations as to a revision of the rates, fees and charges of the Corporation or the methods of operation of the Corporation which will result in producing (x) Net Income Available for Debt Service at least equal to 1.25 times Maximum Aggregate Annual Debt Service in the current Fiscal Year, (y) a Current Ratio as required by subsection (B) described above in the current Fiscal Year; and (z) Days Cash on Hand as required by subsection (C) described above in the current Fiscal Year; provided, however, the Corporation need not so employ a Management Consultant if the Office consents, in writing, to a waiver of said covenant to employ a Management Consultant. Copies of the recommendations of the

Management Consultant shall be filed with the Authority, the 2013 Authority, the Trustee and the Office. The Corporation shall, to the extent feasible, promptly upon its receipt of such recommendations, subject to applicable requirements or restrictions imposed by law, revise its rates, fees and charges or its methods of operation or collections and shall take such other action as shall be in conformity with such recommendations; provided, however, the Corporation need not make such revisions or take such actions in conformity with such recommendations if (1) the Board makes a good faith determination that such recommendations, in whole or in part, are not in the best interests of the Corporation, and (2) the Office gives its written consent to the effect that the Corporation need not comply, in whole or in part, with such recommendations. In the event that the Corporation fails to comply with the recommendations of the Management Consultant, the Office may replace existing management with new management, which shall be chosen unilaterally by the Office.

If the Corporation complies in all material respects with the reasonable recommendations of the Management Consultant in respect to said rates, fees, charges and methods of operation or collection, the Corporation will be deemed to have complied with the covenants set forth in the Regulatory Agreement and described herein for such Fiscal Year, notwithstanding that the Debt Service Coverage Ratio, the Current Ratio or the Days Cash on Hand shall be less than the amount required under subsections (A), (B) or (C) above; provided, that (1) this sentence shall not be construed as in any way excusing the Corporation from taking any action or performing any duty required under the Regulatory Agreement or be construed as constituting a waiver of any other event of default under the Regulatory Agreement and (2) Net Income Available for Debt Service shall be at least equal to 1.0 times Aggregate Debt Service for such Fiscal Year.

(E) Notwithstanding the foregoing, the Corporation may permit the rendering of service at, or the use of, the Facilities without charge or at reduced charges, at the discretion of the Board, to the extent necessary for maintaining its tax-exempt status or to establish or maintain its eligibility for grants, loans, subsidies or payments from the United States of America, any instrumentality thereof, or the State or any political subdivision or instrumentality thereof, or in compliance with any recommendation for free services that may be made by the Management Consultant.

Limitation on Encumbrances

The Corporation shall not create, assume or suffer to exist and shall immediately satisfy or release any mortgage, deed of trust, pledge, security interest, encumbrance, lien, attachment or charge of any kind (including the charge upon property purchased under conditional sales or other title retention agreements) upon the Facilities or the Gross Revenues; provided, however, that notwithstanding the foregoing provision, the Corporation may create, assume or suffer to exist Permitted Encumbrances.

Limitation on Indebtedness

The Corporation shall not incur any Indebtedness or financial obligations, including without limitation, by borrowing money, by assuming or guaranteeing the obligations of others, and by entering into installment purchase contracts or leases required to be capitalized in accordance with generally accepted accounting principles, except the Corporation may incur the following:

1. Obligations and liabilities under the Regulatory Agreement, the Loan Agreement or the Indenture, including any supplements or amendments thereto or thereto in connection with the issuance of any additional series of Bonds;
2. Contractual liabilities (other than liabilities for borrowed money or liabilities which would otherwise be considered Indebtedness under generally accepted accounting

principles) incurred in the ordinary course of business or for which moneys are available in the Project Fund under the Indenture;

3. Short-Term Indebtedness with the prior written consent of the Office and provided that no amount of Short-Term Indebtedness shall be outstanding for a period of 30 consecutive days during each Fiscal Year. The aggregate amount incurred by the Corporation under the provisions of the Regulatory Agreement described in this subsection shall not exceed at the time of incurrence 10% of the Corporation's Adjusted Annual Operating Revenues for the most recent Fiscal Year for which audited financial statements are available;

4. Liabilities for contributions to self-insurance programs;

5. Long-Term Indebtedness (which may be Parity Debt) incurred for the purpose of refinancing outstanding Long-Term Indebtedness provided that (a) the Office has consented in writing to the incurring of such Indebtedness, and (b) the issuance of such Long-Term Indebtedness does not increase Maximum Aggregate Annual Debt Service by more than 10%, as certified by a written report of an Accountant which shall be filed with the Trustee and the Office;

6. Long-Term Indebtedness (which may be Parity Debt), provided that:

(a) the Office has consented in writing to the incurring of such Indebtedness; and

(b) (1) Net Income Available for Debt Service, as certified by a written report of an Accountant which shall be filed with the Authority, the 2013 Authority, the Trustee and the Office for the most recent Fiscal Year for which audited financial statements are available immediately preceding the date of incurrence of such Long-Term Indebtedness, was at least equal to 1.25 times Maximum Aggregate Annual Debt Service on all outstanding Long-Term Indebtedness and the Long-Term Indebtedness proposed to be incurred, or (2) (a) Net Income Available for Debt Service, as certified by a written report of an Accountant which shall be filed with the Trustee and the Office, for the most recent Fiscal Year for which audited financial statements are available immediately preceding the date of incurrence of such Long-Term Indebtedness, was at least equal to 1.25 times Maximum Aggregate Annual Debt Service on all Long-Term Indebtedness then outstanding; and (b) Net Income Available for Debt Service, as shown in a written feasibility report prepared by a Management Consultant and filed with the Trustee and the Office, for each of the first two Fiscal Years following the incurrence of such Long-Term Indebtedness (or, if such Long-Term Indebtedness is incurred to finance additional facilities, in each of the first three Fiscal Years following the Fiscal Year when it is proposed that such facilities will be completed and placed in service) is forecasted to be at least 1.25 times Maximum Aggregate Annual Debt Service on all Long-Term Indebtedness proposed to be outstanding at the end of each such Fiscal Year;

7. Long-Term Indebtedness (which may be Parity Debt), incurred to complete a project if the Board certifies that the Corporation cannot complete such project unless such Long-Term Indebtedness is incurred, provided that (a) the Office has consented in writing to the incurring of such Indebtedness; and (b) the aggregate principal amount of such Indebtedness does not exceed 10% of the principal amount of Long-Term Indebtedness incurred to finance such project;

8. Long-Term Indebtedness (excluding Parity Debt), provided that (a) the Office has consented in writing to the incurring of such Indebtedness; and (b) the aggregate amount

incurred by the Corporation under the provisions of the Regulatory Agreement described in this subsection, subsection 3 and subsection 9 and then outstanding shall not exceed at the time of incurrence 10% of the Corporation's Adjusted Annual Operating Revenues for the most recent Fiscal Year for which audited financial statements are available;

9. Liabilities under capitalized lease agreements for the lease of, or Indebtedness for money borrowed or liabilities under instruments evidencing deferred payment arrangements for the purchase of, equipment, tangible personal property or real property; provided that the aggregate amount incurred by the Corporation under the provisions of the Regulatory Agreement described in this subsection, subsection 3 and subsection 8 above and then outstanding shall not exceed at the time of incurrence 10% of the Corporation's Adjusted Annual Operating Revenues for the latest Fiscal Year for which audited financial statements are available;

10. Non-recourse Indebtedness, provided that the Office has approved in writing the incurrence of such Indebtedness and such Indebtedness does not encumber the Facilities;

11. Repayment obligations under reimbursement or similar agreements with banks or insurance companies relating to letters or lines of credit or other credit facilities used to secure Long-Term Indebtedness;

12. Indebtedness, not for borrowed money, incurred in the ordinary course of business; and

13. Any Indebtedness or obligations of the Corporation consented to in writing by the Office.

Limitations on Disposition of Property

Disposition of Cash. The Corporation shall not dispose of any cash or cash equivalents unless the disposition is made in the ordinary course of business, and: (1) the Corporation receives an asset or service of reasonably equivalent value for such cash or cash equivalents; or (2) prior to such disposition, there is filed with the Office and the Trustee a Statement of the Corporation to the effect that, either (a) the ratio of Net Income Available for Debt Service to Maximum Aggregate Annual Debt Service for the most recent Fiscal Year for which audited financial statements are available next preceding such disposition would not be reduced or, if reduced, would not be reduced below a ratio of 2.0:1.0 (such calculation to be made assuming such disposition had occurred at the beginning of such Fiscal Year), or (b) the average ratio of Net Income Available for Debt Service to Maximum Aggregate Annual Debt Service, as forecasted in such Statement of the Corporation for the two Fiscal Years immediately following such disposition, will be not less than a ratio of 2.0:1.0; and (c) such disposition has been consented to by the Office in writing.

Disposition of Real Property. The Corporation shall not sell, lease, sublease, assign, transfer, encumber or otherwise dispose of all or any part or parts of the real property described in the Regulatory Agreement, including the buildings and structures thereon and fixtures and improvements of such real property, without the prior written consent of the Office.

Disposition of Personal Property. The Corporation shall not sell, lease, sublease, assign, transfer, encumber or otherwise dispose of all or any part or parts of the Facilities not included in the preceding paragraphs, other than in the "ordinary course of business," unless the Office gives its prior written consent to such disposition. "Ordinary course of business" shall be defined during the term of the Regulatory Agreement by the Office in the exercise of its sound and reasonable discretion, by the Office

giving written notice thereof to the Corporation, which determination will become effective on receipt of such notice by the Corporation.

Except as provided pursuant to the Regulatory Agreement concerning a disposition of substantially all of the Corporation's assets, in no event shall the Corporation dispose of any part or parts of its Facilities in any Fiscal Year aggregating in excess of 2-1/2% of the Corporation's net property, plant and equipment (as shown on the Corporation's most recent audited financial statements), unless the Office gives its prior written consent to such disposition.

Execution of Releases. In connection with a disposal of property, including cash, as described under the caption, upon receipt of such consent by the Office or Statement of the Corporation required by the Regulatory Agreement, the Office, the Authority, the 2013 Authority and the Trustee shall execute and deliver releases from security interests or other documents reasonably requested by the Corporation.

Limitation on Acquisition of Property, Plant and Equipment

The Corporation shall not acquire additional property, plant and equipment (except (1) in the ordinary course of business, (2) with the proceeds of Indebtedness permitted by the Regulatory Agreement, or (3) as part of a merger or consolidation permitted by the Regulatory Agreement) or (4) by gift (other than gifts of cash or personal property or gifts of real property if either (i) its use is residential or (ii) it is subject of a Phase I report indicating no contaminants), purchase, construction, merger or consolidation, unless the Office gives its prior written consent to such acquisition.

Parity Debt

The Corporation may incur Parity Debt, subject, however to compliance with the provisions of the Regulatory Agreement described above under the caption “—Limitation on Indebtedness,” and subject to the following conditions: (1) the Trustee shall act as trustee for the Parity Debt; (2) the agreement under which Parity Debt is issued shall require that: (a) a Loan Default Event shall constitute an event of default under such agreement and the Regulatory Agreement; (b) rights and obligations of the holders of Parity Debt shall be substantially the same as the rights and obligations of the Bondholders under the Indenture, except that if the Parity Debt is not covered under the Contract of Insurance, the holders of Parity Debt shall have no rights under the Contract of Insurance or to payments made with respect thereto; and (c) remedies upon an event of default shall be substantially the same as the remedies provided in the Indenture, the Regulatory Agreement and the Loan Agreement, and, prior to exercising any such remedies, the holders of such Parity Debt (or a trustee representing their interest) shall be required to cooperate with the Trustee to the end that the interests of such holders and the Bondholders shall be equally protected; (3) any collateral given or to be given to secure Parity Debt shall also secure the Bonds on a pari passu basis; provided that any bond reserve account shall only secure the related series of Bonds, and the Corporation may, but need not, establish similar reserve accounts for debt service of Parity Debt; (4) the Parity Debt shall be prepayable in accordance with such terms substantially in the form of and under the conditions prescribed in the Indenture; (5) any Parity Debt shall be insured by the Office under the Insurance Law, or if the Parity Debt can be issued as such without being insured under the Insurance Law, with the consent of the Office; and (6) in the case of any Parity Debt that will not be insured by the Office, the Corporation shall pay any associated legal document review costs incurred by the Office, including fees for outside counsel.

Insurance

The Corporation shall keep the Facilities and their operations adequately insured at all times, and, shall carry and maintain, or cause to be carried and maintained, and will pay, or cause to be paid, in

timely fashion the premiums for, at least the coverages specified in the Regulatory Agreement. The coverages and limits may be varied only with the prior written consent of the Office.

The Corporation shall employ a Risk Management Consultant to review the insurance requirements of the Corporation from time to time (but not less frequently than once every 24 months). If the Risk Management Consultant makes recommendations for the increase of any of the coverage required by the Regulatory Agreement, the Corporation shall increase such coverage in accordance with such recommendations, subject to a good faith determination of the Board that such recommendations, in whole or in part, are in the best interests of the Corporation. The Corporation shall have the right, without giving rise to an event of default under the Regulatory Agreement solely on such account; (1) with the prior written consent of the Office, to maintain insurance coverage below that required by the Regulatory Agreement, provided further that the Corporation shall furnish to the Trustee and the Office a Statement of the Risk Management Consultant or other evidence, satisfactory to the Office, that the insurance so provided affords the greatest amount of coverage available for the risk being insured against at rates which in the judgment of the Risk Management Consultant are reasonable in connection with reasonable and appropriate risk management, or (2) with the prior written consent of the Office, to adopt alternative risk management programs which the Board determines to be reasonable and which shall not have a material adverse impact on the Corporation's reimbursement from third-party payers, including, without limitation, to self-insure in whole or in part, to participate in programs of captive insurance companies, to participate with other health care institutions in mutual or other cooperative insurance or other risk management programs, to participate in state or federal insurance programs, to take advantage of state or federal laws now or hereafter in existence limiting medical and malpractice liability or to establish or participate in other alternative risk management programs; all as may be approved in writing as reasonable and appropriate risk management by the Risk Management Consultant.

The Corporation shall obtain such insurance coverage as is required by the Regulatory Agreement only from insurers admitted to do business in the State of California by the Department of Insurance of the State of California, unless the Office gives its prior written consent.

Title Insurance

The Corporation shall obtain, at its own cost and expense, an ALTA Lender's policy of title insurance, with such endorsements as may be required by the Office, at the time of and dated as of the date of delivery of the Bonds or Parity Debt, in sufficient amount, when combined with policies previously delivered and remaining available in aggregate to the Office in connection with the issuance of outstanding Parity Debt, to equal not less than the aggregate principal amount of the Bonds and Parity Debt to be outstanding after the issuance of such Bonds or Parity Debt, payable to the Office, the Trustee, the Authority and the 2013 Authority, insuring the title of the Corporation to the site of the Facilities, subject only to Permitted Encumbrances, issued by a title insurance company admitted to do business in the State by the Department of Insurance of the State, and which is acceptable to the Office.

Disposition of Insurance and Condemnation Proceeds

The proceeds of property and builders risk insurance maintained by the Corporation pursuant to the Regulatory Agreement, the proceeds of any title insurance, and the proceeds of any condemnation awards with respect to the Facilities, shall be paid immediately upon receipt by the Corporation or other named insured parties to the Trustee, as assignee of the Authority and the 2013 Authority, for deposit in a special fund which the Trustee shall establish and maintain and hold in trust, to be known as the "Insurance and Condemnation Proceeds Fund." In the event the Corporation elects to repair or replace the property damaged, destroyed or taken, it shall furnish to the Office plans of the contemplated repair or replacement, accompanied by a Statement of an architect or other qualified expert satisfactory to the

Office estimating the reasonable cost of such repair or replacement and a Statement of the Corporation stating that amounts in the Insurance and Condemnation Proceeds Fund, together with investment income reasonably expected to be received with respect thereto and any other funds available or reasonably expected to become available therefor (and which the Corporation shall agree to deposit in said fund when so available), shall be sufficient to repair or replace the property damaged, destroyed or taken in accordance with said plans. After deducting therefrom the reasonable charges and expenses of the Trustee in connection with the collection and disbursement of such moneys, moneys in the Insurance and Condemnation Proceeds Fund shall be disbursed by the Trustee for the purpose of repairing or replacing the property damaged, destroyed or taken in the manner and subject to the conditions set forth in the Indenture with respect to disbursements from the Project Fund to the extent the provisions thereof may reasonably be made applicable. In the event that the proceeds of any loss or damage to or condemnation of the Facilities shall be less than 1-1/2% of the Corporation's Adjusted Annual Operating Revenues (as shown on the Corporation's most recent audited financial statements), and so long as an event of default under the Regulatory Agreement has not occurred and is not then continuing, the Trustee shall pay over such proceeds to the Corporation without requiring any of the documents referred to in the Regulatory Agreement described under this caption and without any formality whatsoever.

In the event the Corporation, with the consent of the Office, shall elect not to repair or replace the property damaged, destroyed or taken, as provided in the provisions of the Regulatory Agreement described in the paragraph above, the Trustee shall transfer all amounts in the Insurance and Condemnation Proceeds Fund on account of such damage, destruction or condemnation to the Special Redemption Account in order to prepay the Loan Repayments and redeem the Bonds; provided that if any Parity Debt is then outstanding, any such transfer from the Insurance and Condemnation Proceeds Fund shall be deposited in part in the Special Redemption Account and in part in such other fund or account as may be appropriate (and used for the retirement of such Parity Debt) in the same proportion which the aggregate principal amount of Outstanding Bonds then bears to the aggregate unpaid principal amount of such Parity Debt.

If all amounts in the Insurance and Condemnation Proceeds Fund and any special redemption account for the retirement of Parity Debt exceed 1-1/2% of the Corporation's Adjusted Annual Operating Revenues (as shown on the Corporation's most recent audited financial statements) but are not sufficient to retire all Bonds and Parity Debt then outstanding, the Trustee upon its receipt of an Officer's Certificate from the Corporation stating that such amounts are in excess of one and one-half percent (1-1/2%) of the Corporation's Adjusted Annual Operating Revenues, shall not transfer said amounts to the Special Redemption Account unless the Corporation shall file with the Trustee a report of a Management Consultant showing that projected Net Income Available for Debt Service will be sufficient to pay Aggregate Debt Service for the three full Fiscal Years immediately following such transfer after giving effect to the retirement of such Bonds and Parity Debt. In the event such report of a Management Consultant shows that projected Net Income Available for Debt Service will not be sufficient to pay Aggregate Debt Service for the three full Fiscal Years immediately following such transfer after giving effect to the retirement of such Bonds and Parity Debt, the Corporation shall apply all amounts in the Insurance and Condemnation Proceeds Fund to the repair or replacement of the property damaged, destroyed or taken, as provided in the first paragraph under this caption, unless the Corporation shall file a further report of a Management Consultant showing that even after making such repair and replacement, projected Net Income Available for Debt Service will not be sufficient to pay Aggregate Debt Service for the three Fiscal Years immediately following such repair and replacement, in which event the Trustee shall transfer all moneys in the Insurance and Condemnation Proceeds Fund to the Special Redemption Account and/or such other trust account for the retirement of Bonds and Parity Debt, as provided in the second paragraph under this caption.

Certain Covenants Relating to Operations

Indebtedness on Loan Default Event. During the continuance of a default under the Regulatory Agreement, a Loan Default Event under the Loan Agreement or an Event of Default under the Indenture, the Corporation shall not incur any additional Indebtedness or make any additional capital acquisition without the prior written consent of the Office.

Lien on Future Acquired Real Property. If the Corporation acquires any real property to be used or usable in connection with the operation of the Corporation while the Regulatory Agreement is in effect, such acquired real property ("Acquired Property") shall be deemed to fall within the definition of Facilities and therefore shall be subject to the Regulatory Agreement. The Corporation shall convey a security interest (which need not give the Office a first lien position) in the Acquired Property for the benefit of the Office under the Deed of Trust, unless such requirement is waived in writing by the Office.

Default; Remedies Upon Default

Notice and Declaration of a Default. Upon a violation of any of the provisions of the Regulatory Agreement by the Corporation, the Office may give written notice thereof to the Corporation by registered or certified mail, addressed to the address stated in the Regulatory Agreement, or such other address as may subsequently, upon appropriate written notice thereof to the Office, be designated by the Corporation as its legal business address. If such violation is not corrected to the satisfaction of the Office within 30 days, or in the event the default is the result of the failure of the Corporation to make a payment required to be made to the Trustee or the result of the loss or threatened loss of the license of the Corporation, then five days, after the date such notice is mailed, or within such further time as the Office determines, in the Office's sole discretion, is necessary to correct the violation, without further notice the Office may declare a default under the Regulatory Agreement effective on the date of such declaration of default.

Office Directives to the Corporation. Upon an event of default under the Regulatory Agreement, the Deed of Trust, the Indenture or the Loan Agreement, the Office shall have the remedies provided by California Health and Safety Code section 129173, as well as the following: The Office may conduct an evaluation of, and direct the Corporation with respect to, the management and operation of the Facilities and the expenses of the Office or any consultants associated with such evaluation and direction shall be reimbursed by the Corporation. The Corporation shall follow all such directives, which may at the option of the Office include immediately terminating and replacing the existing Management Agent with a new Management Agent selected by the Office at the expense of the Corporation. In the event of any such termination, the Management Agent shall not be entitled to compensation for more than 30 days from the date of such termination. The Office may retain attorneys and consultants to assist in such evaluation and the Corporation shall pay the reasonable fees and expenses of such attorneys and consultants and any other expenses incurred by the Office in that connection. These remedies are in addition to those provided under Insurance Law Section 129173. The Office reserves its rights to exercise all its remedies under Insurance Law Section 129173, including, but not limited to, subsection (b) wherein the Office may remove and appoint members of the governing body of the Corporation sufficient such that the new members constitute a voting majority of the governing body.

Payment from the Health Facility Construction Loan Insurance Fund. (1) In any case in which an Event of Default under the Indenture shall have occurred and the Trustee shall have given notice to the Office at least 90 days prior to an interest payment date, or principal payment date that: (a) available moneys in the Principal and Interest Accounts held by the Trustee pursuant to the Indenture will be insufficient to pay in full the next succeeding payment of interest and/or principal when due to the Bondholders under the Indenture, and (b) the amount by which the obligation to make such payment

exceeds the amount available (the “Shortfall”), the Office shall cause an amount equal to the Shortfall to be deposited into the Principal Account and/or Interest Account at least three Business Days prior to the date on which said payment is due, as provided pursuant to the Indenture described in the following paragraphs (2) and (3).

(2) Said deposit shall be made by the Office directing the Trustee to transfer an amount equal to the Shortfall out of any bond reserve account into the Principal Account and/or Interest Account. (However, if there are funds in a bond reserve account for the respective Bonds at the time the Office receives such notice of the Shortfall from the Trustee, nothing contained in the Regulatory Agreement shall prevent the Office from then determining pursuant to Insurance Law Section 129145 that the lender and borrower have exhausted all reasonable means of curing the Event of Default and that it would be in the best interest of the State, the borrower and the lender to pay a portion or all of the Shortfall from the Health Facility Construction Loan Insurance Fund instead of the bond reserve account, and from paying such amount from the Health Facility Construction Loan Insurance Fund.)

(3) If the Office, pursuant to Insurance Law Section 129145, determines, in the event the funds in any applicable bond reserve account are insufficient to meet the Shortfall as provided in paragraph (2) above, that (a) the lender and the borrower will have exhausted all reasonable means of curing the Event of Default, and (b) a payment or payments from the Health Facility Construction Loan Insurance Fund to cure the Event of Default is now and will be at the time of the Event of Default in the best interest of the State, the lender and the borrower, then the Office may pay such amount required to meet the Shortfall from the Health Facility Construction Loan Insurance Fund to the Principal Account and/or Interest Account for the benefit of the lender within the time as provided in paragraph (1) above.

(4) Any payment made by the Office from the Health Facility Construction Loan Insurance Fund (“Fund”) shall be secured pursuant to Insurance Law Section 129145 by a pro rata share of the security held by the Trustee through the Deed of Trust and all applicable UCC-1s, and, upon such payment, the Corporation shall become liable for repayment of the amount thereof to the Office upon demand and shall be liable for interest on the unpaid balance thereof at the rate of 10% per annum.

(5) If the principal of all Bonds at the time Outstanding, and the interest accrued thereon have been declared immediately due and payable pursuant to the terms of the Indenture, the Office may make payment from the Fund, or, if the Fund is insufficient to make such payment, or if the Office determines it to be in the best interest of the State, the Corporation, the Authority and the 2013 Authority, the Office shall request issuance of debentures as provided below under the caption “—Issuance of Debentures.”

Issuance of Debentures. (1) In any case in which (a) the Trustee shall have directed the foreclosure and taking possession of the Facilities under the Deed of Trust and under applicable statutes, (b) the Trustee, with the consent of the Office, shall have otherwise acquired the Facilities from the Corporation after default, (c) the Trustee, with the consent of the Office, shall have assigned to the Office the security interest created by the Deed of Trust, (d) the Trustee shall have tendered to the Office a satisfactory conveyance of title and transfer of possession of the Facilities directly from the Corporation, or other appropriate grantor, or (e) it has been determined that debentures should be issued as described in the paragraph above under the caption entitled “—Payment from the Health Facility Construction Loan Insurance Fund,” the Trustee shall be entitled to receive the benefit of the insurance as provided in Insurance Law Sections 129125 through 129160, upon (i) the prompt conveyance to the Office of title to the Facilities or, with the consent of the Office, the security interest created by the Deed of Trust, (ii) the assignment to the Office of all claims of the Trustee against the Corporation or others arising out of the sale of the Bonds, the loan transaction or the foreclosure proceedings, except such claims as may have

been released with the consent of the Office, and (iii) surrender to the Office of each Bond which has been surrendered to the Trustee.

(2) Upon such conveyance, assignment and surrender, the Office shall request the State Treasurer to issue to the Trustee for the benefit of the Bondholders so surrendered, a debenture or debentures having a total face value of and bearing interest at the rate on the respective surrendered Bonds which they replace and additional debentures equal to all additional amounts due under the Indenture as provided by Insurance Law Sections 129125 through 129160.

Additional Remedies Available to the Office. Notwithstanding any other provision in the Regulatory Agreement or provision of law relating to the acquisition, management or disposal of real property by the State, the Office shall have the power to do any or all of the following: (a) possess, operate, complete, lease, rent, renovate, modernize, insure, or sell for cash or credit, in its sole discretion, any properties conveyed to it in exchange for debentures as provided in the Insurance Law; (b) pursue to final collection by way of compromise or otherwise all claims against the Corporation assigned by the Trustee to the Office; or (c) convey and execute in the name of the Office deeds of conveyance, deeds of release, assignments and satisfactions of the Deed of Trust, and any other written instrument relating to real or personal property or any interest therein acquired by the Office.

Remedies Not Exclusive; No Waiver of Rights. No remedy conferred in the Regulatory Agreement upon or reserved to the Office is intended to be exclusive of any other available remedy or remedies, but each and every such remedy, to the extent permitted by law, shall be cumulative and shall be in addition to every other remedy given under the Regulatory Agreement, Loan Agreement and the Deed of Trust, or now or hereafter existing at law or in equity or otherwise. In order to entitle the Office to exercise any remedy, to the extent permitted by law, reserved to it contained in the Regulatory Agreement, it shall not be necessary to give any notice, other than such notice as may be expressly required in the Regulatory Agreement.

Capital Replacement

The Corporation shall maintain the Facilities in good and substantial repair and condition. The Corporation shall prepare a long-term capital replacement budget, as required by the Regulatory Agreement, for capital improvements, major remodeling, and for new and replacement items necessary and appropriate to maintain the Facilities for the purposes for which they are or may reasonably be expected to be used. Capital replacement costs may include, but are not limited to, carpet, flooring, roofing, windows, painting exterior and interior, major appliances, cabinets, bathrooms, walkways, fencing, stairways, exterior siding, drainage, sewage, security and alarm systems, HVAC systems, elevators, and fire sprinkler systems for the Facilities. The Corporation shall deposit the required annual budget amount for long-term capital replacement into a reserve account to be used solely for capital replacement costs as they are incurred.

Upon demand of the Office, the Corporation shall perform or cause to be performed a formal inspection of its Facilities resulting in a written report by a qualified professional recommending replacement and repairs necessary to maintain the Facilities in good and substantial repair and condition. The long-term capital replacement budget shall be revised to reflect the recommended replacement and repairs included in the inspection report. The Corporation shall deliver a copy of its Board approved revised long-term capital replacement budget and the inspection report to the Office. The Corporation shall deposit the revised required annual budget amount for long-term capital replacement into a reserve account to be used solely for capital replacement costs as they are incurred.

Debt Coverage Ratio Reporting

Within 45 days after each March 31, June 30, September 30 and December 31 (each three-month period ending on each such date being referred to herein as a "Fiscal Quarter"), the Corporation shall compute the Net Income Available for Debt Service for such Fiscal Quarter and for the twelve-month period ending on the last day of such Fiscal Quarter ("Running Twelve-Month Period") and promptly furnish to the Office a Statement setting forth the results of such computation. If at the end of such Fiscal Quarter the Net Income Available for Debt Service shall have been less than 1.25 times Maximum Aggregate Annual Debt Service for such Running Twelve-Month Period, the Corporation shall, upon the request of the Office, employ a Management Consultant to make recommendations as to a revision of the rates, fees and charges of the Facilities or the methods of operation of the Facilities which will result in producing Net Income Available for Debt Service equal to at least 1.25 times Maximum Aggregate Annual Debt Service for such Fiscal Quarter. Copies of the recommendations of the Management Consultant shall be provided to the Office. The Office also may retain attorneys and consultants to assist in an evaluation of the operation and management of the Facilities and the Corporation shall pay the reasonable fees and expenses of such attorneys and consultants and any expenses incurred by the Office in that connection.

DEED OF TRUST

The obligations of the Corporation pursuant to the Loan Agreement, the Regulatory Agreement and the Contract of Insurance are secured by the lien of a Deed of Trust upon the Facilities. With the written consent of the Office and the Corporation, the Deed of Trust may be amended or terminated at any time, without the necessity of obtaining the consent of the Trustee, the Authority or the holders of the Bonds or of Parity Debt. To the extent permitted under the Regulatory Agreement, certain Property may be removed from the lien and security interest of the Deed of Trust upon written request by the Office.

Upon the failure of the Corporation to perform its obligations as required under the Deed of Trust, the trustee under the Deed of Trust, the Trustee (as assignee of the Authority) and the Office, as beneficiaries under the Deed of Trust, may elect to do any or all of the following: (1) make any such payment or do any such act in such manner and to the extent necessary to protect the security of the Deed of Trust; (2) pay, purchase, contest or compromise any claim, debt, lien, charge or encumbrance which may affect or appear to affect the security of the Deed of Trust or the interest of the beneficiary or the rights, powers or duties of the Deed Trustee or the beneficiary; (3) take possession of, and manage, operate or lease, the Property; and (4) declare all sums secured by the Deed of Trust to be immediately due and payable and sell the Facilities to satisfy the lien of the Deed of Trust. If the beneficiary elects to foreclose and sell the Facilities, there are certain applicable statutory time periods which must expire before such proceedings will be effective.

The Regulatory Agreement and the Deed of Trust confer certain powers and rights upon the Office which may limit the discretion of the trustee under the Deed of Trust. So long as the Office is obligated under the Contract of Insurance, all rights of beneficiaries under the Deed of Trust shall be exercised solely by the Office for the equal and ratable benefit of the Office and the Trustee. All rights and proceeds inuring to the benefit of the Trustee under the Deed of Trust are for the benefit of the holders of the Bonds and Parity Debt. Before the benefits of the insurance are to be paid, the Office may require such trustee to (1) foreclose on the Deed of Trust and convey title to the Facilities to the Office; or (2) assign all security interests of the Bondholders under the Deed of Trust to the Office.

CONTRACT OF INSURANCE

The Contract of Insurance is an agreement among the Office, the Corporation and the Authority whereby the Corporation and the Authority agree to abide by the terms of the Bonds, the Loan Agreement, the Indenture, the Deed of Trust, the Regulatory Agreement and the Contract of Insurance, as the terms of each such agreement apply to each of them, and the Office agrees that the Bonds are eligible for insurance and are thereby insured under the Insurance Law. The Contract of Insurance provides that the insurance may be terminated only (1) upon payment in full of the insurance of the Bonds pursuant to the Insurance Law, (2) upon the payment in full of the principal of and the accrued and unpaid interest on the Bonds (including defeasance of the Bonds) and all other amounts owing to the Holders and the Trustee under the Indenture so that the Bonds are not Outstanding, (3) upon joint written request of the Corporation, the Authority, and all the Holders as provided in the Insurance Law, or (4) if the Deed of Trust is judicially foreclosed as to such property, or the Authority, the Trustee or the Holders of the Bonds non-judicially foreclose or otherwise acquire such property after a Loan Default Event and the Authority and the Trustee do not execute and deliver to the Office a grant deed, trustee deed or quitclaim deed covering such property within 60 days of such foreclosure or other acquisition; or if Bonds are surrendered to the Trustee to be exchanged for debentures and such Bonds are not surrendered to the Office within 60 days of receipt by the Trustee; provided that, if the required conveyance or surrender is restrained, enjoined, or otherwise prevented by any court or governmental body or agency, then the Authority and the Trustee shall have 60 days to make the conveyance or surrender from the date such restraint or injunction is vacated, dismissed or discharged.

APPENDIX E

FORM OF CONTRACT OF INSURANCE

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FORM OF CONTRACT OF INSURANCE

LOAN NO. 1037

STATE OF CALIFORNIA
OFFICE OF STATEWIDE HEALTH PLANNING AND DEVELOPMENT

This CONTRACT OF INSURANCE, dated as of November 1, 2016, and effective as of November 30, 2016, is by and among Northern California Retired Officers Community, a California nonprofit public benefit corporation (the “Corporation”), the Office of Statewide Health Planning and Development of the State of California (the “Office”), and the California Municipal Finance Authority, a joint exercise of powers authority organized and existing under the laws of the State of California (the “Authority”).

WHEREAS, the Office is authorized to enter into this Contract of Insurance pursuant to California Health and Safety Code Sections 127045 and 129105;

WHEREAS, the Director of the Office is authorized to enter into this Contract of Insurance on behalf of the Office pursuant to California Health and Safety Code Section 127010 and California Government Code Section 11150, *et seq.*;

WHEREAS, the undersigned Deputy Director of the Office was appointed by the Director of the Office to act on the Director’s behalf pursuant to Delegation Order 16-03, effective April 25, 2016, and is so authorized by California Health and Safety Code Section 7 and California Government Code Sections 1194, 7 and 18572;

WHEREAS, the Authority is authorized to enter into this Contract of Insurance pursuant to a resolution adopted by the Authority on October 28, 2016;

WHEREAS, the Corporation is authorized to enter into this Contract of Insurance pursuant to a resolution adopted by the Corporation’s Board of Directors on October 20, 2016;

WHEREAS, the Authority desires to issue its Insured Revenue Bonds (NCROC – Paradise Valley Estates Project), Series 2016 in the principal amount of \$22,080,000 (the “Bonds”) pursuant to an indenture, dated as of November 1, 2016 (the “Indenture”), by and between the Authority and U.S. Bank National Association, as trustee (the “Trustee”), and to lend the proceeds of the Bonds to the Corporation pursuant to a loan agreement, dated as of November 1, 2016 (the “Loan Agreement”), between the Authority and the Corporation, which shall be secured by a Deed of Trust (the “Deed of Trust”) on certain of the Corporation’s property and a pledge of the Corporation’s Gross Revenues;

WHEREAS, the Corporation desires to obtain the Health Facility Construction Loan Insurance (the “Insurance”) insuring the payment of the Bonds, and the Office is willing to extend the Insurance;

WHEREAS, the Office has reviewed the final form of the Bonds, the Indenture, the Loan Agreement, the Deed of Trust, and the American Land Title Association title insurance policy issued by Chicago Title Company insuring the Corporation’s title to that property which is subject to the Deed of Trust and naming the Trustee and the Office as beneficiaries, as their respective interests may appear;

WHEREAS, the Office has approved the Corporation’s application for insurance of the Bonds; and

WHEREAS, in consideration of the Insurance and in order to comply with the requirements of Chapter 1, Part 6, Division 107 of the Health and Safety Code of the State of California, cited as the “California Health Facility Construction Loan Insurance Law,” as now in effect and as it may from time to time hereafter be amended or supplemented (the “Insurance Law”), the Corporation, the Office and the Authority have entered into an amended and restated regulatory agreement, dated as of November 1, 2016, and effective as of November 30, 2016 (the “Regulatory Agreement”), regulating the terms and conditions of the Insurance of the Bonds;

NOW, THEREFORE, in consideration of these presents and for other good and valuable consideration, the receipt of which is hereby acknowledged, the parties hereto mutually agree, and agree for the benefit of the Holders of the Bonds from time to time and the Trustee, as follows:

1. Definitions. Unless the context clearly otherwise requires, all capitalized terms used herein shall have the meanings assigned to such terms in the Regulatory Agreement or, if not defined therein, in the Indenture.

2. Insurance. The Office hereby declares and agrees that the Bonds are eligible for the Insurance under the Insurance Law and that the payment to the Trustee of the principal of and the accrued and unpaid interest on the insured principal of the Bonds and such other costs and expenses required by the Insurance Law, are insured. However, payments from the Trustee to the Bondholders are not insured.

3. Incontestability. Pursuant to Insurance Law Section 129110, such Insurance shall be incontestable from the date of the execution of this Contract of Insurance, except in case of fraud or misrepresentation on the part of the lender (as defined in Insurance Law Section 129010(j)).

4. Approval of Documents. The Office approves the execution and delivery of the Loan Agreement, the Indenture and the Deed of Trust.

5. Completion of the Project. The Corporation shall accomplish the Project with all practical dispatch and in an economical manner.

6. Disbursement of Proceeds. Prior to each disbursement of funds to the Corporation pursuant to the provisions of the Indenture, the Corporation shall apply to the Office by submission of the Office's Form OSH-CM-134 and supporting documentation, for an authorization of the disbursement of funds to the Corporation pursuant to the Indenture, pursuant to Insurance Law Section 129030. Certification by the Office of the Form OSH-CM-134 submitted to the Office by the Corporation shall constitute the Office's authorization and consent to the disbursement of funds to the Corporation.

7. Compliance with Law and Documents. The Authority and the Corporation shall, to the extent they are respectively obligated thereunder, comply with the Insurance Law and the terms, conditions and covenants of the Bonds, the Loan Agreement, the Indenture, the Deed of Trust, the Regulatory Agreement and this Contract of Insurance.

8. Premium Payment. The Corporation has paid all premiums required for the Insurance on the effective date hereof. Insurance of the Bonds shall not be cancelled or terminated for any reason, including any failure by the Corporation to comply with the provisions of the Regulatory Agreement or any other agreement or failure by the Trustee to enforce such compliance, except as provided in Section 9 hereof.

9. Termination of Insurance. The Insurance provided herein may be terminated by the Office only upon the occurrence of any of the following:

(a) Payment of Insurance by the Office. Upon the payment in full by the Office of the Insurance of the Bonds pursuant to the Insurance Law.

(b) Payment of Bonds; Defeasance. Upon the payment in full of the principal of and the accrued and unpaid interest on the Bonds (including defeasance of the Bonds) so that all principal and interest components of the Bonds that have or may come due to the Bondholders of the Bonds and the Trustee under the Indenture are paid.

(c) Joint Request. Upon the joint written request of the Authority, the Corporation and all the Bondholders as provided in Insurance Law Section 129185.

(d) Foreclosure or Conveyance; Surrender of Bonds. If the Deed of Trust is judicially foreclosed as to such property, or the Authority, the Trustee or the Bondholders non-judicially foreclose or otherwise acquire such property after a Loan Default Event and the Authority and the Trustee do not execute and deliver to the Office a grant deed, trustee deed or quitclaim deed covering such property within sixty (60) days of such foreclosure or other acquisition; or if any Bonds are surrendered to the Trustee to be exchanged for debentures and such Bonds are not surrendered to the Office within sixty (60) days of receipt by the Trustee; provided that, if the required conveyance or surrender is restrained, enjoined, or otherwise prevented by any court or governmental body or agency, then the Authority and the Trustee shall have sixty (60) days to make the conveyance or surrender from the date such restraint or injunction is vacated, dismissed or discharged.

10. Successors Bound. This Contract of Insurance shall bind, and the benefits shall inure to, the respective parties hereto, their legal representatives, successors in office or interest, and assigns, and shall be directly enforceable by the Trustee. The Office hereby consents to the Authority's assignment of its rights under this Contract of Insurance to the Trustee.

11. Severability of Invalid Provisions. The invalidity of any clause, part, or provision of this Contract of Insurance shall not affect the validity of the remaining portions hereof so long as the Insurance remains in effect.

12. Agreement Represents Complete Agreement; Amendments. Except as otherwise provided herein, this Contract of Insurance represents the entire contract among the parties. This Contract of Insurance may be amended, changed or modified by the written agreement of the Office, the Authority, and the Corporation, provided that such amendment, change or modification shall not materially adversely affect the Holders.

13. Headings and References. The headings or titles of the several sections, subsections and subdivisions hereof shall be solely for convenience of reference and shall not affect the meaning, construction or effect of this Contract of Insurance. All references herein to "sections," "subsections" and other subdivisions are to the corresponding sections, subsections or subdivisions of this Contract of Insurance. The words "herein," "hereof," "hereby," "hereunder" and other words of similar import refer to this Contract of Insurance as a whole and not to any particular section, subsection or subdivision hereof. Words of the masculine gender shall mean and include words of the feminine and neuter genders.

14. Governing Law; Venue. The laws of the State of California shall govern this Contract of Insurance, the interpretation thereof and any right or liability arising hereunder. Any action or proceeding to enforce or interpret any provision of this Contract of Insurance shall be brought, commenced or prosecuted in Sacramento County Superior Court, Sacramento, California.

15. Attorneys' Fees. In the event of any action at law or in equity between the parties hereto to interpret or enforce any of the provisions of this Contract of Insurance, the non-prevailing party or parties to such litigation shall pay to the prevailing party or parties all costs and expenses, including reasonable fees of the Trustee for Bondholders, and actual and documented attorneys' fees, incurred therein by such prevailing party or parties; and if such prevailing party or parties shall recover judgment in any such action or proceeding, such costs, expenses and attorneys' fees may be included in and as part of such judgment. The prevailing party shall be the party who is entitled to recover its costs of suit, whether or not the suit proceeds to final judgment. A party not entitled to recover its costs of suit shall not recover attorneys' fees.

16. Execution in Counterparts. This Contract of Insurance may be executed in any number of counterparts, each of which shall be deemed for all purposes to be an original and all of which shall together constitute but one and the same instrument.

IN WITNESS WHEREOF, the parties hereto have duly executed this Contract of Insurance as of the day and year first above written.

NORTHERN CALIFORNIA RETIRED
OFFICERS COMMUNITY

By: _____
Cecil Ross
Chair of the Board

By: _____
Neil Calhoun
Chief Financial Officer

OFFICE OF STATEWIDE HEALTH PLANNING
AND DEVELOPMENT OF THE STATE OF
CALIFORNIA

By: Robert P. David, Director

By: _____
Jeremy P. Marion
Deputy Director

CALIFORNIA MUNICIPAL FINANCE
AUTHORITY

By: _____
Authorized Signatory

Signature Page to Contract of Insurance –
California Municipal Finance Authority Insured Revenue Bonds
(NCROC – Paradise Valley Estates Project), Series 2016

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APPENDIX F

FORM OF CONTINUING DISCLOSURE AGREEMENT

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CONTINUING DISCLOSURE AGREEMENT

This Continuing Disclosure Agreement (the “*Disclosure Agreement*”) is executed and delivered by Northern California Retired Officers Community, a nonprofit public benefit corporation incorporated under the laws of the State of California (the “*Borrower*”), as of November 30, 2016. The Borrower covenants and agrees as follows:

Section 1. Definitions. Any capitalized terms used herein but not defined herein shall have the meanings assigned to them in the hereinafter described Regulatory Agreement, and the following capitalized terms shall have the following meanings:

“*Annual Budget*” shall mean the operating budget of the Borrower in the form required by Section XXIII of the Regulatory Agreement.

“*Annual Report*” shall mean any Annual Report provided by the Borrower pursuant to, and as described in, Sections 3 and 4 of this Disclosure Agreement.

“*Authority*” shall mean the California Municipal Finance Authority, a public instrumentality of the State of California.

“*Bondholders*” shall mean the owners and beneficial owners from time to time of the Series 2016 Bonds.

“*Borrower*” shall mean Northern California Retired Officers Community, a nonprofit public benefit corporation incorporated under the laws of the State of California.

“*Current Ratio*” shall have the meaning set forth in the Regulatory Agreement.

“*Days Cash on Hand*” shall have the meaning set forth in the Regulatory Agreement.

“*Debt Service Coverage Ratio*” shall have the meaning set forth in the Regulatory Agreement.

“*Disclosure Agreement*” shall mean this agreement.

“*Dissemination Agent*” shall mean (i) the Borrower or any Dissemination Agent designated in writing by the Borrower and which has filed with the Borrower a written acceptance of such designation, and (ii) initially, Digital Assurance Certification, LLC.

“*EMMA*” shall mean the Electronic Municipal Market Access system of the MSRB accessible at <http://emma.msrb.org> or such other information repository as may be determined by the SEC from time to time.

“*Indenture*” shall mean the Indenture dated as of November 1, 2016, between the Authority and the Trustee, pursuant to which the Series 2016 Bonds are issued.

“Listed Events” shall mean any of the events listed in Section 5(a) of this Disclosure Agreement.

“Loan Agreement” shall mean the Loan Agreement dated as of November 1, 2016, between the Borrower and the Authority relating to the Series 2016 Bonds.

“MSRB” shall mean the Municipal Securities Rulemaking Board or any successor entity as described in the Rule.

“Obligated Person” shall have the meaning set forth in the Rule.

“Offering Document” shall mean the Official Statement dated November 22, 2016 describing the Series 2016 Bonds.

“Office” means the Office of Statewide Health Planning and Development of the State of California.

“Quarterly Report” shall mean any quarterly report provided by the Borrower pursuant to Sections 3 and 4 of this Disclosure Agreement.

“Regulatory Agreement” shall mean the Amended and Restated Regulatory Agreement, dated as of November 1, 2016, among the Borrower, the Authority and the Office.

“Rule” shall mean Rule 15c2-12(b)(5) adopted by the SEC under the Securities Exchange Act of 1934, as the same may be amended from time to time.

“SEC” shall mean the United States Securities and Exchange Commission.

“Series 2016 Bonds” means the Authority’s Insured Revenue Bonds (NCROC - Paradise Valley Estates Project), Series 2016.

“Trustee” shall mean U.S. Bank National Association, as trustee.

“Underwriter” shall mean B.C. Ziegler and Company, or any additional purchaser of the Series 2016 Bonds required to comply with the Rule in connection with an offering of the Series 2016 Bonds.

Section 2. Purpose of the Disclosure Agreement. The purpose of this Disclosure Agreement is to assist the Underwriter in complying with the Rule in connection with the Series 2016 Bonds. The Borrower represents that the Borrower is the only Obligated Person with respect to the Series 2016 Bonds at the time the Series 2016 Bonds are delivered to the Underwriter.

Section 3. Provision of Annual Reports, Annual Budgets and Quarterly Reports.
(a) The Borrower shall, or shall cause the Dissemination Agent to, not later than 120 days after the completion of each fiscal year of the Borrower (beginning with the fiscal year ending

December 31, 2016), provide or cause to be provided to the MSRB (in an electronic format by transmission to EMMA and accompanied by identifying information as prescribed by the MSRB) an Annual Report that is consistent with the requirements of Section 4(a) of this Disclosure Agreement.

(b) The Borrower shall, or shall cause the Dissemination Agent to, not later than 45 days after the completion of each fiscal quarter of the Borrower (beginning with the fiscal quarter ending December 31, 2016), provide or cause to be provided to the MSRB (in an electronic format by transmission to EMMA and accompanied by identifying information as prescribed by the MSRB) a Quarterly Report that is consistent with the requirements of Section 4(b) of this Disclosure Agreement.

(c) The Borrower shall, or shall cause the Dissemination Agent to, not later than 30 days after the approval of the Annual Budget for the ensuing fiscal year by the governing board of the Borrower, provide or cause to be provided to the MSRB (in an electronic format by transmission to EMMA and accompanied by identifying information as prescribed by the MSRB), a copy of the Annual Budget for the ensuing fiscal year.

(d) In each case the Annual Report and the Quarterly Report may be submitted as a single document or as a package comprising separate documents. Any or all of the items constituting the Annual Report or the Quarterly Report may be incorporated by reference from other documents that have been submitted to the MSRB or the SEC. If the document incorporated by reference is a final official statement, it must be available from the MSRB. The Borrower shall clearly identify each such other document so incorporated by reference.

(e) The Dissemination Agent shall (if the Dissemination Agent is other than the Borrower) file a report with the Borrower certifying that the Annual Report, the Quarterly Report or the Annual Budget, as applicable, has been provided pursuant to this Disclosure Agreement, stating the date it was provided to the MSRB.

(f) With respect to each Annual Report, Quarterly Report or Annual Budget required to be submitted to the MSRB in this Section 3, the Borrower agrees to deliver such information or, alternatively, a notice of the Borrower's intent to act as its own Dissemination Agent with respect to such information, to the Dissemination Agent at least five (5) Business Days prior to the date required for dissemination to the MSRB. If the Dissemination Agent does not receive an Annual Report, Quarterly Report or Annual Budget or a notice of the Borrower's intent to act as Dissemination Agent with respect to such information on or before such required dissemination date, then the Dissemination Agent shall file with the MSRB a Notice of Failure to file. If the Borrower is unable to provide to the MSRB an Annual Report, Quarterly Report or Annual Budget by the dates required in this Section 3 and the Dissemination Agent has not filed with the MSRB a related Notice of Failure to file, the Borrower shall send or cause to be sent a notice of such fact to the MSRB (in an electronic format by transmission to EMMA and accompanied by identifying information as prescribed by the MSRB).

Section 4. Content of Annual Reports and Quarterly Reports. (a) The Annual Report to be delivered under Section 3(a) shall provide the following financial and operating data:

(1) Audited financial statements of the Borrower for the fiscal year immediately preceding the due date of the Annual Report. Such financial statements shall be prepared in accordance with generally accepted accounting principles and shall be audited by an independent certified public accountant, and shall include a statement of financial position as of the end of such fiscal year, and a statement of changes in net assets (deficit), a statement of operations, and a statement of cash flows for such fiscal year, showing in each case in comparative form the financial figures for the preceding fiscal year, prepared in accordance with generally accepted accounting principles; *provided, however*, that if such audited financial statements are not available by the deadline for filing the Annual Report, they shall be provided when and if available, and unaudited financial statements shall be included in the Annual Report.

(2) To the extent not otherwise provided, an update of the financial and operating data included in the tables and charts under the headings “INTRODUCTION - Unit Mix,” “DESCRIPTION OF THE COMMUNITY AND SERVICES - Fee Schedule,” “DESCRIPTION OF THE COMMUNITY AND SERVICES - Historical Utilization,” “DESCRIPTION OF THE COMMUNITY AND SERVICES - Residential Living Turnover,” “DESCRIPTION OF THE COMMUNITY AND SERVICES - Sources of Revenue for the SNF at Laurel Creek Health Center,” “FINANCIAL INFORMATION - Summary Financial Information,” “FINANCIAL INFORMATION - Summary Statement of Historical Revenues and Expenses,” “FINANCIAL INFORMATION - Summary Balance Sheet,” “FINANCIAL INFORMATION - Debt Service Coverage,” and “FINANCIAL INFORMATION - Days Cash on Hand” contained in APPENDIX A to the Official Statement.

(3) (A) Borrower’s calculations of the Borrower’s Debt Service Coverage Ratio for such fiscal year, of the Borrower’s Current Ratio as of the last day of such fiscal year and of the Borrower’s Days Cash on Hand as of the last day of such fiscal year and (B) a statement from the independent certified public accountant that audited the financial statements described in subparagraph (1) above that such independent certified public accountant has no knowledge of any default under the Regulatory Agreement or the Loan Agreement, insofar as such default relates to accounting matters, or if such independent certified public accountant shall have obtained knowledge of any such default or defaults, they shall disclose in such statement the default or defaults and the nature thereof, insofar as such default or defaults relate to accounting matters.

(b) The Quarterly Report to be delivered under Section 3(b) shall contain the following financial and operating data:

(1) Management-prepared financial statements, including a statement of operations and statement of cash flows of the Borrower during such period and a statement of financial position as of the end of each such fiscal quarter, all prepared in

reasonable detail and certified, subject to year-end adjustment, by an officer of the Borrower.

(2) A calculation of the Days Cash on Hand, for the second and last fiscal quarters of each year, and a calculation of the Debt Service Coverage Ratio for each fiscal quarter.

(3) Information with respect to the occupancy levels of all of the facilities operated by the Borrower by level of care as of the end of each fiscal quarter.

(4) An Officer's Certificate of the Borrower stating that the Borrower is in compliance with all of the terms, provisions and conditions of the Regulatory Agreement and the Loan Agreement or, if not, specifying all such defaults and the nature thereof.

Section 5. Reporting of Listed Events. (a) This Section 5 shall govern the giving of notices of the occurrence of any of the following events with respect to the Series 2016 Bonds:

- (1) principal and interest payment delinquencies;
- (2) non-payment related defaults, if material;
- (3) unscheduled draws on debt service reserves reflecting financial difficulties;
- (4) unscheduled draws on credit enhancements reflecting financial difficulties;
- (5) substitution of credit or liquidity providers, or their failure to perform;
- (6) adverse tax opinions, the issuance by the Internal Revenue Service of proposed or final determinations of taxability, Notices of Proposed Issue (IRS Form 5701-TEB) or other material notices or determinations with respect to the tax status of the Series 2016 Bonds, or other material events affecting the tax status of the Series 2016 Bonds;
- (7) modifications to rights of security holders, if material;
- (8) bond calls, if material, and tender offers (except for mandatory scheduled redemptions not otherwise contingent upon the occurrence of an event);
- (9) defeasances;
- (10) release, substitution, or sale of property securing repayment of the Series 2016 Bonds, if material;

- (11) rating changes;
- (12) bankruptcy, insolvency, receivership or similar event of the Borrower;
- (13) the consummation of a merger, consolidation, or acquisition involving the Borrower or the sale of all or substantially all of the assets of the Borrower, other than in the ordinary course of business, the entry into a definitive agreement to undertake such an action or the termination of a definitive agreement relating to any such actions, other than pursuant to its terms, if material; and
- (14) appointment of a successor or additional trustee or the change of name of a trustee, if material.

(b) In the occurrence of a Listed Event, the Borrower shall, or shall cause the Dissemination Agent to, promptly file a notice of such occurrence with the MSRB (in an electronic format by transmission to EMMA and accompanied by identifying information as prescribed by the MSRB). Such notice shall be filed within 10 Business Days after the occurrence of the Listed Event. If the Borrower determines that it failed to give notice as required by this Section, it shall promptly file a notice of such occurrence in the same manner.

Section 6. Termination of Reporting Obligation. The Borrower's obligations under this Disclosure Agreement with respect to the Series 2016 Bonds shall terminate upon the defeasance, prior redemption or payment in full of all the Series 2016 Bonds or if the Rule shall be revoked or rescinded by the SEC or declared invalid by a final decision of a court of competent jurisdiction.

Section 7. Dissemination Agent. From time to time, the Borrower may appoint or engage a Dissemination Agent to assist the Borrower in carrying out its obligations under this Disclosure Agreement, and may discharge any such agent, with or without appointing a successor Dissemination Agent. If at any time there is not any other designated Dissemination Agent, the Borrower shall be the Dissemination Agent. The initial Dissemination Agent shall be Digital Assurance Certification, LLC. The sole remedy of any party against the Dissemination Agent shall be nonmonetary and specific performance. The Dissemination Agent shall have only such duties as are specifically set forth in this Disclosure Agreement. The Dissemination Agent's obligation to deliver the information at the times and with the contents described herein shall be limited to the extent the Borrower has provided such information to the Dissemination Agent as required by this Disclosure Agreement. The Dissemination Agent shall not be responsible for the form or content of any Annual Report, Quarterly Report, Annual Budget, notice of Listed Event, or other document furnished to the Dissemination Agent by the Borrower, nor shall it have any duty or obligation to review or verify any information, disclosures or notices provided to it by the Borrower. The Dissemination Agent shall have no responsibility for the Borrower's failure to report to the Dissemination Agent a notice of Listed Event or a duty to determine the materiality thereof. The Dissemination Agent shall have no duty to determine, or liability for failing to determine, whether the Borrower has complied with this Dissemination Agreement. The Dissemination Agent shall not be deemed to be acting in any fiduciary capacity

for the Borrower, the Authority, any Bondholder, or any other party. The Dissemination Agent may conclusively rely upon certifications of the Borrower at all times.

THE BORROWER AGREES TO INDEMNIFY AND SAVE THE DISSEMINATION AGENT AND ITS RESPECTIVE OFFICERS, DIRECTORS, EMPLOYEES AND AGENTS, HARMLESS AGAINST ANY LOSS, EXPENSE AND LIABILITIES WHICH THEY MAY INCUR ARISING OUT OF OR IN THE EXERCISE OR PERFORMANCE OF THEIR POWERS AND DUTIES HEREUNDER, INCLUDING THE REASONABLE COSTS AND EXPENSES (INCLUDING REASONABLE ATTORNEYS' FEES) OF DEFENDING AGAINST ANY CLAIM OF LIABILITY, BUT EXCLUDING LIABILITIES DUE TO THE DISSEMINATION AGENT'S NEGLIGENCE OR WILLFUL MISCONDUCT. The obligations of the Borrower under this paragraph of Section 7 shall survive resignation or removal of the Dissemination Agent and defeasance, redemption or payment of the Series 2016 Bonds.

The Dissemination Agent shall receive reasonable compensation for its services provided hereunder. The Dissemination Agent may resign at any time by providing at least 60 days' notice to the Borrower.

Section 8. Amendment; Waiver; Modification. The Borrower may amend or waive any provision of this Disclosure Agreement, if such amendment or waiver is supported by an opinion of counsel expert in federal securities laws, to the effect that such amendment or waiver would not, in and of itself, cause the undertakings herein to violate the Rule if such amendment or waiver had been effective on the date hereof but taking into account any subsequent change in or official interpretation of the Rule or adjudication of the Rule by a final decision of a court of competent jurisdiction. The Borrower may modify from time to time the specific types of information provided in an Annual Report or Quarterly Report to the extent necessary as a result of a change in legal requirements, change in law or change in the nature of the Borrower or its businesses, *provided* that any such modification will be done in a manner consistent with the Rule and will not, in the opinion of Bond Counsel or another party unaffiliated with the Authority or the Borrower, materially impair the interests of the Bondholders. The Borrower shall provide any such amendment, waiver or modification to the Dissemination Agent. The Dissemination Agent may rely conclusively on any opinion delivered pursuant to the provisions of this Section 8, and shall have no duty to determine, or liability for failing to determine, whether any amendment, waiver or modification pursuant to this Section 8 is consistent with guidance provided by the SEC with regard to permitted amendments, or the manner of effecting such amendments, under the Rule.

Section 9. Additional Information. The Borrower may from time to time choose to disseminate other information, using the means of dissemination set forth in this Disclosure Agreement or any other means of communication, or include other information in any Annual Report, Quarterly Report, or notice of occurrence of a Listed Event, in addition to that which is required by this Disclosure Agreement. If the Borrower chooses to include any information in any Annual Report, Quarterly Report, or notice of occurrence of a Listed Event in addition to that which is specifically required by this Disclosure Agreement, such Member shall have no

obligation under this Disclosure Agreement to update such information or include it in any future Annual Report, Quarterly Report or notice of occurrence of a Listed Event.

Section 10. Default. A default under this Disclosure Agreement shall not be deemed an Event of Default under the Indenture, the Regulatory Agreement or the Loan Agreement, and the sole remedy of Bondholders under this Disclosure Agreement in the event of any failure of the Borrower to comply with this Disclosure Agreement shall be an action to compel performance.

Section 11. Beneficiaries. This Disclosure Agreement shall inure solely to the benefit of the Borrower, the Underwriter and the Bondholders, and shall create no rights in any other person or entity.

Section 12. Responsible Officer. The Borrower's Chief Financial Officer shall be the officer, agency, or agent of the Borrower responsible for providing Annual Reports and Quarterly Reports and giving notice of Listed Events, to the extent required hereunder, and any inquiries regarding this Disclosure Agreement should be directed to the Borrower, to the attention of its Chief Financial Officer.

[Signature appears on the following page]

IN WITNESS WHEREOF, the Borrower caused this Disclosure Agreement to be executed by its duly authorized officer as of the date first set forth above.

NORTHERN CALIFORNIA RETIRED OFFICERS
COMMUNITY

By: _____
Chair

By: _____
Chief Financial Officer

The undersigned has reviewed this Disclosure Agreement and acknowledges and agrees to perform the duties of Dissemination Agent hereunder as of the date set forth above.

DIGITAL ASSURANCE CERTIFICATION, LLC,
as Dissemination Agent

By: _____
Authorized Signatory

APPENDIX G

FORM OF OPINION OF BOND COUNSEL

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November ___, 2016

California Municipal Finance Authority
Carlsbad, California

\$22,080,000
California Municipal Finance Authority
Insured Revenue Bonds
(NCROC – Paradise Valley Estates Project), Series 2016
(Final Opinion)

Ladies and Gentlemen:

We have acted as bond counsel to the California Municipal Finance Authority (the “Issuer”) in connection with issuance of \$22,080,000 aggregate principal amount of California Municipal Finance Authority Insured Revenue Bonds (NCROC – Paradise Valley Estates Project), Series 2016 (the “Bonds”), issued pursuant to an Indenture, dated as of November 1, 2016 (the “Indenture”), between the Issuer and U.S. Bank National Association, as trustee (the “Trustee”). The Indenture provides that the Bonds are issued for the stated purpose of making a loan of the proceeds thereof to Northern California Retired Officers Community, a nonprofit public benefit corporation (the “Borrower”), pursuant to a Loan Agreement, dated as of November 1, 2016 (the “Loan Agreement”), between the Issuer and the Borrower. Capitalized terms not otherwise defined herein shall have the meanings ascribed thereto in the Indenture.

In such connection, we have reviewed the Indenture, the Loan Agreement, the Tax Certificate and Agreement, dated the date hereof (the “Tax Certificate”), between the Issuer and the Borrower, opinions of counsel to the Issuer, the Trustee and the Borrower, certificates of the Issuer, the Trustee, the Borrower and others, and such other documents, opinions and matters to the extent we deemed necessary to render the opinions set forth herein.

We have relied on the opinion of Hanson Bridgett LLP, counsel to the Borrower, regarding, among other matters, the current qualification of the Borrower as an organization described in Section 501(c)(3) of the Internal Revenue Code of 1986 (the “Code”) and the use of the facilities financed or refinanced with the proceeds of the Bonds in activities that are not considered unrelated trade or business activities of the Borrower within the meaning of Section 513 of the Code. We note that such opinion is subject to a number of qualifications and limitations. Failure of the Borrower to be organized and operated in accordance with the Internal Revenue Service’s requirements for the maintenance of its status as an organization described in Section 501(c)(3) of the Code, or use of the bond-financed or refinanced facilities in activities that are considered unrelated trade or business activities of the Borrower within the meaning of Section 513 of the Code, may result in interest on the Bonds being included in gross income for federal income tax purposes, possibly from the date of issuance of the Bonds.

The opinions expressed herein are based on an analysis of existing laws, regulations, rulings and court decisions and cover certain matters not directly addressed by such authorities. Such opinions may be affected by actions taken or omitted or events occurring after the date hereof. We have not undertaken to determine, or to inform any person, whether any such actions are taken or omitted or events do occur or any other matters come to our attention after the date hereof. Accordingly, this letter speaks only as of its date and is not intended to, and may not, be relied upon or otherwise used in connection with any such actions, events or matters. Our engagement with respect to the Bonds has concluded with their issuance, and we disclaim any obligation to update this letter. We have assumed the genuineness of all documents and signatures presented to us (whether as originals or as copies) and the due and legal execution and delivery thereof by, and validity against, any parties other than the Issuer. We have assumed, without undertaking to verify, the accuracy of the factual matters represented, warranted or certified in the documents and of the legal conclusions contained in the opinions, referred to in the second and third paragraphs hereof. Furthermore, we have assumed compliance with all covenants and agreements contained in the Indenture, the Loan Agreement and the Tax Certificate, including (without limitation) covenants and agreements compliance with which is necessary to assure that future actions, omissions or events will not cause interest on the Bonds to be included in gross income for federal income tax purposes. We call attention to the fact that the rights and obligations under the Bonds, the Indenture, the Loan Agreement and the Tax Certificate and their enforceability may be subject to bankruptcy, insolvency, receivership, reorganization, arrangement, fraudulent conveyance, moratorium and other laws relating to or affecting creditors' rights, to the application of equitable principles, to the exercise of judicial discretion in appropriate cases and to the limitations on legal remedies against joint exercise of powers authorities in the State of California. We express no opinion with respect to any indemnification, contribution, liquidated damages, penalty (including any remedy deemed to constitute a penalty), right of set-off, arbitration, judicial reference, choice of law, choice of forum, choice of venue, non-exclusivity of remedies, waiver or severability provisions contained in the foregoing documents, nor do we express any opinion with respect to the state or quality of title to or interest in any of the real or personal property described in or as subject to the lien of the Indenture or the Loan Agreement or the accuracy or sufficiency of the description contained therein of, or the remedies available to enforce liens on, any such property. Our services did not include financial or other non-legal advice. Finally, we undertake no responsibility for the accuracy, completeness or fairness of the Official Statement or other offering material relating to the Bonds and express no opinion with respect thereto.

Based on and subject to the foregoing, and in reliance thereon, as of the date hereof, we are of the following opinions:

1. The Bonds constitute the valid and binding limited obligations of the Issuer.

2. The Indenture has been duly executed and delivered by, and constitutes the valid and binding obligation of, the Issuer. The Indenture creates a valid pledge, to secure the payment of the principal of and interest on the Bonds, of the Revenues and any other amounts (including proceeds of the sale of the Bonds) held by the Trustee in any fund or account established pursuant to the Indenture, except the Rebate Fund, subject to the provisions of the Indenture permitting the application thereof for the purposes and on the terms and conditions set forth in the Indenture.

3. The Loan Agreement has been duly executed and delivered by, and constitutes a valid and binding agreement of, the Issuer.

4. Interest on the Bonds is excluded from gross income for federal income tax purposes under Section 103 of the Code and is exempt from State of California personal income taxes. Interest on the Bonds is not a specific preference item for purposes of the federal individual or corporate alternative minimum taxes, although we observe that it is included in adjusted current earnings when calculating corporate alternative minimum taxable income. We express no opinion regarding other tax consequences related to the ownership or disposition of, or the amount, accrual or receipt of interest on, the Bonds.

Faithfully yours,

ORRICK, HERRINGTON & SUTCLIFFE LLP

per

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APPENDIX H

BOOK-ENTRY SYSTEM

DTC will act as securities depository for the Bonds. The Bonds will be issued as fully-registered bonds registered in the name of Cede & Co. (DTC's partnership nominee) or such other name as may be requested by an authorized representative of DTC. The ownership of one fully-registered Bond for each maturity, each in the aggregate principal amount of such maturity, will be registered in the name of Cede & Co.

DTC, the world's largest securities depository, is a limited-purpose trust company organized under the New York Banking Law, a "banking organization" within the meaning of the New York Banking Law, a member of the Federal Reserve System, a "clearing corporation" within the meaning of the New York Uniform Commercial Code, and a "clearing agency" registered pursuant to the provisions of Section 17A of the Securities Exchange Act of 1934. DTC holds and provides asset servicing for over 3.5 million issues of U.S. and non-U.S. equity issues, corporate and municipal debt issues, and money market instruments from over 100 countries that DTC's participants ("*Direct Participants*") deposit with DTC. DTC also facilitates the post-trade settlement among Direct Participants of sales and other securities transactions in deposited securities, through electronic computerized book-entry transfers and pledges between Direct Participants' accounts. This eliminates the need for physical movement of securities certificates. Direct Participants include both U.S. and non-U.S. securities brokers and dealers, banks, trust companies, clearing corporations, and certain other organizations. DTC is a wholly-owned subsidiary of The Depository Trust & Clearing Corporation ("*DTCC*"). DTCC is the holding company for DTC, National Securities Clearing Corporation and Fixed Income Clearing Corporation, all of which are registered clearing agencies. DTCC is owned by the users of its regulated subsidiaries. Access to the DTC system is also available to others such as both U.S. and non-U.S. securities brokers and dealers, banks, trust companies, and clearing corporations that clear through or maintain a custodial relationship with a Direct Participant, either directly or indirectly ("*Indirect Participants*"). DTC has a Standard & Poor's rating of AA+. The DTC Rules applicable to its Participants are on file with the Securities and Exchange Commission. More information about DTC can be found at www.dtcc.com and www.dtc.org.

Purchases of the Bonds under the DTC system must be made by or through Direct Participants, which will receive a credit for the Bonds on DTC's records. The ownership interest of each actual purchaser of each Bond ("*Beneficial Owner*") is in turn to be recorded on the Direct and Indirect Participants' records. Beneficial Owners will not receive written confirmation from DTC of their purchase. Beneficial Owners are, however, expected to receive written confirmations providing details of the transaction, as well as periodic statements of their holdings, from the Direct or Indirect Participant through which the Beneficial Owner entered into the transaction. Transfers of ownership interests in the Bonds are to be accomplished by entries made on the books of Direct and Indirect Participants acting on behalf of Beneficial Owners. Beneficial Owners will not receive certificates representing their ownership interests in the Bonds, except in the event that use of the book-entry system for the Bonds is discontinued.

To facilitate subsequent transfers, all Bonds deposited by Direct Participants with DTC are registered in the name of DTC's partnership nominee, Cede & Co., or such other name as may be requested by an authorized representative of DTC. The deposit of Bonds with DTC and their registration in the name of Cede & Co. or such other DTC nominee do not affect any change in beneficial ownership. DTC has no knowledge of the actual Beneficial Owners of the Bonds; DTC's records reflect only the identity of the Direct Participants to whose accounts such Bonds are credited, which may or may not be the Beneficial Owners. The Direct and Indirect Participants will remain responsible for keeping account of their holdings on behalf of their customers.

Conveyance of notices and other communications by DTC to Direct Participants, by Direct Participants to Indirect Participants, and by Direct Participants and Indirect Participants to Beneficial Owners will be governed by arrangements among them, subject to any statutory or regulatory requirements as may be in effect from time to time. Beneficial Owners of Bonds may wish to take certain steps to augment the transmission to them of notices of significant events with respect to the Bonds, such as redemptions, tenders, defaults, and proposed amendments to bond documents. For example, Beneficial Owners of Bonds may wish to ascertain that the nominee holding the Bonds for their benefit has agreed to obtain and transmit notices to Beneficial Owners. In the alternative, Beneficial Owners may wish to provide their names and addresses to the registrar and request that copies of notices be provided directly to them. Redemption notices shall be sent to DTC. If less than all of the Bonds are being redeemed, DTC's practice is to determine by lot the amount of the interest of each Direct Participant to be redeemed.

Neither DTC nor Cede & Co. (nor any other DTC nominee) will consent or vote with respect to the Bonds unless authorized by a Direct Participant in accordance with DTC's Procedures. Under its usual procedures, DTC mails an "Omnibus Proxy" to the Authority as soon as possible after the Record Date. The "Omnibus Proxy" assigns Cede & Co.'s consenting or voting rights to those Direct Participants to whose accounts the Bonds are credited on the Record Date (identified in a listing attached to the "*Omnibus Proxy*").

Principal and interest payments on the Bonds will be made to Cede & Co., or such other nominee as may be requested by an authorized representative of DTC. DTC's practice is to credit Direct Participants' accounts upon DTC's receipt of funds and corresponding detail information from the Trustee or the Authority, on payable date in accordance with their respective holdings shown on DTC's records. Payments by Participants to Beneficial Owners will be governed by standing instructions and customary practices, as in the case with securities held for the accounts of customers in bearer form or registered in "street name," and will be the responsibility of such Participant and not of DTC, the Trustee or the Authority, subject to any statutory or regulatory requirements as may be in effect from time to time. Payment of principal and interest to Cede & Co. (or such other nominee as may be requested by an authorized representative of DTC) is the responsibility of the Trustee or the Authority. Disbursement of such payments to Direct Participants will be the responsibility of DTC, and disbursement of such payments to the Beneficial Owners will be the responsibility of Direct and Indirect Participants.

DTC may discontinue providing its services as depository with respect to the Bonds at any time by giving reasonable notice to the Authority and the Trustee. Under such circumstances, in the event that a successor securities depository is not obtained, Bond certificates are required to be printed and delivered.

THE INFORMATION PROVIDED ABOVE HAS BEEN PROVIDED BY DTC. NO REPRESENTATION IS MADE BY THE AUTHORITY, THE CORPORATION OR THE UNDERWRITER AS TO THE ACCURACY OR ADEQUACY OF SUCH INFORMATION PROVIDED BY DTC OR AS TO THE ABSENCE OF MATERIAL ADVERSE CHANGES IN SUCH INFORMATION SUBSEQUENT TO THE DATE HEREOF.

For so long as the Bonds are registered in the name of DTC or its nominee, Cede & Co., the Authority and the Trustee will recognize only DTC or its nominee, Cede & Co., as the registered owner of the Bonds for all purposes, including payments, notices and voting.

Under the Indenture, payments made by the Trustee to DTC or its nominee will satisfy the Authority's obligations under the Indenture and the Corporation's obligations under the Loan Agreement, to the extent of the payments so made.

None of the Authority, the Underwriter, the Corporation or the Trustee will have any responsibility or obligation with respect to (i) the accuracy of the records of DTC, its nominee or any Direct Participant or Indirect Participant with respect to any beneficial ownership interest in any Bond, (ii) the delivery to any Direct Participant or Indirect Participant or any other Person, other than an owner, as shown in the Bond Register, of any notice with respect to any Bond including, without limitation, any notice of redemption, tender, purchase or any event which would or could give rise to a tender or purchase right or option with respect to any Bond, (iii) the payment of any Direct Participant or Indirect Participant or any other Person, other than an owner, as shown in the Bond Register, of any amount with respect to the principal of, premium, if any, or interest on, or the purchase price of, any Bond or (iv) any consent given by DTC as registered owner.

Prior to any discontinuation of the book-entry only system described above, the Authority and the Trustee may treat DTC as, and deem DTC to be, the absolute owner of the Bonds for all purposes whatsoever, including, without limitation, (i) the payment of principal of, premium, if any, and interest on the Bonds, (ii) giving notices of redemption and other matters with respect to the Bonds, (iii) registering transfers with respect to the Bonds and (iv) the selection of Bonds for redemption.

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PARADISE VALLEY ESTATES



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